

The European Union (EU) VAT Directive has been implemented in the Romanian legislation through Title VII of the Romanian Fiscal Code, starting 1 January 2016, the Law no. 227/2015 regarding the Fiscal Code and the related Methodological Norms, the Government Decision no. 1/2016 for approving the Methodological Norms for the application of the Law no. 227/2015.

1. Taxable Persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

Taxable persons established in Romania for VAT purposes, whose annual turnover is no higher than the equivalent in national currency of EUR 88,500 at the conversion rate communicated by the National Bank of Romania on the day of Romania's accession to the EU (i.e. RON 300,000), are not liable to register for VAT purposes in Romania, being subject to the special exemption regime for small entrepreneurs. However, taxable persons may opt at any time for the application of the regular VAT regime.

A newly set-up company may benefit from the special VAT exemption regime to the extent that, when starting its economic activity, the taxable person declares an estimated turnover below the above-mentioned threshold and does not opt for the application of the regular VAT regime.

The taxable person that applies the special VAT exemption regime and its annual turnover is equal or exceeds the comparable threshold should request the VAT registration within the first 10 days of the month following the one in which the threshold was reached or exceeded. The special VAT exemption regime will be applied until the date when the VAT registration is obtained by the taxable person.

The VAT registration process is separate from the legal process of incorporating a company and separate VAT registration forms need to be filed with the tax authorities, both when registering for VAT purposes at the time of incorporation and when registering for VAT purposes later, once the above-mentioned threshold is exceeded.

Depending on the moment in time when the domestic taxable person applies for a VAT registration (i.e. upon incorporation with the Trade Registry or later on), the following forms must be submitted with the tax authorities:

- upon the incorporation with the Trade Registry: The fiscal registration request in accordance with provisions of Order 2509/2022;
- after the incorporation with the Trade Registry: Form 700 - Declaration for electronic registration/ amendments/de-registration subsequent to tax registration (which can be downloaded at the following link: <https://tinyurl.com/3n96vz>; and
- registration for VAT purposes in the event that the VAT identification number of the taxable person has been cancelled: Form 700 - Declaration for electronic registration/ amendments/de-registration subsequent to tax registration (which can be downloaded at the following link: <https://tinyurl.com/y53cc29x>

Starting 14 May 2020, companies applying for a Romanian VAT number will no longer be subject to a risk analysis prior to the approval of the VAT registration. Such analysis will be carried out afterwards. If a taxable person has a high fiscal risk, the Romanian tax authorities can cancel the VAT number.

Please note that as of 1 February 2017, Form 088 - Statement of own responsibility for the evaluation of the intent and capacity to perform an economic activity involving VAT operations has been cancelled and it is no longer required.

1.2 Registration threshold & SME Scheme for foreign taxable persons

There is no VAT registration threshold for foreign taxable persons who must register for VAT purposes in Romania.

The legislative updates of the VAT Directive regarding the exemption for SMEs have not yet been transposed into national legislation. No amendment draft of the national legislation was published up to 1 January 2025.

Depending on the type of transactions carried out in Romania, the foreign taxable persons are liable to register for Romanian VAT purposes for instance prior to performing intra-Community acquisitions of goods or exempt intra-Community supplies of goods, or they could opt for registration in case of specific transactions. The latter would apply in case of the importation of goods, rental and lease of immovable property if the option to tax is exercised, the supply of buildings and land if the transaction is taxable by default or if the option to tax is exercised.

Depending on the country where the foreign taxable person is established (i.e. within or outside the EU), one of the following VAT registration procedures applies: direct registration or registration via a fiscal representative. Thus, the foreign taxable person established within the EU can register in Romania directly or through a fiscal representative, while the foreign taxable person established outside the EU can only register by appointing a fiscal representative.

In practice, the direct VAT registration process can take approximately two weeks and three to four weeks from the date of the application in the case of foreign taxable persons registered through a Romanian fiscal representative.

Foreign taxable persons that register in Romania through the direct registration procedure must submit with the Romanian tax authorities the following documents:

- 015 VAT registration form, which can be downloaded at the following link: <https://tinyurl.com/yj84cs7m>;
- documentation attesting that the foreign taxable person will perform taxable operations in Romania, for which it is liable to pay VAT, such as agreements, purchase/sale orders;
- notarised copy of the VAT certificate obtained by the foreign taxable person from the country where the corporate seat is registered;
- original or notarized copy of an excerpt from the Trade Registry from the country where the foreign taxable person has registered his corporate seat; and
- copy of the articles of incorporation.

Moreover, all of these documents must be accompanied by Romanian authorized translations and submitted with the Tax Administration for non-established taxable persons within the General Directorate of the Public Finance of Bucharest at the following address:

Plata Presel Libere no. 1, Building C3
District 1
Bucharest
Romania

Foreign taxable persons that register for VAT purposes via a fiscal representative must submit with the tax authorities the following documents:

- statement of commencement of the activity that will include the date and the nature of the activity to be performed on the Romanian territory;
- an official request for the appointment of a Romanian company to act as their VAT fiscal representative in Romania;
- a specific power of attorney attesting that the Romanian company was appointed to act as the VAT fiscal representative of the foreign taxable person in Romania, to be issued by the non-resident directly in the name of the Romanian company;
- written acknowledgement of the Romanian company to act as the VAT fiscal representative for the foreign taxable person and to fulfil, on its behalf, the VAT liabilities required by the law;
- a copy of the foreign taxable person's articles of incorporation;
- a copy of the excerpt obtained from the Trade Registry where the non-resident is established;
- a copy of the non-resident's VAT registration certificate or other fiscal registration certificate;

- documents (agreements/purchase orders) as evidence of the transactions which create a liability to register for VAT purposes in Romania; and
- estimated turnover per year from transactions taxable in Romania.

All documents above must be accompanied by Romanian authorized translations.

1.3 VAT Grouping

Romania has implemented the optional clause of the EU VAT Directive concerning VAT grouping, but in a form that is not fully compliant with the EU recommendations. According to the Romanian VAT rules, two or more taxable persons which are legally independent but are closely related in terms of organisational, financial and economic purposes may choose to form a VAT group, provided that the following conditions are met:

- a taxable person may only be a member of a single VAT group;
- the option should refer to a period of at least 2 years; and
- all taxable persons should have the same fiscal period.

The concept of 'a single VAT group' is not the same as a single taxable person, since transactions carried out among members of this group will still be treated as falling within the VAT scope, while the sole advantage of the group is to offset their VAT positions at the end of each fiscal period (e.g. month, quarter).

Therefore, each member of the group will keep its own VAT number. The VAT group does not have to register for VAT purposes. Moreover, each member of the VAT group will file and send their VAT return to the respective representative, while the representative of the VAT group will file a consolidated VAT return. Please note that, each member of the VAT group is held jointly and severally liable for the VAT due individually or by the other members of the group.

Taxable persons are considered closely linked from a financial, economic and organisational perspective if their capital is directly or indirectly held for more than 50% by the same shareholders (as per the certificate issued by the Trade Registry and/or other applicable supporting documents).

No specific provisions are provided by the Romanian VAT legislation with respect to the possibility of having a holding as a member of the VAT group. Note that the members of the VAT group must be taxable persons established in Romania. Thus, difficulties may be encountered in practice for VAT fixed establishments which, although deemed as established for VAT purposes in Romania, are not also registered with the Trade Registry.

1.4 Fiscal Representative

Foreign taxable persons established in the EU who are liable to register for VAT purposes in Romania may register either directly or indirectly (through a fiscal representative). Foreign taxable persons established outside the EU can register in Romania solely by appointing a fiscal representative. VAT registration is required for all transactions taking place for VAT purposes in Romania, when the non-resident qualifies as the person liable to pay/account for VAT in Romania.

The requirements in order to obtain registration via a VAT fiscal representative in Romania are detailed in paragraph 1.2.

Romanian taxable persons acting as fiscal representatives for foreign taxable persons are held jointly liable with the foreign taxable person for all their VAT obligations arising in Romania.

Note that the appointment of a VAT fiscal representative in Romania occurs either as a result of the non-resident's obligation to register for VAT purposes in Romania or as a result of its option to register for VAT purposes in Romania for specific operations (e.g. imports). The VAT advantages which may be obtained further to a VAT registration via a fiscal representative are similar to the ones applicable to taxable persons established for VAT purposes in Romania. For instance it will be possible to defer payment of the import VAT and apply, if additional conditions are met, the exemption on transactions in VAT/excise warehouses.

2. Taxable transactions

2.1 Transfer of business

Romania has implemented the optional clause provided by Articles 19 and 29 of the EU VAT Directive with respect to the transfer of a going concern.

According to the Romanian VAT legislation, the total or partial transfer of a business performed through the transfer of assets or, as the case may be, liabilities as well, performed as a result of other operations than spin-off or merger, such as sale or a contribution in kind to the share capital, is considered as outside the VAT scope, provided that the transferee is a taxable person established in Romania. The total or partial transfer of a business performed in connection with a spin-off or a merger is considered as outside the VAT scope, provided that the transferee is a taxable person established in Romania. The transferee must be a taxable person in order for the transaction to be seen as outside the VAT scope. Otherwise, the transferor should account for VAT upon the transfer of the business to a non-taxable transferee.

The Norms to the Fiscal Code provide that the transfer of assets is deemed as a generic transfer of goods and/or services, that are not treated individually but as a whole at the level of the transferor, irrespective of the transaction's representing a total or partial transfer of assets. Also, the partial transfer of assets is defined as the transfer of the assets invested in a certain business unit that represent (from a technical perspective) an independent structure able to perform separate economic activities.

The transferee shall be considered as the successor of the transferor, irrespective if it is registered or not for VAT purposes. Therefore, the transferee is deemed to be the successor in respect of the rights and obligations of the transferor, including those with respect to VAT adjustments and self-supplies.

In principle, as per the Romanian VAT rules, the transfer of assets qualifies as a transfer of going concern, only to the extent that the following conditions are cumulatively met:

- the assets that are subject to the transfer belong to a certain business line of a taxable person;
- the transferred assets constitute (from a technical perspective) an independent structure able to perform economic activities by itself; and
- the transferee should be a taxable person, who continues the transferred business line and does not intend to liquidate it immediately. In this respect, an affidavit should be provided by the transferee to the transferor in order to prove that such a condition is met.

The above requirements do not apply to spin-off and merger, which are in any case considered a transfer of assets outside the VAT scope.

2.2 Supplies free of charge

The concept generally includes any action that takes goods or services out of a business, not charged for, to the extent that input VAT on the acquisition of the goods and/or services was previously deducted in full or in part. Such transactions include gifts or 'self-supplies', meaning the private use of business assets.

Self-supplies include:

- Goods that staff take out of the business for personal use, either temporarily or permanently;
- Services supplied to a business but then used privately; and
- The taking over by taxable person of tangible goods acquired or produced for purposes that are not related to the taxable person's economic activity, if the VAT for such goods or for the component parts of the goods was wholly or partially deducted.

However, the following operations are not deemed to be 'supplies of goods' under the provisions of the

Romanian Fiscal Code:

- goods granted free of charge from the state reserve as foreign or domestic humanitarian aid;
- goods granted free of charge for advertising purposes or to stimulate sales or, in general terms, for the pursuit of the economic activity, under specific conditions provided by the law;
- small value goods granted free of charge, within sponsorship (i.e. the total value during a calendar year

- is within the limit of 3% of the turnover) or protocol actions (i.e. RON 100 excl. VAT), under specific conditions provided by the law; and
- transfer of food intended for human consumption, which is close to the expiry of the minimum durability date, when carried out according to the legal provisions regarding the reduction of food waste.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

It is possible to apply a VAT exemption on the importation of goods into Romania if it is followed by an intra-Community supply. In order to apply the VAT exemption, there are certain conditions that must be met, as follows:

- VAT identification number of the importer;
- VAT identification number of the beneficiary; and
- proof that the imported goods will be transported or dispatched from the EU Member State of importation to the other EU Member State in the same state as they were at the moment of import.

2.3.2 Postponed accounting on importation

The payment of VAT on importation can be deferred only by importers registered for VAT purposes in Romania under the normal registration procedure and in the following cases as per the last amendments of the VAT legislation:

- taxable persons that obtained a VAT payment deferral certificate (which is valid for 6 months) and if the following conditions are met:
 - no outstanding tax liabilities or other budget liabilities as identified in executory titles issued according to law;
 - an own liability statement confirming that the respective taxable person has no outstanding tax liabilities is submitted to the customs authorities;
 - no outstanding debts due to customs authorities;
 - recording an overall value of imports in the last 6 months before the one in which the request is submitted, of at least RON 50 million (approximately EUR 10 million). Such taxable persons should be registered for VAT purposes in Romania for at least 6 months before the application is requested; and
 - the respective taxable person is not subject to insolvency or compulsory liquidation or winding-up proceedings;
- imports carried out by taxable persons who submit customs declarations using the centralized clearance procedure;
- imports carried out by submitting a customs declaration as entry in the declarant's records; and
- imports of certain goods such as:
 - wood and wood products;
 - cereals and technical plants, including oilseeds and sugar beet, which are not in principle intended as such for final consumers (goods falling within certain NC codes);
 - mobile phones;
 - integrated circuit devices such as microprocessors and central processing units, before their integration into end-user products; and
 - game consoles, tablet PCs and laptops.

The VAT payment deferral certificate may be revoked as soon as any of the above conditions cease to be fulfilled or the VAT identification number is cancelled. The revocation is notified in writing to the certificate holder, along with the reasons which led to such measure.

3. Place of supply

3.1 Commitment and call-off stock

Romania has implemented simplification measures for consignment/call-off stock transactions through Government Ordinance no. 6/2020 for the application of Law no. 227/2015 regarding the Fiscal Code. The quick fixes for call-off stock arrangements/consignment stock arrangements conditions are different

As of 1 July 2021, under the Romanian Fiscal Code, distance sales are, generally, deliveries of goods sent or transported by the supplier or a third party into an EU Member State from a point of origin outside that EU (December 5, 2017 (the 'VAT e-commerce rules').

Starting 1 July 2021, revised distance sales rules under the provisions of the Romanian Fiscal Code transposed Article 33 of the EU VAT Directive, as amended by Council Directive (EU) 2017/2455 of

3.3 Distance sales

According to the Romanian Fiscal Code, the place of supply of goods subject to installation or assembly is considered to be the place where such goods are installed or assembled, by or on behalf of the supplier. The so-called 'extended' reverse charge mechanism applies if the supplier is a taxable person not established - not deemed as established for VAT purposes - in Romania and which is not registered for VAT purposes either. Thus, the person liable to account for VAT is the taxable person or the non-taxable person established in Romania, irrespective of its being registered or not for VAT purposes, or the non-resident taxable person registered for VAT purposes in Romania, which is the customer of the supply taking place in Romania.

Romanian VAT legislation.

Please note that no formal definition of the 'supply with installation or assembly' is provided by the

3.2 Installation supplies

Previous, the simplification arrangements were applicable on a reciprocal basis (i.e. these can be applied only if the EU Member State from which the goods are dispatched to Romania considers the initial movement of goods as a non-transfer). No simplification measures are applicable in case of imports. The simplification measures basically avoid VAT registration requirements in Romania for the consignee/supplier by considering such a transfer as falling outside the scope of Romanian VAT.

Apart from the reciprocity condition, the following criteria need to be cumulatively met in order to enable the application of the simplification measures:

- the consignee/supplier is neither established nor registered for VAT purposes in Romania;
- the consignee/customer is registered for VAT purposes in Romania; and
- the consignee/customer must be known to the consignee/supplier when the goods are transported from the other EU Member State to Romania.

Romania has applied the simplification measures under the reciprocity conditions provided under Order 4120/2015 until 3 February 2020.

The taxable person has to register for VAT purposes and declare an assimilated intra-Community acquisition of goods in the following situations: if any of the above-mentioned conditions are not met, when goods stay in stock for more than 12 months, goods are destroyed or stolen, or the goods are sent to another Member State or exported.

Romania has applied the simplification measures under the reciprocity conditions provided under Order 4120/2015 until 3 February 2020.

From those previously stated in Ministry of Public Finance Order no. 4120/2015. Under the new conditions, a taxable established person established in one Member State which transfers goods to another taxable person in another Member State, within a call-off stock arrangement, does not perform a transfer and, therefore, does not have to register for VAT purposes in the territory where the goods are in stock if the following conditions are cumulatively met:

- the goods are shipped by a taxable person to another Member State in order to be supplied in that Member State to another taxable person, based on a previous agreement;
- the taxable person is not established and does not have a fixed establishment in the Member State to which the goods are shipped;
- the taxable person to which the goods are shipped is registered for VAT purposes in the Member State to which the goods are shipped, with its identity and VAT identification number known to the taxable person shipping the goods; and
- the taxable person shipping the goods records the transfer of goods in a special ledger provided by Regulation no. 1912/2018 and includes in the recapitulative statement both the identity and VAT code of the taxable person who purchased the goods.

Member State to a recipient who is an unregistered taxable person or a person otherwise not subject to VAT, including a non-taxable legal person.

The goods must not be new means of transport.

There is a distinction between intra-Community distance sales of goods, which are dispatched or transported from an EU Member State other than the Member State of destination, and distance sales of goods imported from third territories or third countries.

Under the provisions of the Romanian Fiscal Code, the place of supply or delivery of distance sales of low value goods imported from outside the EU directly into the Member State of final destination is that Member State, provided that VAT on the goods is declared under the One Stop Shop, discussed below.

The place of supply of distance sales of goods imported from outside the EU into a Member State other than that in which dispatch or transport of the goods to the customer ends is the place where the goods are located at the time when the dispatch or transport of the goods to the customer ends.

The place of supply of intra-Community distance sales of goods is generally the place where the goods are located at the time when the dispatch or transport of the goods to the customer ends.

However, the place of supply of intra-Community distance sales is the Member State where the supply begins (unless an election to the contrary is made) if:

- The supplier operates his company in one EU Member State and has no fixed establishment outside of that state;
- Goods are delivered to another Member State; and
- The total value, exclusive of VAT, of distance sales to that other Member State, plus B2C TBE services, does not exceed the E-commerce Distance Sales Threshold of EUR 10,000 or RON 46,337.

Suppliers who meet this 'de minimis' exception may nonetheless opt to have their distance sales taxed in the Member State of destination under the default place of supply rule for distance sales. This election, if made, remains in force for at least two calendar years.

No de minimis exception applies to distance sales of goods imported from outside the EU.

A special One Stop Shop (OSS) scheme applies to simplify reporting on distance sales, enabling suppliers both within and outside the EU to account for distance sales in a single Member State of registration, if specified conditions apply. This scheme also applies to qualifying cross-border services.

In addition, as of 1 July 2021, electronic marketplace operators assume liability for low value distance sales effected through them from outside the EU if certain conditions are met. If the electronic marketplace assumes liability, the supplier is not required to register for VAT.

3.4 Simplified triangulation

Romania has implemented simplified triangulation rules in line with the EU VAT Directive.

The following conditions must be cumulatively met for applying the simplified triangulation rules:

- party B is not established in Romania for VAT purposes, but is registered for VAT purposes in another EU Member State (different than the one of dispatch of the goods);
- party B purchases the goods with the intention of reselling them;
- the goods are transported by the initial supplier party A, party B or a third party on account of any of the two (i.e. not by the Romanian final customer or by a third party on its account), directly to Romania from a EU Member State, other than the one where party B is registered for VAT purposes, to the final customer of the goods (party C);
- party C is a taxable person or a non-taxable legal person, registered for VAT purposes in Romania;
- party C in Romania is appointed by party B as the person liable to pay VAT in Romania on its supply; and
- party B may be registered for VAT purposes in Romania but should not be established for VAT purposes in Romania.

Under the Romanian Fiscal Code, the chargeable event and chargeability generally occur on the date of delivery of goods / supply of services, subject to certain special rules for specific types of supplies, such as real estate or goods supplied under a contract of consignment building – assembly services, consultancy, research, expertise and similar services. Further, VAT may become chargeable on the earlier of the following dates, if they occur before the date of delivery (or before the dates referred to under the special rules), namely the date: the invoice is issued (including for an advance payment before receiving it); or the supplier receives an advance payment of partial or full consideration for the supply.

Special rules are provided on when VAT becomes chargeable under the cash accounting scheme.

4.1 Principles

4. Chargeable event & Chargeability of VAT

Romania has implemented the following use and enjoyment rules in its national legislation:

- services ancillary to transport, like loading, unloading, manipulation and other similar services, work on and valuation of movable goods and transport of goods actually performed in Romania for a non-EU taxable person, shall be taxed in Romania; and
- transportation of goods performed outside the European Union (i.e. the starting point and the point of arrival are located outside the European Union) for the benefit of a taxable person established in Romania, shall not be taxed in Romania.

3.6 Effective Use & Enjoyment

Intra-Community acquisitions of goods in the current calendar year or in the previous one not exceeding the threshold of RON 34,000 (EUR 10,000, computed at the exchange rate published by the National Bank of Romania valid at the date of Romania accession to the EU) are not taxable in Romania, provided that such intra-Community acquisitions are performed by non-taxable persons or by taxable persons exclusively carrying out operations without VAT deduction right.

3.5 Acquisition threshold

In a triangular (ABC) transaction, where the intermediary is a Romanian entity, which provided the first supplier with its Romanian VAT identification number, the following obligations would arise for party B:

- B should not record in the EU sales and purchases listing the intra-Community acquisition of the goods, such operation being deemed as non-taxable in Romania. The transaction should be included in the VAT return in the line referring to non-taxable acquisitions;
- to issue an invoice in line with the formal requirements of the Romanian VAT legislation, that contains its Romanian VAT identification number, as well as the VAT identification number of the final customer (C). B should also appoint C as the person liable to pay VAT on the domestic supply of goods taking place in the third EU Member State under the 'reverse-charge' mechanism; and
- B should report in its VAT return the supply of goods towards the final customer in EU Member State (C) in the box dedicated to intra-Community supplies and report the following in its EU sales and purchases listing:
 - the VAT identification number of the final customer from EU Member State (C);
 - the T-code in the relevant heading; and
 - the value of the supply.

In a triangular (ABC) transaction, where party C is registered for VAT purposes in Romania, the following obligations would arise for C:

- to account for VAT under the reverse charge mechanism on the domestic supply performed by party B which is not established for VAT purposes in Romania; and
- to record the acquisition in the VAT return and in the EU sales and purchases listing in boxes dedicated to taxable intra-Community acquisition of goods, as well as in the EU sales and purchases listing.

VAT on sales made to a customer can be adjusted (i.e., output VAT can be decreased) as of the date of a court decision confirming a reorganization plan, or a ruling/ court decision confirming the date of the initiation of bankruptcy procedure.

The right of adjusting the taxable base will arise from the date of the court decision or, where appropriate,

5.1 Bad debt relief

5. Taxable amount

The VAT cash-accounting system does not apply to certain transactions, including transactions:

- with affiliated parties;
- for which the person liable to pay VAT is the beneficiary (using the reverse charge mechanism);
- for which the place of supply is not considered to be in Romania;
- that are VAT-exempt; or
- that are subject to special schemes for travel agents and suppliers of secondhand goods, works of art, collector's items, antiques and investment gold.

Romania implements an optional VAT cash-accounting system applicable to taxable persons established in Romania whose annual turnover does not exceed the threshold of RON 4,5 million. The VAT cash-accounting system is characterized by the fact that charging VAT occurs when an invoice is fully or partially cashed-in. Therefore, the payment of the VAT to the state budget must be done by the 25th day of the month following the fiscal period when the VAT becomes chargeable under the "cash-accounting system."

4.4 Cash accounting

Services ongoing over a period of more than 1 year, that do not give rise to settlements or payments in that period and for which the customer is liable to account for the VAT (reverse-charge mechanism), are regarded as being supplied on the expiry of each calendar year up to the time the provision of the services ceases.

However, if the agreement does not mention a payment date and the chargeable event occurs when the invoice is issued, the payment date mentioned on the invoice has no impact on the chargeable event (i.e. chargeable event still occurs when the invoice is issued). By way of exception, continuous supplies of goods (other than gas, electricity, heating or cooling) over a period of more than one calendar month which are dispatched or transported from Romania to another EU Member State and which are supplied or transferred VAT exempt, shall be regarded as being completed on expiry of each calendar month until such time as the supply comes to an end.

In the case of continuous supplies other than building – assembly services, consultancy, research, expertise and similar services, such as supply of gas, water, electricity, telephone services, rental, leasing, concession, lease of goods, granting of rights in rem, such as the right of usufruct and the right of superficies, over immovable property for a certain period of time, and other similar supplies, the chargeable event occurs at the payment date settled in the agreement or, in case the payment date is not stipulated, when the invoice is issued, but the settlement period cannot exceed one year.

4.3 Continuous supplies

VAT can be chargeable before the time the goods are put at the disposal of the acquirer or the service is completed. This is the case when the price has been totally or partially received, before the goods are put at the disposal of the acquirer or the services are supplied.

In the case of supplies other than intra-Community supplies, a taxable person must issue an invoice for the amount of advances received in connection with a supply of goods or provision of services no later than the 15th day of the month following the month in which the advance is received, unless the invoice has already been issued.

4.2 Advance payments

An Emergency Ordinance was also published including clarifications on the VAT treatment applicable to non-reusable packaging subject to Return Guarantee Scheme. The main points of the provisions state that:

- the guarantee for non-reusable packaging subject to Return Guarantee Scheme charged by manufacturers, distributors and traders is not deemed as consideration for a supply of goods subject to VAT;
- non-reusable packaging subject to Return Guarantee Scheme which is not returned at the end of a calendar year shall be deemed as a supply of goods subject to VAT effected by the Return Guarantee Scheme administrator (i.e. Return Romanian company managing the Return Guarantee Scheme). The taxable amount must be adjusted by the supplier by issuing a credit invoice if the buyer returns the packages in which the commodity was dispatched.

On the other hand, when the packaging was included in the invoice and therefore in the taxable amount, the taxable amount must be adjusted by the supplier by issuing a credit invoice if the buyer returns the packages in which the commodity was dispatched.

5.4 Returnable packaging

According to the Romanian Fiscal Code, packaging that is exchanged between a supplier and a buyer without being included in the invoice, shall not be included in the taxable amount even if the buyer does not hold the quantity of packaging necessary for the exchange and pays a monetary guarantee in exchange for the packaging received.

- less than the market value and the beneficiary of the supply does not have a full right of deduction;
- less than the market value and the supplier or the provider does not have a full right of deduction while the supply is VAT exempt without deduction right; and
- higher than the market value and the supplier or the provider does not have a full right of deduction.

where the consideration is:

If a beneficiary is affiliated to a supplier of goods or provider of services, the taxable amount is deemed to be the market value in certain situations that may give rise to VAT evasion. The situations are as follows, namely:

5.3 Open market value

In such case, as the discount occurred after the invoice issuance, the supplier has to adjust its taxable amount, by issuing a credit invoice for the 2%. The invoice should be issued to the customer, who is also required to adjust the initially exercised VAT deduction right.

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount"

Payment is indeed received within 14 days. In that case the supplier has to pay RON 855 (approximately EUR 190) in its VAT return. The customer can deduct this RON 855 (EUR 190) in its VAT return. Therefore, the supplier paid too much VAT and the customer deducted too much.

"Supply of goods	EUR 1,000
19% VAT	EUR 190
Total to be paid	EUR 1,190

Assume that the supplier sends the following invoice:

5.2 Cash discounts

In order to align with the jurisprudence of the CJEU, new provisions are introduced with respect to the adjustment of the taxable base for bad debts from individuals (with the exception of affiliated individuals) within 12 months from the payment deadline set by the parties or, in its absence, from the date of the invoice. In this respect, the adjustment will be allowed within a 5 year period starting from the 1st of January of the year following the one when the payment deadline was set by the parties or, in its absence, the year following the one when the invoice was issued. The adjustment would be permitted if proof is provided that commercial measures have been taken to recover claims up to RON 1,000 or legal proceedings have been taken to recover claims in a higher amount than RON 1,000.

of the court's conclusion by which bankruptcy was decided, without waiting for the conclusion of the bankruptcy procedure.

chargeable event for the respective supply will occur on the last day of the calendar year and the tax point date occurs at the submission deadline of the annual financial statements of Return;

- the taxable amount for the mentioned supply of goods shall be the difference between the value of the guarantees received and the value of the guarantees returned by the Return Guarantee Scheme administrator in a calendar year, exclusive of VAT; and
- if the computed taxable amount is negative, i.e. the value of the returned guarantees is higher than the value of the guarantees received in a calendar year, the Return Guarantee Scheme administrator shall reduce accordingly the output VAT in the VAT return of the last tax period of that year;

6. VAT rates

6.1 Standard rate

The standard VAT rate is 19% (from January 2017).

6.2 Reduced rate

Romania uses two reduced VAT rates: 9% and 5%.

The 9% reduced rate is used for the following:

- supplies of medicines for human and veterinarian use;
- food and non-alcoholic beverages intended for human and animal consumption (excluding non-alcoholic beverages with 2202 NC, food with added sugar of at least 10g/100g of product other than powdered milk, sweet bread, biscuits and bee feed);
- the supply of live domestic animals and poultry;
- the supply of seed, plants and ingredients used in preparing food;
- the supply of certain food supplements and substitutes;
- supply of drinking water and water for irrigation;
- the supply of fertilizers and pesticides used in agriculture, seeds and other agricultural products intended for sowing and planting, and also the provision of the specific types of services used in agriculture;
- water supply and sewerage services;
- accommodation in the hotel sector or similar-function sectors, including rental of camping grounds;
- restaurant and catering services, excluding alcoholic beverages other than beer (classified under NC code 22 03 00 10 - namely, beer made of malt, delivered in containers exceeding the capacity of 10 l - "draft beer");
- the supply of certain affordable and social housing such as land and buildings for old age pensioners and for children, on and after 1 January, 2024;
- the supply and installation of certain high-efficiency, low-emission heating systems such as photovoltaic panels and the supply and installation of repairing/extension components, on and after 1 January, 2024;
- the supply of buildings with a maximum utilized area of 120 square meters, with value (and included) of less than RON 600,000, excl. VAT; and
- access to amusement parks, recreational parks and sporting events, on and after 1 January, 2024.

The 5% reduced rate is used for the following:

- manuals, books, newspapers and magazines;
- admission to castles, museums, memorial houses, zoos etc.;
- certain supplies of firewood, until December 31, 2029; and
- thermal energy supplied in the cold season to certain specified categories of consumers.

6.3 Super-reduced and zero rates

No super-reduced rate was implemented in Romania. The Romanian VAT system does not have the concept of a zero-rated supply. Instead, it uses the analogous concept of a VAT exemption with credit for related input VAT (which generally allows VAT recovery by the taxable person for input VAT attributable to its own

supplies, if certain conditions are met) or VAT exempt without credit for related input VAT (which does not allow the VAT recovery by the taxable person for input VAT attributable to such output transactions). Please see next chapter related to exemptions for more details.

7. Chapter 7 Exemptions

7.1 Exemptions with the right of deduction

The main supplies eligible for a VAT exemption with credit for related input VAT, including exports and related services, are set out in Articles 294-296 of the Romanian Fiscal Code.

Supplies VAT exempt with deduction right include:

- export of goods, transport of such goods and other closely related services;
- intra-Community supplies of goods;
- international transport of passengers;
- supplies of goods and services to the benefit of sea vessels and aircraft;
- supplies of goods intended to be placed under a VAT warehouse regime and related services;
- supplies of goods placed under suspending customs arrangements and related services;
- certain operations performed in free zones and free warehouses;
- supplies of services on goods acquired or imported into Romania for processing purposes that are subsequently transported outside the Community;
- supplies of goods to diplomatic missions, international organisations and NATO forces; and
- supplies of gold to the National Bank of Romania.

7.1.1 Intra-Community supplies

Intra-Community supplies of goods benefit from VAT exemption with credit. Specifically for goods, other than means of transport and excisable products for which specific requirements apply, the following documentation as applicable, should be held by the supplier to justify the VAT exemption:

- an invoice containing all the mandatory information required under the Romanian Fiscal Code, including the VAT registration number assigned to the customer by another Member State; and
- the documents proving that goods were transported from Romania to another Member State.

The Romanian Fiscal Code provides that in order for the supply to qualify as exempt with credit, the taxable person or non-taxable legal person to whom the supply is made must provide his or her VAT identification number to the supplier.

In addition, the supplier must comply with the obligation to submit a duly completed EC Sales and Purchase List.

For the proof of the intra-Community transport of goods, the following will be analysed:

- Regulation 2018/1912 amending the Implementing Regulation (EU) no. 282/2011 regarding certain exemptions for intra-Community operations; or
- OMFP 103/2016 on the justification of the VAT exemption for intra-Community supplies of goods and exports in situations not covered by the EC Regulation.

In case a taxable person meets the conditions provided by Art. 45a of the Regulation, it is presumed that the goods were transported intra-Community, and the intra-Community transport of the goods is justified based on the documents mentioned in the Regulation.

In principle, taxpayers may choose between the two regulations governing the documentation required to support the VAT exemption for intra-Community supplies. The Romanian Ministry of Finance has confirmed through a Circular letter that taxpayers are allowed to apply either the Romanian rules, which may be more favourable, or the EU Regulation, without requiring proof of the reasons for choosing to apply the Romanian rules.

In addition, the Romanian VAT regulations also provide that in the absence of an export declaration, the export can also be documented by other means of proof confirming the goods actually left the EU territory (in accordance with the conclusions set out in case C-275/18 *Miljan Vins*).

- the third copy of the single administrative document used as a customs export statement, certified by the customs office; or
 - in the case of excise goods moved under suspension of excise duty using EMCS, the export report submitted to the consignor certifying that the excise goods have left the EU territory.
- Under Romanian VAT law, the export of goods (i.e. dispatch of goods outside the EU) is VAT-exempt with the right to deduction, to enable the exporter to recover input VAT, provided certain conditions are met. Exports of goods benefit from VAT exemption with the right to deduction of related input VAT, only to the extent that the taxable person meets the requirements of Romanian VAT legislation. In particular, if a tax audit takes place, the exporter must provide the tax inspectors with:
- an invoice containing all the mandatory information provided by the Romanian Fiscal Code or, if the transport of goods does not imply a transaction, the documents required by the customs authorities for preparing the customs export statement; and
 - one of the following documents:
 - certification issued by the export customs office attesting that the export operation was finalized or, the export notification certified by the export customs office in case of electronic custom export statements; or
 - the third copy of the single administrative document used as a customs export statement, certified by the confirmation of exit from the customs office; or
 - in the case of excise goods moved under suspension of excise duty using EMCS, the export report submitted to the consignor certifying that the excise goods have left the EU territory.

7.1.2 Export supplies

that the goods have been transported by the customer or by a third party on behalf of the customer.

the transport of the goods, the supplier should be in possession of a written statement from the client, stating storage of the goods in that Member State. Additionally, for the cases in which the customer is in charge with State of destination; (ii) a receipt issued by a warehouse keeper in the Member State of destination, confirming of the goods in the Member documents issued by a public authority, such as a notary, confirming the arrival of the goods in the Member of the goods, or bank documents proving payment for the dispatch or transport of the goods; (ii) official previously mentioned (issued by two different parties that are independent of each other and of the seller and the buyer) and one document from the following: (i) an insurance policy with regard to the dispatch or transport are held: documents relating to the dispatch or transport of the goods, such as a signed CMR document or note, a bill of lading, an air freight invoice or an invoice from the goods carrier, or one means of proof of those previously mentioned (issued by two different parties that are independent of each other and of the seller and the buyer) and one document from the following: (i) an insurance policy with regard to the dispatch or transport of the goods, or bank documents proving payment for the dispatch or transport of the goods; (ii) official documents issued by a public authority, such as a notary, confirming the arrival of the goods in the Member State of destination; (ii) a receipt issued by a warehouse keeper in the Member State of destination, confirming storage of the goods in that Member State. Additionally, for the cases in which the customer is in charge with the transport of the goods, the supplier should be in possession of a written statement from the client, stating that the goods have been transported by the customer or by a third party on behalf of the customer.

- the persons involved in the transport of the goods are not independent of each other, as well as of the seller
 - the supplied goods are means of transportation that move on their own by wheels, by sea, river or air;
 - the supplier or the buyer carry out the transport of the goods with their own means of transportation;
- local regulation (as stipulated above) for situations such as, but not limited to:
- Taxable persons can justify the intra-Community transport of goods with the documents provided under the following means of proof
- If it is presumed that the goods are transported to another Member State if two of the following means of proof are held: documents relating to the dispatch or transport of the goods, such as a signed CMR document or note, a bill of lading, an air freight invoice or an invoice from the goods carrier, or one means of proof of those previously mentioned (issued by two different parties that are independent of each other and of the seller and the buyer) and one document from the following: (i) an insurance policy with regard to the dispatch or transport of the goods, or bank documents proving payment for the dispatch or transport of the goods; (ii) official documents issued by a public authority, such as a notary, confirming the arrival of the goods in the Member State of destination; (ii) a receipt issued by a warehouse keeper in the Member State of destination, confirming storage of the goods in that Member State. Additionally, for the cases in which the customer is in charge with the transport of the goods, the supplier should be in possession of a written statement from the client, stating that the goods have been transported by the customer or by a third party on behalf of the customer.
 - a document directly related to transport: a signed CMR document or a signed consignment note, a bill of lading, the specific air waybill document; and
 - an additional document of the following:
 - an insurance policy corresponding to the dispatch or transport of the goods;
 - bank documents proving payment for the dispatch or transport of goods;
 - official documents issued by a public authority, such as a notary, certifying the arrival of the good is in the Member State of destination;
 - a document certifying receipt of the goods, issued by a depositary in the Member State of destination, other than the buyer of the goods; and
 - a written declaration from the buyer stating that the goods have been dispatched or transported to the Member State of destination and including: date of issue, name and address of the buyer, as well as the quantity and nature of the goods, date and place of arrival of the goods, identification of the person who accepts the goods on behalf of the buyer.
- In case a taxable person opts to apply the Romanian legislation if it is more favourable, the intra-Community transport of goods is justified according to the provisions of the Instructions for applying the VAT exemption approved by Order no. 103/2016, by respectively:

Only excise goods belonging to one of the following groups of excise goods may be produced, processed and held under suspension of excise duty in a tax warehouse: alcoholic beverages, manufactured tobacco, energy products and electricity. The excise warehouse cannot be used for retail purposes of the excise goods with certain exceptions such as:

- excise warehouse supplying energy products to aircrafts or vessels;
- those supplies which, irrespective of the consignee - final consumer or not - are carried out by means of

payment of excise duty is suspended.

The suspension regime means that, during the production, processing, holding and movement of the goods, the authorized warehouse keeper (i.e. the natural or legal person authorized by the competent authority) excise goods may be manufactured, processed, held, received or dispatched under suspensive regime by Excise warehouse refers to the physical place under the control of the competent tax authority where

7.1.3.2 Excise warehouse

the regime.

Nevertheless, the warehouse keeper can only be a taxable person established in Romania and registered for Romanian VAT purposes, which has been authorized for acting as such by the Ministry of Public Finance. The warehouse keeper must keep special evidences and documents regarding the goods being placed or leaving

In principle, any taxable person - irrespective if registered or not for VAT purposes in Romania - can place goods in a VAT warehouse, as long as it identifies itself towards the warehouse keeper and issues invoices compliant with the Romanian VAT legislation for its supplies.

The person liable to pay VAT is the person who causes goods to cease to be covered by the VAT warehouse regime, except when the goods leave the VAT warehouse regime through an import, in which case the person liable to pay the VAT is the importer.

The person liable to pay VAT is the person who causes goods to cease to be covered by the VAT warehouse regime, except when the goods leave the VAT warehouse regime through an import, in which case the person liable to pay the VAT is the importer.

exemption.

In principle, all transactions performed in connection with goods placed under the regime are definitively VAT exempted, except for transactions performed towards the last customer which benefit from a temporary VAT

warehouse regime.

- the granting of definitive VAT exemptions upon a subsequent supply of the goods within the VAT
- the granting of temporary VAT exemptions for all transactions performed within the regime; and

As a general rule, the VAT warehouse regime includes a chain system of VAT exemptions consisting of:

- excisable goods and other goods that are included in a list provided by the law. The goods can be stored in any location situated in Romania which is defined as a fiscal warehouse by the Romanian law; and
- other goods provided by the law (such as: potatoes, olives, cereals, raw sugar, copper, aluminium, zinc, tin). The warehouse must be a location situated in Romania which is defined as such by the Romanian law.

Only EU goods can be placed in a VAT warehouse. Goods which have not been imported yet, cannot be stored in a VAT warehouse. VAT warehouses can only be used for:

7.1.3.1 VAT warehouse

7.1.3 Warehousing

From a VAT perspective, a person transporting goods outside the European Union in lack of a commercial transaction is also deemed an exporter.

The Romanian Ministry of Finance has issued a Circular letter clarifying the person entitled to apply the VAT exemption for exports in case of chain supplies. According to the guidance set by the authorities, the person entitled to apply the VAT exemption for exports depends as well on the person in charge of transport of goods.

The VAT exemption is granted for supplies of services, including transport and ancillary transport services directly related to the export of goods which contribute to the actual export and which are rendered directly to the exporter or recipient of the exported goods in accordance with the conclusions set out in case C-288/16 L. C.

- the supply of services and of goods closely linked to the protection of children and young persons by bodies governed by public law or by other organisations recognised as being devoted to social wellbeing; supplies of services closely related to the practice of sports or physical education performed by organisations without a patrimonial purpose for persons who practice sports or physical education;
- the prosperous elderly;
- public institutions or other entities recognized as having a social character, including those provided for supplies of services and of goods closely related to social assistance and/or social protection performed by tuition given privately by the teachers covering school or university education;
- of adults, as well as supplies of services and the deliveries of goods closely related to such activities; completions, carried out by authorized public institutions and other units, including the vocational training educational activities provided by the Law on education no. 1/2011, with subsequent modifications and supplies of organs, blood and milk of human origin;
- transport of sick or injured persons in vehicles specially designed for this purpose, by authorized entities; according to the applicable legal provisions;
- provision of medical care and supervision services supplied by medical and paramedical personnel dental prostheses by dentists and dental technicians;
- services supplied as part of their profession by dentists and dental technicians, as well as the supply of hospital treatment, medical care, and closely related operations carried out by authorised units;

7.2 Exemptions without the right to deduction

- Supplies VAT exempt without deduction right include:
- hospital treatment, medical care, and closely related operations carried out by authorised units;
 - services supplied as part of their profession by dentists and dental technicians, as well as the supply of dental prostheses by dentists and dental technicians;
 - provision of medical care and supervision services supplied by medical and paramedical personnel
 - the agreement concluded with the holder of the regime or with the beneficiary of the goods stored in a customs bonded warehouse;
 - an invoice containing all the mandatory information provided by the Romanian VAT legislation; and documents attesting that the goods were placed under a suspending VAT regime at the moment of the supply.
- The VAT exemption regarding the supply of goods placed under a customs warehouse can be justified with the following documents:
- the agreement concluded with the holder of the regime or with the beneficiary of the goods stored in a customs bonded warehouse;
 - an invoice containing all the mandatory information provided by the Romanian VAT legislation; and documents attesting that the goods were placed under a suspending VAT regime at the moment of the supply.
- The VAT exemption regarding the supply of goods placed under a customs warehouse can be justified with the following documents:
- the agreement concluded with the holder of the regime or with the beneficiary of the goods stored in a customs bonded warehouse;
 - an invoice containing all the mandatory information provided by the Romanian VAT legislation; and documents attesting that the goods were placed under a suspending VAT regime at the moment of the supply.
- The VAT exemption regarding the supply of goods placed under a customs warehouse can be justified with the following documents:
- the agreement concluded with the holder of the regime or with the beneficiary of the goods stored in a customs bonded warehouse;
 - an invoice containing all the mandatory information provided by the Romanian VAT legislation; and documents attesting that the goods were placed under a suspending VAT regime at the moment of the supply.

7.1.3.3 Bonded warehouse

The Romanian legislation provides that the excise warehouse rules shall not apply to excise products subject to a customs suspensive procedure or regime.

The production or processing of excise products outside the excise warehouse is prohibited, with certain exceptions.

- It is prohibited to hold an excise product outside the excise warehouse if the excise duty for that product has not been levied. The holding of excise products outside the excise warehouse, for which it cannot be proved that excise duty has been levied, shall entail the obligation to pay excise duty.
- the sale of beer within the excise warehouse authorized exclusively to produce beer.
 - the sale of wine bottles from wine cellars or exhibitions within the excise warehouse authorized exclusively to produce still and/or sparkling wines; and
 - when it represents more than 50% of the cost of a product, mineralogical processes; fuel, dual use, for chemical reduction purposes and in electrolytic and metallurgical processes, electricity the supply of energy products for certain purposes, namely: other purposes than as motor fuel or heating out the delivery;
 - tanks, reservoirs or other similar containers which are an integral part of the means of transport carrying

If a taxable person who is not established in Romania supplies goods or services, the reverse charge applies if the customer is a taxable person or a legal non-taxable person established in Romania. The reverse charge

8.1.1 General reverse charge – non-resident suppliers (Article 194 Directive)

In Romania there are several obligatory reverse charge rules besides the reverse charge for general B2B services provided by non-resident suppliers to taxable persons and legal entities with a Romanian VAT identification number established in Romania. This reverse charge applies in all EU Member States and follows from Art. 44 and Art. 196 EU VAT Directive. In addition, there is also the reverse charge for the supply of natural gas and electricity supplied by non-resident suppliers to “taxable dealers” in Romania.

8.1 Reverse charges

8. Liability

Taxpayers may opt to tax supplies or leases of land (farmlands) and buildings (old buildings meaning that first occupation or use of the building took place more than 2 years prior to the supply) otherwise exempted, so that these otherwise exempt supplies become taxable and input VAT may be recovered. This option is exercised by notifying the tax authorities. However, taxation is not permitted in connection with the sale of goods previously leased under the VAT exemption regime.

7.3 Option for taxation

- the deduction right or subject to a total limitation of the deduction right.
- not been deducted, as well as the supply of goods of which the acquisition was subject to an exclusion of the supply of goods which have been used for an exempt activity if the VAT relating to those goods has building land; and
- By way of exception, the exemption does not apply to supply of a new building, parts of a building or the supply of a building or parts thereof, and of the land on which it stands as well as of any other land affixed to immovable goods; and the rental of safes;
- camping; rental of spaces or locations for parking vehicles; the rental of equipment and machinery that is performed in the hotel sector or sectors with a similar function, including the rental of land prepared for immovable goods such as usufruct and superficies, with the following exceptions: accommodations
- the rental, concession, lease and the leasing of immovable goods, the granting of real rights over such activities;
- bets, lotteries and other forms of gambling organised by persons authorised according to law to carry out reinsurance operations that are performed by taxable persons who intermediate such operations, etc); and/or reinsurance operations, as well as the supply of services in connection with insurance and/or instruments, except for the recovery of receivables; administration of special investments funds; insurance the deposit or current accounts, payments, transfers, receivables, checks and other negotiable management of credit by the person granting it; transactions, including the negotiation, regarding supplies of specific financial and banking services (e.g. the granting and negotiation of credit and the the law;
- the supply of staff by religious or philosophical institutions for the purpose of the activities provided by not likely to cause distortion of competition;
- their members exact reimbursement of their share of the joint expenses, provided that such exemption is the services directly necessary for the exercise of that activity, where those groups merely claim from VAT or in relation to which they are not taxable persons, for the purpose of rendering their members the supply of services by independent groups of persons, who are carrying on an activity which is exempt public postal services, as well as the supply of goods in connection with such services;
- activities;
- services related to broadcasting of the public radio and television channels, other than commercial cause distortion of competition;
- raising events organised exclusively for their own benefit, provided that the exemption is not likely to the supply of services and goods, by organisations whose activities are exempt in connection with fund-
- by public law or by other cultural bodies recognised by the Ministry of Culture;
- the supply of certain cultural services, and the supply of goods closely linked thereto, by bodies governed

even applies if the Romanian customer is not VAT registered in Romania. If the customer is not established in Romania but has a VAT registration in Romania, the reverse charge also applies. If the supplier is VAT registered in Romania, the reverse charge does not apply.

Note that the application of the reverse charge is mandatory and not optional.

8.1.2 Specific domestic reverse charges (Article 199 Directive)

According to the Romanian VAT rules, reverse charge applies on the following domestic supplies when carried out between taxable persons registered for VAT purposes in Romania:

- waste and secondary raw materials resulting from its recovery;
- wood and wood materials;
- gas certificates;
- electricity to taxable dealers (other cumulative conditions should be met, e.g. own consumption norm of the taxable trader is negligible, the main activity consists of reselling the energy purchased), until 31 December 2026;
- natural gas to taxable dealers (other cumulative conditions should be met, e.g. own consumption norm of the taxable trader is negligible, the main activity consists of reselling the gas purchased), until 31 December 2026;
- the supply of constructions, parts of constructions and plots of land for which VAT is applicable by law or by option;
- supply of investment gold, if taxable by option, and supplies of raw materials or semi-manufactured products of a purity of 325 thousandths or greater performed to taxable persons;
- supply of mobile phones, devices with integrated circuits, game consoles, PC tablets, laptops - for such supplies, the VAT reverse charge mechanism is applicable provided that the value of the invoice is greater than or equal to RON 22,500 (VAT excl.), until 31 December 2026;
- supply of cereal crops including oilseed and sugar beet, until 31 December 2026;
- transfers of allowances for greenhouse gas emissions and green certificates relating to greenhouse gas emissions, as defined in Directive 2003/87/CE, until 31 December 2026; and
- transfers of green certificates relating to energy production from renewable energy sources, as defined in Art(2)(h) of Law No. 220/2008, until 31 December 2026.

8.2 Joint and several liability

8.2.1 VAT group

All VAT members are jointly and severally liable for the individual VAT liabilities of the other group members for the period when they formed part of the group.

8.2.2 VAT representative

A VAT representative is, generally, a legal entity established and registered for VAT in Romania. It is jointly and severally liable with the taxpayer for its VAT liabilities, without any cap.

8.2.3 Imports

The person providing representation for the importer, the person that submits the import customs declaration or the VAT import declaration and the owner of goods may be held jointly and severally liable for the payment of VAT, together with the importer.

8.2.4 Bonded Warehouses

To apply the VAT bonded warehouse procedure, the bonded warehouse keeper and the carrier of goods from the bonded warehouse or the person in charge of the transport may be held jointly and severally liable for the payment of VAT, together with the person liable to pay it.

9. Recovery of input VAT

9.1 Non-recoverable input VAT

As a general rule, VAT related to goods and services not intended to be used for business purposes is non-recoverable. Also, the VAT related to the acquisition of alcoholic beverages and tobacco products is not recoverable, except when such goods are subject to re-sale or are used as part of supplies of services, 50% of the VAT related to purchases, intra-Community acquisitions, importation, rental and leasing of passenger cars, as well as for expenditures thereof (e.g. fuel, repairs, operating expenses) related to vehicles which have a maximum authorised total weight below 3,500 kg or with no more than 9 passenger seats including the driver's seat, owned or used by the taxable person and which are not used exclusively for business purposes is non-recoverable.

The Romanian VAT legislation provides certain exceptions, whereby, the entire VAT is deductible if certain vehicles (and related purchases of fuel, repairs, etc.) are exclusively used for special purposes, such as:

- exclusive use by/for sales agents;
- vehicles used for intervention; security and protection;
- courier services;
- passenger transport services;
- taxi; and
- driving schools, etc.

VAT on payments on account of another person (that are later recovered from the other person) cannot be deducted.

Romania requested a derogation from the VAT Directive to apply a special limitation. Starting with 1st of the month following the one in which the derogation is approved, a 50% limitation of VAT deduction right will be implemented for purchase, rental or lease of buildings/tenanted premises, regardless of their purpose, located in residential areas or in blocks of flats and of VAT on expenditure relating to such buildings/tenanted premises, where they are not used exclusively for business purposes.

9.2 Excess input VAT

Excess input VAT can be either carried forward to be offset against output VAT in future periods or claimed from the Romanian state, if the VAT credit amount exceeds RON 5,000 (approximately EUR 1,000).

According to the Romanian VAT law, the deduction right arises at the moment when VAT becomes chargeable. However, a taxable person can deduct the input VAT only if such purchases are used for certain operations (e.g. taxable transactions, VAT exempt transactions with deduction right, transfer of going concern).

Taxable persons who apply the VAT cash-accounting system or purchase goods/services from companies that apply this system, are entitled to deduct the input VAT when the value of the related invoice is actually paid to the supplier.

The Romanian Fiscal Code allows taxable persons registered for VAT purposes in Romania to deduct the input VAT through the VAT return within the statutory limitation period of 5 consecutive years (counting starts with the 1st of January of the year following the one in which the tax point occurred).

Moreover, please note that in order to exercise the VAT deduction right after more than 3 consecutive years, a notification should be submitted in this respect with the fiscal authorities through a registered letter, accompanied by copies of the relevant invoices or other documents justifying the deduction right.

Although in principle the legal term to refund the VAT is 45 days from the submission of the VAT refund claim, in practice this can take even up to one year. Furthermore, the specific legislation governing VAT refunds also provides for situations whereby the VAT audit period may be extended. Note that the 45 days term does not include the periods when the VAT audit is suspended (e.g. in case of cross checks initiated by the tax authorities at the level of the taxable person's commercial partners).

9.3 Adjustment periods

The Romanian Fiscal Code provides that under certain circumstances, a taxpayer may be required to adjust the initial VAT deduction for the acquisition of capital goods. Adjustments may be required if the proportional usage of the capital good for economic activities or for tax deductible transactions changes during the applicable 'VAT adjustment period' by more than a negligible amount.

The applicable VAT adjustment periods generally begin on 1 January of the year in which the goods are acquired, manufactured, received or first used, as applicable, and end after:

- 5 years for capital goods acquired or manufactured, other than the ones listed below; and
- 20 years for construction or acquisition of immovable assets and for the transformation or change of immovable assets, if the value of each transformation or modernization is at least 20% of the total value of the transformed or modernized assets.

The adjustment must be made each year under a pro rata apportionment of the total input VAT (i.e., 1/5 or 1/20 of the VAT on capital goods and immovable property, respectively) to reflect a change in the proportion of input VAT that is deductible under the allocation rules. Adjustments may result in either a VAT liability or credit in the year for which it is calculated.

Special rules apply to certain goods that are delivered to another party or which cease to exist.

According to the Romanian Fiscal Code, taxpayers must retain a record of capital goods subject to adjustment of the input VAT, which allows the control of the deductible tax and of the adjustments made. This record must be kept for a period starting at the time when the tax related to the acquisition of the capital goods becomes chargeable and ending five years after the expiry of the adjustment period. Other records, documents and journals on capital goods should be kept for the same period.

9.4 VAT refunds to EU taxable persons

In order to refund VAT from Romania, a non-resident EU taxable person should submit the refund claim on the electronic portal made available by the tax authorities of the EU Member State where it is established. The claim can be submitted until 30 September of the calendar year following the period for which the claim is made.

If the claim refers to a period of at least 3 months but not more than one calendar year, the minimum amount claimed for refund should be the RON equivalent of EUR 400 (approximately RON 2,000). Separately, if the claim refers to a calendar year or to the remainder of a calendar year, the minimum amount claimed for refund should be the RON equivalent of EUR 50 (approximately RON 250). If the individual taxable amount of an invoice exceeds EUR 1,000 or EUR 250 - in case of fuel - the applicant is required to provide by electronic means additional information (i.e. copy of related invoices or import documents).

The time limit for the Romanian tax authorities to issue a decision with respect to the VAT refund claim, is generally within 4 months after receipt of the claim. However, this period can be extended to 6 or 8 months after receipt of the claim where additional information is required. If the refund claim is approved, the VAT should be refunded within 10 working days from the expiry of the deadlines previously mentioned.

If the VAT refund claim is rejected, the non-resident has the possibility to file an appeal against the decision issued by the Romanian tax authorities. According to the relevant national law, the appeal must be submitted within 45 days since the fiscal administrative decision was communicated.

Furthermore, the VAT to be refunded will bear the special deduction limitations provided by the Romanian VAT legislation (e.g. 50% in case of certain vehicles and related expenses such as fuel, repairs), as well as the general deduction limitations (e.g. pro-rata in case of mixed taxable persons).

- Under the Romanian Fiscal Code, invoices should contain the following information:
 - a sequential number, based on one or more series, which uniquely identifies the invoice;
 - the date of issuance of the invoice;
 - the date on which the goods/services were supplied, or the date when an advance payment was made if such date is prior to the invoice's issuance date;
 - name, address and the VAT ID number of the supplier of goods/services;
 - name and address of the supplier which is not established in Romania and has appointed a fiscal representative in Romania, as well as the name, address and VAT identification number of the fiscal representative;
 - name, address and VAT (identification) number of the customer;
 - name and address of the customer who is not established in Romania and has appointed a fiscal representative in Romania, as well as the name, address and VAT ID number of the fiscal representative in Romania;
 - description and quantity of the goods/services supplied;
 - the taxable amount for goods/services supplied or, as appropriate, the advance payments already credited, for each VAT rate, exemption or non-taxable operation, the unit price, exclusive of VAT, as well as any discounts not included in the unit price;
 - the applicable VAT rate and the amount of output VAT expressed in national currency, depending on each VAT rate;
 - if the invoice is issued by the customer in the name and on behalf of the supplier, the mention "self-billing" (Romanian language: "autofactura");
 - if a VAT exemption is applied, a reference to the relevant provision of the Romanian Fiscal Code or of the EU VAT Directive or any other reference which shows that the supply of goods/services is subject to a VAT exemption;
 - the indication for the application of a zero rate or reverse charge, for instance:
 - intra-Community supply: "livrare intracomunitara art.294 paragraph (2), letter a"
 - export supply: "export"
 - B2B service (reverse charge): "taxare inversa";
 - if special regimes are applied, the invoice should include specific references, such as, margin scheme – travel agents (Romanian language: "regimul marjei – agentii de turism"), margin scheme – second –

10.1 Invoices

10. Administrative obligations

- 9.5 VAT refunds to non-EU taxable persons
- The annual/interim limits and minimum values for submitting the claims, the general eligibility conditions and deductibility limitations, as well as the periods mentioned in paragraph 9.4 above are generally applicable in this case as well.
- Additionally, in order for a non-EU taxable person to obtain a refund of VAT from Romania, reciprocity is required. Until now, Romania has concluded reciprocity treaties with the UK, Serbia, Norway, Turkey and Switzerland.
- Furthermore, non-EU claimants must appoint a representative in Romania for the refund. The Romanian representative is jointly and severally liable with the applicant for the rights and obligations arising from the VAT refund claim.
- The fiscal representative must fulfil on behalf of the non-EU taxable person the following requirements:
- to submit with the tax authorities the authorization whereby it is assigned the VAT statements;
 - to provide documents showing that the claimant is engaged in an economic activity which would confer the quality of "taxable person from a VAT perspective" according to the Romanian VAT legislation;
 - to submit an affidavit stating that the claimant has not performed any supplies of goods or services taking place in Romania during the VAT refund period, except for services such as transportation or other supplies for which the customer is liable to pay VAT.

As a general rule, self-invoices need to be prepared by the customer of transactions subject to reverse charge (except domestic reverse charge), in the absence of an invoice issued by their suppliers by the 15th day of the

10.1.4 Self-billing

In contracts between parties, it should be noted which exchange rate will be used for settlement purposes.

currency.

If the exchange rate published by the European Central Bank is used, the conversion between currencies, other than EUR, shall be made by reference to the Euro exchange rate applicable for converting each

The exchange rate used is valid on the date when the tax becomes chargeable. In case of operations subject to the VAT cash accounting system, the date when the chargeability of tax for the operation in question would have occurred had it not been subject to the VAT cash accounting system should be considered.

- the exchange rate used by the settlement bank.
 - the last exchange rate published by the Central European Bank; or
 - the last exchange rate communicated by the National Bank of Romania;
- expressed in a foreign currency, there are 3 options to obtain the exchange rate:

If the elements used to determine the taxable amount of a transaction, other than the import of goods, are

10.1.3 Conversion and exchange rate

According to the Romanian VAT law, values mentioned on an invoice can be expressed in any foreign currency as long as the total VAT amount is expressed also in RON.

10.1.2 Currency

issued.

In the case of supplies other than intra-Community supplies, a taxable person must issue an invoice for the amount of advances received in connection with a supply of goods or provision of services no later than the 15th day of the month following the month in the advance is received, unless the invoice has already been

chargeable event of the supply of goods/services occurred.

Invoices need to be issued at the latest by the 15th day of the month following the month in which the

10.1.1 Time limits

- issued for the same transaction.
 - a reference to other invoices or documents previously issued, when several invoices or documents are to application of the "cash-accounting system" (Romanian language: "TVA la incasare"), if the case; and where the VAT becomes chargeable at the time when the payment is received fully or partially, a reference the aircraft has flown for no more than 40 hours;
 - deemed new if the supply takes place within 3 months of the date of first entry into service or where according to the Romanian VAT law an aircraft which has a take-off weight exceeding 1,550 kg is for aircraft: the take-off weight, the date of the first entry into service and the number of flight hours - for no more than 100 hours;
 - supply takes place within 3 months of the date of first entry into service or where the vessel has sailed according to the Romanian VAT law a vessel exceeding 7.5 meters in length is deemed new if the for vessels: the length, the date of the first entry into service and the number of hours of sailing - than 6,000 kilometres;
 - within 6 months of the date of first entry into service or where the vehicle has travelled for no more exceeding 48 cm³ or the power of which exceeds 7.2kW is deemed new if the supply takes place of kilometres travelled - according to the Romanian VAT law a motorised land vehicle with a capacity for motorised land vehicles: the capacity/power, the date of the first entry into service and the number the above the particularities based on which a mean of transport is deemed new, namely:
 - in case of intra-Community supplies of new means of transport, the invoice must include in addition to respective regimes has been applied;
- (Romanian language: "regimul marfet-obiecte de colectie si antichitati"), indicating that one of the art (Romanian language: "regimul marfet-opera de arta"), margin scheme-collector's items and antiques hand goods (Romanian language: "regimul marfet - bunuri second-hand"), margin scheme - works of

The electronic invoice must be prepared in XML format according to specific technical requirements and must be uploaded via the RO e-Factura system managed by the Ministry of Finance and available via the virtual private space. After upload, the XML is subject to a technical validation. If validation is successful, the

through RO e-Factura system to the beneficiary).
or 15% of the total invoice amount (e.g. if the supplier issues an electronic invoice and does not transmit it has been breached, the applicable fines are ranging from RON 1,000 (EUR 200) to RON 10,000 (EUR 2,000) Fines are applicable for failing to comply with the RO e-Factura system and, depending on the obligation that

Only the invoice communicated via RO e-Factura system qualifies as invoice for VAT purposes.

legislation, for B2B transactions performed toward economic operators established in Romania.
no later than five calendar days from the legal deadline to issue the traditional invoice based on the VAT exclusively through the RO e-Factura system within five calendar days since the invoice was issued, but Economic operators established in Romania are obliged to issue and communicate electronic invoices

established in Romania and non-residents having a VAT registration number in Romania.
electronic invoicing is mandatory with effect from 1 January 2024. This covers both taxable persons For B2B supplies having the place of supply in Romania (except for exports and intra-community supplies)

(paragraph 10.1.5) which are not subject to electronic invoicing.
For B2C supplies, electronic invoicing is mandatory starting 1 January 2025, except for simplified invoices

For B2G supplies electronic invoicing is mandatory with effect from 1 July 2022.

10.1.7 Electronic invoicing

With respect to the medium of storage, invoices can be stored either on paper or electronically, irrespective of the original form in which they were issued.

after expiry of the VAT adjustment period.
Generally, invoices must be kept for 5 years starting from the date of closing of the financial year during which the documents have been issued. However, invoices related to capital goods must be kept for 5 years

10.1.6 Storage of invoices

It is possible to issue a simplified invoice if the amount of the invoice is not higher than EUR 100 or the invoice issued is a document or message which changes the initial invoice and a specific and unambiguous reference to the initial invoice is made with a specific mention of the details that are amended.

- person or a non-taxable legal person.
 - the VAT identification number or tax identification code of the customer, if the customer is a taxable
 - note, debit note or the other document treated as an invoice; and
 - specific, unambiguous reference to the initial invoice and the details that are being amended (on a credit
 - the VAT amount payable or the information needed to calculate it; and
 - type of goods or services supplied;
 - identity of the supplier of the goods and/or services;
 - date of issue;
- A simplified invoice must contain the following information:

10.1.5 Simplified invoice

invoices issued by the customer on behalf of the supplier.
and the customer must have concluded a prior written agreement regarding the self-billing procedure in order to stipulate the terms and conditions of the invoicing procedure and the acceptance procedure for the self-The customer may issue invoices in the name and on behalf of the supplier of goods/services. The supplier supply of goods).

month following the month when the transaction took place. The above-mentioned rule applies for intra-Community acquisitions as well. Additionally, a self-invoice needs to be issued for each self-supply of goods services and for each transfer of own goods to another Member State (i.e. for assimilated intra-Community

Ministry of Finances applies an electronic seal on the e-invoice and makes it available via the virtual private space to both the supplier and the customer. The electronic signature of the Ministry of Finances certifies that the e-invoice has been received in the RO e-Factura system.

10.2 Compliance

VAT return period

As a general rule, the fiscal period is the calendar month.

For taxable persons with an annual turnover below the threshold of EUR 100,000 (or equivalent) and not having carried out any intra-Community acquisitions of goods, the fiscal period is the calendar quarter.

The fiscal period changes to the calendar month as soon as the above-mentioned threshold is exceeded or when an intra-Community acquisition is made. Moreover, the tax authorities may approve, at the taxpayer's justified request, a fiscal period different than the month/quarter such as bi-annual or annual.

There are no differences for foreign taxable persons regarding the VAT return period.

Filing of VAT return and payment

VAT returns need to be submitted and VAT liabilities (if any) need to be paid by the 25th of the month following the fiscal period when the VAT becomes chargeable. Failure to comply with this obligation, is subject to late payment interest and fines.

Separately, note that Romania has also implemented the VAT cash-accounting system. It applies to Romanian taxable persons whose annual turnover does not exceed the threshold of RON 4,500,000 (approximately EUR 905,600). The application of the VAT cash-accounting system is optional. The VAT cash-accounting system is characterized by the fact that the VAT chargeability occurs when an invoice is fully/partially paid. Hence, the payment of the VAT to the tax authorities should be done by the 25th of the month following the fiscal period when the VAT becomes chargeable under the cash-accounting system.

Please find below the link to the official webpage to the National Authority for Fiscal Administration related to the filing of the VAT return:

- VAT return and related filing instructions: <https://tinyurl.com/mrx5zayx>
- Pdf format of the VAT return to be filed and submitted with the Romanian tax authorities: <https://tinyurl.com/bdzadlkkb>

Starting January 2018, the electronic filing of the VAT return is mandatory for all the categories of taxable persons.

European sales listing

Both intra-Community sales and intra-Community acquisitions of goods and services are mentioned in the European sales listing. Such statement should be submitted by the 25th of each month following the one in which the intra-Community transactions occur.

There is no threshold provided by the Romanian VAT legislation with respect to European sales/acquisitions to be reported in the European sales listing.

Please find below the link to the official webpage of the National Authority for Fiscal Administration related to the filing of the European sales listing: <https://tinyurl.com/2wr8ugav>

National informative statement

The informative statement regarding taxable supplies/acquisitions performed having the place of supply in Romania (i.e. "394 Statement") should be submitted for the same fiscal period as the VAT return (monthly, quarterly or bi-annually/annually in certain exceptional circumstances).

National informative statement template can be downloaded at the following link: <https://tinyurl.com/2vkk42br>

Tax assessment period

The right of the Romanian tax authorities to determine fiscal obligations is subject to a statute of limitation of 5 years, starting from the 1st of July of the year following the year when the fiscal debt arose. As an exception, the statute of limitation is extended to 10 years in cases of fraud or other criminal offences.

Due to COVID freezing of terms by approx. 9 months, the first open year is 2018 (for which the 5 years term ends in April 2025).

10.3 Penalties**Default penalties for late registration**

The tax authorities will issue a penalty ranging between RON 1,000 (approximately EUR 200) and RON 5,000 (approximately EUR 1,000) or between RON 500 (approximately EUR 100) and RON 1,000 (approximately EUR 200) depending on the taxpayer category.

Default penalties for not filing a VAT return or a European sales listing on time

Failure to submit the VAT return or the European sales listing within the legal deadline is subject to a fine ranging between RON 1,000 (approximately EUR 200) and RON 5,000 (approximately EUR 1,000).

Failure to file a correct and complete European sales listing within the legal deadline is sanctioned with a fine ranging between RON 500 (approximately EUR 100) and RON 1,500 (approximately EUR 300).

No fine should be charged in case the taxable person submits a corrected European sales listing before the legal deadline for submitting the next listing has passed and it was not noticed by the tax authorities before the correction was performed.

Default penalties for not paying VAT on time to the VAT authorities

Failure to pay VAT within the legal deadline leads to paying late payment interest, currently at 0.02% per day of delay and late payment penalties, currently at 0.01% per each day of delay.

Default penalties on VAT assessments when VAT is not reported correctly

Generally, errors occurring in VAT returns are corrected in the designated rows of the next VAT return. Payment of differences in VAT liabilities may, however, be done sooner in order to limit the period of assessment of related late payment interest and penalties.

In certain limited circumstances, taxable persons can voluntarily correct information in already filed VAT returns via a special procedure for correction of material errors coordinated with the tax authorities. However, even if VAT is voluntarily corrected or assessed by the tax authorities, corresponding interest and late payment penalties are still due.

10.4 Intrastat

Taxable persons registered for VAT purposes in Romania and trading goods with other EU Member States which exceed any of the annual Intrastat arrival/dispatches thresholds, are liable to submit Intrastat declarations. Please note that there are separate Intrastat declarations for arrivals and dispatches. The Intrastat declarations should be submitted by the 15th of the month following the reporting period.

Intrastat threshold

Under the Romanian law, Intrastat declarations must be filed on a monthly basis starting from the first month when the annual threshold for intra-Community acquisitions (i.e. RON 1,000,000, approximately EUR 200,000 + threshold valid for 2025) or for the intra-Community supplies (i.e. RON 1,000,000, approximately EUR 200,000 + threshold valid for 2025) are exceeded. Please note that distance sales or supply of goods with installation should also be reported in the Intrastat declaration. Each year the Intrastat thresholds are confirmed by means of an official Order.

Entering goods from distance sales in the Member State of destination should be reported in the Intrastat system if the Intrastat threshold established by national law has been exceeded in the Member State of destination. The declaration procedure is as follows:

- the dispatches will be reported by the supplier of the goods;
 - the arrivals, when the Intrastat threshold is exceeded, will be reported by the person responsible for the payment of the supplier's tax liabilities (tax representative) in the Member State of destination of the goods.
- Acquisitions by individual Romanian individuals in stores located in other Member States, as well as acquisitions made by individuals in other Member States in stores in Romania will not be reported in the Intrastat declaration.

Intrastat data to be reported

The information which needs to be reported in the Intrastat statements for dispatches from/to Romania is the following:

- date of departure/arrival;
- VAT ID of the customer
- CN 8-digit code of the goods;
- country of destination/origin;
- country of dispatch;
- quantity(kilos) and the additional units;
- invoice value and statistic value (denominated in RON);
- delivery terms (as per invoice);
- nature of transaction; and
- type of transport.

10.5 Additional compliance requirements

Virtual Private Space

From 1 March 2022, Romanian taxpayers (legal entities, individuals and other entities without legal personality) will be required to follow a specific procedure as to register within the Romanian Virtual Private Space, due to the fact that the communication with the Romanian tax authorities will be performed only by electronic means via VPS as of this date.

The Virtual Private Space is a system designed to facilitate the online communication of the Romanian Tax Authorities with the taxpayers – in brief, the Virtual Private Space will grant taxpayers easier access to their fiscal file and allow them to view/download electronically documents such as the taxpayer sheet, tax residency certificate, any fiscal-administrative documents issued by the Romanian Tax Authorities (i.e., decisions imposing tax liabilities etc.), as well as to submit any claims/applications/letters or any other documents.

The Virtual Private Space is also used by taxpayers for the purpose of fulfilling their reporting obligations with respect to E-Invoicing and E-Transport as the related systems can be accessed by the taxpayer through its VPS.

SAF-T

The Standard Audit File for Tax (SAF-T) represents an international standard used for the electronic transfer data from accounting and fiscal records, from taxpayers/payers to fiscal authorities and auditors.

It is submitted by taxpayers/payers through the Informative Statement (D406) via the digital public service "Online services – Submission of statements" or through website www.e-guvernare.ro. The model of Informative Statement requires the preparation of certain accounting ledgers (i.e. balance sheet, trade balance etc.) and reporting mandatory accounting information (i.e. stock related information, fixed assets etc.). D406 being a fully electronic statement, it must be signed using a qualified certificate issued by a certification service provider.

According with Order of the President of ANAF no. 1783/2021, the start date of reporting the Informative Statement (D406) is different, depending on the type of taxpayer (i.e. large, medium or small):

- 1 January 2022, for large taxpayers classified in this category on January 2022 and who were also part of this category in 2021;
- 1 July 2022, for large taxpayers classified in this category on January 2022 and who were not part of this category in 2021;

- 1 January 2023, for medium taxpayers classified in this category as of 31 December 2021;
 - 1 January 2025, for small taxpayers (including non-residents registered for VAT purposes under the direct procedure, and non-residents which are fiscally represented by large or medium taxpayers) classified in this category as of 31 December 2021.
- Taxpayers must submit the Informative Statement (D406) monthly or quarterly, as follows the applicable tax period for VAT. The penalties applied for incorrect/incomplete submission or failure to submit on time are:
- Between RON 1,000 (approximately EUR 200) and RON 5,000 (approximately EUR 1,000) for failure to submit on time;
 - Between RON 500 (approximately EUR 100) and RON 1,500 (approximately EUR 300) for incorrect/incomplete submission.
- B-Transport**
- Under Government Emergency Ordinance 41/2022, starting with 1 July 2022, taxpayers shall declare certain transports of high risk goods on Romanian territory:
- vegetables, plants, roots and tubers, food (NC codes 0701 to 0714);
 - edible fruits, peels of citrus fruits or melons (NC codes 0801 to 0814);
 - drinks, alcoholic liquids and vinegar (NC codes 2201 to 2208);
 - salt, sulphur, soils and stones; plaster, lime and cement (NC codes 2505 and 2517);
 - clothes and clothing accessories, knitted or crocheted (NC codes 6101 to 6117);
 - clothing and clothing accessories, other than knitted or crocheted (NC codes 6201 to 6212 and NC codes 6214 to 6217);
 - footwear, boots and similar articles; parts of these articles (NC codes 6401 to 6405); and
 - cast iron, iron and steel (NC codes 7213 and 7214).
- Subsequently, the following criteria must be taken into account regarding the obligation to declare the transport in the national system:
- category of road vehicle – vehicles which have a maximum authorized weight of at least 2.5 tons;
 - the weight of goods – with a total gross mass greater than 500 Kg; and
 - value of good – value greater than RON 10,000 (approximately EUR 2,000).
- If any of the above criteria is fulfilled within a transport, then the transport shall be declared via the RO e-Transport system.
- Starting from 1 January 2024, the Emergency Ordinance no. 115/2023 introduced a new obligation to report all international transports of goods fulfilling the conditions related to road vehicle category, goods weight and value. The obligation to declare in the RO E-Transport System the data related to the international road transport of goods is for the following users:
- the consignee entered in the customs import declaration, respectively the consignor entered in the customs export declaration, in the case of goods subject to import or export operations, as the case may be;
 - the beneficiary in Romania, in the case of intra-Community acquisitions of goods;
 - the supplier in Romania, in the case of intra-Community supplies of goods;
 - the warehouse keeper, in the case of goods subject to intra-Community transactions in transit, both for goods unloaded on the territory of Romania for storage or for the formation of a new consignment of one or more consignments of goods, and for goods loaded after storage or after the formation of a new consignment on the national territory of one or more consignments of goods;
 - the service provider in Romania, in the case of commercial operations representing a non-transfer both for goods unloaded on the territory of Romania for the provision of services and for the resulting goods re-dispatched to the trading partner's State;
 - the beneficiary in Romania, in the case of commercial operations constituting a non-transfer both for goods dispatched from Romania for the provision of services in a Member State of the European Union and for the resulting goods re-dispatched to Romania;
 - the customer in Romania, in the case of commercial transactions that are subject to the call-off stock regime if Romania is the Member State to which the goods have been transported both for goods unloaded in Romania and for goods delivered at a later stage after arrival to another taxable person in Romania or where the goods are returned to the Member State from which they were initially transported;

- the supplier in Romania, in the case of commercial transactions which are subject to the call-off stock regime where Romania is the Member State from which the goods are transported both for goods dispatched from Romania and where those goods are returned to Romania.
- The e-Transport system will contain information related to: the consignor and the beneficiary, the name, characteristics, quantities and value of goods transported, places of loading and unloading, details on the means of transport used, as well as a specific code generated by the e-Transport system (i.e., UTT code) which should be further on included in the transport documents for the high tax risk goods (the UTT code should be made available to the transport operator ahead of actually performing the transport on Romanian territory).
- In order to declare the aforementioned types of goods via e-Transport and to obtain the UTT code, the taxpayer should register with the system within the virtual private space.
- Legal entities not declaring the transport information or declaring other quantities than those covered by the transport of goods in the e-Transport system may be sanctioned with a fine ranging from RON 20,000 (approximately EUR 4,000) to RON 100,000 (approximately EUR 20,000) as well as seizure of goods not declared.
- E-Sigiliu
The National System Ro e-Sigiliu was established to ensure compliance with the traceability of road transport of goods with high customs/fiscal risk on the territory of Romania. The e-Sigiliu is an intelligent seal which registers and transmits status and position information to allow the competent authorities to monitor road transports of goods with high customs/fiscal risk.
- The use of the National System Ro e-Sigiliu will be based on a risk analysis performed by the competent authorities, who will decide whether the use of the intelligent seal is required, on a case by case basis.
- The driver's non-compliance with the obligation to ensure the integrity of the intelligent seal, constitutes a contravention, if it has not been committed in such conditions that it is considered, according to the criminal law, an infraction and is punishable by a fine from RON 20,000 to RON 50,000.
- E-VAT
In June 2024, the national RO e-VAT system and the pre-filled RO e-VAT return were implemented by the Emergency Ordinance no. 70/2024 and Emergency Ordinance no. 87/2024. The recently introduced compliance obligation comprises the following points:
 - the pre-filled VAT return will include data declared by taxpayers in various systems organized by the Ministry of Finance and ANAF, such as RO e-Invoice, RO e-Transport, RO e-Sigiliu, RO e-SAF-T, RO e-Electronic cash registers, the integrated customs system and other systems of the Ministry of Finance.
 - the date of implementation for the pre-filled RO e-VAT return is 1 August 2024 (which will include the operations carried out starting 1 July 2024);
 - the pre-filled VAT return will be sent by the tax authorities to taxpayers via the Virtual Private Space by the 5th of the month following the legal deadline for submitting the VAT return (e.g. by 5 September with respect to July reporting period as the submission deadline of the related VAT return is 25 August);
 - significant differences between the pre-filled VAT return and the VAT return submitted by taxpayers, defined as being of at least 20% and RON 5,000 (cumulatively), will be notified by Romanian tax authorities through Virtual Private Space. The Romanian tax authorities can also notify a taxpayer based on a risk analysis if the differences identified are not significant;
 - the taxpayers are obliged to reply within 20 days from the date of receipt of the notification of compliance, to justify the significant differences between the pre-completed VAT return and the VAT return submitted by them;
 - the compliance notification shall not be considered in determining the tax risk indicators until 1 July 2025. Additionally, up until the previously mentioned date, there are no applicable fines (i.e. ranging between RON 1,000 and RON 10,000, namely approx. EUR 200 and EUR 2,000) for the non-submission by the taxpayer of the response to the Notification of compliance RO e-VAT.

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The European Union (EU) VAT Directive has been implemented in Slovakia through the "Zákon č. 222/2004 zo 6. apríla 2004 o dani z pridanej hodnoty v znení neskorších predpisov" (hereafter referred to as the "VAT Law"). VAT is referred to in Slovakia as "daň z pridanej hodnoty" or "DPH."

The Slovak Tax Directory publishes explanatory guidelines on the tax administration's website (in Slovak only). However, Slovak courts have ruled that these guidelines are not legally binding if they conflict with EU legislation and the established case law of the Court of Justice of the EU (CJEU). At times, the guidelines may not reflect the latest developments in case law.

The complete list of guidelines can be found using the following links:

News from the legislation: <https://tinyurl.com/s8db>

Methodological instructions: <https://tinyurl.com/Lpf8x>

Methodological guidelines: <https://tinyurl.com/8b>

Minutes from the meetings of methodological committees of the Ministry of Finance: <https://tinyurl.com/5yww4awd>

Case law: <https://tinyurl.com/sfjbdc>

Significant penalties may be imposed for the late submission of VAT returns, underreporting VAT liabilities, etc. The tax authorities take a very strict and formalistic approach, especially as Slovakia does not require annual VAT returns. This makes it essential to follow the rules regarding tax liability and the correct periods for credit and debit notes very strictly. Correcting an error generally leads to additional VAT return submissions, which automatically results in fines if the VAT liability increases.

VAT registration procedures are not uniform across the EU, and Slovak VAT law also addresses delayed VAT registration cases. From 1 January 2025, the concept of delayed VAT registration has changed, where both established and non-established taxable persons become VAT payers retroactively. This has a significant positive impact on the delayed declaration of goods from another EU member state and a negative impact on the delayed declaration of the local supply of goods and services, where the VAT liability is not shifted to the purchaser.

Current VAT audits may not heavily emphasize abusive practices in a comparison with the past, but it remains crucial to consider the economic substance of transactions.

Even diligent entrepreneurs may inadvertently become part of transactions affected by VAT fraud committed by another party. It is essential for bonafide businesses to document actions in good faith and take reasonable steps to avoid participating in transactions flagged for VAT fraud. Implementing mechanisms to identify risk indicators and verify contractual partners' transparency is recommended for prudent entrepreneurs. So far, the tax authorities have not published a list of risk indicators in this respect. During a VAT audit, taxable persons must substantiate their claims with transparent and consistent evidence, as established by Slovak court precedents.

Engaging a VAT advisor at the beginning of a VAT audit is highly advisable, as this proactive approach can help effectively navigating the complexities involved.

VAT returns and other statements must be submitted electronically either by taxpayers or by a tax representative (domestic or foreign).

1.1 Registration threshold & SME Scheme for domestic taxable persons

- A taxable person who has a registered office, place of business or fixed establishment in Slovakia, or a residence in Slovakia, or usually stays in Slovakia, becomes a VAT payer:
 - on the first day of the calendar year following the calendar year in which the value of goods or services supplied by this person, excluding VAT, which are included in the turnover, exceeded EUR 50,000, unless provided otherwise.
 - An important change is that the turnover is calculated for the calendar year period and not for the twelve-month period. The financial administration plans to combat the avoidance of mandatory VAT registration in situations where, before exceeding the turnover for mandatory VAT registration, business activity is transferred to a new legal entity. Taxable persons who exclusively supply exempt insurance and financial services, exempt rental of real estate, and exempt supply of real estate, unless it is occasionally supplied real estate, may also have to VAT register;
 - by supplying goods or services, where the value of goods or services supplied by this person, excluding VAT, included in the turnover, in the current calendar year exceeds EUR 62,500,
 - It means that within a single day, a taxable person can carry out taxable transactions in the position of a non-VAT payer and at the same time, by exceeding the turnover on that same day, and become a VAT payer;
 - on the day on which this person becomes the legal successor of a VAT payer who ceased to exist without liquidation;
 - on the day of acquisition of the enterprise or its part, if this person acquires tangible and intangible assets in Slovakia within the acquired enterprise of the VAT payer or part of the VAT payer's enterprise that forms a separate organizational unit.
 - In practice, there remains an issue with how to interpret the requirement for "a separate organizational unit" in light of the established case law of the Court of Justice of the European Union;
 - on the effective date of transformation in the case of a spin-off or on the effective date of transformation in the case of a spin-off according to the law valid in another EU member state or a contracting state of the European Economic Area Agreement or on the effective date of transformation in the case of a cross-border spin-off, if tangible or intangible assets of the VAT payer that were split by spin-off or cross-border spin-off, are transferred to this person in Slovakia;
 - on the day on which this person supplies a building, part of a building or construction land, if the turnover EUR 62,500 is to be exceeded;
 - on the day on which this person receives payment before supplying goods according to letter J). This also includes VAT registration in cases where the advance payment itself is lower than the required turnover but is related to the delivery of real estate, the price of which is higher than the required turnover;
 - on the day of delivery of goods with a place of delivery in Slovakia, if it is a taxable person who facilitates the supply of goods within the territory of the European Union made by a taxable person not established within the territory of the European Union to a person other than a taxable person through the use of an electronic interface, such as an electronic marketplace, electronic platform, electronic portal, or similar electronic means; or
 - by supplying goods or services, or acquiring goods in Slovakia from another EU member state, which are subject to VAT, carried out by a taxable person who has exclusively a fixed establishment Slovakia, unless it is a small business of a foreign person applying for VAT exemption.
- In general, a taxable person is required to submit a VAT registration application to the tax office within five working days from the day on which the decisive facts occurred.
- A taxable person who has a registered office or place of business in Slovakia, or if they do not have such a place but have a residence or usually stay in Slovakia, can also voluntarily apply for a VAT registration.
- According to the wording of the VAT Law, voluntary VAT registration is not possible for non-established taxable persons or for fixed establishments of foreign taxable persons. However, since this could be

considered unequal treatment compared to other types of taxable persons, it is expected that the next VAT amendment will allow voluntary VAT registration for such taxable persons as well.

In Slovakia, issues often arise when individuals or municipalities sell construction land as taxable persons. Despite CJEU case law, the Slovak tax administration takes a conservative approach to this matter.

For VAT purposes, a fixed establishment refers to a permanent place of business equipped with the personnel and material resources necessary to conduct business. In some specific cases, VAT registering the fixed establishment of a foreign taxable person for VAT purposes in Slovakia can be challenging. The most common basis for rejecting such a registration request is the perceived lack of sufficient permanence. Tax authority employees may physically inspect the fixed establishment's premises to confirm whether continuous interaction between human and material resources exists. The criteria for consideration can also include whether the employees of the fixed establishment are involved in concluding contracts with third parties, or whether fundamental decisions are made in the fixed establishment. However, it should be noted that in practice, individual tax authorities may take different positions. The primary reason for VAT registering a fixed establishment in Slovakia is that it reclassifies a foreign person's status from a non-established to an established taxable person. While a non-established taxable person can only deduct VAT through a VAT return under certain conditions, Slovakia's preference is for VAT refunds. Conversely, an established taxable person is permitted to deduct VAT only through a VAT return.

Upon becoming a VAT registered person, businesses must communicate the details of a bank account (foreign or local) used in connection with their economic activity in Slovakia, to which tax authorities may transfer any VAT refunds. Reporting a bank account is important also with regard to the joint responsibility of the buyer for the VAT unpaid by the supplier if the buyer paid to the supplier's bank account, which is not listed in the list of bank accounts published by the tax administration.

1.2 VAT registration and SME Scheme for foreign taxable persons

There is no registration threshold for foreign taxable persons who need to register for VAT purposes in Slovakia.

A taxable person who does not have a registered office, place of business, fixed establishment, residence, or usually does not stay in Slovakia, becomes a VAT payer:

- by supplying goods or services that are subject to VAT, except for exceptions;
- by receiving payment before supplying goods or services as above; or
- by acquiring goods in Slovakia from another EU Member State that are subject to VAT, unless it is a small business of a foreign person applying for VAT exemption, and unless it is the acquisition of goods in Slovakia from another EU Member State, which is considered taxed according to the rules of triangular trade.

For the purpose of applying the special VAT exemption regime for small foreign businesses:

- a small foreign business is a taxable person who has a registered office, place of business, residence or usually stays in another EU member state, if:
 - in the current calendar year, the value of goods and services supplied by this person, excluding VAT, included in the annual turnover in Slovakia, does not exceed EUR 62,500, and at the same time in the previous calendar year, the value of goods and services supplied by this person, excluding VAT, included in the annual turnover in Slovakia, did not exceed EUR 50,000; and
 - in the current calendar year, the value of goods and services supplied by this person, excluding VAT, included in the annual turnover in the EU, does not exceed EUR 100,000, and at the same time in the previous calendar year, the value of goods and services supplied by this person, excluding VAT, included in the annual turnover in the EU, did not exceed EUR 100,000;
- the Member State of establishment is another EU Member State in which the small foreign business has a registered office, place of business, residence, or usually stays.

There are a few exceptions to this obligation, such as imports, local reverse charges, exempt transport services, etc.

A separate VIES registration is not required.

For VAT registration in Slovakia, foreign applicants must provide:

- an original or notarized extract from the applicant's commercial register, with an official Slovak translation certified by a Slovak-certified translator; and
- the completed VAT registration application in Slovak, signed by an authorized representative.

A foreign person is required to submit a VAT registration application to the Tax Office Bratislava within five working days from the day they became a VAT payer. The Tax Office Bratislava will register the VAT payer, assign him a VAT identification number, and issue a VAT registration decision no later than ten days from the date of receipt of the VAT registration application. The VAT identification number becomes valid on the day the foreign person became a VAT payer.

In Slovakia, special rules for VAT deduction through a VAT return apply to non-established taxable persons registered for VAT purposes. VAT registration does not automatically allow for VAT deduction through a VAT return. Non-established taxable persons may only deduct VAT through a VAT return if they:

- apply Slovak VAT on output supplies;
- deliver goods from Slovakia to another EU Member State (intra-Community supply); or
- export goods from Slovakia to outside the EU.

If none of these conditions are met, the non-established taxable person may not deduct VAT through a VAT return but can only request a VAT refund. Conversely, they can claim VAT deduction through a VAT return when acquiring goods in Slovakia from another EU Member State or applying domestic reverse charge mechanism.

In some cases, non-established taxable persons may seek VAT deduction through a VAT return, apply the reverse charge mechanism, and simultaneously request a VAT refund.

1.3 VAT grouping

Two or more taxable persons residing or having a fixed establishment in Slovakia and closely bound by financial, economic, and organizational links may choose to be treated as a single taxable person for VAT purposes.

VAT grouping is optional in Slovakia, applying only if the entities involved request it.

There are various motives for establishing a VAT group, though it does not always result in positive cash flow. Financially connected taxable persons are those where one entity controls others. Economic connections exist when principal activities are mutually dependent, share a common economic objective, or when one entity operates to benefit other members. Organizational connections occur when there is common management or control through shared participation.

The VAT group registration application must include details of the member appointed as the "group representative" for VAT issues, along with the same information required for domestic taxable persons (see Section 1.1). This includes the general application form for established entities and details on the number of group members.

VAT Attachment No. 2 applies to group member registration or any change in group registration. The following information is required:

- names of local tax authorities for each group member;
- VAT ID of each group member (if assigned in Slovakia);
- business name and address of each group member's seat, business location, or fixed establishment; and
- signature of the statutory representative(s) of each group member.

Only taxable persons can form a VAT group; holding companies with no economic activities for VAT

purposes are excluded. Non-established taxable persons cannot be in the VAT group unless they have a fixed establishment in Slovakia.

VAT group members share joint and several liability for the group's VAT obligations, which remains in force after group dissolution or a member's withdrawal.

Members of a VAT group operate under a single VAT number. A group representative files VAT reports on behalf of the group, while individual members cannot file separate VAT returns or other reports, such as European sales listings.

1.4 Fiscal representative

Slovakia has not implemented a typical concept of fiscal representation.

A foreign taxable person, whether from an EU or non-EU country, does not need to appoint a fiscal representative to register for VAT purposes in Slovakia. Foreign taxable persons can register directly for VAT. However, it is possible to appoint a tax representative in the following situations:

- importation of goods followed by an intra-Community supply;
- A non-resident taxable person who is not registered for VAT in Slovakia may appoint a tax representative for importing goods into Slovakia if the goods are dispatched or transported from a non-EU country and their transport ends in an EU Member State other than Slovakia. In this case, the importation must be followed by an intra-Community supply. The Slovak tax representative will report the subsequent intra-Community supply in their VAT return, avoiding the foreign taxable person's obligation to register for VAT in Slovakia. The tax representative must be a company or individual with a seat or residence in Slovakia.
- Customs authorities may require the importer to provide a guarantee equivalent to the potential import VAT before the goods are released for free circulation in Slovakia; and
- intra-Community acquisition followed by:
 - an intra-Community supply of goods;
 - an export of goods from the EU; or
 - distance sales within the EU.

A non-resident taxable person who is not registered for VAT in Slovakia may appoint a tax representative for an intra-Community acquisition if this acquisition is followed by an intra-Community supply of goods, an export of goods from the EU, or distance sales within the EU (e.g. via an electronic platform).

The tax representative is jointly and severally liable for the VAT liabilities of the non-resident taxable person.

2. Taxable transactions

2.1 Transfer of business

Slovakia allows for the VAT exemption on the transfer of a going concern, following Articles 19 and 29 of the VAT Directive. However, it is not always clear how to interpret the requirement of "a separate organizational unit" defined by the VAT Law in light of the established case law of the CJEU.

The no-supply rule does not apply if the transferee's business activities are exempt from VAT unless the transferor's activities are also exempt.

The transfer of goods and services is not considered the transfer of tangible or intangible assets to the acquiring company if the transfer occurs through a division or cross-border separation and the acquiring company is, or becomes, a taxpayer. In such cases, the acquiring company is regarded as the legal successor to the taxpayer, extending to the assets transferred.

While a business transfer meeting these conditions is not subject to VAT, there are implications. The entity acquiring the business assumes all VAT-related rights, obligations, claims, liabilities, and responsibilities, including any remaining adjustment periods for (im)movable tangible property.

2.2 Supplies free of charge

When a taxpayer supplies goods for personal use, provides goods for his employees' personal consumption, supplies goods free of charge, or supplies goods for non-business purposes while deducting VAT on the acquisition or production of those goods, such supplies are treated as supplies for consideration. However, free supplies of goods for business purposes valued at no more than EUR 17 (excluding VAT) per article and free business samples are not considered supplies for consideration.

Likewise, services provided free of charge for the personal consumption of the taxpayer, their employees, or for purposes other than business are considered supplies for consideration, except when the services are provided to a delegating institution or a recipient of volunteer activity under a separate act (Act No. 406/2011 Coll. on Volunteering as amended).

Slovakia has not established a specific VAT regime for "triggered investments." For instance, when an investor donates a children's playground to a municipality as a condition for obtaining a building permit, it is highly likely that VAT inspectors will assess such a transaction conservatively. If the developer knew in advance that they planned to donate the children's playground free of charge, the tax administrator will not recognize the VAT deduction related to the construction of the children's playground, and subsequently, the developer does not charge VAT on the output when donating the children's playground. Only if the developer did not know in advance about the plan to donate the children's playground free of charge, can they initially deduct the VAT and then apply VAT on the output. In the past, Slovak courts have ruled that in the case of applying a symbolic price, it is essentially a free supply.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

Goods imported from a non-EU country with transport ending in another EU Member State are exempt from VAT in Slovakia if the import is followed by an intra-Community supply exempt from VAT. To qualify for this exemption, the importer registered for VAT in Slovakia (or their representative) must provide the Slovak Customs authority with:

- his Slovak VAT identification number or the VAT ID number of his tax representative for the import exemption;
- the customer's VAT ID number from another EU Member State or the VAT ID of the EU Member State where the goods will be delivered; and
- proof of dispatch or transport from Slovakia to another EU Member State, such as a contract of carriage or a transport document.

Customs authorities may require a security deposit (cash or bank guarantee) equal to the import VAT. In practice, this guarantee is frequently required.

It should be noted that it is very questionable if the entire transportation of goods from a place outside the EU to the place of delivery in the other EU member state is arranged by a supplier from a third country who is not the importer of the goods to Slovakia, whether in such a case the importer of the goods meets the defining condition for intra-Community supply of goods, which is the arrangement of the transportation of goods from Slovakia to another EU member state on behalf of the importer of the goods.

Non-established entities have two options for applying the import VAT exemption in Slovakia: VAT registration of the importer or the appointment of a tax representative to manage the exemption.

2.3.2 Postponed accounting on importation

Slovakia is introducing postponed accounting for imports for selected VAT payers as follows:

- VAT payer, established in Slovakia and on whose behalf a customs declaration is filed, who has at the time of the tax liability arising upon import of goods to Slovakia (effective from 1 July 2025):
 - assigned VAT identification number (taxable person established in Slovakia or a VAT group); and
 - effective authorization granting the status of an approved economic operator;
- VAT payer, on whose behalf a customs declaration is filed within the framework of centralized customs

clearance, who has at the time of the tax liability arising upon import of goods to Slovakia (effective from

- assigned VAT identification number (taxable person established in Slovakia or a VAT group); and
- effective authorization granting the status of an approved economic operator.

Despite the fact that most importers will not meet the required conditions, the importers who do meet them ensure the vast majority of imports to Slovakia.

Importers of goods who do not meet the required conditions will, as before, be required to pay import VAT to the customs authorities.

In Slovakia, the condition for deducting import VAT is interpreted strictly based on ownership of the goods during importation.

3. Place of Supply

3.1 Consignment and call-off stock

When a VAT-registered taxable person in one EU Member State transfers goods to Slovakia to create a stock from which their customer can "call-off" (withdraw and pay for) the goods as needed, this arrangement is known as call-off stock. Under certain conditions, this arrangement allows the supplier to treat the transaction as an intra-Community supply to their customer, avoiding the need for a local supply registration.

Slovak VAT legislation aligns with the EU VAT Directive articles and the 2020 Quick Fixes Explanatory Notes. However, the status of a warehouse as a fixed establishment is less commonly assumed than suggested in the Explanatory Notes.

3.2 Installation supplies

The place of supply for goods associated with installation or assembly by the supplier, is the location where the goods are installed or assembled.

In Slovakia, there is no formal definition for "supply with installation or assembly." Construction work is generally considered a supply of services related to immovable property, except when it creates a new building, in which case it is regarded as a supply of goods. Both types of supplies may qualify for reverse charge VAT treatment when applicable conditions are met.

3.3 Distance sales threshold

A EUR 10,000 threshold applies to all EU-wide sales of TBE (telecommunications, broadcasting, and electronic) services and distance sales of goods. Once this threshold is exceeded, suppliers can either register directly in Slovakia or in their home country via the One Stop Shop (OSS) to account for Slovak VAT on distance sales to Slovakia.

A taxable person from another EU Member State may also opt for voluntary VAT registration in Slovakia before exceeding the threshold. This option remains valid for two calendar years following the election date. For the special scheme on distance sales of imported goods, a threshold of EUR 150 per consignment applies.

3.4 Simplified triangulation rules

- Under Slovak VAT law, simplified triangulation rules apply when:
- there are three parties involved (A, B, and C), and goods move directly from the initial supplier (A) to the final customer (C) across EU Member States;
- each party in the transaction is VAT-registered in a different EU Member State;

- repeated supplies: goods or services supplied on a recurring basis (e.g., energy, water, gas, or rental) are taxed at the latest by the last day of the payment period.
- partial supplies: goods or services supplied as part of an overall contract, such as construction milestones, are taxed as they are supplied;
- Slovakia has implemented a system for “partial” and “repeated” taxable supplies:

For transfers or assignments of immovable property, the supply date is the day the property is handed over. For use, provided this occurs before the title's entry into the real estate register. In construction contracts, the supply date is the day the construction is handed over.

For goods, VAT is generally chargeable when they are made available to the acquirer. For services, VAT becomes chargeable at the time the services are provided.

4.1 Principles

4. Taxable event & chargeability

Slovakia has not adopted any optional ‘effective use and enjoyment’ rules.

3.6 Effective use and enjoyment

- This acquisition threshold does not apply to the acquisition of goods;
- which are subject to excise duty, if according to a special regulation the obligation to pay excise duty in Slovakia arises for the acquirer;
- by a foreign person unless it is a small business of a foreign person applying for VAT exemption; or
- a taxable person who has exclusively a permanent establishment in Slovakia, unless it is a small business of a foreign person applying for VAT exemption.

For non-taxable legal persons and taxable persons not VAT registered in Slovakia, the threshold for acquiring goods from suppliers in another EU Member State is EUR 14,000.

3.5 Acquisition threshold

The simplification should also apply between (B) and (C) where four parties are involved in the chain transaction and (C) and (D) are established in Slovakia, if the goods are transported by (A) or (B) to Slovakia.

Even in situations where the final customer (C) operates under a Slovak VAT number provided the goods are transported to Slovakia and the intermediary (B) is not established in Slovakia, and thus, in accordance with the invoicing directive, the intermediary (B) issues an invoice based on the VAT rules valid in the member state of its establishment, considering the ‘Luxury Trust’ judgment, it is recommended that the invoice issued by the intermediary (B) includes the wording “reverse-charge”.

The term “dispatch or transport of goods on behalf of the person” is generally interpreted to imply a contractual relationship with the carrier or forwarding agent. During audits, tax auditors closely examine this aspect.

If B is established or VAT-registered in the dispatch of the goods Member State (1) and another EU Member State (2), B may apply simplification provided all conditions are met and transport is assigned to the first supply (A-B).

- the intermediary (B) is not established in the EU Member State of the final customer (C) and uses the same VAT identification number in transactions with both the supplier (A) and the customer (C);
- goods are dispatched or transported by either the supplier (A), the intermediary (B), or a third party on their behalf, from an EU Member State other than that of the intermediary's VAT ID;
- the final customer (C) uses a VAT ID from the EU Member State where the transport of the goods ends; and
- the final customer (C) is liable to pay VAT on the local supply of goods by (B) to (C).

For partial or repeated supplies for longer than 12 months:

- general rule: if the payment covers a supply period of more than 12 months, the supply is deemed made at the end of each 12-month period until fully supplied;
- VAT Directive services (Article 44): if subject to tax, these are deemed to be supplied on the last day of each calendar year if paid for a supply period that is longer than 12 months;
- utilities for leased properties: goods like electricity and gas are deemed supplied on the invoice date when billed separately from rent provided that it is an exactly measured quantity;
- vending machines: VAT liability arises on the day when cash is collected or turnover is determined;
- intra-Community supplies: VAT becomes chargeable on:
 - the 15th day of the month following supply; or
 - the invoice issue date, if invoiced before the 15th of the following month.

If goods have not left Slovakia by the VAT return deadline, the invoice date is ignored for chargeability purposes.

For intra-Community supplies of goods repeatedly performed for a period that is longer than a month, the goods are considered to be supplied at the end of each month until the supply ends.

Additional chargeability conditions:

- consignment contracts: tax liability for the consignee arises the same day as for the consignor;
- vending machines: VAT liability arises on the day when cash is collected or turnover is determined;
- intra-Community supplies: VAT becomes chargeable on:
 - the 15th day of the month following supply; or
 - the invoice issue date, if invoiced before the 15th of the following month.

If goods have not left Slovakia by the VAT return deadline, the invoice date is ignored for chargeability purposes.

If goods are dispatched or transported from Slovakia to a third country outside the EU, the supply date is considered the day the goods exit the European Union. This must be confirmed by a customs authority through a customs declaration or a simplified customs declaration.

When goods are supplied by a taxable person facilitating an intra-Community supply, a distance sale (via digital platforms), or a supply to another taxable person, the date the payment is received is regarded as the supply date and the date on which VAT becomes chargeable.

4.2 Advance payments

VAT may become chargeable before goods are made available to the acquirer or services are completed if the full or partial payment is received in advance. This rule does not apply to intra-Community supplies of goods or exports from the EU.

4.3 Cash accounting

A taxable person established and VAT registered in Slovakia can choose to apply the cash accounting scheme for VAT payments if:

- his turnover did not exceed EUR 100,000 in the previous calendar year, and he reasonably expects it will not exceed EUR 100,000 in the current year; and
- the taxable person is not undergoing bankruptcy or liquidation proceedings.

A taxable person meeting these criteria and opting for the cash accounting scheme must begin applying it from the start of the relevant tax period. Notification must be submitted in writing to the tax office by the end of the month in which the scheme begins.

This scheme applies to domestic supplies of goods and services subject to Slovak VAT, with output VAT becoming chargeable upon receipt of payment and input VAT upon payment made.

Invoices under this scheme must clearly state "tax is applied on the basis of payment receipt." Failure to include this statement results in VAT liability based on standard rules, and the taxpayer cannot correct the invoice by adding this wording afterward.

5. Taxable amount

5.1 Bad debt relief

The Slovak VAT Law permits a correction of the tax base and corresponding VAT for outstanding receivables. A taxpayer may correct the VAT charged on a supply if the customer does not fully or partially pay for goods or services supplied in Slovakia, and the receivable becomes irrecoverable.

The VAT Law specifically outlines conditions under which a receivable is considered irrecoverable, based on various debt recovery frameworks, including:

- 150 days past due: if 150 days have passed since the due date without payment, the receivable may be deemed irrecoverable if:
 - the receivable does not exceed EUR 1,000 (including VAT) and the taxpayer has taken steps to collect the payment;
 - the receivable exceeds EUR 1,000 (including VAT) and the taxpayer can demonstrate he has filed a claim in a court (not an arbitration court) to recover it; and
 - the receivable exceeds EUR 1,000 (including VAT) and the taxpayer shows it is being pursued through debt enforcement proceedings;
- bankruptcy or debt discharge proceedings: the receivable is involved in ongoing bankruptcy or debt discharge processes;
- winding-up of a legal entity: the entity responsible for the debt has been dissolved without a legal successor;
- debtor's death: the customer or debtor has passed away; and
- termination of restructuring proceedings: a resolution terminating restructuring proceedings is published, and the receivable is not registered in the proceedings.

In each case, the VAT payer must demonstrate that he took actions to collect the receivable.

The debtor must repay deducted VAT on unpaid receivables once 100 days have passed since the due date.

5.2 Cash discounts

Consider an example invoice:

Supply of goods	EUR 1,000
23% VAT	EUR 230
Total to be paid	EUR 1,230

If payment is made within 14 days, a 2% cash discount may be applied.

If payment is received within 14 days, the Slovak VAT Law allows for a reduction in the taxable basis to reflect a price reduction or discount for early payment. According to Slovak interpretation, if early payment occurs on the day of supply, the original invoice should show a taxable basis already reduced by the discount amount.

In cases where the early payment is made after the supply date, a credit invoice may be required to reflect the discount. If a credit invoice is not issued, Article 69 (3) of the VAT Act specifies that any person who declares VAT on an invoice or other sales document is liable for the VAT stated. Consequently, the supplier may be required to settle the entire VAT amount declared on the original invoice.

A supplier registered for VAT in Slovakia is not required to issue a credit invoice if a discount is applied after the tax obligation to another VAT-registered payer in Slovakia has arisen, as long as both parties have agreed to this arrangement in writing.

5.3 Open Market Value

When goods or services are supplied to individuals closely related to the taxpayer, and the consideration is lower than the open market value, the taxable amount is adjusted to the open market value if the recipient is either not a taxpayer or is a taxpayer without full deduction rights for those goods or services.

The term "open market value" refers to the price the recipient would have to pay to an independent supplier within the country, at the same marketing stage, under fair competition conditions.

If no comparable supply can be identified, "open market value" is determined as follows: (a) For goods, it is the amount not less than the purchase price of similar goods, or if no purchase price exists, the production cost at the time of supply. (b) For services, it is the amount not less than the cost of providing the service.

5.4 Returnable packaging

The tax liability for returnable packaging supplied along with goods, arises for the taxpayer who first markets these returnable packages with goods in Slovakia. This liability is calculated on the last day of the calendar year based on the difference between the total number of returnable packages first marketed by the taxpayer and the total number of such packages returned from the market within that year. If this difference is negative, the tax amount should be recorded with a minus (-) sign in the VAT records and VAT return.

If, during the calendar year, the taxpayer is the first to market certain returnable packages but also supplies other returnable packages not originally marketed by them in Slovakia, they cannot claim a negative difference in the VAT return for these packages.

The taxable amount is determined by multiplying the difference calculated by the deposit amount set for a returnable package in a separate regulation. This deposit amount includes the deposit rate applicable for reusable returnable packages as of the last day of the calendar year, minus any applicable tax.

6. VAT rates

6.1 Standard rate

The standard VAT rate in Slovakia is 23%.

6.2 Reduced rates

The reduced VAT rates in Slovakia are 19% and 5%.

19% rate applies to:

- goods and services listed in Annexes 7 point 1 and 7a point 1 of the VAT Law excluding imported goods under the iOSS special scheme (Import One Stop Shop). Key items include:
- essentially all goods intended for human consumption, except those explicitly listed in point 2 of Annex No. 7 (to which a VAT rate of 5% will apply):
 - animal products (meat products, cheeses, eggs, other dairy products, fish, other products of animal origin – e.g., tripe);
 - plant products (other fruits and vegetables, cereals, milling products – e.g., flour, other bakery products)
 - animal and vegetable fats and oils;
 - electricity (including related services, if it is a bundled supply of electricity); and
 - non-alcoholic beverages served within catering services, ready-made meals in supermarkets and so-called takeaways + deliveries.

5% rate applies to:

- goods and services listed in Annexes 7 points 2 and 3 and 7a point 2 of the VAT Law, excluding imported goods under the iOSS special scheme (Import One Stop Shop). Key items include:
- Annex 7 points 2 and 3:
 - pharmaceutical products;
 - certain diagnostic or laboratory reagents;
 - sanitary wares made of plastic;
 - health tools;
 - printed books, brochures, and other similar printed matter with advertisements not exceeding 50% of the content;

For these VAT exemptions, taxpayers must present official confirmation from the relevant government authority of another EU Member State, provided by the customer.

7.1.1 Intra-Community supplies

To prove the applicability of the VAT exemption for intra-Community supplies, the following documentation is required:

The supplier must gather a combination of documents, such as a copy of the sales invoice, contract, proof of payment for goods and transport, a delivery note, and, most critically, transport documents. These documents, or a suitable combination thereof, must confirm that the goods were transported to another EU Member State (i.e., they left Slovakia). The invoice must also reference the VAT exemption (e.g., "VAT-exempt intra-Community supply, Article 138 of the EU VAT Directive") and include the VAT identification numbers of both the supplier and the customer.

If a third party transports goods on behalf of the supplier or customer, transport documents (bills of lading/CMR) or equivalent documents must be signed by an authorized representative of the customer upon receipt. Slovak authorities apply a strict interpretation of "transport on behalf of." The tax authorities require evidence that the party responsible for the transport (the organizer) directly incurred the transport costs, typically shown by the forwarding agent or carrier issuing the transport invoice to the organizing party. Re-invoicing of transport costs alone is insufficient.

The Explanatory Notes on the Quick Fixes should also be considered.

In addition to the above, transport documents should ideally include:

- the identity of the person authorized to confirm receipt;
- the date and place of goods receipt; and
- identification details for the driver and vehicle.

Additional details are recommended to enhance the documentation in all cases.

These rules supplement Article 45a Implementing Regulation's transport presumptions and the Explanatory Notes on Quick Fixes.

7.1.2 Export of goods from the EU

To prove VAT exemption for exports, companies must have evidence demonstrating that goods have left the EU, including:

- transport documents (e.g., bills of lading/CMR);
- export declaration with exit confirmation; and
- other valid proofs under customs legislation.

Accurate identification of the party responsible for arranging transport from Slovakia to outside the EU is essential.

7.1.3 Warehousing

7.1.3.1 Customs warehouses, special warehouse and tax warehouse

Slovakia provides a VAT exemption for certain transactions related to the international trade of stored goods like crude oil, diesel, and petrol listed on international stock exchanges. This exemption applies to specific goods (e.g., crude oil and mineral oils) and related services in customs warehouses, special warehouses, or tax warehouses as defined by the VAT Law. The applicable goods are listed in Annex No. 9 of the VAT Law, categorized by the type of warehouse. Foreign persons exclusively conducting such transactions are not required to register for VAT in Slovakia.

Customs Warehouse and Special Warehouse (Goods Listed in Part I of Annex No. 9 – included below)

- VAT exemptions apply to the following transactions involving goods listed in Part I of Annex No. 9, applicable to both customs warehouses and special warehouses:

Part I.	
Numerical Codes of Common CustomsTariff	Description of goods
2710 12 41	Petroleum oils and oils obtained from bituminous minerals other than crude with an octane number (RON) of less than 95
2710 12 45	Petroleum oils and oils obtained from bituminous minerals other than crude with an octane number (RON) 95 or more but less than 98
2710 12 49	Petroleum oils and oils obtained from bituminous minerals other than crude with an octane number (RON) 98 or more
2710 19 43	Petroleum oils and oils obtained from bituminous minerals other than crude with a sulphur content not exceeding 0001 % y weight
2710 19 46	Petroleum oils and oils obtained from bituminous minerals other than crude with a sulphur content exceeding 0002 % y weight but not exceeding 0001 % y weight
2710 19 47	Petroleum oils and oils obtained from bituminous minerals other than crude with a sulphur content exceeding 0002 % y weight but not exceeding 01 % y weight
2710 19 48	Petroleum oils and oils obtained from bituminous minerals other than crude with a sulphur content exceeding 01 % y weight
2710 20 11	Petroleum oils and oils obtained from bituminous minerals other than crude with a sulphur content not exceeding 0001 % y weight

Annex no. 9 to the VAT Law List of goods on which the VAT exemption may apply (see above)

- The VAT exemption does not apply to goods intended for final use or consumption, or to services related to such goods.
- Tax Warehouse (Goods Listed in Part II of Annex No. 9 – included below)
 - Under 48e of the VAT Law, the following transactions are exempt from VAT when they involve goods listed in Part II of Annex No. 9 and are part of a tax warehousing arrangement within Slovakia:
 - importation of goods intended for a tax warehousing arrangement within Slovakia.
 - supply of goods intended for tax warehousing within Slovakia and related services.
 - supply of goods within the tax warehouse, along with related services.
 - intra-Community acquisition of goods intended for tax warehousing within Slovakia, along with related services.
 - Slovakia, provided these goods are under a customs warehousing procedure (exemptions do not apply if the warehousing procedure has ended);
 - supply of goods listed in Part I of Annex No. 9 within a public customs warehouse of type I in VAT Law, provided the procedure has not been terminated; and
 - supply of services related to goods placed under the customs warehousing or special warehousing regime, per above mentioned supplies.

2710 20 15	Petroleum oils and oils obtained from bituminous minerals other than crude with a sulphur content exceeding 0.001 % y weight but not exceeding 0.002 % y weight
2710 20 17	Petroleum oils and oils obtained from bituminous minerals other than crude with a sulphur content exceeding 0.002 % y weight but not exceeding 0.1 % y weight
2710 20 19	Petroleum oils and oils obtained from bituminous minerals other than crude with a sulphur content exceeding 0.1 % y weight

7.1.3.2 Bonded (customs) warehouse

Goods may be stored in a bonded warehouse in Slovakia. For goods arriving from a third country and directly placed under a bonded warehousing regime, customs duties and VAT are not immediately due. VAT and duties become payable when the goods are released from the warehouse for free circulation, with the customer declaring the goods responsible for VAT payment.

If goods leave the bonded warehouse and enter another customs regime, this release does not constitute an importation.

Please note that the supply of goods within a bonded (customs) warehouse is not exempt from VAT in Slovakia. In Case C-165/11 (Profitube), the Court of Justice of EU addressed whether Slovakia's decision not to exempt supplies of goods within a customs warehouse from VAT aligns with EU legislation. The Court ruled that such supplies may indeed be subject to VAT in EU Member States that have not opted to exempt these types of transactions.

7.2 Exemptions without the right of deduction

7.2.1 Exemptions in the public interest

Certain services in the public interest are exempt from VAT, including:

- hospital services;
- medical and paramedical care;
- cultural activities;
- ambulance services;
- undertaker services;
- educational services;
- social and cultural services; and
- some sports-related services.

Some of these exemptions apply only if the supplier is a non-profit organization and/or if no competitive distortion arises.

7.2.2 Other exemptions

Additional VAT exemptions apply to:

- financial and banking services;
- insurance services;
- collective investment fund management;
- certain games of chance;
- postal services;
- non-commercial activities of public radio and TV broadcasters;
- letting of immovable property;
- supply of immovable property; and
- services provided to members.

7.2.3 Option for taxation

Taxable persons may opt to tax certain supplies and leases of immovable property, under specific conditions.

Supply of Immovable Property

The supply of a building or part of a building, including the building land on which it stands, is exempt from VAT, except if the supply occurs within 5 years of the building's first approval for use or within 5 years of its initial use.

If the building or part of it undergoes reconstruction requiring a construction permit, and the cost of the reconstruction is at least 40% of the building's market value before the work started, the 5-year period for the VAT exemption restarts from the date of reconstruction.

Land supply is also exempt from VAT, except in the case of building land. If building land is supplied with a structure or part of a structure, the VAT treatment of the land follows the VAT regime applied to the structure. A taxpayer supplying a building or part of it that meets VAT exemption conditions may choose to waive the exemption, except in cases of housing construction, individual flats, or suites within residential buildings. For housing construction used for non-residential purposes, the taxpayer may opt out of the VAT exemption only for the portion not intended for housing.

A "suite in a residential building" refers to a room or set of rooms in a residential building that serves the same purpose as a flat.

Letting of Immovable Property

Leasing of immovable property is generally exempt, except for:

- accommodation services;
- parking spaces;
- permanently installed equipment and machinery; and
- safe rentals.

A taxable person who leases or sub-leases immovable property, or a part of it, to another taxable person may choose not to apply the VAT exemption to the lease. However, this option does not apply to the letting or sub-letting of a flat, detached house, or a suite in a residential building, or parts thereof, which remain VAT-exempt.

8. Liability

8.1 Reverse charges

Slovakia mandates several reverse charge rules in addition to the standard reverse charge mechanism for general B2B services as performed by non-resident suppliers, applicable to taxable persons with a Slovak VAT number. This mechanism aligns with Articles 44 and 196 of the EU VAT Directive. Additionally, a reverse charge applies to natural gas and electricity supplied by non-resident suppliers to "taxable dealers" in Slovakia.

8.1.1 General reverse charge mechanism – non-resident suppliers (Article 194 EU VAT Directive)

For supplies of goods and services with a place of supply in Slovakia, when provided by a non-established taxable person, the VAT liability is shifted to the customer if the customer is a taxable person established in Slovakia. It is not required for the customer to be registered for VAT purposes in Slovakia. Therefore, the domestic reverse charge applies only if the supplier is not established in Slovakia and the customer is a taxable person established in Slovakia. The reverse charge does not apply if the non-established supplier provides a domestic supply of goods or services to a non-taxable legal person established in Slovakia or to another non-established taxable person, even if that customer is VAT-registered in Slovakia.

The reverse charge applies even if the non-established supplier is VAT-registered in Slovakia. The supplier's invoice should indicate the application of the reverse charge.

Exceptions to the general reverse charge include:

9. Recovery of input VAT

9.1 Non-recoverable input VAT

Input VAT cannot be recovered in the following cases:

- supplies not used for business purposes;
- supplies acquired or imported for an exempt business activity without the right to deduct input VAT;
- restaurant and catering expenses;
- purchases related to entertainment activities;
- transitional items, such as suspension accounts or disbursements, and
- travel agencies cannot deduct VAT on supplies for travel services directly consumed by travellers.

For mixed-use capital goods (e.g., vehicles, real estate), the deductible VAT cannot exceed the professional use of the asset.

8.2 Joint and several liability

Businesses that form part of a VAT group in Slovakia are jointly and severally liable for the VAT debts of each member for the entire period that the entity was part of the VAT group.

A taxpayer receiving goods or services in Slovakia may be held liable for unpaid VAT from the previous stage, as indicated on an invoice, if the supplier failed to pay or became unable to pay the VAT. This liability applies if, at the time the VAT became chargeable, the taxpayer knew or, based on reasonable grounds, should or could have known that all or part of the VAT on the goods or services would not be paid.

- The taxpayer should reasonably suspect potential VAT non-payment if:
 - the consideration on the invoice is, without economic justification, unreasonably high or low (artificially inflated or reduced fees);
 - at the time the VAT became chargeable, a statutory body member or shareholder of the taxpayer receiving the goods or services was also part of the supplier's statutory body or a member (indicating a related-party transaction); and
 - the payment for the supply or part of it was made to a bank account other than the supplier's bank account published on the tax administration's website. VAT payers are required to declare the bank accounts used for business activities in Slovakia, which are publicly listed by the tax administration. Payments made to accounts not listed may indicate a risk of VAT non-payment.

8.1.2 Reverse charge mechanism – specific domestic rules (Article 199 Directive)

Domestic reverse charge rules apply to the following supplies of goods and/or services between two taxable persons, provided both are VAT-registered in Slovakia, even if not established there:

- supply of metal waste and scrap;
- transfer of greenhouse gas emission quotas;
- supply of construction (unless VAT-exempt, such as for constructions older than five years where the supplier opts to apply Slovak VAT, and where the construction plot includes a building);
- supply of immovable property as part of enforcement or bankruptcy procedures;
- goods provided as security by one taxable person to another in execution of that security;
- supply of specified agricultural products and metals (except when a simplified invoice is issued);
- supply of cellular phones and integrated circuits if the taxable basis on the invoice exceeds EUR 5,000;
- supply of investment gold; and
- supply of construction works, which may include services, building supply or parts, and goods with assembly or installation if such work constitutes construction.

- goods in Part II of Annex No. 9, which are not exempt in a tax warehouse (48c(2)(c) of the VAT Law).
- goods in Part I of Annex No. 9, which are not exempt in a special warehouse (48c(1)(b) of the VAT Law);
- goods in Part I of Annex No. 9, which are not exempt from VAT in a public customs warehouse of type I (48c(1)(a) of the VAT Act);
- distance sales of goods;

If the taxable amount on an invoice or import document is EUR 1,000 or more, or if the invoice concerns fuel totalling EUR 250 or more, the applicant must electronically submit a copy of the invoice or import document along with the refund application. In some cases, the tax authorities may request additional information.

The minimum claim period is 3 consecutive months within the same year, except for the year-end remainder. The maximum period is one calendar year. Claims must be submitted by 30 September of the year following the claim year.

EU-based taxable persons must submit VAT refund applications electronically through their home country's tax portal. The claim periods and minimum claim limits are as follows:

- annual limit (for a full calendar year or the remainder): EUR 50; and
- interim limit (for a period of at least 3 months): EUR 400.

9.4.1 VAT refund to EU taxable persons

9.4 VAT refund for foreigners

When the capital goods or services are transferred as a 'transfer of going concern', the capital goods and services adjustment period continues with the legal successor. The seller must provide the buyer with relevant details on input VAT deduction related to the property's acquisition.

- immovable property: 19 years following the year of first use.
- movable property and intangible property: 4 years following the year of first use.

2,400 euros, if they are long-term assets of the VAT payer).

The adjustment of deducted VAT applies to investment property (any goods with an acquisition cost excluding VAT greater than 1,700 euros, which have a separate technical-economic determination and are long-term assets of the VAT payer, and intangible assets with an acquisition cost excluding VAT greater than 2,400 euros, if they are long-term assets of the VAT payer).

9.3 Capital goods and services – adjustment periods

Tax audit: if the tax authorities initiate an audit within the refund period, they will refund the excess input VAT, as determined by the audit, within 10 days of completing the audit.

- the taxpayer had no outstanding tax, customs, or mandatory social insurance contributions exceeding EUR 1,000 in total for the 6 months before the month of excess input VAT creation.
- the taxpayer has been VAT-registered for at least the 12 months preceding the month of excess input VAT creation; and
- the taxpayer's VAT period is a calendar month;

return filing deadline if the following conditions are met:

Conditions for refund within 30 days: tax authorities will refund excess input VAT within 30 days after the tax

- if the taxpayer is not required to file a VAT return for the period immediately following the one in which the excess input VAT arose, the refund period is 30 days after the filing deadline for the return in which the excess was accounted for.

the tax return filing.

amount remains in the following period, the Slovak tax authorities will refund the excess within 30 days after is excess deductible VAT that cannot be offset, it is carried forward to the next VAT period. If a refundable

Offset and carry-forward: deductible VAT should first be offset with any VAT due in the VAT return. If there

9.2 Excess input VAT

Non-resident taxable persons registered for VAT in Slovakia, making supplies where the VAT liability is shifted to the recipient under a local reverse charge, generally cannot deduct input VAT through their VAT return. Input VAT may only be recoverable via a VAT refund claim. The Slovak tax administration currently favours VAT refunds based on reimbursement requests over offsetting VAT through a VAT return, particularly for non-EU taxable persons not VAT-registered outside the EU.

which may include original or copies of invoices or import documents relevant to the refund claim, even if the taxable amount is below these thresholds.

The tax authorities are required to issue a decision on the refund claim within 4 months of receiving it. If additional information is requested, this decision period may be extended to 6 or 8 months. If the refund is approved, it will be processed within 10 business days and paid to the bank account provided by the applicant. The time limit for filing an appeal is 15 days following the decision. If the appeal is unsuccessful, the claimant may proceed with legal action in a Slovakian court. Input VAT is not recoverable for:

- non-business-related supplies;
- exempt business activities without VAT deduction rights;
- restaurant and catering expenses;
- purchases for entertainment purposes; and
- transitional items (e.g., suspense accounts, disbursements).

A person requesting a VAT refund must notify the Slovak Tax Authority if they receive a credit note from their supplier indicating a price reduction after the VAT has already been refunded. In this case, the applicant is required to repay the relevant amount of VAT to the tax authority.

9.4.2 VAT refund to non-EU taxable persons

Slovakia requires reciprocity for VAT refunds to non-EU businesses, though the official list of reciprocity countries is not published. The model refund application form can be found in Annex 2 of the Slovakian VAT Law.

The minimum claim limit for a calendar year or its remainder is EUR 50, with an annual claim period maximum. The claim deadline is 30 June of the year following the year in which the VAT was paid. Non-EU businesses may also submit a semi-annual claim if the refundable VAT amount is EUR 1,000 or more. Claims should be sent to:

Danový úrad Bratislava

Sevcenkova 32

P.O.Box 154

850 00 Bratislava

Slovakia

The claim should include:

- the original invoice from the VAT-registered supplier in Slovakia, showing VAT in Euros, along with any related import documents; and
- a certificate from the tax authority in the claimant's non-EU country verifying VAT registration or a similar tax on consumption. This certificate must be dated within the last year and aligns with Annex 3 of the Slovakian VAT Law.

Slovak tax authorities are required to issue a decision on the refund within 6 months of receiving the complete application. If approved, the refund will be issued in Euros, either to a Slovak or foreign bank account specified by the claimant, with any international transfer fees borne by the claimant.

The appeal period for any refund decision is 15 days. If the appeal is unsuccessful, the claimant may seek recourse in Slovakian court.

Input VAT is non-recoverable in cases involving:

- goods and services not used for business purposes;
- purchases related to exempt activities without VAT deduction rights;
- restaurant and catering services;
- purchases for entertainment purposes; and
- transitional items (e.g., suspense accounts, disbursements).

Claimants must inform the Slovak Tax Authority if they receive a credit note reflecting a price reduction after VAT has been refunded, in which case they must repay the corresponding VAT amount.

10. Administrative obligations

10.1 Invoices

10.1.1 Invoice content

- A VAT invoice in Slovakia must include the following details:
- the supplier's name, address, and VAT identification number;
 - the customer's name, address, and VAT identification number;
 - a unique sequential invoice number;
 - the supply date of goods or services, or payment receipt date if different from the invoice date;
 - the invoice issue date;
 - quantity and type of goods supplied or services rendered;
 - taxable amount per rate, unit price excluding tax, and any reductions or discounts if not included in the unit price;
 - the applicable tax rate or VAT exemption, referencing the VAT Law, EU VAT Directive, or indicating "dodanie je oslobodené od dane";
 - total tax amount in Euros (with exceptions for special schemes);
 - self-billing reference ("vyfotovenie faktúry odberateľom") if applicable;
 - reverse charge reference ("prenesenie daňovej povinnosti") if applicable;
 - exemption reference for intra-Community or export supplies;
 - information about new means of transport, if relevant;
 - special scheme references, such as:
 - margin scheme for second-hand goods: "úprava zdaňovania príťažky – použitý tovar";
 - margin scheme for works of art: "úprava zdaňovania príťažky – umelécké diela";
 - margin scheme for collector's items and antiques: "úprava zdaňovania príťažky – zberateľské predmety a staroznámosti";
 - tour operator margin scheme: "úprava zdaňovania príťažky – cestovné kancelárie"; and
 - if a tax representative is used, their name, trade name, address, and tax ID.

Invoices may be issued in foreign languages; however, VAT auditors may require an official Slovak translation during audits.

10.1.2 Simplified invoice

- A simplified invoice does not need to include all details as listed above. It applies to:
- any document for goods or services where the total, including tax, does not exceed EUR 100. It need not include customer details or unit price;
 - receipts from electronic cash registers not exceeding EUR 400, and documents from automatic refuelling machines for goods paid by electronic means, not exceeding EUR 400. These documents do not need to include customer details or unit price;
 - a credit note, debit note, or similar document altering the original invoice. Corrective invoices must include the own invoice's sequential number, the original invoice's sequential number and the data that has been adjusted.

10.1.3 Time limits

Invoicing: An invoice must be issued within 15 days from the date the tax liability arises or, for intra-Community supplies, by the 15th day of the month following the month in which the supply took place. For services provided with a place of supply per 15(1) of the VAT Law in another EU Member State, the invoice should be issued by the 15th day of the end of the calendar month in which the services were supplied, or payment was received.

Credit and Debit Notes: a credit note or debit note must be issued within 15 days from the end of the calendar month in which the correction event for the taxable amount occurred.

10.1.4 Currency

Invoices can be issued in a foreign currency; however, the VAT amount must be expressed in Euros.

10.1.5 Conversion and exchange rate

When calculating VAT in Euros, foreign currency amounts must be converted using the reference exchange rate set by the European Central Bank or the National Bank of Slovakia on the day before the tax liability arises. Taxpayers may also use the exchange rate applied in customs regulations as of the tax obligation date. If chosen, this exchange rate must be declared to the tax office in writing and applied consistently throughout the calendar year.

10.1.6 Self-billing

Self-billing is permitted under Slovak VAT law if a written agreement between the supplier and customer outlines the conditions under which the customer can issue invoices on behalf of the supplier.

10.1.7 Storage of invoices

Invoices and customs declarations must be retained for 10 years. For invoices related to immovable property, the storage period is 20 years. Invoices can be archived electronically or in paper format, regardless of the original format.

10.1.8 Electronic invoicing

Taxable persons may issue electronic invoices in any format that ensures origin authenticity, content integrity, and readability. Client acceptance of electronic invoices is required, but silent acceptance is allowed.

10.2 VAT compliance

10.2.1 VAT return period

The standard VAT return period is a calendar month. Taxable persons with annual turnover below EUR 100,000 may opt for quarterly VAT returns.

10.2.2 Filing of VAT return and payment

A VAT return must be filed electronically, and the tax due paid within 25 days after the end of the tax period. Generally, foreign taxable persons are exempt from filing if no tax liability or deduction rights apply in the period.

10.2.3 European sales listing

A European sales listing must be submitted electronically within 25 days after the end of each tax period if relevant transactions are present.

Taxable persons can opt for quarterly submissions if their intra-Community supplies remain below EUR 50,000 in the quarter and the previous four quarters. However, if the quarterly threshold is exceeded, the taxpayer must file monthly listings for the current and future quarters of the respective year.

A European sales listing must include:

- the VAT identification number of the person submitting the listing;
- for goods: the customer's VAT ID and the total value of goods supplied to each customer;
- for own goods transfer: the VAT ID issued to the taxpayer in the EU Member State where dispatch concluded and the corresponding taxable value;
- for triangular transactions: the VAT ID of the final customer in the EU Member State where the dispatch concluded and the value of goods supplied;
- for services: the customer's VAT ID and the total service value supplied to each customer; and
- for call-off stock transfers: the VAT ID of the designated recipient, or if replaced, the VAT ID of the substitute.

10.2.4 National recapitulative statement

Taxable persons in Slovakia must submit VAT ledgers electronically, in addition to filing the VAT return and European sales listing. Failure to file these statements may result in cancellation of the VAT registration.

If the tax authorities find that a statement has not been submitted, or if they question its accuracy or completeness, they may request a new or corrected statement. The tax authorities may also block excess VAT refunds until a correct and complete statement is filed. In such cases, taxpayers have a 5-working-day deadline to submit the correction.

The national recapitulative statement covers domestic supplies, domestic purchases, and cross-border reverse charge purchases of goods and services, but it does not include intra-Community supplies of goods, imports, or exports.

Based on the official VAT ledger template provided by the Slovak Ministry of Finance, the following information must be reported for each output and input transaction according to different invoice categories:

Supplier-Issued Invoices

If the supplier must issue a VAT invoice and apply Slovakian VAT, excluding simplified invoices and those exempt from VAT (excluding intra-Community supplies, EU simplified triangulations, and exports), the following information is required:

- customer's VAT number;
- invoice sequential number;
- taxable point date (supply or payment receipt date);
- taxable amount in Euros;
- VAT amount in Euros;
- applied VAT rate; and
- correction code (applicable only to additional statements)

If the supplier issues an invoice where the customer must apply Slovak VAT through a local reverse charge mechanism (e.g., for construction work, specific agricultural goods, metals, mobile phones, or integrated circuits exceeding EUR 5,000):

- customer's VAT number;
- invoice sequential number;
- taxable point date;
- taxable basis in Euros;
- customs code (for certain agricultural products and metals; first four digits);
- specific goods details (mobile phones, integrated circuits);
- quantity and unit of measurement; and
- correction code (applicable only to additional statements).

Customer-Issued Invoices

If the customer applies Slovakian VAT via cross-border or local reverse charge (excluding goods imports), regardless of VAT deduction:

- supplier's VAT number;
- invoice or document sequential number;
- supply or payment receipt date;
- taxable basis in Euros;
- VAT amount in Euros;
- applied VAT rate;
- proportion of VAT deduction in Euros; and
- correction code (applicable only to additional statements).

If the supplier issued a VAT invoice and the customer deducted VAT:

- supplier's VAT number;
- invoice or document sequential number;
- taxable point date;
- taxable basis in Euros;
- VAT amount in Euros;

- applied VAT rate;
- VAT deduction proportion in Euros, and
- correction code (applicable only to additional statements).

For simplified VAT invoices with VAT deduction:

- total taxable bases for VAT in Euros;
- total VAT amount in Euros;
- total VAT deduction amount in Euros; and
- correction code (applicable only to additional statements).

If the total input VAT from simplified invoices in a period exceeds EUR 3,000, each invoice must be listed separately.

Corrective Invoices (Debit/Credit Notes)

When corrective invoices are issued:

- customer's VAT number;
- corrective invoice sequential number;
- original invoice sequential number;
- taxable basis difference in Euros;
- VAT difference in Euros;
- VAT rate applied;
- customs code (if applicable for agricultural products and metals);
- product details (for mobile phones, integrated circuits, if applicable);
- quantity difference and unit of measurement;
- tax base correction (e.g., for bad debt relief); and
- correction code (applicable only to additional statements).

For corrective invoices received:

- supplier's VAT number;
- corrective invoice sequential number;
- original invoice sequential number;
- taxable basis difference in Euros;
- VAT difference in Euros;
- VAT rate applied;
- deducted VAT difference in Euros;
- VAT deduction correction (for bad debt relief); and
- correction code (applicable only to additional statements).

If the supplier was obliged to apply Slovakian VAT – other cases than stated under the first point above.

For all cash register turnover:

- total turnover in Euros (recorded by all cash registers);
- total corrected turnover in Euros (basic VAT rate);
- total VAT (basic rate);
- total corrected turnover in Euros (reduced VAT rate);
- total VAT (reduced VAT rate); and
- correction code (applicable only to additional statements).

For turnover not recorded by a cash register (e.g., non-taxable person supplies, highway tolls, parking tickets):

- total corrected turnover in Euros (basic VAT rate);
- total VAT (basic rate);
- total corrected turnover in Euros (reduced VAT rate);
- total VAT (reduced VAT rate); and
- correction code (applicable only to additional statements).

Filings in prescribed electronic forms (e.g., tax returns, EU sales lists, national recapitulative statements) submitted by individuals or entities under a duty to communicate electronically (such as VAT taxpayers or advisors) are considered not received if delivered by any non-electronic means.

10.2.5 Tax assessment period

In Slovakia, the standard tax assessment period is 5 years. However, under specific conditions outlined in the Tax Administration Act, the tax authorities have the discretion to extend this assessment period to a maximum of 10 years.

10.2.6 Cash accounting scheme

Slovakia offers a Cash Accounting Scheme, where VAT liability and deduction are based on the payment date for supplied goods or services. If a taxpayer assigns a receivable, tax liability arises on the assignment date, with the tax base being the price (excluding VAT) for the goods or services.

- A taxpayer may use the Cash Accounting Scheme if:
- the previous year's turnover did not exceed EUR 100,000 and it is reasonably expected that it will not exceed this amount in the current year; and
 - no bankruptcy or liquidation proceedings have been initiated for the taxpayer.

This scheme is not widely used in practice, as dominant market players generally do not accept suppliers using it.

10.3 Penalties

10.3.1 Default penalties for a late registration

The penalty for late VAT registration ranges from EUR 60 to EUR 20,000.

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

The minimum penalty for late filing of a VAT return or European sales listing is EUR 30 per instance, and the maximum is EUR 16,000 per late filing. If the return or listing is filed only after a tax authority appeal, the maximum penalty doubles to EUR 32,000.

10.3.3 Default penalties for not paying VAT on time to the tax authorities

If VAT is not paid on time, interest is charged at four times the European Central Bank's base interest rate on the unpaid VAT, with a minimum interest rate of 15%. This interest accrues for a maximum of 4 years.

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

If VAT is incorrectly declared, the Slovak VAT authorities impose penalties, with escalating rates based on the timing of correction relative to an audit. The penalty structure is as follows:

- pre-audit submission: if an additional VAT return is submitted before a VAT audit begins, the penalty is set at the European Central Bank's base interest rate, with a minimum of 3% annually;
- within 15 days of audit start: if the correction occurs within 15 days after an audit has started, the penalty doubles to at least 7% annually; and
- after audit completion: if VAT adjustments are imposed by the authorities following an audit, the penalty triples to at least 10% annually.

The penalty accrues daily from the original VAT filing/payment deadline until the additional VAT return is filed or the post-audit deadline for filing a corrected VAT return. The total penalty may range between 1% and 100% of the difference in VAT.

Taxpayers are encouraged to file additional VAT returns within 15 days after a VAT audit begins to potentially reduce penalties. By voluntarily adjusting VAT liabilities at this stage, penalties are lower compared to those applied after a full audit.

10.3.5 Penalties with respect to the VAT ledger statement

The Slovak tax authority may impose substantial penalties for non-compliance with VAT obligations:

- up to EUR 10,000 for failures such as not filing the required statement, filing it late, submitting incomplete or incorrect information, or not correcting errors as requested; and
 - up to EUR 100,000 if the taxable person repeatedly fails to comply with these requirements.
- The penalty amount is determined based on the duration and complexity of the compliance failure.

10.4 Intrastat

In Slovakia, businesses must submit a separate Intrastat report to the Statistical Office of the Slovak Republic, 'Štatistický úrad Slovenskej republiky.'

10.4.1 Intrastat threshold

For general imports and exports of goods within the EU, the threshold is set at EUR 1,000,000. For entities in the agriculture and food sectors, the thresholds are EUR 200,000 for imports and EUR 400,000 for exports. Entities must track cumulative monthly values for imports and exports within the EU. Reporting obligations begin in the month where either import or export values exceed the threshold.

Distance sales transactions must also be included in the Intrastat declaration.

10.4.2 Intrastat data to be reported

The following data must be included in the Intrastat report:

- VAT identification number assigned to the reporting party;
- representative's VAT identification number (if applicable);
- reporting period;
- total number of items;
- sequential report number;
- sequential item number;
- description of goods – optional information;
- commodity's 8-digit Combined Nomenclature (CN) code;
- value of the goods;
- partner EU Member State of consignment on arrival and destination on dispatch);
- region of destination (intra-EU import) / Region of origin (intra-EU export) — optional information;
- country of origin;
- net weight in kilograms;
- quantity in supplementary units;
- nature of the transaction;
- delivery terms;
- mode of transport;
- VAT number of the partner in the member state of destination (intra-EU export);
- section A: Signature; and
- section B: Contact information.

Aggregation of transactions

If the data to be entered in the individual sections of the INTRASTAT-SK report, with the exception of section 7 Description of goods, section 9 Value of goods, section 13 Net weight, and section 14 Quantity in supplementary units, are identical, including section 18 VAT number of the partner in the member state of destination, the data related to several transactions can be summed up (aggregated) into one item in the report. Usually, the reporting unit uses aggregation if it prepares the data for the reports manually. If the data for the INTRASTAT-SK reports are taken from the information system of the reporting unit and the reports are generated automatically, aggregation of transactions is not necessary.

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The European Union (EU) VAT Directive is implemented in the Slovenian legislation through "Zakon o davku na dodano vrednost (ZDDV-1)" (hereafter referred to as the "VAT Act"). In Slovenia, VAT is referred to as "davček na dodano vrednost" or "DDV".

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

A taxable person does not have to register for VAT if in the previous calendar year he did not exceed the amount of 60,000 EUR in annual turnover on the territory of Slovenia and does not exceed this amount of turnover in the current calendar year (Article 94(1) of the VAT Act).

If related persons perform a supply of goods of the same type or a supply of services of the same nature, the amount of taxable turnover which each related person achieves by himself will be (for the purposes of finding whether the threshold is exceeded or not) considered to be the total value of the supply by the related persons within a 12-month period. Related persons are the persons defined as related in corporate and personal income tax legislation.

The threshold includes the following transactions:

- the value of taxed supplies of goods and services;
- the value of transactions which are VAT exempt, but the taxable person has the right to deduct input VAT in relation to these transactions (e.g. transactions related to the export of goods, transactions exempt under diplomatic and consular arrangements); and
- the value of real estate transactions, certain financial transactions and insurance services, unless those transactions are considered as ancillary transactions.

Disposals of tangible and intangible assets are not included in the definition of the taxable transactions.

Even though VAT registration for the mentioned small businesses is not obligatory, they can register for VAT voluntarily. However, in case of voluntary registration they must remain registered in the current and next calendar year.

The VAT registration application must be filed via the electronic portal of the Slovenian tax authorities called "eDavki" (eTaxes). The application cannot be filed on paper or personally at the competent tax office. On "eDavki" the taxable person will fill in the form DDV-P2 "claim for issuing VAT identification number" and file also a document proving that it performs or plans to perform taxable activities (e.g. contract, pre-contract, business plan, documents on purchases for the purposes of performing business activities, or any similar document).

Form DDV-P2 can be downloaded at: <https://linjurl.com/cwrmvpr7>

1.2 Registration threshold & SME Scheme for foreign taxable persons

The registration threshold (60,000 EUR, mentioned above) applies also for foreign taxable persons with its seat in the EU (SME Scheme since 1 January 1 2025). If the conditions to apply SME Scheme are fulfilled and a taxable person obtains the special EX number, he can benefit from the VAT exemption.

Taxable persons established in non-EU countries cannot apply the SME Scheme and are obliged to register.

The VAT registration application must be submitted at least 15 days before the first taxable transaction.

Foreign taxable persons are also obliged to apply for the VAT number via electronic portal "eDavki" or if they personally appear at special business registration points (SPOI), but first they need to acquire a Slovenian tax number, which means that they must be registered in the Slovenian tax register.

The representative is jointly and severally liable for VAT and penalties.

- must be registered for VAT in Slovenia.
- must have its company seat or habitual residence in Slovenia; and
- must conduct an economic activity in Slovenia;

Implementation of the VAT Act. The representative:

The following requirements for VAT representatives are laid down in Art. 4 of the Rules on the

As explained above, in case of non-EU countries the nomination of a tax representative is always mandatory whereas for taxable persons established in other EU Member States it is always optional.

However, these taxable persons are obliged to appoint a fiscal representative in case of importing goods into Slovenia according to the Customs procedure 42 without obtaining a Slovenian VAT number (i.e. exempt import followed by an intra-Community supply to another EU Member State).

A foreign taxable person from another EU Member State can obtain a direct VAT registration. It does not have to appoint a fiscal representative.

1.4 Fiscal representative

However, from 1 January 2026, two or more taxable persons established in Slovenia, who are financially, economically, and organizationally connected, could be considered as a single taxable person and act as a VAT group.

Currently, the VAT grouping is not possible in Slovenia.

1.3 VAT grouping

Taxable persons established outside the EU are obliged to appoint a fiscal representative in Slovenia, while taxable persons established in other EU Member States may choose to appoint one. As a general rule, it takes a couple of weeks to register for VAT purposes.

Further information can be found at: <https://tinyurl.com/27wn27pt>

In case the foreign taxable person authorizes another person to obtain the Slovenian tax and VAT number in his name, an adequate power of attorney prepared according to the Slovenian General Administrative Procedure Act (Zakon o splošnem upravnem postopku, ZUP) must also be filed. Furthermore, in this case the foreign taxable person must also sign the "Form for granting of external authorizations in eTaxes system", upon which the authorized person can file the VAT registration application in the name of the foreign legal entity via portal "eDavki".

When applying for a VAT number in Slovenia, foreign taxable persons need to file the following:

- a registration form DDV-P3;
- a certificate of status of being a VAT taxable person in its home country; and
- a contract, pre-contract or other document proving what activities the foreign legal entity will perform in Slovenia.

However, before the taxable person is able to obtain a Slovenian tax number, his representative has to obtain it first. The following documentation / information is needed:

- a registration form DR-02 (application for entry of the natural person into the tax register);
- a readable copy of passport/ID card; and
- tax number of the director(s) in residence;

Foreign taxable persons obtain a Slovenian tax number by providing the following documents by post or personally to the tax office which is authorized for the territory in Slovenia where they plan to perform activities:

- a registration form DR-04 (application for entry of the legal entity into the tax register);
- an extract from the court or trade register;
- confirmation about their bank account; and
- a contract, pre-contract or other document proving what activities the foreign legal entity will perform in Slovenia.

2. Taxable transactions

2.1 Transfer of business

In the event of a transfer of a business or a part thereof to another taxable person, whether for consideration or not or as a contribution to a company, no supply of goods is deemed to have taken place. The essential requirement is that a business or a part thereof is taken over by another taxable person who is acting as the legal successor of the transferor.

The transferee must continue with the taxable economic activity (i.e. not VAT exempt activity without the right of deduction) in order for the transfer of goods to be deemed as 'no supply'. A transfer of a business can take place either through the purchase by another existing taxable person or by a company that is yet to be established (i.e. in case of a merger). In the former case, the transferee must already be registered for VAT while in the latter case it is sufficient that the newly created company is registered for VAT purposes immediately after its registration in the Company Register.

2.2 Supplies free of charge

Slovenia implemented the provisions laid down in Articles 16 and 26 of the EU VAT Directive. With respect to Article 16, VAT will not be applied to the free provision of samples in reasonable amounts to buyer or future buyers and awarding gifts of small value carried out by the taxable person as part of his economic activity, under the condition that those gifts are given occasionally and not to the same persons. Gifts of small value are gifts with a value under 20 EUR (excluding VAT).

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

In Slovenia taxable persons can import goods exempt of VAT under the "Customs procedure 42". Importation performed according to the customs procedure 42, represents the importation of goods from a non-EU country to Slovenia, if imported goods are not destined for Slovenia but for another EU Member State. Customs procedure 42 can only be used if the further supply of the imported goods from Slovenia to another EU Member State can be considered as an intra-Community supply of goods exempt from VAT. Taxable persons do not need a special license to declare such import. However, they must - at the time of declaring the import - share the following information with the customs office:

- their VAT identification number issued by the Slovenian tax authorities or the VAT identification number of their fiscal representative, also issued by the Slovenian tax authorities;
- a VAT identification number of the customer of the goods from the other EU Member State (or the taxable person's own VAT identification number issued by the other EU Member State when the imported goods are transported from Slovenia to another EU Member State for the purposes of the taxable person); and
- a proof that the imported goods are destined to be transported or sent from Slovenia to another EU Member State (e.g. transport document CMR).

Taxable persons established outside the EU are obliged to appoint a fiscal representative in Slovenia in order to import the goods under Customs procedure 42 into Slovenia. Taxable persons established in the EU (however outside Slovenia) have in relation to such an import two possibilities:

- to register for VAT in Slovenia and use their own Slovenian VAT number when declaring the import; or to appoint a fiscal representative in Slovenia (VAT registration in Slovenia is not needed in this case); and
- to use the VAT number of the fiscal representative when declaring the import. The fiscal representative is obliged to file the VAT returns and European sales listings (recap statements) in the name of the foreign taxable person.

According to the explanation of the FA and referring to the ECJ case C-247/17 (Luxury Trust Automobile) the reference "reverse charge" is an obligatory part of the invoice, issued by middleman in the triangular

- the VAT on the subsequent supply performed by B to C is paid by C.
 - identified for VAT in Slovenia; and
 - the final customer C is a taxable person registered for VAT in Slovenia or a non-taxable legal person are intended for the customer of the subsequent supply (C);
 - the goods acquired in Slovenia are transported to Slovenia directly from another EU Member State and the goods are acquired for the purposes of the subsequent supply performed by B;
 - registered for VAT in another EU Member State;
 - the acquisition of the goods is performed by a taxable person (B) established outside Slovenia and Slovenia is the country of arrival of the goods;
 - C falls under the reverse charge mechanism if the following conditions were met (Art 48(2) of VAT Act: If the final customer / second acquirer (C) is registered for VAT in Slovenia, the intra-Community acquisition of goods that was carried out by the middleman (B) in Slovenia, shall be exempt from VAT and B's supply to C falls under the reverse charge mechanism if the following conditions were met (Art 48(2) of VAT Act:
- Simplified triangulation rules (ABC supplies) are applied in accordance with the EU Directive. Taxable persons A, B and C in the ABC transaction must be registered for VAT in different EU Member States (i.e. in Member States 1, 2 and 3). The goods must be transported directly from A in Member State 1 to C in Member State 3.

3.4 Simplified triangulation rules

Once the threshold is exceeded, the EU supplier may either register directly in Slovenia or in their country of establishment and account for Slovenian VAT due in the OSS return.

As of 1 July 2021, the distance selling threshold covers all European sales of telecommunication, broadcasting and electronically supplied services as well as distance sales of goods and has been set at EUR 10,000.

3.3 Distance sales

There is no specific legal definition of installation supplies in the VAT Act. However, if the foreign supplier does not register for VAT in Slovenia and does not charge Slovenian VAT on the invoice, the reverse charge applies.

In case the supplied goods are installed or assembled, with or without a trial run by the supplier or on his behalf, the place of such installation supply is the place where the goods are installed or assembled (Art 20(5) of the VAT Act).

3.2 Installation supply

Simplification rules for consignment and call-off stock in Slovenia are provided for in the VAT Act. The simplification regime for call-off stock arrangements is in line with the EU VAT Directive.

3.1 Consignment and call-off stock

3. Place of supply

Non-established but VAT registered taxable persons are also able to do so but only if they appoint a special fiscal representative for this purpose.

Purchasing goods from a country outside the EU to Slovenia is subject to import VAT. In general, import VAT is paid in the same way as a custom duty at the time of the importation (Customs procedure). However, if the person liable for import VAT is a VAT-registered person established in Slovenia, the import VAT may be declared (and deducted at the same time) through VAT return.

Postponed accounting on import

4. Chargeable event & chargeability of VAT

Directive.

Slovenia has not implemented the use and enjoyment rules as provided in Article 59a of the EU VAT

3.6 Effective use and enjoyment

The threshold for application of the special scheme for acquisitions of goods by taxable persons not entitled to deduct input tax and by non-taxable legal persons is EUR 10,000 for Slovenia.

3.5 Acquisition threshold

The triangulation simplification should be accepted even if the middleman is already VAT registered in Slovenia as country of destination.

The purpose of this reference is to inform the final recipient that he is liable to pay VAT. Without such a reference on the invoice, it is considered that the middleman has not opted for triangular simplification and the recipient of the supply is not determined as the person liable to pay VAT. This reference on the invoice therefore represents a substantive, not merely formal condition. The FA also wrote that the mentioned rules (obligatory statement "reverse charge") apply for the transactions, performed after their explanation was published (March 20, 2024).

4.2 Advance payments

In the case of a supply of goods or services, the VAT becomes, in principle, chargeable at the time the goods or services are supplied. For intracommunity supplies the VAT is due on the day the invoice is issued. If no invoice is issued or the invoice is issued too late, the VAT is due on the 15th of the month following the month in which the goods are supplied. This also applies for intra-Community acquisitions.

VAT can be chargeable before the time the goods are put at the disposal of the acquirer or the service is completed. This is the case when the price has been totally or partially received, before the goods are put at the disposal of the acquirer or the services are supplied. The VAT is due when the advance payment is received. The VAT does not become due at the time of receipt of the advance payment, when the payment is received for an intra-Community supply of goods or an intra-Community acquisition.

4.3 Continuous supplies

Supplies of services for which VAT is payable by the customer pursuant to Article 196 of the EU VAT Directive and which are supplied continuously over a period of more than one year and which do not give rise to statements of account or payments during that period, shall be regarded as being completed on expiry of each calendar year, until the supply of those services comes to an end.

4.4 Cash accounting

In certain cases, it is allowed to pay VAT to the Slovenian state on the basis of cash received during the respective VAT period as opposed to making payment on the basis of supplied goods and services during the period. The cash accounting regime is available to taxable persons whose taxable turnover did not exceed EUR 400,000 in the previous 12 months nor is expected to exceed this amount in the upcoming 12 months.

5. Taxable amount

5.1 Bad debt relief

According to Art 90 of EU VAT Directive or Art 39 of the VAT Act, if the order is cancelled, refunded or reduced in price after the supply has been made, the taxable amount is reduced accordingly. The taxable person may correct (reduce) the amount of VAT charged if he informs the customer in writing of the amount of VAT to which the customer is not entitled to deduct.

The taxable person may also adjust (reduce) the amount of VAT charged if, on the basis of a final court order, the amount of VAT has not been repaid or has not been repaid in full on the basis of a final court order that the bankruptcy proceedings have been closed or that the compulsory administration proceedings have been successfully closed. The same shall apply to a taxable person who obtains a final court order suspending enforcement proceedings or other document showing that he has not been repaid or has not been repaid in full in the completed enforcement proceedings, and to a taxable person who has not been repaid or has not been repaid in full because the debtor has been removed from the court register or other relevant registers or statutory records.

Where a taxable person subsequently receives payment or partial payment for a supply of goods or services in respect of which he has claimed an adjustment of the taxable amount, he shall be liable to pay VAT on the amount received.

Notwithstanding the above, the taxable person may adjust (reduce) the amount of VAT charged and unpaid on any recognised claims which he has declared in compulsory administration or bankruptcy proceedings. If the taxable person subsequently receives payment or partial payment for a supply of goods or services in respect of which he has claimed an adjustment of the taxable amount, he shall account for VAT on the amount received.

5.2 Cash discounts

Assume that the supplier sends the following invoice:

"Supply of goods	EUR 1,000
22% VAT	EUR 220
Total to be paid	EUR 1,220

If payment is received by us within the next 14 days, you can subtract 2% of the invoice as a cash discount".

Payment is indeed received within 14 days. There are no special rules or guidelines regarding cash discounts. Neither is there any established trade practice (usage) in that regard.

However, if the contract or a subsequent alteration of it, provides for a price reduction the general rule in Art. 39/2 of the VAT Act shall apply. According to this rule the supplier can only reduce the output VAT upon informing the customer that he should reduce the VAT deducted.

5.3 Open Market Value

In Slovenia, the option for Member States to use the 'open market value' as the taxable amount for specific transactions is implemented in case of related parties as stipulated in Art 94(5) of VAT Act. Related parties are persons who are defined as such in corporate and personal income tax legislation.

In line with Article 80 of the EU VAT Directive, Slovenia has implemented the following transactions for which 'the open market value' as the taxable amount must apply (Art 36.a of VAT Act):

- where the consideration is lower than the open market value and the recipient of the supply does not have a full right of deduction;

6. VAT rates

6.1 Standard rate

The standard VAT rate in Slovenia is 22%.

6.2 Reduced rate

The reduced VAT rate in Slovenia is 9.5% and applies, for example, to:

- the supply of food and beverages (except alcoholic beverages and beverages with added sugar, sweeteners or flavourings);
- hotel accommodation;
- passenger transport;
- medicines;
- admission fees for exhibitions, theatres, museums, visits to natural sites of interest, cinematographic and musical performances, circuses, fairs, amusement parks, zoos and similar cultural performances and sporting events;
- use of sporting facilities; and
- certain labour intensive services: hairdressers, renovation and repair of private apartments and houses, window cleaning and cleaning in private households, minor repairing of bicycles, shoes and leather goods, clothing and household linen.

6.3 Super-reduced rate

The 5% special reduced VAT rate applies to the supply (including on loan by libraries) of books, newspapers and periodicals either on physical means of support or supplied electronically or both (including brochures, leaflets and similar printed matter, children's picture, drawing or colouring books, music printed or in manuscript form, maps and hydrographic or similar charts), other than publications wholly or predominantly devoted to advertising and other than publications wholly or predominantly consisting of video content or audible music.

5.4 Returnable packaging

According to the Rules in the VAT Act, Art 7, the exchange of returnable packaging is not considered a supply of goods if the supplier of the goods in returnable packaging records the exchange of full packaging for empty packaging only for evidential purposes, in accordance with the customs of returning and taking back returnable packaging.

- for goods, the amount which is not lower than the purchase price of those or similar goods or if that price is unknown, the total amount of determined costs at the moment of supply; and
 - for services, the amount which is not lower than the total determined costs of supply of services borne by the taxable person.
- Open market value shall mean the total amount which the buyer or supplier should pay to the goods or service supplier on the home territory at the time of the supply of goods or services under the principle of non-disruption of market competition. If a comparable supply of goods or services cannot be determined, the open market value shall refer to:

- where the consideration is lower than the open market value and the supplier does not have a full right of deduction and the supply is subject to an exemption; and
- where the consideration is higher than the open market value and the supplier does not have a full right of deduction.

7. Exemptions

7.1 Exemptions with the right to deduction (zero rate)

The following transactions are zero-rated in Slovenia:

- intra-Community supplies of goods;
- transport services to and from the Azores and Madeira;
- international transport of passengers (except international road transport);
- export of goods and providing services directly connected with the export;
- services in the framework of inward processing on behalf of principals resident outside the EU;
- supply of goods and services under diplomatic and consular arrangements;
- services of intermediaries if part of export transactions or transactions carried out outside the EU;
- supply of goods to passengers residing outside the EU (as VAT refund);
- supply, chartering and repair of vessels and aircraft, provisioning and performance of services to meet the direct needs of vessels and aircraft;
- supply of gold to central banks;
- supply of goods under customs control and services performed on such goods; and
- supply of goods in tax warehouses and services performed on such goods.

7.1.1 Intra-Community supplies

Intra-Community supplies are VAT exempt, if the conditions as laid down in EU VAT Directive are met. To prove the transport, a taxable person may, besides the proofs mentioned in the Implementing Regulation EU no. 282/2011, provide also the following: invoice and other available evidence (e.g. proof of payment, purchase order, concluded supply contract, delivery note, packing list, acceptance certificate, etc.).

For the transfers of own goods also an invoice should be issued and reported accordingly.

Furthermore, the intra-Community supply must be declared in the monthly recapitulative statements.

7.1.2 Export supplies

The following export supplies are VAT exempt:

- the supply of goods dispatched or transported from Slovenia to a destination outside the EU by or on behalf of the supplier; and
- the supply of goods dispatched or transported from Slovenia to a destination outside the EU by or on behalf of a customer not established in Slovenia.

The taxable person proves export has occurred with a customs declaration: a received electronic message "export notification", which can also be replaced by a certificate of exit issued by the competent export office in accordance with customs regulations.

In the case where the goods are dispatched from Slovenia by the customer, in accordance with the EA explanation, any means of proof, such as documents showing that the goods are intended for export, are sufficient to prove export delivery.

7.2 Exemptions without right to deduction

Examples of exemptions without the right to deduct are financial and banking services, the supply of investment gold, insurance services, postal and telecommunications services, leasing or letting of immovable property for business purposes, the supply of immovable property and services of small businesses. Regarding the possibility to opt for taxation please refer to next paragraph.

7.2.1 Option for taxation

There is an option for taxation in respect of property-related transactions:

- the leasing or letting of immovable property;
- the supply of buildings or parts thereof, and of the land on which they stand unless the supply is

8. Liability

8.1 Reverse Charges

In Slovenia there are several obligatory reverse charge rules besides the reverse charge for general B2B services provided by non-resident suppliers to taxable persons and legal entities with a Slovenian VAT ID number established in Slovenia.

Once the reverse charge is applicable, a reference on the invoice must be stated ("reverse charge" or "obrnjena davčna obveznost").

VAT will be payable by the person releasing the goods from a warehouse into free circulation, while the rules extend this liability also to the holder of a Customs warehouse in case of breach of his obligations.

According to Article 59 of the VAT Act, tax warehouses are approved by the customs authority which is also in charge of control over them. There is, therefore, in fact no particular difference regarding the regime of tax warehouses and customs warehouses in Slovenia, since both types of warehouses are approved and supervised by the Customs authority and must meet the same conditions with regard to security.

According to Article 57(1) of the VAT Act, non-EU goods upon importation and certain EU goods about to be exported can be put in a Customs warehouse or a free zone. Therefore, VAT can be avoided or at least deferred for the duration of the storage of the goods under these arrangements. Services in connection with these goods are also exempt if they are performed within the warehouse.

7.3.2 Bonded (Customs) warehouse

According to Article 76(1)7 of the VAT Act, VAT will be payable by the person releasing the goods from a tax warehouse.

Such VAT exemption will also apply to the supply of goods within the tax warehouse as well as the services in connection with (the supply of) those goods. Upon the release of the goods from a tax warehouse VAT must be charged unless the transaction is exempt. The taxable amount corresponds to the value of the goods upon the last transaction plus the value of the services in relation to these goods.

Slovenia.

Generally, VAT is charged upon the importation, intra-Community acquisition or the supply of goods within Slovenia. However, this can be avoided or deferred by placing goods under a tax warehouse arrangement in

visibly marked and physically separated from other premises or spaces.

Implementation of the VAT Act: one or more related premises or spaces forming a technological unit,

- in case of other goods: a place defined as a tax warehouse according to Article 86 of the Rules on the
 - in case of mineral oils: a place defined as an excise warehouse according to the Excise Duty Act; and
- term "tax warehouse" means (Art 58 of VAT Act):
- In Slovenia, only goods which are specially determined in the VAT Act can be stored in tax warehouses. The

7.3.1 VAT warehouse

7.3 Warehousing

In order to be able to opt for taxation, both parties have to conclude a written agreement about that before the supply is performed. It is not possible to opt to tax financial services.

- the supply of land other than building land.
- 2-year period following the commencement of the first use or occupation; and
- performed before the buildings or parts thereof are first occupied or used or prior to the expiration of the

Slovenia has not implemented joint and several liability for e.g. managing directors or board members. There is a joint and several liability for VAT grouping, as according to the provisions, members of a VAT group exercise their rights and obligations as a single taxable person.

If the tax authority establishes that the supply of goods or services is an integral part of transactions the purpose of which is to avoid the payment of VAT, it shall inform the taxable person participating in these transactions of the existence of these circumstances and of his joint and several liability for the payment of VAT if he continues to participate in such transactions. From the date of receipt of the notification from the tax authority, the taxable person shall be deemed to have known that by making the purchase he was participating in transactions the purpose of which is to avoid the payment of VAT.

According to the VAT Act, Art 76.b, every taxable person identified for VAT purposes in Slovenia is jointly and severally liable for the payment of VAT if it follows from objective circumstances that he knew or should have known that he was participating in transactions the purpose of which is to avoid the payment of VAT.

8.2 Joint and several liability

The supplier must also show on the invoice the (informative) VAT amount and the statement that this VAT is the liability of the customer according to Article 76.a of Slovenian VAT Act. In case of construction services, Article 138 of the Rules provides that the invoice must also state and identify the immovable property which these services refer to.

As mentioned, the domestic reverse charge applies only in cases where both recipient and the supplier are taxable persons registered for VAT purposes in Slovenia.

The tax authorities have issued several official notices regarding the above-mentioned domestic rules. For example, the notices regarding the definition of construction services, specifying that there is a single non-separable transaction when other services are a necessary part of a particular transaction involving construction services and regarding the timing of the taxable event in the case of construction services which are confirmed after they have been performed.

The following supplies performed by a taxable person registered for VAT in Slovenia to a taxable person also registered for VAT in Slovenia are subject to the reverse charge:

- construction services (including repair, cleaning, maintenance, reconstruction, demolition in connection with immovable property) as well as supply of personnel involved in construction services;
- supply of immovable property if opted for taxation;
- supply of metal waste, scrap, used material and connected services; and
- transfer of greenhouse gas emission rights (valid until 31 December 2026)

8.1.2 Reverse charge mechanism – specific domestic rules (Article 199 EU VAT Directive)

This applies for both the supply of goods and services (such as the admission to an event held in Slovenia for taxable persons).

- if the non-resident supplier is registered for VAT purposes in Slovenia, the reverse charge does not apply; be VAT registered; and
 - the non-resident supplier is not registered for VAT in Slovenia but the customer is a taxable person registered for VAT purposes in Slovenia. Customer does not need to be established in Slovenia but must
- The reverse charge applies if:

8.1.1 General reverse charge mechanism – non-resident suppliers (Article 194 EU VAT Directive)

9. Recovery of input VAT

9.1 Non-recoverable input VAT

Taxable persons are not allowed to deduct input VAT:

- on yachts and boats intended for sport and recreation, on aircraft and on passenger cars and motorcycles, also on fuels, lubricants, spare parts and services which are closely linked thereto (except when intended for passenger transport, leasing, renting and resale, taxi, drivers' training programs, etc., and except duties);
- on entertainment expenses where entertainment expenses include only the costs of entertainment and amusement during business or social contacts;
- on meal expenses (including drinks); and
- accommodation expenses.

9.2 Excess input VAT

In case a taxable person has excess input VAT in a certain tax period, he has two possibilities:

- to request a refund where the excess input VAT is refunded within 21 days after the VAT return in which the request was made and was filed to the tax authorities; and
- to transfer it to the next tax period and to use it for covering the VAT liability in future tax period(s).

9.3 Adjustment periods

- immovable property - 20 years following the tax period of first use
- movable property - 5 years following the tax period of first use

The tax period of first use means the tax period following the tax period in which the input VAT was or was not deducted.

There is no adjustment period for services.

9.4 VAT refunds to EU taxable persons

A taxable person established in another EU Member State can claim a VAT refund in Slovenia by submitting a VAT refund request through the electronic portal in the EU Member State which issued the VAT identification number or the tax reference number under which the taxable person requests a refund.

The annual minimum limits for claims that are made for a calendar year or the remainder of a calendar year is EUR 50. The interim minimum limit for claims that are made for less than a calendar year but at least 3 months is EUR 400.

The minimum period for making a claim is 3 months. Maximum period for making such a claim is one year.

The deadline for making the claim is 30 September following the expiration of the calendar year in which VAT is charged. It is not possible to receive a refund if this deadline is breached.

No supporting documents are required upon lodging a claim. Nevertheless, if the tax authority considers that there is insufficient information available to decide on the request for refund, it may, within 4 months of receipt of the request, require the applicant or the competent authority of the EU Member State of establishment to provide additional information in electronic form. If the tax authority still has reasonable doubts about the validity and regularity of a particular request for refund, it may request the applicant to submit the original or a copy of invoice or import document. The applicant must provide the tax authority with additional information within one month of the receipt of the tax authority's request.

The tax authorities are obliged to notify the applicant immediately of the date of the receipt of the request and decide on the request within 4 months of that date. In case additional information or documents are required,

the tax authority is required to decide on the request within 2 months of the date of the receipt of the required additional information or within 2 months from the date of receipt of the request for additional information if the latter remains unanswered.

As for appeals, the general 15-day time limit applies.

If the tax authority grants the request for a refund, the latter will be made within 10 business days after the expiration of the time limit for decision.

When a VAT refund was obtained by fraud or in any other incorrect manner, the tax authorities will proceed with the procedure for recovery of unpaid amounts, including any financial penalties, fines or default interest charges.

A link to the webpage where more information could be found: <https://tinyurl.com/yck27kjs>

9.5 VAT refunds to non-EU taxable persons

A VAT refund to taxable persons established in a third country will be granted only on condition of reciprocity. The list of countries for which the reciprocity condition is fulfilled is as follows: Canada, Iceland, Israel, Japan, Republic of Korea, Lichtenstein, North-Macedonia, Norway, Switzerland, Turkey, Serbia, Montenegro, Taiwan and the United Kingdom. Please refer to the following link for the current list of countries (chapter 5.0): <https://tinyurl.com/yck27kjs>

A taxable person established in a non-EU country files the claim in electronic form through the portal eDavki using an application form DDV-VTD with prescribed codes for particular goods and services.

The webpage where a claim must be submitted is: <https://edavki.durs.si/>

As mentioned above, the application form DDV-VTD can be downloaded at:

<https://tinyurl.com/kxrfxr99>

The annual minimum limits for claims that are made for a calendar year or the remainder of a calendar year is EUR 50. The interim minimum limit for claims that are made for less than a calendar year but at least 6 months is EUR 400.

The minimum period for making a claim is 6 months. Maximum period for making a claim is one year.

The deadline for making the claim is 30 June following the expiration of the calendar year in which the VAT is charged. The applicant has no recourse once the said time limit is breached.

The following documents must be submitted with the application:

- invoices and/or electronic customs import declarations;
- a certificate issued by the competent authorities of the country of establishment that the applicant is liable to pay VAT in that country which may not be older than one year;
- a confirmation by a statement that he has not performed a supply of goods or services considered to be performed in Slovenia other than transport services or the services for which VAT is paid exclusively by the customer (mandatory reverse charge); and
- a statement that he is to repay any unduly obtained VAT refund.

Since the request for refund is filed in electronic form, scanned original documents are applicable.

Within 8 months following the receipt of the request, the tax authorities must make a decision. As for appeals, the general 15-day time limit applies.

The time limit for payment of the refunds is 10 business days after the expiration of the time limit for the decision.

A taxable person established in a third country will not be entitled to a refund of:

- VAT unduly charged; and
 - VAT for the supply of goods which is exempt or may be exempt dispatched or transported from Slovenia to a destination outside of the EU by or on behalf of a customer not established in Slovenia with the exception of goods transported by the customer himself for the equipping, fuelling or other forms of provisioning of private boats, private yachts, private aircraft or any other means of transport for private use.
- Additionally, there is also no VAT refund for the following types of purchases (the same as rules as stated also in 9.1):
- on yachts and boats intended for sport and recreation, on aircraft and on passenger cars and motorcycles, also on fuels, lubricants, spare parts and services which are closely linked thereto (except when intended for passenger transport, leasing, renting and resale, taxi, drivers' training programs, etc., and except passenger cars with 0 g/km emission and a value not exceeding EUR 80,000 including VAT and other duties);
 - on entertainment expenses where entertainment expenses include only the costs of entertainment and amusement during business or social contacts;
 - on meal expenses (including drinks); and
 - accommodation expenses.

10. Administrative obligations

10.1 Invoices

10.1.1 Invoice content

- A VAT invoice needs to include the following compulsory content (Article 82 of the VAT Act):
- date when the invoice was issued;
 - invoice number (a sequential number);
 - VAT identification number under which the supply was performed;
 - customer's VAT identification number under which the customer received a supply of goods or services in respect of which he is liable for payment of VAT, or to which an intra-Community supply of goods was performed;
 - supplier's name and address;
 - quantity and nature of the goods supplied or extent and nature of the services performed;
 - date on which the supply of goods or services was performed or the date on which the advance payment was received;
 - taxable amount per VAT rate or amount to which the exemption applies, the unit price (excluding VAT) and discounts, if not included in the unit price;
 - VAT rate;
 - VAT amount;
 - in case of an exemption or where the customer is liable to pay VAT, reference to the provision of the EU VAT Directive or to the corresponding Article of the VAT Act;
 - in case the reverse charge mechanism is applied the clause "reverse charge" must be included;
 - in case of self-billing a corresponding reference "samofakturiranje" is required;
 - in case of the supply of a new vehicle, the vehicle's characteristics according to Article 3 of the VAT Act;
 - where the margin scheme for travel agents is applied, the clause "Special Rules – Travel Agencies", "posebna ureditve za potovalne agencije" will be included;
 - where one of the special arrangements applicable to second-hand goods, works of art, collectors' items and antiques is applied, the corresponding clauses "Special Rules – Second-Hand Goods" "posebna ureditve za rabljeno blago, umetniške predmete, zbirke in statine", "Special Rules – Works of Art" or "Special Rules – Collector's Items and Antiques" will be included; and
 - name, address and VAT ID number of the fiscal representative, if appointed.

Additional requirements have been added by the Act on Fiscal Verification of Invoices for transactions involving cash payments. These further invoice-elements include:

- exact time of issuing the invoice (hour and minutes);
- mark of the individual who issues the invoice with the use of the electronic device for issuing invoices; unique identification invoice mark (a code sent by the Tax Authority's server via the online connection - the so-called EOR code); and
- protective mark of the invoice issuer (produced by the seller's cash register – the so-called ZOI code).

As already mentioned, these requirements will apply only to traders located in the Republic of Slovenia who enter cash transactions. Distance sales from abroad even though there might be a cash payment involved, are excluded from the scope of this act.

10.1.2 Time limits

In case of intra-Community supplies of goods an invoice must be issued no later than on the 15th day of the month following the month in which the goods were delivered. Otherwise, there are no time limits for issuing invoices. However, it is important that the VAT is paid (and invoice reported) in the correct tax period. If the chargeable event (supply of goods or services or execution of payment) precedes the issuance of the invoice, it must be included in the tax return for the period in which the chargeable event took place.

10.1.3 Currency

There are no prohibitions of using a foreign currency on an invoice. However, the amount of VAT must be stated in EUR. Please see below regarding the exchange rate which must be used for the conversion of the VAT amount from other currencies to EUR.

10.1.4 Conversion and exchange rate

The exchange rate applicable is the foreign exchange reference rate of the European Central Bank valid on the day when the tax liability arises and is published by the Bank of Slovenia. According to the VAT Act, the Minister of Finance may lay down simplifications regarding this conversion which has been done by Art. 44 of Rules on the Implementation of VAT Act.

In case of the option in Art. 91 of the EU VAT Directive, it is the monthly exchange rate published on the penultimate Wednesday before the month when the supply of goods or services is made, which will be applied, unless this rate is subsequently altered by more than 1%. However, if this is the case, the taxpayer uses the reference exchange rate of the European Central Bank, which is published by the Bank of Slovenia on the Wednesday before the week in which the taxpayer determined that the conditions for changing the exchange rate have been met.

No notification is required. However, a taxable person is obliged to present all necessary facts about exchange rates applied if requested by the tax authorities.

10.1.5 Self billing

In Slovenia, self-billing is allowed under the condition that the supplier and the customer sign a written agreement. They also have to determine the procedure for accepting each invoice. At the request of the tax authority, they must prove the existence of such agreement.

10.1.6 Simplified invoices

It is possible to issue a simplified invoice if the net amount payable does not exceed EUR 100 (Art. 83 the VAT Act).

Such invoice shall then contain the following items:

- the date of the invoice;
- its serial number;
- the name, address and VAT number of the issuer of the invoice;
- quantity and nature of the goods supplied or extent and nature of the services performed;
- the amount of VAT payable or the necessary information for its calculation; and
- in case of cancellation, the reference to the corresponding document (invoice).

10.1.7 Storage of invoices
Taxable persons registered for VAT in Slovenia are obliged to store invoices for 10 years. Invoices relating to immovable property must be stored for at least 20 years. In case invoices are stored electronically, the tax authorities must be provided with guaranteed online access for VAT compliance purposes.

10.1.8 Electronic invoicing
Invoices may be issued electronically if a customer agrees with that and if the authenticity of the origin and the integrity of the content are guaranteed. Electronic invoices are usually issued in accordance with the regulations governing electronic transactions (Electronic Commerce and Electronic Signature Act). However, other forms of e-invoicing are also possible according to the Council Directive 2010/45/EU and explanatory notes as long as the above-mentioned basic requirements regarding authenticity and integrity are respected (via e-mail, PDF file, structured messages, scanned paper invoices, etc.).

10.2 VAT compliance

10.2.1 VAT return period

The standard VAT return period (tax period) for VAT purposes in Slovenia is one calendar month. If the taxable turnover in the last calendar year did not exceed EUR 210,000, the tax period is a quarter, except in case the taxable person performs intra-Community supplies of goods and services for which he is obliged to file European sales listings. If performing intra-Community supplies of goods and services, the taxable person must file monthly VAT returns for the months in which such supplies take place or for which adjustments for previous supplies must be made.

Foreign taxable persons registered for VAT in Slovenia need to file a monthly VAT return regardless of the value of transactions performed under the Slovenian VAT number. For a taxable person for whom compulsory settlement, ending of business or bankruptcy proceedings are initiated, the tax period will end on the day prior to the commencement of compulsory settlement, ending of business or bankruptcy proceedings.

However, with respect to international passenger transport services by foreign-based carriers which are not performed on a regular basis, there is an exception which allows foreign-based carriers to submit VAT returns on an annual basis (further information in this regard: <https://tinyurl.com/3cz882am>).

If there is nothing to report, still the nil VAT return has to be submitted.

VAT returns can be filed only electronically via eTaxes portal. In Slovenia, no annual VAT returns need to be filed.

10.2.2 Filing of a VAT return and payment

Slovenian tax authorities must receive the VAT due on a certain bank account on the last working day of the month following the tax period at the latest. The same deadline is determined for filing VAT returns, except when a taxable person performs intra-Community supplies of goods and services.

In case of intra-Community supplies of goods and services, the VAT return must be filed by the 20th day of the month following the tax period. The deadline to pay the VAT in this case remains the same - by the last working day of the month following a tax period.

10.2.3 European sales listing

The European sales listing must be filed on a monthly basis, if a taxable person performs intra-Community supplies of goods or services which must be reported in the European sales listing. The European sales listing must be filed by the 20th day following the tax period. The European sales listing must be filed regardless of the value of these supplies. Intra-Community supplies of goods and services are reported on the same form at the same time.

European sales listing can only be filed electronically.

Art. 141 of the Act prescribes for such a serious tax offense a penalty from EUR 4,000 to EUR 75,000 or even EUR 10,000 to EUR 125,000 (medium and large companies) if a taxable person fails to comply with the

10.3.1 Default penalties for late registration

However, in practice the tax administration tends to be rather lenient towards taxpayers so that in case of a late tax return it is more likely that a taxpayer would receive a kind reminder to voluntarily fulfil his obligations instead of opening an administrative penalty procedure. So far, the courts have not asked the ECJ for a preliminary ruling regarding proportionality of these penalties, although there is at least one pending case where the taxpayer has demanded such a ruling.

The last modification even introduced another category of offences – particularly heavy offences. The definitions are the same as in Art. 141 (heavy offences). What makes them particularly heavy is either the heavy consequence of the offence or the particularly heavy culpability of the offender (dolus directus or even dolus coloratus). The penalty arrays are therefore correspondingly more extensive ranging from EUR 10,500 to EUR 150,000 (medium and large companies as taxable persons), from EUR 4,500 to EUR 100,000 (small companies), from EUR 3,500 to EUR 75,000 (sole traders as taxable persons) and from EUR 2,500 to EUR 15,000 (individuals). Responsible individuals (representatives) shall be levied in the array from EUR 1,000 to EUR 20,000 (representatives of sole traders) and from EUR 1,200 to EUR 20,000 (responsible person of a legal entity).

For heavy offenses defined by Art. 141 of the VAT Act these arrays prescribed are from EUR 4,000 to EUR 75,000 (medium and large companies as taxable persons), from EUR 3,000 to EUR 50,000 (sole traders as taxable persons), from EUR 1,000 to EUR 10,000 (responsible individuals of medium and large companies), from EUR 800 to EUR 10,000 (responsible person for sole traders) and finally from EUR 400 to EUR 5,000 for (ordinary) individuals.

A penalty can be levied for a simple offense in an array from EUR 1,200 to EUR 15,000 for taxable persons that are defined as small businesses according to the Companies Act. In case of medium and large enterprises the array starts at EUR 3,200 up to EUR 30,000. For sole traders penalties between EUR 800 and EUR 10,000 and for responsible individual acting for legal persons and sole traders an array of penalties from EUR 600 to EUR 4,000 has been prescribed. These amendments even introduced the responsibility of individuals not being taxable persons, sole traders or their representatives with penalties in the array between EUR 200 to EUR 1,200.

As for the tax offenses, these are classified into simple offenses with relatively minor penalties (intent or gross negligence is required) on one hand and serious tax offenses for serious breaches with heavier penalties where even minor negligence suffices.

In case of infringements, taxpayers can be held responsible for various (administrative) offenses as well as, in case of late payment, be liable to pay default interest according to a rate prescribed by The Act on the Prescribed Interest Rate for Default Interest (leading rate plus 8 percentage points). Default interest rate payment is not levied upon a taxpayer by an administrative decision – the taxpayer is obliged to compute this rate when performing late payments.

The system of penalties under the VAT Act has been substantially modified by the amendments from 4 October 2019. These included the amended array of penalties in Art. 140, 141 and 142, some new incriminations and introduced liability for individuals not being taxable persons or representatives thereof.

10.3 Penalties

The tax assessment period in Slovenia is 5 years. This means that in the year 2025, the last open year for assessments is the year 2020.

10.2.5 Tax assessment period

There are no national recapitulative statements in Slovenia.

10.2.4 National recapitulative statement

obligation to notify the tax authority of the commencement, change of termination of its activity as a taxable person or fails to submit to the tax authority a request for issuance of its identification number for VAT purposes or fails to submit it within the specific time limit or in the prescribed manner.

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

Not filing a VAT return on time is considered a serious tax offense for which the following penalties are determined (Article 141 of the VAT Act):

- from EUR 4,000 to EUR 75,000 or even EUR 10,000 to EUR 125,000 (large and medium companies) for the taxable person;
- from EUR 3,000 to EUR 50,000 (sole traders); and
- from EUR 1,000 to EUR 10,000 for the responsible person of the taxable person.

In relation to the European sales listing, it is considered a serious tax offense if the taxable person fails to submit the European sales listing within the specified time limit or if it fails to provide the required data in the European sales listing. The penalties determined for such offenses are the same as previously mentioned.

10.3.3 Default penalties for not paying VAT on time to the tax authorities

If the VAT is not paid on time, the (administrative) penalties are the same as for not filing the VAT return on time (for the taxable person and for the responsible person of the taxable person). Also, there is a default interest to be paid which the taxpayer is obliged to compute by himself (in practice the sum can easily be verified via the eDavki/Taxes platform).

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

If the VAT is not charged or it is charged incorrectly, tax authorities consider this as tax offense for which the following penalties are prescribed:

- from EUR 1,200 to EUR 15,000 for the taxable person or EUR 3,200 to EUR 30,000 (large and medium companies); and
- from EUR 400 to EUR 4,000 for the responsible person of the taxable person.

Taxable persons have the option to correct the VAT voluntarily. The mistake can be corrected in the current VAT return. Also in this case the interest determined for self-assessment which is related to the 12 month EURLIBOR and to the period of delay with the VAT payment, must be paid before the expiry of the deadline for VAT payment based on the VAT return.

In case of voluntary correction, the tax authorities cannot punish the taxable person with the penalty. In cases where the offenses are of a particularly serious nature due to:

- the amount of damage caused;
- the amount of acquired illegal proceeds; or
- because of the offender's intent or intention of unlawful gain, a penalty of up to EUR 75,000 (sole traders), EUR 100,000 (companies) or even up to EUR 150,000 (large and medium companies) will be assessed to the taxable person and a penalty of up to EUR 20,000 for the responsible person of the taxable person.

According to the Act on Fiscal Verification of Invoices additional penalties up to EUR 125,000 are prescribed for various infringements of that Act.

10.4 Intrastat

A taxable person performing intra-Community supplies and acquisitions is obliged to file Intrastat returns to the Intrastat Department within the Customs Office of Nova Gorica (which is authorized for Intrastat issues by the Statistical office of Republic of Slovenia). The Intrastat returns are required only when certain thresholds are exceeded.

10.4.1 Intrastat threshold

In Slovenia there are two kinds of Intrastat thresholds:

- exemption thresholds: EUR 270,000 for dispatches and EUR 240,000 for arrivals; and
- statistical value thresholds (for individual flow of the goods): EUR 9,000,000 for dispatches and EUR 4,000,000 for arrivals.

10.4.2 Intrastat data to be reported

In relation to the exemption threshold the following data must be reported in the Intrastat returns:

- description of the goods;
- EU Member State of consignment/destination;
- VAT ID number of the partner (only for dispatches);
- nature of the transaction;
- 8-digit commodity code of the goods;
- country of origin;
- net weight of the goods;
- quantity for supplementary units (for some commodity codes, supplementary units are prescribed); and
- invoiced amount.

If statistical value thresholds are exceeded in addition to mandatory data, also the data on delivery terms, mode of transport and statistical value must be reported.

For more information we refer to the Intrastat Guide for 2025 published by the Statistical Office of the Republic of Slovenia (Statistični urad Republike Slovenije, SURS), available at <https://tinyurl.com/m8xw3n9>

The publication is updated every year.

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The European Union (EU) VAT Directive is implemented in Spain through the "Ley 37/1992, de 28 de diciembre, del Impuesto sobre el Valor Añadido" (hereafter referred to as the "VAT Act" or "VAT Law"). In Spain, VAT is known as "Impuesto sobre el Valor Añadido" or "IVA." An updated, consolidated version of this law can be downloaded from the Official Gazette website (<https://tinyurl.com/yca2af5z>).

Taxes and customs duties in Spain are managed by a specialized governmental body, the "Agencia Estatal de Administración Tributaria" (hereinafter, "AEAT" or "Spanish tax authorities"). Their website provides comprehensive information on the Spanish tax system and offers a "virtual office" where most tax-related procedures can be completed electronically (<https://tinyurl.com/2bawp4sp>).

The website also features the following VAT Virtual Assistance Tools, powered by AI:

- VAT Virtual Assistant
- SII Virtual Assistant
- Goods Provision Locator
- Service Provision Locator
- Property Grader to determine VAT or Transfer Tax (ITP) application in immovable property transactions
- Deadline Calculator for Amending Invoices
- Apportionment Calculator (pro rata rule - partial deduction scheme)
- Differentiated Sectors Calculator
- Assistance for Completing Quarterly/Monthly VAT Form 303 (for lessors)
- Assistance for Completing Annual VAT Form 390

The last published VAT manual 2024 (in English) can be accessed in: <https://tinyurl.com/mnyfb2pu>
The last published VAT manual 2024 (in Spanish) can be downloaded in PDF format from: <https://tinyurl.com/5xpk2wj4>

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

General registration

Domestic taxable persons are required to register with the tax authorities and obtain a Spanish tax identification number (known as "NIF") under the following conditions:

- they carry out any transaction subject to VAT within the Spanish VAT territory;
- Spanish VAT is due (even if the transaction qualifies as an exempt supply); and
- they are designated as the taxable entity responsible for liquidating (settlement of VAT under a specific Spanish regime), according to Spanish VAT regulations. This excludes cases where the reverse charge mechanism applies, in which case the supplier of goods or services would not be responsible for VAT liquidation.

There are no specific simplification measures for VAT registration in Spain, meaning there is no minimum threshold for domestic companies or entrepreneurs. If the above conditions are met, they are obligated to register.

The tax registration must be done through the submission of a census form (Form 036) and supporting documents to the Spanish tax authorities.

Electronic notifications

Taxable persons are required to receive most communications and notifications from the Spanish tax authorities electronically. To facilitate this, the Spanish tax authorities automatically assign a special

electronic address, known as the “dirección electrónica habilitada única” (DEHU) to each taxable person under the relevant regulations.

Accessing this special electronic address requires the taxable person to hold an electronic certificate recognized by AEAT (see paragraph 10.2, filing). Taxable persons without such a certificate may authorize a third party holding the certificate to access the electronic address on their behalf. Except when a power of attorney is granted directly before the Spanish tax authorities, this authorization must be formalized through a special power of attorney deed executed before a public notary.

In case of being formalized in another country, the documentation issued under the Hague Convention and must be notary and, when appropriate, stamped with an Apostille issued under the Hague Convention and must be registered in a special register maintained by AEAT.

Special registrations

Spanish VAT number

When a taxable person plans to carry out intra-Community transactions, he must obtain a Spanish VAT number (referred to as “NIF-IVA”) to be able to carry this type of transactions.

The Spanish VAT number consists of the prefix “ES” followed by the Spanish ID number (NIF).

This number is automatically issued through registration in the “Spanish Register of Intra-Community Operators” (in Spanish, “ROI”). The application for ROI registration must be done through the submission of a census form (Form 036) to the Spanish tax authorities, the same census form as for the NIF application. After the submission of the ROI application, the Spanish tax authorities usually start a limited audit to check the reason of the application and whether the taxable person has already carried out or has the intention to perform intra-Community transactions.

For such purposes, the taxable person must be in a position to provide the Spanish tax authorities with documentary evidence of the completion or the intention to carry out intra-Community transactions (e.g., purchase invoice, transport document, invoice for transport services, communications with EU providers-customers, etc.).

Once the registration is approved, the taxable person is listed in the VAT Information Exchange System (VIES) database as holding a Spanish VAT number.

Until this point, they will not be considered to have a Spanish VAT number. The ROI registration is retroactively effective from the date of the first intra-Community transaction, meaning that the VAT numbers in Spain can be assigned after such type of transactions have begun.

Monthly refund regime (“REDEME”)

This optional regime allows taxable persons to request a refund of VAT receivable on a monthly basis, rather than waiting until the final VAT return of the year, as required under the general VAT regime. To benefit from this, registration in the “Register of Monthly Refunds” (hereinafter, “REDEME”) through the submission of a census form (Form 036) to the Spanish tax authorities is necessary.

Although this regime is generally mandatory for large companies with an annual turnover exceeding EUR 6,010,121.04, businesses of any size may voluntarily opt to register in the REDEME.

As a general rule, the application for inclusion in the REDEME must be submitted within November of the previous calendar year to that in which it is to take effect.

Alternatively, it may also be requested during the period for submitting the quarterly VAT returns. In this case, the inclusion in the REDEME will take effect from the day following the end of the period of payment of the corresponding quarterly VAT return, triggering the obligation to submit VAT returns on a monthly basis to the Spanish tax authorities.

After the REDEME application is submitted, the Spanish tax authorities usually start a limited audit to verify the reason of the application.

The REDEME registration implies:

- The obligation to file monthly VAT returns and the possibility to request the refund on a monthly basis;
 - The obligation to comply with the Immediate Supply of Information System ("SII"), which entails reporting to the Spanish tax authorities the received and issued invoices almost in real-time (see paragraph 10.5); and
 - The possibility of applying for a special deferral regime for import VAT payments.
- Therefore, taxable persons who are often in a VAT-credit position, as well as companies that import goods into Spain but are not required to file monthly VAT returns due to their size, may benefit from registering in the REDEME and opting for the voluntary monthly refund regime.

Special cash accounting regime

Taxable persons who meet the eligibility criteria for this regime and wish to opt-in must notify the Spanish tax authorities by submitting the appropriate registration census form (Form 036) in December of the year preceding the year in which they want to apply the regime.

Special VAT grouping regime (REGF)

A specific application must be submitted to the census to opt into the special VAT grouping regime, which has two possible scopes (see also paragraph 1.3).

Special E-commerce registration (OSS)

If Spain is the Member State of registration, a special application must be made to the census to benefit from any of the special e-commerce OSS regimes.

Economic Operators Registration and Identification (EORI)

Taxable persons intending to perform imports or exports in the Spanish VAT territory must provide the special identification number issued by the customs authorities of any EU Member State, known as the EORI number.

For EU-resident taxable persons, the EORI number is granted by the customs authorities of their country of residence. Non-EU taxable persons can apply for an EORI number in the EU Member State where they intend to import or export goods.

A taxable person who already holds an EORI number and intends to perform imports or exports in Spain must first link their EORI number to a Spanish NIF. If they do not already have a Spanish NIF, they will be required to register and obtain one.

SME scheme

By 1 January 2025 Spain has not regulated the new special scheme for small enterprises (SME) special regime contemplated in the Council Directive (EU) 2020/285 of 18 February 2020.

1.2 Registration threshold & SME scheme for foreign taxable persons

As with domestic companies and entrepreneurs, there are no specific simplification measures for non-number (Spanish NIF) in the following cases:

- they carry out any transaction within the Spanish VAT territory for VAT purposes;
- Spanish VAT is due (even if the transaction is an exempt supply);
- according to Spanish VAT regulations, they are the designated taxable entity responsible for VAT liquidation, as would be the case for the supplier of goods or services if the reverse charge mechanism applies.

- the dominant entity assumes responsibility for the VAT group's obligations; and joint responsibility applies to liabilities arising from the VAT group scheme.
 - transactions;
 - under the extended scope, inter-company transactions are subject to special valuation rules, additional cost-control obligations must be met and domestic exemptions can be waived in inter-company offset among group entities;
 - the dominant entity must file a consolidated VAT return (Form 353) on behalf of the group. VAT due or receivable is determined at the group level via this consolidated VAT return. VAT credits and debits can be
 - under the simplified scope, while each group company maintains its general VAT obligations (Form 322), there are two optional scopes for this regime: simplified and extended;
 - obligations;
 - the group is not treated as a separate taxable person. Each company within the group retains its own VAT
- This regime is optional, with the following main features:

VAT groups in Spain are not treated as a single taxable entity for VAT purposes. However, under certain conditions, a so-called dominant resident entity or fixed establishment (referred to as the "dominant") may apply for a special VAT grouping regime together with companies that are closely related financially, economically, and organizationally. The dominant entity must hold, directly or indirectly, more than 50% of the shares or voting rights (effective control) of the related companies throughout the full calendar year.

1.3 VAT grouping

<https://tinyurl.com/49uwmwab>

<https://tinyurl.com/5djd3bh>

Forms and VAT registration information are available at the Spanish Tax Agency's "virtual office":

- through the Spanish Consulate.
 - on behalf of the foreign taxable person. This power of attorney must be granted before a public notary in the country of residence, stamped with an apostille in accordance with the Hague Convention Stamp, or
 - a power of attorney granted to a local company, or an individual, authorized to file the registration form (a sworn translation may be requested). When a foreigner, said person must also obtain a Spanish identification number (Spanish NIE); and
 - address and the individual empowered to grant the power of attorney, along with a Spanish translation if not included in the above documents, a certificate from the company registry showing the business declaration of final titularly;
 - may be requested) duly apostilled with the Hague Convention Stamp;
 - the incorporation deed and articles of association, along with a Spanish translation (a sworn translation may be requested);
 - a registration form (Form 036);
- To obtain the Spanish NIF, the following documents must be provided:

Registration must be completed through a duly empowered representative authorized to act on behalf of the company before the Spanish tax authorities. Non-EU taxable persons are required to appoint a local tax representative. Additionally, non-EU companies seeking to register in Spain to benefit from the special Import OSS regime must appoint a local tax representative. Foreign companies established in the Canary Islands, Ceuta or Melilla, and foreign companies established in a country that has a mutual assistance agreement with Spain are exempt from the above general rule. However, in practice, the tax authorities require the appointment of a VAT representative even for companies established in the EU because it is mandatory to have a Spanish address where communications issued by the Spanish tax authorities can be easily received. This means that the foreign entities need to request a specific digital certificate to access their notifications or appoint a local representative to receive the notifications on a company's behalf.

The requirements for special registrations, whether optional or mandatory, outlined in paragraph 1.1, also apply. For example, non-resident taxable persons must register for a Spanish VAT number if engaging in intra-Community operations, or apply for the special e-commerce OSS regime if Spain is the chosen Member State for registration.

1.4 Fiscal representative

Taxable persons from non-EU countries must appoint a local fiscal representative if:

- they are applying for reimbursement of input VAT under the 13th EU VAT Directive; or
- they are required to register for VAT purposes; and
- they are registering to apply for the special Import OSS regime.

For residents of another EU Member State, the local representative is classified as a mandatory representative (see paragraph 1.2).

1.5 Electronic notifications

Electronic communications and notices from the State Tax Administration Agency (AEAT) apply to almost all taxable persons, including both resident and non-resident commercial entities. This includes the requirement to receive most communications and notifications from the Spanish tax authorities by electronic means. To facilitate this, the Spanish tax authorities automatically assign a special electronic address (the "dirección electrónica habilitada") to all taxable persons covered by the regulation. Before electronic notifications commence, the Spanish Tax Administration will inform the taxable person of this arrangement.

Access to this special electronic address requires the taxable person to have an electronic certificate recognized by the AEAT (see paragraph 10.2, filing). Taxable persons without such a certificate may authorize a third party holding one to access the address on their behalf. Unless the power of attorney is granted directly before the tax authorities, the authorization must be formalized through a special power of attorney deed executed before a public notary. The deed must also be stamped with an apostille under the Hague Convention and registered in a special register maintained by the AEAT.

2. Taxable transactions

2.1 Transfer of business

For a transfer of assets to be considered non-taxable, the tangible and intangible assets transferred must form, or be capable of forming, an autonomous economic unit for the transferor that enables the continuation of a business activity. Whether the transferee continues the same business activity is irrelevant.

2.2 Supplies free of charge

Certain free supplies are excluded from the scope of self-consumption. These include those regulated under numbers 2^o, 3^o, and 4^o of Article 7 of the Spanish VAT Law, which define:

- samples;
- demonstration services; and
- leaflets and objects for publicity purposes.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply of goods

Under specific conditions, imports of goods followed by an intra-Community supply of goods can be exempt. The importer or their representative must provide the following information to the authorities:

- the VAT number assigned by the Spanish tax administration to the importer; and
- the VAT number assigned in another EU Member State to the purchaser of the goods.

Additionally, the following requirements must be met:

- the importer or their tax representative must appear as the consignee on the transport documents;
- the goods must be dispatched or transported to the destination EU Member State immediately after importation; and
- the supply following the importation must qualify for the exemption for intra-Community supplies.

3.1 Consignment and call-off stock

Spanish VAT legislation aligns with the provisions introduced in the EU VAT Directive by Directive 2018/1910, which covers VAT “quick fixes” for intra-Community transactions, and Council Implementing Regulation 2018/1912, effective from 1 January 2020. One such provision relates to “call-off stock agreements.” In these cases, goods are transported to Spain with the intention of supplying them later to customers registered for VAT in Spain. These customers are entitled to take ownership of the goods based on an existing agreement. This transaction is treated as an intra-Community supply from the EU Member State of origin, rather than as a transfer of own goods followed by a domestic supply of goods.

3. Place of supply

Failure to comply with the conditions of these special regimes or the termination of the regime will result in an import or assimilated import, where the corresponding VAT will be assessed. When applicable, specific provisions for determining the taxable base will be applied.

- bonded Customs Warehouses and VAT Warehouses;
- temporary imports;
- inward processing; and
- free zones.

Customs Code, such as: articles outline specific exemptions for operations subject to special customs regimes under the Union international trade, special mention should be made of Articles 23 and 24 of the Spanish VAT Law. These Due to their relevance in optimizing the financial cost of import VAT quotas and in the broader context of

2.3.3 Importation special regimes

In addition to this regime, a company may request the postponement of import VAT payments if it faces liquidity issues. Such deferrals are granted on a case-by-case basis and may require a bank guarantee (in certain cases, a different type of guarantee or no guarantee at all may be possible).

It is important for companies to track their imports closely, as failure to declare import VAT in the corresponding period (month/quarter) after opting for this regime is subject to a specific penalty (see paragraph 10.3). To assist with this, the tax administration has introduced a procedure in the “Electronic Office” section of its website, allowing companies to check any outstanding import VAT payments that have been deferred and are pending declaration.

New companies can elect this option when registering with Form 036 (see paragraph 1.1.1). Existing companies can apply for the special regime by November of the calendar year before the regime takes effect. After the application is submitted, the Spanish tax authorities usually start a limited audit to verify the reason and correctness of the application.

Companies that opt for this regime can settle import VAT through their VAT return for the period in which they receive the customs liquidation document. This means that the import VAT is recorded both as output VAT (i.e., import VAT pending to be paid to the Spanish tax authorities) and input VAT, similar to how the reverse charge rule operates. Unless there is a restriction on the right to deduction, this mechanism triggers a neutral effect on the VAT return and the company does not need to finance the import VAT.

- large companies (with a turnover exceeding EUR 6,010,121.04);
 - taxpayers under the special monthly refund regime (REDME); and
 - taxpayers under the special VAT grouping regime (RBGE).
- An optional scheme is available for taxpayers who are required to file monthly VAT returns, such as:

2.3.2 Postponed accounting on importation

If all the requirements are met, both the import and the intra-Community supply of goods would benefit from the exemption.

Spain has implemented effective use and enjoyment rules based on Article 59b of the VAT Directive 2006/112/EU. As a result, certain services provided by a Spanish supplier to non-EU final consumers that, according to the general B2C rules, would normally be considered for VAT purposes outside the EU, the Canary Islands and the autonomous cities of Ceuta and Melilla (which are not part of the Spanish VAT territory) are relocated and subject to Spanish VAT if they are effectively used and enjoyed within the Spanish VAT territory.

3.6 Effective use and enjoyment

The Intra-Community acquisitions of goods carried out by (i) non-taxable legal persons, (ii) taxable persons exclusively performing transactions which do not fully or partially give the right to deduct the input VAT, (iii) and taxpayers under the Special system for agriculture, livestock farming and fishing from suppliers established in another EU Member State are not subject to Spanish VAT unless the threshold of EUR 10,000 during the precedent or current calendar year is exceeded.

3.5 Acquisition threshold

Spain has implemented the simplified triangulation rules without modifications. The rules cannot be applied if the intermediary (B) is established in the Spanish VAT territory. According to Spanish VAT law, B must not be registered in the country of dispatch or the country of arrival. However, following the ruling in *Hans Bühler* (ECJ C-580/16), the condition that B cannot have a VAT registration number in the country of dispatch should be interpreted to allow simplification, as long as the VAT number used is not from the EU Member State of dispatch. In practice, Spain does not allow application of the simplified triangulation in chains consisting of more than 3 parties where the goods are transported directly from the first to the last party.

3.4 Simplified triangulation

Spain has implemented the e-commerce legislation which was introduced on July 1, 2021 in line with the EU VAT Directive.

3.3 Distance sales

Under this scenario, if goods are transported from an EU Member State to the Spanish VAT territory to be installed or assembled in such territory before being put at the customer's disposal, the transaction will not qualify as a transfer of own goods followed by a domestic supply of goods but only as a domestic supply of goods within the Spanish VAT territory, as the installation and the transfer of the power of disposal occurs in the Spanish VAT territory.

Supplies of goods with installation

A special location rule applies to supplies of goods with installation that results in the goods being fixed to the ground. In these cases, the supply is considered to occur where the installation takes place. There is no requirement that installation costs represent a minimum percentage of the project.

Work on movable or immovable property is treated as a supply of services. However, the Spanish VAT Law specifies that construction or renovation of buildings, where the supplier provides materials and the cost of those materials exceeds 40% of the total project, is considered a supply of goods. The General Tax Directorate also ruled in several tax rulings that, depending on the circumstances, the classification as a supply of goods could prevail in works not explicitly mentioned in the law.

Work on movable or immovable property

3.2 Installation supplies

However, this simplification has certain requirements. The company must record the physical movement of stock in its Recapitulative Statements, and both the company and its customers must maintain a register of the goods. Additionally, the stock must be used by the customer within a 12-month period. If not, the transaction would need to be reported by the supplier as a transfer of own goods, followed by a domestic supply of goods.

4. Chargeable event & chargeability of VAT

4.1 Principles

For the supply of goods or services, VAT typically becomes chargeable at the time the goods or services are supplied. However, if an invoice is issued before the taxable transaction takes place, VAT is charged in proportion to the amount that has been paid in the advance payment (see also 4.2).

Intra-Community supplies and consignment stock arrangements

For intra-Community supplies of goods exempt from VAT, the VAT becomes chargeable on the 15th day of the month following:

- the date on which the dispatch or transport of the goods to the purchaser begins; and
- in the case of deliveries of goods on consignment, from March 1, 2020, when the goods are made available to the purchaser.

If an invoice is issued before the specified dates mentioned above, VAT becomes chargeable when the invoice is issued.

Additionally, from 1 March 2020:

- VAT becomes chargeable if the conditions set out in the relevant provision of the Spanish VAT Law (call-off stock agreements, see 3.1) are breached;
- VAT also becomes chargeable the day after the 12-month period referred to in the relevant provision in the Spanish VAT Law expires.

Commission agent

In cases involving purchase and sale commissions, where the commission agent acts on their own behalf, the chargeability of VAT for goods supplied by the principal to the commission agent (and vice versa) coincides with the chargeability of VAT for the goods supplied between the commission agent and the client or supplier.

Interfases

From 1 July 2021, when goods are sold through a digital interface under the terms of Article 8 bis of the Spanish VAT Law ("deemed supplier"), VAT becomes chargeable when the customer's payment is accepted (see also paragraph 3.3).

4.2 Advance payments

VAT may become chargeable before goods are delivered or services are completed if the total or partial payment is received in advance. In this case, VAT becomes chargeable on the amount received before the goods are made available or the services are provided.

This VAT chargeability advance payment rule does not apply to intra-Community supplies of goods and intra-Community acquisitions of goods.

4.3 Continuous supplies

In leases, utilities, and, in general, in successive or continuous supplies, the VAT becomes chargeable at the moment when the portion of the price that includes each payment becomes due.

When no price has been agreed upon or, if agreed upon, the moment of its due date has not been determined, or if it has been established with a periodicity exceeding one calendar year, the VAT becomes chargeable on 31 December of each calendar year for the proportional part corresponding to the period elapsed from the start of the transaction or from the previous accrual until such date, the service is being regarded as supplied at the end of each calendar year until the service provision ceases.

4.4 Cash accounting

Under the special cash accounting regime, the VAT becomes chargeable:

- at the time of total or partial payment, for the amount received;
- on 31 December of the calendar year following the one in which the transaction took place, if no payment has been received by then.

5. Taxable amount

5.1 Bad debt relief

The taxable base can be adjusted for bad debt under the following circumstances:

- the customer is officially declared bankrupt; or
- due to late payment, where the payment has not been made within a specific period following the accrual of the tax (12 months is the standard, though small businesses can voluntarily reduce this to 6 months). A special rule applies when the special cash accounting regime is in place.

However, no adjustment of the taxable base is allowed when the payment is secured by a mortgage, or if the customer is a related party, a non-established entity that is not resident in Spain (i.e., Spanish VAT territory, Canary Islands, Ceuta and Melilla), or a non-taxable person when the transaction does not exceed EUR 50 (VAT excluded).

It is important to note that, following the ruling in the *Ramada Stora* case (CJEU Case C-756/19), the Spanish General Tax Directorate has updated its earlier doctrine and the Spanish VAT Law has been updated. Now, the correction of the taxable base is also allowed when the bankruptcy of a non-resident client has been declared by a court in another EU Member State, in accordance with the Regulation (EU) No 2015/848 on insolvency proceedings.

The correction is subject to the following formalities:

- a formal payment request to the client (i.e., judicial claim, notarial request or by any other means that reliably certifies the claim for payment);
- issuing a corrective invoice and registering it in the VAT register before the following deadlines:

- for bad debts due to bankruptcy: 3 months following the publication of the bankruptcy declaration;
- for late payment debts: 6 months after the bad-debt period specified in the law; and
- informing the VAT authorities of the correction and providing supporting documentation within 1 month of issuing the corrective invoice. A specific electronic Form 592 is available on the tax authorities' website (<https://tinyurl.com/3pnmrxfj>).

5.2 Cash discounts

VAT regulations outline two scenarios for cash discounts:

Scenario I: Early discount included in the invoice

Discounts for early payment, granted before or at the time of the transaction, must be explicitly mentioned in the invoice and will not be included in the taxable base. If the customer fails to make the payment on time, a corrective invoice must be issued to adjust the taxable base.

Example:

Invoice amount: EUR 1,000
Cash discount: 2% for payment within 14 days
Taxable base if paid within 14 days: EUR 980

This invoice is reported for EUR 980 plus VAT on EUR 980 in the VAT register and the corresponding VAT return when the original invoice is issued.

Hypothesis 1: Customer Fails to Pay on Time

In this case, a corrective invoice for the 2% discount (EUR 20 plus VAT) must be issued, referencing the original invoice.

The corrective invoice is reported for EUR 20 plus VAT in the VAT register and the VAT return when it is issued.

Hypothesis 2: Customer Pays on Time

No correction is necessary.

Scenario II: Early discount granted after the transaction

If a discount for early payment is granted after the transaction, this constitutes a reason to adjust the taxable base, requiring the issuance of a corrective invoice.

Example:

Invoice amount: EUR 1,000
Taxable base: EUR 1,000

The invoice is reported for EUR 1,000 plus VAT in the VAT register and the corresponding VAT return when the original invoice is issued.

Subsequently, a 2% cash discount for early payment is agreed. In this case, a corrective invoice for the 2% discount (EUR 20 plus VAT) must be issued, with a reference to the original invoice.

The corrective invoice is reported for EUR 20 plus VAT in the VAT register and the corresponding VAT return when it is issued.

5.3 Open market value

Article 79.5 of the Spanish VAT Law introduces a special valuation rule for related-party transactions where the consideration differs from the "open market value," as defined in Article 72 of the VAT Directive. This rule applies if the difference in value leads to a more favourable VAT position for either the recipient or the supplier. This occurs in situations such as:

- the recipient is not entitled to fully deduct the VAT incurred, and the agreed consideration is lower than the open market value; and
- the supplier is in a proportional deduction situation (Articles 173-175 of the VAT Directive), and the agreed consideration is either lower (for an exempt transaction that does not grant the right to deduction) or higher than the open market value.

5.4 Returnable packaging

When reusable packaging is returned, it is treated as an adjustment to the taxable base. If the same VAT rate applies, the refund can be handled as a reduction of the taxable base in a subsequent invoice to the client without needing to issue a corrective invoice.

6. VAT Rates

6.1 Standard rate

The standard VAT rate in Spain is 21%.

6.2 Reduced rate

A reduced VAT rate of 10% applies to the following items:

- food and beverages (excluding alcoholic beverages and soft drinks, juices and sodas with added sugars or sweeteners);
- animal and human food products, as well as products used for their production;
- water supplies;
- pharmaceutical products (for both humans and animals);
- certain medical equipment;
- residential apartments;
- plants and seeds;
- certain energy products, such as electricity for vulnerable people, gas, and pellets. A super-reduced rate of 5% was temporarily applied to electricity and other energy products. Since 1 January 2025, 5% is no longer applicable and 21% VAT applies;
- certain agricultural services;
- repair and rehabilitation work on residential buildings or parts of them;
- certain construction work;
- passenger transport services;
- hotel accommodations;
- certain sanitary products (as listed in Annex Eight of the Spanish VAT Law);
- commercial fairs;
- entrance to libraries, museums, art galleries, cinemas, theatres, and live cultural events; and
- certain imports and intra-Community acquisitions of artworks.

6.3 Super-reduced and zero rates

A super-reduced VAT rate of 4% applies to:

- certain basic foodstuffs (bread, flour, milk, cheese, eggs, fruits, vegetables and other natural product according to the Food Code). Also, since 1 January 2025 olive oil;
- books, magazines, and newspapers;
- medication for human use;
- orthopaedic products;
- government-subsidized housing; and
- services provided to dependent persons;

The 0% VAT rate applies to:

- donations;
- Since 10 April 2022, a 0% VAT rate has been applied to in-kind donations to non-profit entities as regulated by Law 48/2002, provided these donations serve to further their goals.
- Temporary:

During the period 23 April 2020 – 13 December 2022, a 0% VAT rate was temporarily applied to, certain supplies of goods and services deemed essential, due to extraordinary reasons (e.b. COVID-19 Relief Measures, Inflation Control Measures).

This 0% VAT rate is no longer applicable.

7.1 Exemptions with the right of deduction (intra-Community supplies of goods and export of goods)

The following supplies of goods and services are exempt from VAT but retain the right to deduct any input VAT incurred in carrying them out:

- exports and intra-Community supplies of goods;
- goods supplied under retail export schemes or through tax-free shops to travellers residing outside the EU;
- the supply, construction, repair, hire, or charter of seagoing vessels used for commercial transport of goods or people, warlike vessels, safeguard vessels, or vessels used in coastal fishing;
- the supply, construction, repair, hire, or charter of airframes exclusively used by companies for international navigation, commercial transport of goods or people, or by public bodies for public functions;
- services related to and goods incorporated into the above-mentioned vessels or aircraft;
- supplies made to customers with diplomatic tax immunity;
- supplies of monetary gold to central banks;
- services related to inward processing on behalf of principals residing outside the EU;
- goods under customs control or VAT warehousing arrangements;
- international passenger transport by seagoing vessels and airplanes;
- provisioning of seagoing vessels with foodstuffs (excluding inshore fishing vessels); and
- services provided to goods under customs control.

If the exemption for intra-Community supplies of goods is applied, the supplier must retain a copy of the invoice showing the customer's valid VAT identification number (issued by another EU Member State) along with commercial and intra-Community transport documentation (e.g., bills of lading, transport documents, and proof of payment) that demonstrate that the goods have left Spain (in line with Article 45a of the Council Implementing Regulation (EU) No 282/2011). Also the transaction must be declared in the intra-Community transactions recapitulative return (Form 349).

For exports, where the supplier or their representative transports the goods, they must keep the invoice, delivery notes, transport documents, and proof that the goods have left the EU VAT territory. In cases where the customer or their representative transports the goods (indirect export), a copy of the customs declaration (export single administrative document (SAD)) is also required as proof. Goods must leave the EU VAT territory within 1 month of the sale.

For supplies and provisioning of vessels and airplanes, a copy of the bill of lading must be provided by the charterer within the month following the supply to prove the application of the exemption.

7.1.1 Warehousing

7.1.1.1 VAT warehouse

Article 24, One 1^o letter f) and 2^o) of the Spanish VAT Law exempts the supply of goods and related services destined for a VAT warehouse, as defined in Annex V of the Spanish VAT Law. The VAT warehouse regime applies to the following operations:

- goods subject to excise duties during production, transformation, and storage within factories and tax deposits, as well as their movement between such places and importation into them;
- natural gas within a distribution network in the EU or any network connected to it;
- goods excluded from the customs warehouse regime due to their origin, provided they are not intended for final consumers (unless introduced in tax-free shops); and
- goods traded in futures markets until they are made available to the purchaser.

The sale of goods while still in bond, and related services, are exempt from Spanish VAT. The supplier must obtain a statement from the purchaser confirming eligibility for the exemption.

When goods are released from the VAT warehouse, the event is treated as an import, requiring the owner of the goods to liquidate the VAT via a specific VAT form. However, the import will not be considered to have occurred if the release is due to an export, assimilated export, or intra-Community supply.

The VAT warehouse operator is jointly responsible with the taxable person for VAT liabilities on goods exiting the regime, except for goods subject to excise duties.

When goods under CN codes 19 to 25, as listed in Annex V, are released from the VAT warehouse, this is treated as a reverse charge situation under Article 84.1.2° of the Spanish VAT Law.

7.1.1.2 Excise warehouse

The VAT warehouse regime also applies to operations related to goods subject to excise duties, including: production, transformation, and storage within factories and tax deposits; movement of such goods between these locations; and importation of such goods.

7.1.1.3 Bonded (customs)

Goods entering Spain from non-EU countries can be placed in a bonded warehouse, where no customs duties or import VAT are payable.

When goods are released from the bonded warehouse for free circulation, this is considered an importation, and customs duties and VAT become due. The taxable person declaring the goods into free circulation is responsible for paying the taxes. However, this is not considered an importation if the release is for export, assimilated export, or intra-Community supply of goods.

The sale of goods while in bond, and related services, are exempt from VAT. The supplier must obtain a statement from the purchaser confirming eligibility for the exemption. Supplies of goods prior to importation into Spain are outside the scope of Spanish VAT.

7.2 Exemptions without the right of deduction

As a general rule, exempt transactions do not grant the right to deduct input VAT, unless specified otherwise. As a result, companies benefiting from these exemptions generally have limited the right to deduct input VAT. There is no option to opt-out, except for supplies of rural land and second or subsequent transfers of immovable property eligible for exemption (see paragraph 7.3).

Exemptions in the public interest

Examples include:

- health and welfare services; and
- education services (excluding matters not included in an official Spanish education plan).

Other Exemptions

Examples include:

- renting immovable property for residential purposes (except when additional services similar to those in the hotel industry are provided);
- the transfer of second-hand immovable property (exemption can be waived if specific requirements are met);
- insurance services;
- credit, banking, and similar activities;
- cultural and religious services;
- sports services;
- intermediation services related to exempt financial services;
- services provided to members by economic interest associations;
- services provided by non-profit organizations;
- lotteries, bets, and games organized by the State Lottery and Betting Company and the National Organization for the Blind, and by the corresponding bodies of the Autonomous Communities, as well as activities that constitute taxable events for gambling taxes and random combinations. However, the exemption does not extend to management services and other operations of an accessory or complementary nature to those included in the previous paragraph that do not constitute taxable events for gambling taxes, with the exception of bingo management services.
- postal services; and
- supplies of goods where the supplier is not entitled to input tax credit.

7.3 Option for taxation

- There is an option to waive the exemption in supplies of rural land and second or subsequent transfers of immovable property. The conditions for exercising this option are:
- the purchaser must have full or partial rights to deduct the input VAT associated with the purchase of the immovable property; and
 - the supplier must be formally notified of the option by the customer, along with a signed declaration stating that the purchaser is acting in his capacity of entrepreneur/professional and has the partial or full right to deduct input VAT resulting from the transaction, based on the intended use of the immovable property.

8. Liability

8.1 Reverse charges

In addition to the reverse charge rules stipulated in the EU VAT Directive, such as Articles 194 to 196, the Spanish VAT Law has implemented several specific reverse charge mechanisms.

8.1.1 General reverse charge mechanisms – non-resident suppliers (Article 194 EU VAT Directive)

For supplies of goods or services made by a non-resident supplier to taxable person located within the Spanish VAT territory, the VAT liability is shifted to the recipient. This rule applies regardless of whether the non-resident supplier is registered for VAT in Spain (i.e., has a Spanish Tax Identification Number - NIF - or a Spanish VAT number) as long as the supplier is not established in Spain.

However, the application of the reverse charge rule varies for supplies of goods and services:

Goods

The reverse charge mechanism always applies to the domestic supply of goods by a non-resident taxable person to another taxable person, even if the customer does not reside in Spain. As a result, a non-established taxable person purchasing goods from another non-established taxable person is liable for Spanish VAT (self-assessment). If they are not registered for VAT in Spain, they must register to self-assess the VAT through a quarterly VAT return.

Additionally, special reverse charge rules mandatorily apply to specific goods (see paragraph 8.1.2).

Services

The reverse charge mechanism applies to domestic services provided by a non-resident taxable person to another taxable person residing in the Spanish VAT territory or with a permanent establishment there, provided the services are rendered to that establishment (there are some exceptions in which VAT will always need to be charged - e.g., non-VAT exempt lease of immovable property located in the Spanish VAT territory and intermediary services with respect to the lease of immovable property located on the Spanish VAT territory).

If the customer is not a resident or is not established for VAT purposes in Spain, and the service must be located in the Spanish VAT territory due to a special rule, the reverse charge does not apply. In such cases, the non-resident supplier must register for VAT in Spain (if not already registered) and charge Spanish VAT to the customer.

Legal entity with a Spanish VAT number not acting in a business capacity

The reverse charge mechanism also applies to legal entities with a Spanish VAT number that are not acting in their business or professional capacity, if they receive any of the following from a non-resident supplier:

- subsequent supply of goods within a triangulation scheme; or
- services subject to Spanish VAT.

Supply of certain goods and services

The VAT liability is shifted to the customer (whether resident or non-resident) in the following cases:

- supplies of non-manufactured gold or semi-finished gold products with a purity of 325 thousandths (325/1000) or greater;
- supplies of certain types of waste (e.g., Waste or scrap of paper, cardboard, or glass);
- sales of emission rights, certified emission reductions, and emission reduction units for greenhouse gases;
- sales of mobile phones, video game consoles, computers, and tablets when the invoice exceeds EUR 10,000 (VAT included) being the acquirer a business or professional, or when the acquirer is considered a “reseller”, regardless of the invoice amount; and
- silver, platinum, and palladium, in raw, powdered, or semi-finished form; deliveries of these metals resulting from transformation activities carried out by the acquiring entrepreneur or professional shall be assimilated to the same. In any case, these must be products that are not included within the scope of the special regime applicable to used goods, works of art, antiques, and collectibles.

Reverse charge mechanism – certain supplies of immovable property

The reverse charge mechanism also applies to the supply of immovable property in the following situations:

- the supply of immovable property resulting from a bankruptcy procedure;
- the taxable person waives the exemption on the second or subsequent supply of immovable property (as per Article 20. One sections 20° and 22° of the Spanish VAT Law); and
- the supply of immovable property following the execution of a real guarantee on the property.

Reverse charge mechanism – construction work on immovable property

The reverse charge mechanism applies to construction work related to immovable property under certain conditions:

- the customer must be acting as a taxable person;
- the construction work must involve the urbanization of land or the construction or rehabilitation of buildings (the concept of “rehabilitation” is defined in Article 20.1 section 22° Letter B of the VAT Law);
- the construction work may or may not include the provision of materials (if the materials contribute more than 40% of the project cost, it is considered a supply of goods; otherwise, it is a service). This includes the provision of personnel for the work; and
- the work must be carried out under a contract between the real estate developer and the main contractor, or between the main contractor and subcontractors.

8.2 Joint and several liability

In addition to specific provisions in the Spanish VAT Law (in particular, Article 87 of the Spanish VAT Law) and Customs regulations (responsibility arising from special Customs and VAT regimes), as well as for representatives under the IOSS regime, Articles 42 and 43 of the General Tax Law outline situations where third parties may be held liable for the payment of outstanding tax debts.

Joint liability

The following entities can be held jointly liable for tax debts:

- anyone involved in causing or actively collaborating in a tax offense. In this case, liability extends to penalties as well;
- successors of a business activity. As defined in Article 40 of the General Tax Law, successors are liable for outstanding tax obligations arising from the business activity. If no certification clearing tax debts was requested from the tax authorities, liability extends to the corresponding penalties;
- up to the amount of the assets involved, the following parties may also be held jointly responsible for tax debts and penalties: anyone causing or collaborating in hiding or transferring assets belonging to the taxable subject with the intent of preventing the tax administration from collecting taxes;
- anyone guilty of or negligent in jeopardizing tax embargoes;

Refunds must be issued within 6 months of the filing deadline for the corresponding VAT return. If the VAT authorities fail to comply with this deadline, late payment interest will be paid to the taxpayer.

Deductible VAT, as defined by the Spanish VAT Law, can be offset against VAT charged on the sale of goods or services when filing quarterly or monthly VAT returns (Form 303).

If the return results in a receivable balance, this balance can be carried forward to the next quarterly or monthly VAT return. If the balance at the end of the last quarterly/monthly VAT return of the year is still a receivable, the following options are available:

- offset the receivable in subsequent VAT returns (within a 4-year period); and
- request a refund in the VAT return for the last period of the year. Taxable persons can also opt for the monthly refund regime (REDFEME, "Régimen de devolución mensual") to be eligible for refunds based on monthly VAT returns.

9.2 Excess input VAT

If the goods or services are partially used for business purposes, VAT on those items is generally not deductible. However, an exception applies to the following:

- investment goods: VAT can be deducted on a pro-rata basis; and
- purchase and lease of cars, including their spare parts, maintenance, and related expenses (e.g., petrol, lubricants, parking, tolls): a partial deduction of 50% is allowed unless a higher proportion is proven (the burden of proof lies with the taxable person, who can use any means to substantiate the claim).

VAT costs related to the following goods and services are not deductible:

- jewelry;
- food, drinks, and tobacco;
- entertainment expenses;
- gifts to clients, employees, or third parties, except for samples and promotional items with minimal value; and
- travel fares, hotel accommodations, and restaurant expenses, if they are not deductible for corporate tax purposes.

9.1 Non-recoverable input VAT

9. Recovery of input VAT

The following persons and entities can be held severally liable for tax debts:

- directors or de facto managers of companies: those who, through a lack of diligence or active measures, prevent the company from meeting its tax obligations are liable for both outstanding tax debts and penalties;
- managers of companies that have ceased operations: those responsible for managing the bankruptcy process are also liable;
- purchasers of goods that serve as collateral for tax debts: as defined in Article 79 of the General Tax Law; customs agents acting on behalf of importers: these agents will not be severally liable for the importer's tax debts;
- principals of subcontractors: principals are liable for the outstanding tax debts of subcontractors related to the subcontracted work, unless they have obtained a certificate from the tax authorities (issued within the last 12 months) confirming that the subcontractor has no outstanding tax debts; and
- individuals or companies involved in legal structures created with the intent of abusive tax avoidance. In this case, liability extends to penalties as well.

Several liability

- depositories of embargoed assets who permit their unauthorized transfer after receiving notice of the embargo.

9.3 Adjustment periods

VAT incurred before commencing business activity

VAT incurred before a business activity officially starts is deductible based on a provisional percentage proposed by the company. If applicable, adjustments should be made according to the definitive percentage over the first 4 years of activity.

This is also applicable to those who, already having the status of an entrepreneur or professional due to their ongoing activities of such nature, commence a new business or professional activity that constitutes a distinct sector from the activities they had previously been carrying out.

VAT incurred on investment goods

A follow-up period applies to VAT incurred on the purchase of investment goods. The VAT deduction must be adjusted if the original right to deduction changes due to a variation in the pro-rata, the foreseeable destination of the goods or if such investment goods are delivered. In the latter case, if the delivery is exempt or not subject to tax, it will be considered that the investment good was used exclusively for transactions that do not give the right to deduct throughout the year in which the delivery was made and in the remaining years until the expiration of the adjustment period. Conversely, if the delivery is subject to tax and not exempt, it will be considered that the investment good was used exclusively for transactions that gave the right to deduct throughout the year in which the delivery was made and in the remaining years until the expiration of the adjustment period. The adjustment periods are:

- immovable property: 9 years following the year of first use; and
- movable property (including animals): 4 years following the year of first use.

In cases of loss or definitive unusability of investment goods, due to a cause not attributable to the taxpayer and duly justified, no adjustment shall be made in the years following the occurrence of such circumstance. Start-up period: input VAT incurred during the start-up phase of a business or professional activity must be adjusted on a pro-rata basis for the first 4 calendar years.

9.4 VAT Refund to EU taxable persons

A special refund procedure applies to taxable persons residing in another EU Member State, the Canary Islands, or the autonomous cities of Ceuta or Melilla if:

- there is no fixed VAT establishment in Spain, or if such an establishment exists, during the period referred to in the application, they have not made any supplies of goods or services from the fixed establishment;
- the applicant has not carried out any supply of goods or services subject to Spanish VAT during the refund period, except for:
 - supplies of goods or services where the reverse charge applies; or
 - exempt intra-Community transport and related services;
- the applicant has not purchased goods or services in Spain during the refund period that would make them liable for VAT under the reverse charge mechanism; and
- the applicant complies with all requirements and limitations in the Spanish VAT Law for the right to deduction.

The applicant allocates the acquired or imported goods or the services received in the Spanish VAT territory to transactions that give the right to deduction in accordance with the applicable regulations in the EU Member State where they are established and based on the applicable deduction percentage in that EU Member State. If the applicable deduction percentage is adjusted after the submission of the refund request, the applicant must, in any case, proceed to correct the amount by adjusting the requested amount or reimbursing the excess amount refunded. The refund application must be submitted electronically via the tax authorities' portal in the claimant's country of residence.

The annual minimum claim limit is EUR 50 (for claims covering a calendar year or the remainder of a year). For quarterly claims, the minimum is EUR 400.

A claim can be filed for periods that are no less than three months and not exceeding the calendar year. An annual claim may also be submitted to include VAT amounts not reflected in the quarterly returns.

Claims covering periods of less than 3 months can be submitted if the period refers to the remainder of the calendar year.

The period for submitting the refund request begins the day after the end of each calendar quarter or each calendar year. The deadline for submitting claims is September 30 of the year following the year in which the VAT was incurred.

Original supporting documents are not required, but electronic copies of invoices exceeding certain amounts must be attached (e.g., taxable base exceeding EUR 1,000 or EUR 250 for petrol). The Spanish tax authorities may request additional information or original documents during the refund process.

The Spanish tax authorities must issue a decision on the refund claim within 4 months of receipt. This period may be extended to 6 or 8 months if additional information is requested. It shall be deemed rejected if, after the deadlines referred to, no explicit notification of its resolution has been received. If the deadlines are exceeded, late payment interest will apply.

If the refund is granted, it will be processed within 10 business days and paid to the bank account provided. The time limit for appealing a decision before the non-resident VAT office is 1 month following the decision. If the appeal is unsuccessful, the claimant may proceed to the Central Administrative Court (within 1 month of receiving the appeal decision) and, if still unsuccessful, to the courts (within 2 months of receiving the decision on appeal).

The internal regulations governing the right to deduct input VAT also apply to non-resident claimants. Limitations from the claimant's country of residence may also apply.

9.5 VAT refund to non-EU taxable persons

In addition to the conditions outlined in paragraph 9.4, the following special requirements apply:

- a reciprocity agreement must exist between Spain and the applicant's country of residence. Reciprocity agreements exist with Canada, Israel, Japan, Monaco, Norway, and Switzerland, each with its own specific terms. Since Brexit, there is a reciprocity agreement also with the UK; and
- a tax resident must be appointed to file the refund application on behalf of the non-resident. This representative is jointly responsible for any undue refunds. A special power of attorney, granted before a public notary and stamped with an apostille under the Hague Convention, is required. The document must be attached to the first VAT refund application as non-established that is filed before the Spanish Tax Agency (AEAT).

Reciprocity is not required for refunds of VAT incurred on:

- purchasing or importing templates and moulds used for the fabrication of goods in Spain, provided the goods are subsequently exported; and
- accommodation, restaurant, and transportation expenses related to attending fairs, congresses, or exhibitions of a commercial or professional nature in Spain.

Refund applications for VAT incurred in Spain must be submitted electronically on a quarterly or yearly basis using Form 361, available on the Spanish Tax Agency website: <https://tinyurl.com/my4rv6xz>

10. Administrative obligations

10.1 Invoicing

Invoices can be issued either on paper or electronically, provided they meet the following criteria:

- the authenticity of origin is guaranteed;
- the integrity of the contents is maintained;
- the invoice is legible.

Any legally accepted proof, especially standard business controls, can be used to meet these criteria.

10.1.1 Invoice content

Standard invoices

(i) Minimum Information Required:

- the date the invoice is issued;
- the date the transaction took place or when the advance payment was received (if different from the invoice date);
- the invoice number (sequential) and series. A different series may be required in specific cases, such as corrective invoices, invoices issued by the recipient, or invoices issued by a third party;
- the VAT/tax identification number under which the supply of goods or services is made;
- the VAT/tax identification number of the customer is required for:
 - VAT exempt intra-Community supplies of goods;
 - transactions with reverse charge mechanism;
 - transactions within the Spanish VAT territory when the supplier is established in Spain.
- if the existence of a fixed establishment affects the applicable VAT regime, the location of the establishment involved in the transaction must be indicated;
- a description of the delivered goods or rendered services, with sufficient detail to determine the taxable base, including quantity, unit price, and any discount not included in the unit price;
- special references as applicable:
 - for exempt transactions: reference to the Spanish VAT Law, the EU VAT Directive, or the term "VAT exempt";
 - for self-billing: the phrase "Facturación por el destinatario" (invoice issued by the customer);
 - for reverse charge: the phrase "Inversión del sujeto pasivo" (customer is liable for VAT);
 - the taxable amount, broken down if necessary when the invoice covers:
 - both exempt and non-exempt transactions;
 - transactions subject to reverse charge and those not subject to it;
 - transactions subject to different VAT rates;
 - the applied VAT rate(s);
 - the VAT amount, independently stated;
 - the word "invoice" is not required, but if the document is a duplicate, this must be stated.
- Duplicates are allowed when:
 - the transaction involves multiple taxable customers; or
 - the original invoice was lost.
- When the "Verifacua Ordinance" comes into force additional requirements will include:
 - a QR code;
 - the phrase "factura verificable en la sede electrónica de la AEAT" or "VERIFACUA" if the invoicing software sends a copy of all its records to the Spanish Tax Agency system.
- (iii) Additional Information for Specific Transactions:
 - Invoices documenting intra-Community supplies of new means of transport must include:
 - vehicle specifications;
 - date of first use;
 - distance covered or hours of navigation or flight before delivery;
- For the travel agency scheme, the invoice must reference the "régimen especial de las agencias de viaje" (special travel agency regime);
- For special regimes covering second-hand goods, art, antiques, and collectibles, the invoice must reference the applicable regime: "régimen especial de los bienes usados" (second-hand goods special regime), "régimen especial de los objetos de arte" (art special regime), or "régimen especial de las antigüedades y objetos de colección" (antique and collectibles special regime).

Recapitulative invoices

It is possible to document multiple transactions made on different dates with the same client within the same calendar month on a single invoice.

Amendment of invoices

An issued invoice must be corrected if a formal mistake has been made, the VAT amount was incorrect, or circumstances as described in Article 80 of the VAT Law - regarding modifications of the taxable base - apply. Correcting an issued invoice requires issuing a new corrective invoice. This invoice can be either a full invoice or a simplified one, provided it includes the following references:

- a reference to the invoice(s) being corrected (unless the correction is due to the volume of transactions); and
- details of the corrections made to the original invoice(s).

The return of products or packaging can be reflected as a reduction of the taxable base on subsequent invoices issued to the same client.

Language

The language of the invoice may be freely chosen by the business parties. However, if requested by the Spanish tax authorities, the taxable person must translate the invoice into any of Spain's official languages in the following cases:

- Invoices documenting transactions located within the Spanish VAT territory.
- Invoices received by taxable persons established within the Spanish VAT territory.

10.1.2 Time limits

Invoices must be issued and delivered to the client when the transaction takes place. If the client is another taxable subject, the invoice must be issued and delivered before the 16th of the month following the month in which VAT is accrued (or when the transaction occurred, if the special cash regime applies, or when the recapitulative invoice was issued).

10.1.3 Currency

Invoices may be issued in foreign currencies. However, the VAT amount must be stated in Euros.

10.1.4 Conversion and exchange rate

The applicable exchange rate is the official rate issued by the Central Bank of Spain (identical to the European Central Bank's rate) on the date the taxable event occurred. Monthly averages are not permitted, and no notification to the tax authorities is required.

10.1.5 Self-billing

Invoices can be issued by:

- the supplier, obliged to issue the invoice;
- the recipient of the transactions; and
- a third party hired for this purpose.

In order for the invoicing obligation to be materially fulfilled by the recipient of the transactions, the following requirements must be met:

- there must be an agreement between the entrepreneur or professional who carries out the transactions and the recipient of these, by which the former authorizes the latter to issue the corresponding invoices for said transactions;
- this agreement must be signed prior to the execution of the transactions and must specify those to which it refers;
- each invoice issued must be subject to an acceptance procedure by the entrepreneur or professional who has carried out the transaction. This procedure will be adjusted to what the parties determine;
- the recipient of the transactions who issues the invoices must send a copy to the entrepreneur or professional who carried them out; and

- these invoices will be issued in the name and on behalf of the entrepreneur or professional who has carried out the operations documented therein.

The obligation to issue an invoice may be fulfilled by a third party hired for this purpose.

The Spanish tax authorities must be informed in advance if the customer or third party is not an EU resident (except if resident in the Canary Islands is, Ceuta, Melilla, or from a country that has a mutual assistance agreement with Spain).

10.1.6 Simplified invoices

Simplified invoices that have the same legal status as full invoices, but do not give the right to deduct the input VAT, can be issued in the following cases:

- when a corrective invoice is required;
- for transactions not exceeding EUR 400 (VAT included);
- for transactions not exceeding EUR 3,000 (VAT included), if specified in the VAT ordinance (e.g., retail services, restaurants, bars, hotels, toll roads, parking, passenger transport, etc.);
- in other cases, if authorized by the tax authorities.

However, simplified invoices are not permitted in the case of:

- intra-Community supplies of goods;
- distance sales, unless under OSS and not exceeding the above mentioned thresholds;
- transactions carried out by a non-resident company when the reverse charge rule applies and there is self-billing by the recipient or billing by a third party;
- transactions located in another EU Member State or outside the EU and subject to the reverse charge rule.

Minimum Information Required for a Simplified Invoice:

- the date the invoice is issued;
- the date of the transaction or receipt of advance payment (if different from the invoice date);
- the invoice number (sequential) and series;
- the tax identification number under which the goods or services are supplied;
- the business name and address of the supplier;
- the identification of the type of goods delivered or services rendered;
- the applied VAT rate and, optionally, the phrase "VAT included";
- the total consideration;
- for a corrective invoice: reference to the original invoice and details of the corrections made.

10.1.7 Storage of invoices

Invoices issued and received, along with import documents supporting VAT on importation, must be stored. This obligation applies for the VAT assessment period: 4 years following the VAT return deadline (longer if the assessment period is interrupted).

The storage period may be extended in specific cases, such as:

- invoices related to VAT incurred for purchasing fixed assets subject to an adjustment period;
- storage obligations under mercantile regulations (6 years);
- Corporate Income Tax regulations (if the taxable person wishes to offset losses or for the useful life of fixed assets if depreciation is applied).

Third parties hired for storage may fulfil this obligation. Mandatory prior communication to the Spanish tax authorities is required if the storage is conducted by a third party that is not an EU resident (except if resident in the Canary Islands is, Ceuta, Melilla, or in a country that has a mutual assistance agreement with Spain). Invoices can be stored in any format, provided the authenticity of origin, integrity of contents, and legitimacy are guaranteed. The Spanish tax authorities must be able to access them upon request without unjustified delay. E-storage is required if invoices are stored outside Spain.

- a “large business” (taxable persons with an annual turnover exceeding EUR 6,010,121.04);
- VAT returns must typically cover the calendar quarter, except for the following taxable persons who must file monthly VAT returns:

(i) Quarterly/monthly VAT return (Form 303)

10.2.1 VAT return period

10.2 Compliance

Companies complying with SII obligations will be exempt from this requirement.

Compliant invoicing software will need to maintain real-time, time-stamped records of issued and canceled invoices, including details required by the “Verifactu Ordinance.” Each entry must be electronically signed and accompanied by a digital fingerprint (hash).

This obligation is expected to take effect by 28 July 2025 for software developers and sellers on 1 January 2026 for companies eligible for the Spanish Corporate tax and on 1 July 2026 in other cases.

out by Royal Decree 1007/2023, of December 5 (the “Verifactu Ordinance”).

Spanish companies and non-resident companies operating in Spain through a permanent establishment for non-resident income tax purposes will be required to use invoicing software compliant with the standards set out by Royal Decree 1007/2023, of December 5 (the “Verifactu Ordinance”).

10.1.9 Statutory requirements for invoicing systems (Verif actu Ordinance)

Companies operating in Spain from establishments located in autonomous regions with special VAT competences (the Basque Country and Navarra) must comply with the special e-invoicing requirements for both B2B and B2C transactions under the “ticketba” system, which is already in force in those territories.

Due to delays in the approval and publication of the draft Ordinance of January 29, 2024, it is foreseen that the new mandatory B2B e-invoicing becomes in force by 2026/2027.

The current mandatory B2C e-invoicing has been extended to B2B domestic transactions by the, so called, “Ley Crea y Crece” (Law 18/2022, of 28 September). The coming into force of this obligation will take effect 12 months after the existing draft Ordinance of January 29, 2024, is approved and published in the Official Gazette (24 months for companies with turnover under 8 million Euros).

Mandatory E-invoicing

Issuing electronic invoices requires prior consent from the recipient.

- any other method proposed by the issuer, provided it is previously accepted by the Spanish tax authorities;
 - an electronic data interchange (EDI) system;
 - an advanced electronic signature;
- contents, but other methods may also be used, such as:
- Formerly accepted standards are still valid for guaranteeing the authenticity of origin and integrity of

- legibility;
- integrity of contents;
- authenticity of origin;

standards are required, the system used must ensure the following for the entire storage period:

An electronic invoice is any invoice that is issued and received by electronic means. While no special IT

10.1.8 Electronic invoicing

- the system must allow the tax authorities complete online access to the data and provide the ability to download it without unjustified delay.
 - the system must guarantee the legibility of the original invoice and, when applicable, any associated data, as well as the verification system or other authorized process that ensures authenticity and integrity;
- For electronically stored invoices:

- taxable persons who have voluntarily applied for the special monthly refund regime (REDEME);
- taxable persons who are part of a VAT group (REGG).

Companies with the obligation to file VAT returns on a monthly basis, are subject to the Immediate Information System (SII) obligation.

As a general rule, quarterly VAT returns must be filed within the first 20 days of the month following the period covered by the return. However, the VAT return of the 4th quarter must be filed no later than 30 January of the following calendar year.

Monthly VAT returns must be filed within the first 30 days of the month following the covered period (VAT return of January, until 28 February).

During the calendar year, taxpayers must offset the VAT receivable result of the VAT returns with VAT payables of future VAT returns and the refund of any VAT credit position in the end of the calendar year can be requested through the submission of the last VAT return of the calendar year (4^Q or December), unless the taxpayer is in REDEME and opts to claim the refund through the submission of the corresponding monthly VAT return.

There is no obligation to file Form 303 for taxable persons who only incur exempt transactions under Articles 20 (domestic transactions eligible for exemption) and 26 (exempt intra-Community acquisitions of goods) of the Spanish VAT Law.

Starting from the monthly VAT return for September 2024 (3rd quarterly VAT return for 2024), Form 303 has been amended to align with the provisions of the Final Provision Third of Royal Decree 117/2024. With certain exceptions, this decree introduces the rectifying VAT return as the standard procedure for correcting, modifying, or completing previously filed VAT returns. Previously, this could only be done by filing an "additional" VAT return or submitting a rectification application.

(iii) VAT annual summary return (Form 390):

The VAT annual summary return is an informative return with the annual figures and must be filed along with the last VAT return of the year (no later than 30 January of the following calendar year). Companies with the obligation to file VAT returns on a monthly basis are exempt from filing this form, as on the VAT return of December annual figures must be informed.

(iii) Informative annual declaration of operations with third parties (Form 347/Form 415):

This form reports VAT transactions exceeding EUR 3,005.06 within the calendar month. The same obligation applies for transactions subject to IGIC (for those operating in the Canary Islands) through Form 415. Taxable persons obliged to comply with the Immediate Information System (SII) are exempt from this requirement.

10.2.2 Filing of VAT return and payment

Taxable persons with a mercantile form must file their returns electronically through the Spanish tax agency's website:

VAT return (Form 303): <https://tinyurl.com/vyfn8jr>.

VAT annual summary return (Form 390): <https://tinyurl.com/47vjh64u>

Informative annual declaration of operations with third parties (Form 347): <https://tinyurl.com/mrxebkk>

Intra-Community transactions recapitulative return (Form 349): <https://tinyurl.com/2a4h3e5s>

An acknowledged electronic signature certificate is required.

Payment by direct debit is also possible, either through a Spanish bank or a bank in another member state of the Single Euro Payments Area (SEPA), as regulated by Ministerial Order EHA/1658/2009 and amended by Ministerial Order HFP/387/2023.

the return.

Spanish bank. An electronic code issued by the bank (the "NRC") must be obtained and included when filing. If the VAT return results in an amount payable, the payment must be made through a bank account in a

Payment/collection

- R: Transfers of goods made the framework of a consignment stock sales agreement;
 - D: Return of goods from another EU Member State to that which previously were sent from the Spanish VAT territory within the framework of a consignment stock sales agreement;
 - C: Substitutions the taxpayer recipient of the goods shipped or transported to another EU Member State within the framework of a consignment stock sales agreement.
 - H: Intra-Community supplies following an exempt import, when the import is made by the tax representative;
 - M: Intra-Community supplies following an exempt import;
 - I: Intra-Community acquisitions of services.
 - S: Intra-Community supplies of services;
 - T: Subsequent domestic supply of goods in another EU Member State within a triangulation scheme using a Spanish VAT number (intermediary);
 - A: Intra-Community acquisitions of goods subject to Spanish VAT;
 - E: Exempt Intra-Community supplies of goods (except those to be informed under codes T, M or H);
- The contents of the recapitulative return are coded as follows:

- calendar month: Once the threshold of EUR 50,000 is exceeded, until there quarterly obligation arises again according to the above.
- calendar quarter: If neither in the current quarter nor in any of the previous 4 quarters did the amount of Intra-Community transactions recapitulative returns should cover:
- Intra-Community supply of services, as defined by Article 79 of the Spanish VAT Regulation (if a service is provided to a customer in another EU Member State, and the customer is liable for VAT (reverse charge mechanism) and the service is received and the customer in Spain is liable for VAT (reverse charge mechanism) and the service is not exempt);
- subsequent domestic supply of goods in another EU Member State within a triangulation scheme using a Spanish VAT number (intermediary).
- Intra-Community supply of services, as defined by Article 79 of the Spanish VAT Regulation (if a service is provided to a customer in another EU Member State, and the customer is liable for VAT (reverse charge mechanism) and the service is not exempt);
- Intra-Community supply, Intra-Community acquisition, or transfer of goods located within the Spanish VAT territory;
- Intra-Community transactions recapitulative returns (Form 349) must be filed if any of the following transactions occur:

10.2.3 Intra-Community transactions recapitulative return (Form 349):

clients using their personal electronic signature certificate.

If duly authorized, a local representative with "social collaborator" status can file VAT returns on behalf of

a designated individual, even though the electronic signature will act on behalf of the company.

Since November 2016, signature certificates are no longer issued in the name of companies but must be

applied for by individuals authorized to represent the company. Therefore, company certificates are granted to

the applicant's identity (or that of their representative if the applicant is a legal entity), followed by an in- and allows for electronic filing of the application. The process requires providing documentary evidence of "Fábrica Nacional de Moneda y Timbre" (FNMT). The FNMT website explains how to obtain the certificate and allows for electronic filing of the application. The process requires providing documentary evidence of Several recognized certifying entities provide electronic signature certificates, the most common being the

person verification at a Spanish tax office. More information can be found at <https://tinyurl.com/2s3ux8nz>.

If the last VAT return of the calendar year results in a receivable, refunds will be made by bank transfer. However, when exceptional circumstances justify it, the refund may be made by means of a crossed or nominative cheque from the Bank of Spain.

The last VAT return of the calendar year with VAT credit position and with a request for issuance by means of a nominative or crossed check, will be submitted together with a document requesting said form of refund at the Delegation or Administration of the Spanish tax authorities of the tax domicile of the petitioner. If duly authorized, a local representative can pay or collect the resulting VAT on behalf of the represented party through their local bank account.

10.3 Penalties

Tax offenses in Spain are classified as light, serious, or very serious. Penalties for these offenses can range from a fixed amount to a percentage of the tax payable (50%–150%), depending on the circumstances involved, such as:

- fraud;
- repeated commission of tax offenses;
- economic harm caused to the Treasury; and
- failure to comply with formal requirements.

Considerations regarding penalties include:

- presumption of innocence;
- a special procedure is required;
- automatic suspension in case of a claim;
- acceptance of the penalty results in a 40% reduction; and
- voluntary payment results in a 25% reduction.

The tax assessment period in Spain is 4 years from the deadline to file the corresponding VAT return. This period can be interrupted by actions taken either by the authorities or the taxable person.

10.3.1 Default penalties for late registration

When a taxable person becomes liable for VAT in Spain, he must register for VAT immediately and inform the Spanish tax authorities through the submission of a registration census form (Form 036). If this requirement is not met, and the Spanish tax authorities cannot collect VAT as a result, a penalty for late registration (together with other eventual penalties for the lack of payment of VAT to the Spanish treasury) may be imposed.

10.3.2 Default penalties for not filing a VAT returns (without payable position) or intra-Community transactions recapitulative return on time

Late filing of VAT returns (without payable position) incurs a penalty of EUR 100 if submitted voluntarily (EUR 200 if submitted after a request from the VAT authorities).

Incomplete informative returns result in a fine of EUR 20 per missing piece of information, with a minimum fine of EUR 300 and a maximum of EUR 20,000 (reduced by half in cases of late voluntary compliance).

10.3.3 Default recharges for not paying VAT on time to the tax authorities

Without a request from the Spanish tax authorities, late payment surcharges for the late submission of VAT returns are imposed as follows:

- 1% per each month passed before the payment is made;
- a flat 15% once 12 months are elapsed plus late payment interests calculated from the 12th month onwards.

The surcharge is reduced to 25% of the penalties mentioned above if the VAT is paid voluntarily when the VAT return is submitted late. If payment is made after a notice from the VAT authorities, the full penalty plus late payment interest must be paid.

10.3.4 Penalties on VAT assessments when VAT is not reported correctly

Penalties for incorrect VAT reporting include:

- undue reimbursement application: 15%;
- undue collection of refunds: 50%–150%;

Taxable persons falling within the scope of the Immediate Information System (SII) are exempt from filing this form.

- deadline: February of the year following the reporting year;
- filing: Electronic filing is optional except for taxable persons with more than 25 significant transactions; 3,005.06 within the calendar year;
- contents: Significant purchases and sales (cumulative transactions with third parties exceeding EUR
- requirement: This applies to Spanish residents or non-residents with a fixed establishment;

(i) *Informative annual declaration of operations with third parties (Form 347)*

11. Additional compliance requirements

As a result of these new rules, the penalties can range between EUR 150 and EUR 6,000 per Intrastat return, with the possibility of a 50% reduction in case of acceptance and prompt payment (according to the previous regime the penalties ranged between EUR 60,10 and EUR 30,050.62, while the reductions were for a maximum of 40%). It is important to be aware that the values declared in the Intrastat returns should be the consistent with those declared in the VAT returns (Form 303) and intra-Community transactions recapitulative returns (Form 349) for intra-Community acquisitions and supplies of goods.

The Intrastat penalties are regulated by Royal Decree 1305/2024, of 23 December, that approves the Ordinance for the penalty procedure for the non-compliance with Intrastat obligations and in force since 1 February 2025.

10.4.3 Intrastat penalties regime

- country of origin of the merchandise;
- identification number assigned to the customer in the EU Member State of destination;
- invoice value of the goods in Euros;
- net weight of the goods in kilograms;
- statistical procedure (details on the movement of goods);
- 8-digit commodity code for the goods;
- mode of transport;
- nature of the transaction;
- EU Member State of origin or destination;

The following information must be reported for both arrival and dispatch statistics:

10.4.2 Intrastat data to be reported

The Intrastat threshold is set annually by a Ministerial Order. For both intra-Community arrivals and dispatches, the threshold is EUR 400,000.

10.4.1 Intrastat threshold

Returns can be filed through the corresponding customs office website.

Monthly Intrastat returns must be filed within the first 12 calendar days of the following month.

10.4 Intrastat

Additionally, inconsistencies between SII reports and VAT returns may lead to audits and delays in VAT refunds.

Specific penalties apply to companies not compliant with the SII: 0.5% of the gross amounts involved, with a minimum penalty of EUR 300 and a maximum of EUR 6,000 per quarter.

10.3.5 SII penalties regime

- VAT arising from reverse charge or intra-Community transactions not declared: 10%;
- failure to communicate the reverse charge applicable to construction or renovation work: 10% of the involved VAT quotas;
- failure to declare VAT incurred on imports in the corresponding VAT return (if the special liquidation regime applies): 10% of the VAT quotas involved.

(iii) Immediate Information System (SII)

Royal Decree 596/2016 of December 2, 2016, introduced the Immediate Information System (SII) to modernize and improve the use of electronic means for VAT management. The SII requires filing transaction data included in VAT bookkeeping almost in real time.

Specific SII regulations apply in certain Autonomous Regions with full VAT management competences (e.g., the Basque Country and Navarra). Additionally, since 1 January 2019, the Canary Islands' Regional Government has implemented the SII for the Canary Islands' General Indirect Tax (IGIC).

• Scope

The SII reporting obligation applies to taxpayers obliged to file periodical VAT returns on a monthly basis:

- large companies for VAT purposes (turnover over EUR 6,010,121.04);
- taxable persons applying the special monthly VAT refund scheme (REDEME); and
- VAT group members (REGGE).

Voluntary SII filing is also an option. In this case, the obligation to quarterly file periodical VAT returns is maintained.

• Contains

Required Information:

- information included in current register books;
- additional information, such as invoice type, register errors, tax period, and real estate transaction details;
- since January 1, 2021, additional data must be provided for certain intra-Community operations under call-off stock arrangements if applicable to the SII.

• Reporting deadlines

- 4 working days from the invoice issuance (invoices issued) or internal accounting date (invoices received);
- 8 working days if invoices are issued by the client or a third party;
- in all cases, errors and other information must be reported by the 16th of the following month.

Filing: SII reports, like other VAT reporting requirements, must be filed through the Spanish Tax Agency's website (<https://tinyurl.com/26uj24v5>) using an acknowledged electronic signature certificate. A third-party "social collaborator" may also file on behalf of the company.

Several specialized software solutions are available for automating the SII reporting process. More information can be found at www.sii-spain.info.

• Specialties due to territory

The Basque Country and Navarra have full VAT management competence and have issued their own SII regulations. Companies operating in these regions may need to file SII reports with regional tax authorities instead of the Spanish Tax Agency.

A similar SII obligation applies to companies operating in the Canary Islands.

• Simplifications

Companies required to file SII reports benefit from the following:

- As general rule, taxpayers will have the obligation to file VAT returns on a monthly basis and the deadline for filing is extended by 10 days, with the new deadline being the 30th of the month following the tax period (or the last day of February for January returns). However, if the taxpayer voluntarily opts for the SII obligation, it keeps the obligation to file VAT returns on a quarterly basis.

- exemption from filing informative returns (the VAT annual summary return (Form 390), and the informative annual declaration of operations with third parties (Form 347);
- exemption from the obligation to use approved invoicing software (see Veri*factu Ordinance).

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In Sweden, the VAT Directive is mainly implemented through the Swedish VAT Act "Mervärdesskattelagen (2023:200)". On July 2023 a revised VAT Act was enacted in which the structure of the Swedish VAT Act is in line with the structure of the VAT Directive. The Swedish term for VAT is "mervärdesskatt" or more informally "moms".

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

Domestic taxable persons with annual domestic supplies of SEK 120,000 (approximately EUR 12,000) or lower are not obligated to register for VAT. The threshold was increased from SEK 80,000 (approximately EUR 8,000) as from 1 January 2025. There is, however, no threshold for taxable persons that e.g. make intra-Community supplies or acquire construction services where the customer is liable for the VAT.

If a business has a Swedish electronic identification, it is possible to register for VAT electronically through the website www.verk.se. It is also possible to register by sending the form "Företagsregistrering" (Tax and Payroll Tax Application, SKV 4620) to the Swedish Tax Authority (Skatteverket). The brochure "Företagsregistrering" (Registering a business, SKV 418) contains instructions for filling in the form.

The form and the brochure can be downloaded at the following link www.skatteverket.se

It can also be ordered from the Swedish Tax Authority Customer Service Line. Please see the last page of the brochure mentioned above for further details.

1.2 Registration threshold & SME Scheme for foreign taxable persons

From 1 January 2025, new provisions apply in Sweden regarding exemption from tax liability under the special scheme for taxable persons with small annual turnover (small businesses). The biggest change is that companies based in another EU country can apply the exemption from tax liability according to the special scheme for small companies in Sweden and that a company based in Sweden can apply the exemption from tax liability according to the special scheme for small companies in other EU countries.

According to the Swedish Tax Authority, the term "established" in the VAT Directive means the same as the term "base" of the economic activity. A company established in another EU country may apply the exemption from tax liability, even if it has a fixed place of establishment in Sweden.

A condition for the exemption from tax liability to apply is that the taxable person's annual turnover within Sweden is no more than SEK 120,000 (approximately EUR 12,000) excluding value added tax during the calendar year (the annual turnover threshold). The annual turnover must also not have exceeded SEK 120,000 in either of the two immediately preceding calendar years.

Another condition for the exemption from tax liability to apply is that the taxable person's annual turnover within the EU is a maximum of EUR 100,000 during the calendar year. The annual turnover within the EU must also not have exceeded EUR 100,000 in the immediately preceding calendar year.

In order for the exemption from tax liability to apply, it is also required that the taxable person is identified by means of an individual registration number (EX-number) in the country where it has its permanent establishment.

A taxable person who applies the exemption from tax liability has no right of deduction linked to transactions covered by the exemption. This applies regardless of whether the company has its permanent establishment in another EU country or in Sweden. A taxable person with a permanent establishment in another EU country that applies the exemption from tax liability also has no right to a refund for input VAT linked to transactions covered by the exemption.

To obtain a VAT registration in Sweden, the taxable person must submit an application form "Skatteansökan för utländsk företagare" (Tax application for foreign entrepreneurs, SKV 4632) to the Swedish Tax Authority (Skatteverket).

This form can be downloaded at the following link www.skatteverket.se.

The form is to be filled in, printed, signed and submitted in original.

The application form should be submitted with the following documents:

- a certificate of incorporation which shows who is authorised to sign for the company (refers to legal entities);
- a copy of the passport (applicable for sole traders); and
- a power of attorney for the VAT representative (if applicable).

The Swedish Tax Authority usually assigns the VAT identification number within 4 – 6 weeks after receiving all the required documents.

1.3 VAT grouping

According to the Swedish VAT rules, a VAT group may, under certain circumstances, include the following entities:

- taxable persons under supervision of the Financial Supervisory Board (in Swedish: Finansinspektionen) supplying exempt financial and insurance services, and taxable persons that mainly supply goods or services to those taxable persons; and

- taxable persons acting as commissioners or principals under the commissionaire structure referred to in Chapter 36 of the Swedish Income Tax Act.

The taxable persons need to be closely bound to one another by financial, economic and organisational links in order to form a VAT group. VAT grouping is only allowed for taxable persons resident in Sweden and foreign taxable persons having a fixed establishment in Sweden.

The VAT grouping is voluntary. Pure holding companies cannot be included.

The members of a VAT group are treated as one single taxable person for VAT purposes. The VAT group is treated in the same way as a single company registered for VAT on its own. A Swedish VAT group is currently operating under one single VAT registration number.

The representative member of the VAT group accounts for any VAT due on supplies made by the group to third parties outside the group. There is only one single VAT return for the whole VAT group. Since the VAT group is treated as a single taxable person, VAT on goods or services supplied between group members is not accounted for.

The members of the VAT group are jointly and severally liable for payment of the VAT debts of the group.

1.4 Fiscal representative

Non-EU taxable persons, except for taxable persons from Norway and Iceland, need to appoint a fiscal representative in Sweden for VAT purposes. The fiscal representative must be a resident in Sweden and needs to be approved by the Swedish Tax Authority. A fiscal representative is not jointly and severally liable for payment of VAT and penalties.

2. Taxable transactions

2.1 Transfer of business

The transfer of business is considered to be an out of scope, a "no supply" transaction, provided that criteria are met. In order to be able to apply the "no supply" provision, the business transferred must be a transfer of

the business as a whole or an independent part (on a standalone basis) of the business. The buyer must be a taxable person and continue the business in the same manner as the supplier.

2.2 Supplies free of charge

In Sweden free supplies of goods or services are covered by Articles 16, 18 and 26 in the VAT Directive. In relation to Article 16, the free supply of 'gifts of small value' is not taxed in Sweden if the purchase price per item is less than EUR 30 (excluding VAT). It should be stressed that the value should be considered for each occasion there is a giveaway. It is less likely however, that the Swedish Tax Authority would accept a giveaway situation where the amount is less than 30 EUR but you give away 50 pieces of the good in question to one individual.

2.3 Importation

2.3.1 Importation followed by an intra-Community supply

No VAT is to be paid on the importation of goods for a subsequent intra-Community supply. If VAT has been paid, the importer is entitled to a refund. The VAT exemption should be claimed in the Customs declaration. The VAT-number of the purchaser of the intra-Community supply needs to be stated.

2.3.2 Postponed accounting on importation

Taxable persons registered for VAT are to report import VAT payable to the Swedish Tax Authority. This regulation means that an importer who is liable for VAT shall report and deduct import VAT in the same VAT return.

In principle, these import regulations will work in the same way as imports made for a subsequent intra-Community supply, i.e. no negative cash flow implications at the time of importation regardless of whether the goods are aimed for the Swedish market or for the rest of the EU market.

3. Place of supply

3.1 Consignment and call-off stock

It is possible to apply simplification rules when transferring goods to a consignment or call-off stock instead of applying the general rules. The rules on call-off stock have been implemented in Swedish VAT legislation in accordance with Articles 17a, 243(3) and 262(2) of the EU VAT Directive.

The simplification rules mean that the transfer of goods from Sweden to a call-off stock in another EU Member State should not be regarded as a delivery of goods in terms of VAT. Corresponding transfers from another EU Member State to a call-off stock in Sweden should not be regarded as an intra-Community acquisition.

The following conditions must be met in order to apply the simplification rules:

- both the supplier and the intended purchaser are taxable persons;
- the supplier does not have established the seat of his economic activities or have any permanent establishment in the EU Member State where the goods are transported;
- the supplier must know at the time of commencement of the shipment of the goods the identity of the intended purchaser and his VAT registration number in the country to which the goods are transported. The supplier can exchange the intended purchaser without the exchange resulting in the transfer of the goods followed by a taxable supply;
- the supplier must keep records of incoming goods to the call-off stock; and
- the supplier must include the intended purchaser's VAT registration numbers in the EC sales list.

Transfers of own goods and taxable supplies can occur in the following situations:

- the 12-month time limit is exceeded. The goods can remain in the call-off stock or a maximum of twelve months from the date the goods arrive at the call-off stock;

- the change of purchaser is not done according to given conditions;
- the product is destroyed, lost or stolen. However, minor losses due to the goods' own nature, unforeseen circumstances or government decisions are such circumstances that should not be regarded as a fictitious turnover; and
- delivery of the goods takes place from the call-off stock to another EU Member State than the EU Member State from which it was originally transported.

If the supplier applies the general rules instead of the simplification rules, the supplier needs to register for VAT in Sweden for the intra-Community acquisition of its own goods when goods are transported from an EU Member State to a consignment stock call-off stock in Sweden. As a main rule, reverse charge applies on the onward supply by a foreign supplier to a customer as long as the customer is registered for VAT in Sweden. It is, however, possible for the foreign taxable person to opt for VAT liability (i.e. to apply VAT on the onward supply even if the customer is registered for VAT in Sweden and domestic reverse charge would apply).

3.2 Installation supplies

Assembly and installation of goods can either be treated as a supply of services or a supply of goods. The supply of assembly and installation, although it consists of a service component and a goods component, should normally not be divided into a service and goods part.

If the assembly and installation work itself is extensive, the entire supply may be treated as a supply of services and not as a supply of goods. In cases where the supply only consists of assembling different parts of a machine which have all been provided to an assembler by his customer, it is considered to be a supply of services. When determining whether the supply constitutes a supply of services or a supply of goods, the agreement, the price, the work time and the labour costs would be considered.

Domestic reverse charge is applicable on the assembly and installation of goods, if the acquirer of the goods or services is registered for VAT in Sweden. The acquirer of the goods or services does not have to be established for VAT purposes in Sweden, VAT registration is sufficient for the domestic reverse charge to be applicable.

3.3 Distance sales

From 2021 onwards, the rules and thresholds for distance sales (both intra-Community distance sales and distance sales of imported goods) have been harmonized across the EU with no leeway for Member States. The distance selling threshold for sales to customers in other EU Member States without a VAT registration number (e.g. private individuals) is now EUR 10,000 for intra-Community distance sales.

Turnover generated from the supply of 'electronically supplied services', telecommunication services and broadcasting services are included in the EUR 10,000 threshold. A threshold of EUR 150 per consignment applies for the application of the special scheme for distance sales of imported goods.

3.4 Simplified triangulation

Under the Swedish VAT legislation, the simplified triangulation rules have been implemented in line with the EU VAT Directive. The simplified triangulation rules can be applied if:

- Sweden is the country of arrival of the goods; and
- the person to whom the subsequent supply is rendered (party C) is registered for VAT purposes in Sweden.

The simplified triangulation rules cannot be applied if Sweden is the country of arrival and (party B) is established in Sweden. Where Sweden is the country of arrival, the wording of the Swedish legislation does not preclude the application of the simplified triangulation rules, if the middleman (party B) is VAT registered in Sweden (party/country C) or in the country of dispatch (party/country A).

3.5 Acquisition threshold

The threshold for the acquisition of goods by non-taxable legal persons engaged in activities outside the scope of VAT is SEK 90,000 (approximately EUR 9,000).

3.6 Effective use and enjoyment

The following services are subject to the effective use and enjoyment rules, if provided to non-taxable persons:

- transfers and assignments of copyrights, patents, licences, trademarks and similar rights;
- advertising services;
- services of consultants, engineers, consultants firms, lawyers, accountants and other similar services, as well as data processing and the provision of information;
- banking, financial and insurance transactions including reinsurance, with the exception of the hire of safes;
- supply of staff;
- hiring out of movable tangible property, with the exception of all means of transport; and
- provision of access to a natural gas system situated within the territory of the European Community or to any network connected to such a system, to the electricity system or to heating or cooling network , or the transmission or distribution through these systems or network , and the provision of other services directly linked thereto.

The above-listed services are subject to Swedish VAT if the effective use and enjoyment takes place in Sweden. In addition, those services are not subject to the Swedish VAT if the effective use and enjoyment takes place outside the European Union.

Certain services provided to a taxable person are provided abroad if they are exclusively used or otherwise capitalized outside the EU. This applies to the following services:

- goods transport services;
- services related to transport such as loading, unloading, goods handling and similar services; and
- services in the form of valuation of, or work on, goods that are movable property.

The provision in the Swedish VAT Act does not have a direct counterpart in the VAT Directive, but is supported by the VAT Directive's provisions on actual use and enjoyment found in Article 59(a) of the VAT Directive.

4. Chargeable event and Chargeability of VAT

4.1 Principles

Tax liability normally arises upon delivery of goods, provision of a service or when a withdrawal is made. If payment is made before the delivery, the taxable event is considered to be the payment. The time for tax liability according to Swedish VAT law matches Articles 62-71 in the EU VAT Directive.

Goods are considered delivered when the right to dispose of the item, as owner has passed from the seller to the buyer. Services are considered supplied when the supplier has fulfilled his obligation, i.e., when the customer has approved the completed performance. A service on an item is considered to be provided, when the customer has collected the item.

Regarding EU trade the obligation to issue an invoice overrides these principles. The VAT becomes chargeable on the date of issuing the invoice. In case the invoice has not been issued timely, VAT shall become chargeable on the 15th day of the month following that during which the chargeable event occurs. The VAT on the purchase of a service, which falls under the main rules of Articles 44 and 196 of the EU VAT Directive, is nevertheless due at the time the service is supplied.

4.2 Advance payments

VAT can be chargeable before the time the goods are put at the disposal of the acquirer or the service is completed. This is the case when the payment has been totally or partially received before the goods are put at the disposal of the acquirer or the services are supplied.

4.3 Continuous supplies

Continuous supplies of goods over a period of more than one calendar month, which are dispatched or transported from Sweden to another EU Member State and which are supplied or transferred VAT exempt, shall be regarded as being completed on expiry of each calendar month until such time as the supply comes to an end.

Services ongoing over a period of more than 1 year, that do not give rise to settlements or payments in that period and for which the customer is liable to account for the VAT on the basis of article 196 EU VAT Directive, are regarded as being supplied on the expiry of each calendar year up to the time the provision of the services ceases.

4.4 Cash accounting

In certain cases, it is allowed to pay VAT to the Swedish State on the basis of cash received during the respective VAT period as opposed to making payment on the basis of supplied goods and services during the period. The option of cash accounting is available for taxable persons whose annual sales normally amount to a maximum of SEK 3 million (approximately EUR 300,000).

5. Taxable amount

5.1 Bad debt relief

Bad debt relief is available to taxable persons, provided that they can prove to the satisfaction of the Swedish Tax Authority that the amount they did not receive from the customer became a bad debt in the relevant period.

When claiming a bad debt relief, the taxable person deducts the amount of VAT he is reclaiming from the output VAT amount his supplies in the VAT return for the period in which the loss has arisen.

The supplier must be able to show that a bad debt exists. He must have information showing that the customer lacks the financial means to pay the debt, such as bankruptcy or unsuccessful execution attempts. It should be stressed that the Swedish Tax Authorities do have a very strict approach towards the application of a bad debt relief, so in case there is a substantial amount for which a bad debt relief is claimed, please make sure to disclose this fact towards the Tax Authorities.

5.2 Cash discounts

Assume that the supplier sends the following invoice:

Supply of goods	EUR 1,000
25% VAT	EUR 250
Total to be paid	EUR 1,250

If payment is received within the next 14 days, you can subtract 2% of the invoice as a cash discount."

Payment is indeed received within 14 days. In that case the supplier has to pay EUR 250 in its VAT return. The customer can deduct EUR 250 in its VAT return. Therefore, the supplier paid too much VAT and the credit invoice for the 2% if following criteria are met:

- the period within which the cash discount is granted is stated on the invoice;
- if the cash discount is used, the change of the tax base and VAT is stated on the invoice; and
- a copy of the payment document can be presented, showing that the payment was made within the prescribed time.

5.3 Open Market Value

In the case of certain transactions between related parties the tax basis shall, in certain circumstances, be calculated on the basis of the market value instead of the compensation that the seller has received or will receive.

In order to counteract the fact that the outgoing tax is reduced due to undertaxed transactions, the tax base must be reassessed in the case of sales and intra-community acquisitions in the following cases:

- the compensation is lower than the market value;
- the buyer does not have full right of deduction/refund of input VAT;
- the seller and the buyer are connected to each other; and
- the taxable person cannot make it likely that the compensation is market-based.

This provision can be applied, for example, to intra-group transactions where the buyer does not have a full right of deduction, transactions between limited companies and their owners and transactions between employers and employees.

In order to prevent the right to deduction or refund of input VAT from increasing for those who conduct both VAT taxable and non-VAT taxable transactions and provide goods or services at a lower price, a revaluation of the tax base must be made in the following cases:

- the compensation is lower than the market value and refers to a transaction that is VAT exempt;
- the seller is not entitled a full deduction/refund of input VAT;
- the seller's deduction/refund of input VAT regarding on purchases attributable to both the VAT taxable and non-VAT taxable transactions, are determined by the total annual turnover;
- the seller and the buyer are connected to each other; and
- the seller cannot make it likely that the compensation is market-based.

Sweden has also implemented rules in order to prevent the right to deduction or refund of input tax from increasing for those who carry out both VAT taxable and non-VAT taxable transactions and provide goods or services at a premium. However, so far these rules have never been applied.

The concept of open market value is defined as the amount that the buyer would have to pay to an independent seller within the country for a comparable supply. If there is no comparable supply of goods or services, the market value is made up of the costs for the supply.

5.4 Returnable Packaging

In Sweden the consideration for the returnable packaging is invoiced together with the contents of the packaging and thus, the consideration for the returnable packaging is charged with the same VAT rate as its contents, e.g. 12% VAT on soft drink.

When the company responsible for the returnable packaging system, pays out the consideration to the company selling e.g. the soft drink, the consideration is seen as payment for a service provided by that company and thus subject to 25% Swedish VAT.

6. VAT rates and exemptions

6.1 Standard rate

The standard rate is 25%.

6.2 Reduced rate

In Sweden there are two reduced rates for VAT i.e. 12 % and 6 %.

The reduced rate of 12 % applies to:

- foodstuffs (including beverages but excluding alcoholic beverages);
- accommodation in hotels and inns as well as camping grounds;

- an artist's supply of own work of art and imports from outside the EU of work of art, collectors' items and antiques;
 - repairs of bicycles, shoes, leather goods, clothing and certain textiles for home use; and
 - restaurant and catering services.
- The reduced rate of 6 % applies to:
- books, brochures, pamphlets and similar works, including single leaflets;
 - newspapers and magazines;
 - picture books, drawing books and colouring books for children;
 - musical sheet music;
 - maps, such as atlases, wall maps and topographical maps;
 - passenger transport, including taxis, trains and domestic flights;
 - entrance fees to concerts and circuses, theatres, ballet and opera performances and similar;
 - library and museum activities;
 - entrance fees and guiding fees for animal parks;
 - services in the field of sports, such as fees for participating in sports activities or entrance fees to sporting events;
 - granting or transfer of rights to certain copyright works; and
 - granting or transfer of the rights to sound or image recordings of an artist's or actor's performance of a literary or artistic work

6.3 Super-reduced and zero rate

Sweden does not have any super-reduced rates and Sweden does not apply a zero rate. Sweden applies an exemption with right to deduction instead (see further below).

7. Exemptions

7.1 Exemptions with right to deduction

Exemption with right to deduction apply for the following supplies and services:

- services concerning *inter alia* production and distribution of periodical members' bulletins, staff magazines, and organisational magazines when supplied to a publisher;
- sea vessels and aircrafts for commercial shipping or fishing etc.;
- services of a ship broker etc.;
- lifesaving vessels and spare parts, accessories, equipment and fuel for such vessels sold or rented to the Swedish Sea Rescue Society;
- pharmaceuticals on prescription or supplied to hospitals;
- fuel for aircrafts;
- gold which is delivered to the Central Bank of Sweden (Sveriges Riksbank) and investment gold;
- motor vehicles sold to foreign diplomatic missions and their staff;
- export sale of goods;
- intra-Community supplies of goods;
- supply of certain services to EU institutions and bodies;
- supply of services concerning transport of goods to and from Madeira and the Azores;
- certain supplies of goods and services to another EU Member State intended for NATO forces;
- supplies to armed forces of UK and North Ireland on Cyprus;
- certain supplies in connection with importation;
- bank and financial services supplied to customers outside the EU;
- insurance services supplied to customers outside the EU;
- bank notes and coins that are legal tender, with the exception of those that are collectors' items;
- VAT warehousing; and
- goods under customs control.

7.1.1 Intra-Community supplies
In order to make it likely that the VAT exemption for intra-Community supply of goods is applicable, the seller must, among other things, have documentation showing that the goods have been transported to another EU Member state.

In Sweden, free examination of evidence is applied, and thus an assessment of whether the documentation shows this, must take place in each individual case based on what can reasonably be required of the seller in normal business conditions. Only information on an invoice about e.g. terms of delivery and delivery address relating to the delivery of the goods, do not normally show that a cross-border transport has taken place. Common examples of documents that, together with an invoice, can show evidence of a cross-border transport are transport and shipping documents. When assessing whether the documentation shows the cross-border transport, detailed information about the goods (type, weight, quantity, etc.), delivery address, time of transport, mode of transport and route can be important. Other information in the documentation may also be of importance.

7.1.2 Export supplies

In order to make it likely that the VAT exemption for export supplies of goods is applicable, the seller must, among other things, have documentation showing that the goods have been transported out of the EU.

7.1.3 Warehousing

7.1.3.1 VAT Warehouse

The supply of certain goods (primarily raw materials such as metals, cereals and oils) kept in special warehouses (VAT warehouses) is exempt from VAT. Services related to goods held in a VAT warehouse are also exempt from VAT.

A condition for the exemption from tax liability to be applicable is that the delivery of the goods is not intended for final use or consumption. The Swedish Tax Authority considers that it is in the chain leading up to the final consumer that the final use or consumption takes place. A delivery that constitutes a direct or indirect cost in an activity conducted by the acquirer that fully or partially entails the right to deduction or reimbursement, does not constitute a delivery for final consumption.

In the case of services, it is a question of final consumption, if the services are performed on a good in a bonded warehouse, if the good is not a commodity to be delivered.

VAT is due as soon as goods are released from the VAT warehouse. The person releasing the goods from the VAT warehouse becomes responsible for the payment of the VAT.

7.1.3.2 Excise warehouse

It is possible for a legal entity or private individual to store excisable goods with the immediate postponement of excise duties. This suspension scheme is granted to a person that fulfils certain criteria mentioned in the law. In order to obtain this license, the taxpayer must apply for the license at the Swedish Tax Authority.

7.1.3.3 Bonded (customs) warehouse

It is possible to put all kinds of goods in a bonded (customs) warehouse. The storage time is unlimited. A precondition for tax exemption is that the supply of the product is not aimed at final use or consumption.

For the letting of immovable property, the landlord may opt to tax the lease for VAT purposes. The option for taxable lease is only possible, if the lessee carries out VAT taxable business activity, in full or partially, in the rented premises/property. In addition, the rental relationship must also last for 12 months or longer.

7.3 Option for taxation

The sale of work of art made by the artist or his estate does not entail tax liability when the taxable base during the fiscal year is less than SEK 300,000 (approximately EUR 30,000). The Tax Authority can make a decision concerning the liability to VAT, despite the fact that the turnover is not expected to exceed SEK 300,000 (approximately EUR 30,000), if the artist or the estate of the same requests it. Such decision applies up to and including the second year after the year the Tax Authority decided on such tax liability.

There is no possibility to opt for taxation regarding financial services.

- or refund of VAT upon acquisition of asset.
- the sale of other assets than current assets when sold by a person who was not entitled to either deduction
- funeral and burial services; and
- human organs, blood or breast milk;
- radio and television broadcasting services if financed by government grants;
- lotteries, betting and other forms of gambling;
- certain supplies of works of art;
- pharmaceuticals;
- banknotes and coins that are legal tender;
- the self-supply of goods and services by the state and municipality for their own needs;
- self-supply of goods for business entertaining;
- transfer of business;
- advertising in VAT exempt periodical publications, programmes or catalogues;
- periodical publications issued by non-profit-making organizations/associations;
- periodical members' bulletins and staff magazines;
- museum activities supported by the public authorities;
- archive activities supported by the public authorities;
- library activities supported by the public authorities;
- insurance services;
- banking and financing services;
- education;
- social care;
- dental care;
- medical care;
- sale and letting of real property;

The following supplies and services are exempt without the right to deduction:

7.2 Exemptions without right to deduction

Services related to bonded goods are exempt from VAT.

The sale of goods while still in bond is not subject to Swedish VAT. Evidence that the sales took place in the bonded warehouse should be kept in the files (i.e. list of the transactions from the warehouse keeper, customs documents, the agreements, the invoices, etc.).

The release of goods from a bonded warehouse regime does not constitute an importation, if the goods are subsequently placed under another customs regime.

If the goods are placed under a customs warehouse regime, no customs duties or VAT become due. When the goods are released from the customs warehouse for free circulation, duties and VAT become due. A customer who declares the goods into free circulation becomes responsible for the payment of the VAT.

8. Liability

8.1 Reverse charges

In Sweden, there are several obligatory reverse charge rules besides the reverse charge for general B2B services provided by foreign entities to taxable persons and legal entities with a Swedish VAT number established in Sweden. This reverse charge applies in all EU Member States and follows from Articles 44 and 196 EU VAT Directive. In addition there is also the reverse charge for the supply of natural gas and electricity supplied by non-resident suppliers to "taxable dealers" in Sweden.

8.1.1 General reverse charge – non-resident suppliers (Article 194 Directive)

General reverse charge applies to:

- all supplies of (im)movable goods;
- the supply of services related to immovable property; and
- installation/assembly supplies

made by a non-established taxable person in Sweden to customers that are registered for VAT in Sweden. A taxable person with a fixed establishment in Sweden is deemed to be a foreign taxable person where general reverse charge may apply, provided that the Swedish establishment does not intervene in the supply.

If a foreign non-established taxable person is obliged to register for VAT, due to e.g. B2C supplies, it remains subject to the general reverse charge procedure on its B2B supplies. However, it can opt for VAT liability by indicating on its VAT registration form that it wants to charge VAT on all taxable supplies, including supplies that fall under the general reverse charge mechanism with regard to B2B supplies.

If general reverse charge applies, no VAT should be mentioned on the invoice. The VAT identification number of the customer must be mentioned on the invoice. The invoice should, among other information, also refer to the application of the reverse charge mechanism by using the following text on the invoice: "omvänd betalningsöversikt enligt artikel 194 i EU VAT Direktiv".

Please note that the general reverse charge does not apply to the letting out of immovable property (see chapter 7.3 above) or services of travel agencies, entertainment, sport and culture.

8.1.2 Specific domestic reverse charges (Article 199 EU VAT Directive)

The reverse charge applies for certain construction services. According to these rules, a subcontractor/middleman that purchases and sells construction services should report and account for the VAT in Sweden. This type of reverse charge is mandatory. Examples of construction services that fall under the reverse charge mechanism are:

- land and foundation work (e.g. demolition of houses and land investigations);
- construction and plant work e.g. construction of houses, erection of other buildings and road construction);
- construction of installation work (e.g. electrical installation, insulation, water and ventilation work);
- completion work on buildings (e.g. rendering and facade work, carpentry, floor and walls coverings, painting and glazing work);
- clearing after construction; and
- leasing of construction and plant machinery with operators and leasing of personnel for services listed above.

The domestic reverse charge also applies to the following transactions:

- certain transactions involving gold; and
- certain transactions involving scrap of metal etc.

Since the 1 April 2021, domestic reverse charge also applies on the domestic sale of certain goods between taxable persons. These goods are:

- mobile phones;
- integrated circuits;
- game consoles;
- tablets; and
- laptops.

If the refund application relates to at least 3 months, but not a full calendar year, the VAT due for refund must exceed SEK 4,000 (approximately EUR 400). If the application covers a full calendar year or the remainder of it, the VAT due for refund is required to exceed SEK 500 (approximately EUR 50).

The application must cover at least 3 and no more than 12 consecutive calendar months. The application may cover less than 3 months if it relates to the remainder of a calendar year.

A taxable person resident within the European Union must deliver an electronic application to the competent authorities where the taxable person is resident in order to obtain a VAT refund. The competent authorities must receive the application at the latest by 30 September of the calendar year following the refund period.

9.4.1 VAT refund to EU taxable persons

Foreign taxable persons can obtain a refund of VAT on purchased goods and services provided that:

- the VAT relates to an acquisition or import attributable to a supply in a business conducted abroad;
- the supply, if made within the EU, would have been taxable or entitled a refund in the EU Member State where the supply was made; and
- the supply would have been subject to VAT or the VAT would have been refundable if the supply would have had been carried out in Sweden.

9.4 VAT refund for foreigners

The adjustment period for immovable property is 10 years following the year of first use. The adjustment period for movable property is 5 years following the year of first use.

9.3 Adjustment periods

Excess input VAT reported in the VAT return is normally immediately repaid by the Swedish Tax Authority.

9.2 Excess input VAT

The input VAT is not recoverable in case of:

- where it is not possible to obtain an income tax deduction for business entertainment (except for meals for representing purposes where VAT is recoverable up to a taxable base of SEK 300 (approximately EUR 30));
- purchase or lease of a permanent dwelling; and
- acquisition of passenger cars (or motorcycles), except in certain cases (e.g. passenger cars purchased by taxi companies and driving schools).

9.1 Non-recoverable input VAT

9. Recovery of input VAT

Due to Swedish rules, managing directors of businesses or members of the board, can face personal consequences for unpaid taxes in case of fraudulent behavior or criminal proceedings. It is not necessary that the fraudulent behavior is in the hand of the taxpayer itself, we have seen cases where this personal liability hits persons that may be involved (innocently) in VAT fraud schemes such as MITC schemes or "cross-invoicing" schemes.

8.2 Joint and several liability

A supplier must refer to the reverse charge. The following text could be mentioned on the invoice: "reverse charge – Article 199 of the EU VAT Directive 2006/112/EC".

Businesses exempt from VAT will not be subject to this reverse charge. Moreover, there is an invoice threshold of SEK 100,000 (approximately EUR 10,000), which will determine whether reverse charge is to be applied or not. This domestic reverse charge was introduced as a consequence of substantial VAT fraud.

An application should contain the following information:

- applicant's name and full address;
- address for contact by electronic means;
- applicant's VAT identification number or tax identification number;
- applicant's bank details;
- a description of the business for which the goods and services have been purchased;
- the refund period in question; and
- an explanation that the applicant has only supplied refundable goods and services in Sweden in the current period.

For each invoice or importation document the following information is required:

- name and full address of the supplier;
- the VAT ID number of the supplier;
- the prefix for Sweden under Article 215 of the EU VAT Directive;
- the date and number of the document;
- the taxable basis and the VAT amount;
- the deductible share as percentage if the applicant has made both deductible and non-deductible transactions;
- the VAT amount that gives a right to refund in SEK; and
- the type of the purchased goods and services must be described by codes. The applicant must provide further information regarding the codes if needed.

A decision shall be communicated to the applicant within 4 months from the date the application was submitted to the Tax Authority, if no further information has been requested. If further information is requested the period in which the authorities must make a decision is extended up to 8 months.

The refunded amount shall be paid no later than 10 working days from the deadline to issue a decision. An appeal must be received no later than the 6th year after the end of the calendar year covered by the application.

9.4.2 VAT refund to non-EU taxable persons

Form SKV 5801 must be completed by a non-resident taxable person who wishes to obtain a VAT refund. The form can be downloaded at the following link <https://tinyurl.com/35v5xzzy>. The application form should be sent to:

Skatteverket Ländarsenheten SE- 205 31 Malmö, Sweden

No reciprocity requirements exist in Sweden.

The application must be received by the Swedish Tax Authority no later than 6 months after the end of the calendar year to which it relates.

The application must cover at least 3 and no more than 12 consecutive calendar months. The application may cover less than 3 months, if it relates to the remainder of a calendar year.

If the refund application relates to at least 3 months, but not a full calendar year, the VAT due for refund must exceed SEK 4,000 (approximately EUR 400). If the application covers a full calendar year or the remainder of it, the VAT due for refund is required to exceed SEK 500 (approximately EUR 50).

The applicant must enclose original invoices to the application specifying the VAT. When an invoice refers to underlying invoices, these must also be enclosed. A certificate issued by a competent authority that shows that the applicant is a taxable person, should also be enclosed. The certificate must not be older than 12 months.

The amounts in the application must be stated in SEK. The exchange rate to be used, if the amounts are converted into SEK, is the rate of the day of supply. The exchange rate of the invoice date can also be used.

An invoice relating to building and construction services, or goods that are supplied in connection with such services, can be issued by the end of the second month following the month in which the services were provided or the goods were delivered.

Community transactions an invoice must be issued no later than the 15th day in the month after the goods were delivered or services supplied.

An invoice needs to be issued according to generally accepted accounting principles. When it comes to intra-

10.1.2 Time limits

- goods", and "marginal profit taxation for works of art" or "marginal profit taxation for collectors' items or agencies"; and
 - when applying the special scheme for used goods etc., the information "marginal profit taxation for used goods"; and
 - when applying the special regime for travel agencies, the information "marginal profit taxation for travel transport;
 - when delivering a new means of transport to another EU country, information about the new means of transport;
 - if the buyer is obliged to pay the value added tax, the information "reverse charge";
 - the VAT Directive or another information about the exemption from tax liability;
 - in case of exemption from tax liability, a reference to the relevant provision in the Swedish VAT Act or in the VAT Act or in
 - if the buyer issues the invoice, the information "self-invoicing";
 - the amount of VAT to be paid;
 - VAT rate;
 - the tax base for each tax rate;
 - date of delivery of goods or performance of services or date of payment for advances or on account;
 - the quantity and nature of the goods or the scope and nature of the services;
 - the buyer's full name and address;
 - the seller's full name and address;
 - is an exempt intra-community sale of goods;
 - the buyer's VAT registration number, if the buyer is liable for VAT for the supply or provision or if it
 - the seller's VAT registration number;
 - invoice number;
 - date of invoice;
- information:
- According to the invoicing requirements in the Swedish VAT Act, an invoice must contain the following

10.1.1 Invoice content

10.1 Invoicing

10. Administrative obligations

A refund decision can be appealed to the administrative court in Falun. The appeal must be lodged within 2 months from the date the appellant received the decision.

The Swedish Tax Authority must make a decision within 6 months from the date it received a complete application and other required documents.

The right to a refund only covers such VAT that would have been deductible if the taxable person had been liable to VAT in Sweden.

provided the invoice is issued close to the time of supply. Regarding the rules for conversion please see paragraph 10.4.

10.1.3 Currency

A taxable person who issues invoices in a currency other than SEK must specify the VAT also in SEK. A taxable person with EUR as the accounting currency and invoices in EUR can state the Swedish VAT in EUR instead of in SEK.

10.1.4 Conversion and exchange rate

One of the following exchange rates must be used to convert foreign currencies into SEK: a joint MID-PRICE established by Nasdaq OMX Stockholm AB, published on the website of Central Bank of Sweden (Sveriges Riksbank), www.riksbank.se at the time of the chargeable event; or the latest exchange rate published by the European Central Bank at the time of the chargeable event.

Conversion via the European Central Bank with other currencies than EUR must be made with the conversion rate of EUR for each respective currency.

10.1.5 Self-billing

Under Swedish VAT legislation, self-billing is allowed provided that the following pre-requisites are fulfilled:

- there is a pre-arranged agreement on self-billing between the supplier and the purchaser;
- it is clear from the invoice that it was issued by the customer; and
- the customer and the supplier have procedures for approval of issued invoices.

There are no special formal requirements for the self-billing agreement. The supplier is always responsible for the content of the invoice even when the invoice is issued by the customer. A procedure of approving the invoice could be that the supplier does not object to an invoice issued by the customer. Please note that if self-billing is used, a separate sequential number chain must be put in place for each supplier.

10.1.6 Simplified invoice

A simplified invoice must contain the following information:

- date of issue;
- identity of the supplier of the goods and/or services;
- type of goods or services supplied;
- the VAT amount payable or the information needed to calculate it;
- specific, unambiguous reference to the initial invoice and the details that are being amended (on a credit note).

It is possible to issue a simplified invoice if the amount of the invoice is not higher than 4,000 SEK (approximately EUR 400) inclusive of VAT, if the invoice issued is a credit note or if the commercial use in the relevant business sector, administrative practice or the technical conditions for issuing the invoice make it difficult to comply with all the information mandatory in a full invoice (see section 10.1).

It should be noted that for certain supplies a full invoice must always be issued irrespective of amount to invoice etc.

10.1.7 Storage of invoices

Invoices need to be stored for 7 years.

Accounting information that a company receives must, as a starting point, be preserved in the form the information had when it arrived at the company.

Accounting information may however be transferred in a form other than the form in which the information was originally received. This applies both if the original document is in paper or electronic form and regardless of the form in which the information is transferred. If the transfer is made in a secure manner, from 1 July 2024, the company no longer needs to keep the accounting information in the original form. A company may thus destroy the original document if the information that constitutes an invoice is transferred to another paper document or electronic document. A prerequisite for this is that the transfer does not involve any risk of the information being changed or lost.

According to the Swedish VAT Act, the transfer to another form must be done in such a way that the requirement for securing the invoice can still be fulfilled.

Yearly VAT returns shall be submitted to the Swedish Tax Authority on the 26th of the second month after the end of the reporting period. For September and December, the VAT return shall be submitted on the 28th. For April and July, the VAT return shall be submitted on the 27th. These dates concern yearly VAT returns with a

Reporting Period	Due date
January	26 February
February	26 March
March	26 April
April	26 May
May	26 June
June	26 July
July	26 August
August	26 September
September	26 October
October	26 November
November	27 December
December	26 January

Reporting period	Due date
January - March	12 May
April - June	17 August
July - September	12 November
October - December	12 February

The VAI returns should be filed and paid to the Swedish Tax Authority on the following dates. The VAI payment is due on the same day. The deadlines are applicable for both resident as well as for foreign taxable persons.

There are no differences regarding VAI return period and electronic filing for non-established taxable persons as compared to resident taxable persons.

Taxable persons with an annual turnover less than SEK 40 million (approximately EUR 4 million) may apply for monthly filings by submitting a request to the Swedish Tax Authority.

The standard reporting period for VAT is a calendar quarter. If an annual turnover exceeds SEK 40 million (approximately EUR 4 million), the VAT return must be submitted on a monthly basis. The VAT may be reported once a year if the annual turnover does not exceed SEK 1 million (approximately EUR 100,000).

10.2 VAT compliance

Electronic invoicing is only allowed, if the customer agrees to receive the invoice electronically. Apart from this requirement, there are no conditions for applying electronic invoicing. The electronic invoice can be sent in any format, including pdf.

10.1.8 Electronic invoicing

10.2.3 European sales listing

According to the main rule, the EC sales listing shall be submitted every calendar month for goods and every calendar quarter for services. If the European sales listing includes both goods and services, it shall be submitted on a monthly basis.

In addition to the other requirements that apply for intra-Community sales of goods within the EU, the following applies from January 1, 2020. The purchaser is required to have a valid VAT registration number in another EU Member State in order for the supplier to be able to make an intra-Community EU sale of goods. When acquiring the goods or service, the purchaser must state his VAT registration number to the supplier.

10.2.4 National recapitulative statement

There are no national recapitulative statements in Sweden.

10.2.5 Tax assessment period

The tax assessment period in Sweden is 7 years (including the present year). This means that in the year 2025, the last open year for assessments is the year 2019.

10.3 Penalties

10.3.1 Default penalties for late registration

There are no penalties for late registration. However, interest charges will be assessed in cases of late registration for failure to report VAT on time.

10.3.2 Default penalties for not filing a VAT return or an European sales listing on time

If the VAT return is not filed on time, the late filing penalty is 625 SEK (approximately EUR 62).

The late filing penalty for European sales listings is SEK 1,250 (approximately EUR 125).

10.3.3 Default penalties for not paying VAT on time to the VAT authorities

If the VAT was reported in the wrong reporting period, the tax penalty is 2% of the VAT amount provided that the late filing does not exceed 4 months. In other cases, the tax penalty is 5% of the VAT amount for late filing.

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

If the taxable person has submitted incorrect information regarding VAT, a general tax penalty of 20% may be levied on the incorrectly reported VAT amount.

10.3.5 Offence penalties

The Swedish Tax Authority may decide to make a criminal complaint.

10.4 Intradat

In Sweden, a separate Intradat return needs to be submitted to Statistics Sweden (SCB).

10.4.1 Intradat threshold

The Intradat threshold for dispatches arrivals is SEK 12,000,000 (approximately EUR 1,200,000). The Intradat threshold for arrival is SEK 15,000,000 (approximately EUR 1,500,000). The taxable person will then be Intradat returns begins in the month in which the threshold is exceeded. The taxable person will then be contacted by Statistics Sweden which will inform the taxable person of the liability to file Intradat returns.

10.4.2 Intradat data to be reported

The information which needs to be reported for both the arrival and the dispatches statistics is:

- EU Member State of origin/destination;
- Partner ID (the recipient's VAT number/VAT registration number)
- nature of the transaction;
- 8-digit commodity code of the goods;
- net weight of the goods; and
- invoice value of the goods in SEK.

For some goods, a supplementary unit, e.g. number of units, must be reported.

The rules on Intrastat reporting apply in the same way for companies that engage in distance selling, i.e. an intrastat needs to be submitted to SCB once the Intrastat threshold has been exceeded.

Information received from:

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Switzerland

The most important Swiss laws in the field of the VAT are the following:

- Bundesgesetz über die Mehrwertsteuer (Mehrwertsteuergesetz, MWSTG), hereafter referred to as the VAT Law;
 - Mehrwertsteuerverordnung (MWSTV);
 - Verordnung des EFD über die Steuerbefreiung von Inlandlieferungen von Gegenständen zwecks Ausfuhr im Reiseverkehr;
 - Verordnung der ESTV über die Höhe der Saldoübersätze nach Branchen und Tätigkeiten;
 - Verordnung des EFD über die steuerbefreierte Einfuhr von Gegenständen in kleinen Mengen, von unbedeutendem Wert oder mit geringfügigem Steuerbetrag; and
 - Verordnung des EFD über die Verzugs- und die Vergütungssätze.
- VAT is referred to as "Mehrwertsteuer" or "MWST".

The VAT Law has been revised by the Swiss Parliament in a number of areas and put into force on 1 January 2018, 1 January 2019, 1 January 2020 and 1 January 2025.

1. Taxable persons

1.1 Registration threshold & SME Scheme for domestic taxable persons

In principle, any business having its registered office, its domicile or its permanent establishment in Switzerland is subject to Swiss VAT, if it

- independently carries out a professional or commercial activity,

- acts externally under its own name and

- has the aim of sustainably generating revenue from supplies of goods and services.

However, as far as the global annual turnover does not exceed the threshold of CHF 100,000 (approximately EUR 105,000), the business is exempt from the tax liability. A voluntary registration is possible.

A higher threshold of CHF 250,000 (approximately EUR 262,500) is applicable to non-profit, voluntarily-run

sports or cultural associations and charitable institutions.

No VAT registration is required, respectively is possible, if the business provides exclusively services exempt from VAT (without right to deduct input VAT).

In order to get a Swiss VAT number, an online questionnaire has to be completed and submitted to the Federal Tax Administration (FTA).

The mailing address of the FTA is:

Eidg. Steuerverwaltung
Hauptabteilung Mehrwertsteuer
Schwarztorstrasse 50
CH - 3003 Bern
Switzerland

The German version of the online questionnaire can be downloaded at the following link: <https://tinyurl.com/3vz2mjt>

1.2 Registration threshold & SME Scheme for foreign taxable persons

In principle, the same rules apply to non-resident taxable persons. Thus, a business with a global annual turnover of CHF 100,000 (approximately EUR 105,000) or more is liable for Swiss VAT, if it makes domestic supplies regardless of the volume of the local turnover.

However, a taxable person established abroad is not obliged to register for VAT purposes in Switzerland, if it exclusively performs supplies that are subject to the reverse charge mechanism (Article 10 paragraph 2 lit. b in conjunction with Articles 45 - 49 of the VAT Law).

The mentioned exemption from the tax liability does not apply in case the non-resident taxable person renders telecommunications or electronic services to non-taxable persons (e.g. a private person).

In order to obtain a Swiss VAT number, an online questionnaire must be completed. Moreover, a proxy duly signed by the taxable person as well as a declaration of acceptance duly signed by the fiscal representative (see chapter 1.4) must be submitted to the FTA. The mailing address is the same as for domestic businesses (see also chapter 1.1). In the past, non-resident taxable persons had to furnish a bank guarantee in favour of the FTA, issued by a bank established in Switzerland. Alternatively, the amount of security could be remitted to the account of the FTA. Since 2025 the FTA abandons the right to request a security. In particular cases, the FTA may ask for additional information (e.g. articles of association, an excerpt from the commercial register and a certificate of status as a taxable person).

Generally, the FTA assigns the VAT number within 3 weeks after receipt of the required documents.

Regarding the need to appoint a fiscal representative, see also chapter 1.4. The link to the German version of the online questionnaire is as follows: <https://tinyurl.com/3vw2rpf1>

1.3 VAT grouping

Legal entities (in particular, legal entities, partnerships and natural persons) established in Switzerland or having a branch in Switzerland can apply to be considered as a single taxable person (so-called VAT group) for the imposition of Swiss VAT provided that all the entities are under the uniform control of one legal entity (Article 13 of the VAT Law). Also legal entities without business activity can be included in the VAT group. Legal entities established outside Switzerland cannot be part of the VAT group. The termination of the VAT grouping is possible per end of the tax period.

All supplies of goods and services of the VAT group members performed to third parties are treated as being carried out by the VAT group. On the other hand, all the supplies of goods and services within the VAT group will not be subject to Swiss VAT.

As long as the members belong to the VAT group, they are jointly and severally liable for payment of the VAT debts of the group.

1.4 Fiscal representative

For non-resident taxable persons a direct registration is not possible. Thus, in order to become registered for VAT purposes in Switzerland, the foreign taxable person must appoint a fiscal representative domiciled in Switzerland. No special license is needed in order to act as a fiscal representative.

For the VAT registration, a proxy must be submitted together with the declaration of the acceptance of the fiscal representative and the documents mentioned in chapter 1.2.

As of 1 January 2025, electronic platforms might apply for a direct registration. In this case it has to be ensured that the taxable person will comply with the procedural obligations.

2. Taxable transactions

2.1 Transfer of business

The VAT Law provides for a mandatory application of a specific procedure in case of a transfer of the totality or part of the assets. If the VAT, calculated on the sales price at the statutory rate, exceeds CHF 10,000 (approximately EUR 10,500) or the sale is made to an affiliated person, the taxable person must fulfill the reporting and tax payment obligation by a notification procedure which applies in the following cases to:

- general guarantees by banks or insurance companies with headquarters in Switzerland, which are under the supervision of the Swiss Financial Market Supervisory (FINMA), respectively, are mentioned on the list of the Federal Supervision of private insurers. The application must be filed with form 22.10. Such guarantees have to be sent directly to the Federal Customs Authorities mentioned above. For the acceptance of the guarantee the customs administration will charge a fee deposit of collateral securities

In addition, a security must be granted in one of the following two ways:

The applicant needs to complete an application form and send it to "Bundesamt für Zoll und Grenzschicherheit, Abteilung Finanzen, Taubensstrasse 16, CH - 3003 Bern".

- the payment period for VAT is 60 days.
 - customs declaration and after any revision of the goods; and
 - shorter waiting periods at the customs offices. The shipments will be released after adoption of the cashless customs clearance;
 - holder are:
- In connection with importation, the import VAT can be postponed by the centralized billing procedures of the Federal Customs Administration (FCA). This procedure is recommended for all importers and shippers who pay regular import taxes on merchandise. The advantages of the centralised billing process for the account holder are:
- 2.3.2 Postponed accounting on importation**

As Switzerland is not within the EU, there is no import followed by an intra-Community supply.

2.3.1 Importation followed by an intra-Community supply

2.3 Importation

However, in case of gifts of up to CHF 500 (approximately EUR 525) per person and year, as well as promotional gifts and samples of goods to generate taxable turnover, the business purpose is presumed by law. Thus, no correction of the VAT deduction is required.

In Switzerland supplies free of charge are only taxed if the recipient is closely linked (Article 24 para 2 of the VAT Law). Closely linked persons are the owners of at least 20 percent of the share capital of a company or of a corresponding share in a partnership or persons closely associated with them. The tax base for such supplies free of charge is the value that would be agreed between independent third parties. Apart from that, the VAT deducted has to be corrected under certain conditions. This is the case if goods or services are used for non-business purposes, especially for private use or for transactions that are exempt from VAT (without a right to deduct the input VAT).

2.2 Supplies free of charge

The notification procedure also applies if the transferee only becomes a taxable person as a result of the transfer of the totality or part of the assets. If the notification procedure is applied, the transferee takes over from the transferor the pro rata for input VAT deduction and the assessment basis for the assets transferred. The invoice will not show any VAT but a corresponding reference that the notification procedure has been applied. Although being mandatory, if the notification procedure was not applied and the parties have (erroneously) applied VAT on the transaction, although the legal preconditions were fulfilled, the FTA will not force the parties to retroactively apply the notification procedure as long as the VAT has been paid to the FTA.

The notifications are to be made in the course of ordinary reporting.

- reorganisations under Articles 19 and 61 of the Federal Law of 14 December 1990 governing the Direct Federal Tax; or
- other transfers of a totality of assets or part, thereof, to another taxable person in the context of an incorporation, a liquidation, a reorganisation or of another legal transaction foreseen in the Merger Law dated 3 October 2003.

As per the very broad definition of a supply of goods according to Article 3 lit. d of the VAT Law, any supply of goods with installation or assembly performed in Switzerland is treated as a domestic supply. Thus, any (foreign) entrepreneur with a global annual turnover of CHF 100,000 (approximately EUR 105,000) or more is liable for Swiss VAT, if it makes domestic supplies regardless of the volume of the local turnover. Thus, the supplier is obliged to register for VAT in Switzerland (see also chapters 1.1 and 1.2). The tax liability of foreign entrepreneurs begins with the first provision of a supply with installation in Switzerland (Art. 14 para. 1 lit. b VAT Law). However, in case of an advance payment, the date of the invoice is determinant or, if no invoice is issued, the receipt of the consideration.

3.2 Installation supplies

The simplification for consignment stocks applies to the import of goods. The simplification for consignment stocks provides that the foreign supplier does not need to register for VAT in Switzerland, if the import VAT for the goods, which shall be supplied within Switzerland to a consignee, is assessed on the value of the consideration to be paid by the consignee for the goods purchased from the consignor. Under this condition the supply of the goods to the consignee within Switzerland, is deemed to take place abroad (see Article 4 Swiss VAT Ordinance). The simplification rule can, therefore, only be applied, if the consideration to be paid is known at the time of importation. Otherwise, the simplification cannot be applied and the consignor must register for VAT in Switzerland. The same would apply, if at the time of import the goods is unknown as the goods will only be sold after being placed in the stock. In case the preconditions for the simplification are fulfilled, the import VAT due on the value of the goods transferred into the stock can be deducted as input VAT by the consignee. No time limit applies in relation to the simplification. The preconditions must be fulfilled prior to the first importation.

3.1 Consignment and call-off stock

3. Place of supply

The granted authorization is subject to random checks by the customs office.

To ensure a smooth process, it is important that the account number assigned is mentioned on the customs declaration, the documents of payments and in the correspondence with the customs authorities. Therefore, it is advisable to inform the involved shipping company about the procedure in place, as they should also be empowered to make severance payments on the account.

Once the application form and, depending on the chosen method of payment, the security has been rendered, the applicant is informed by the Federal Customs Authorities about the account number assigned. This number will be communicated in writing. Only after receiving this confirmation the applicant can use the centralized billing account.

- for duties: 50% of the average charges accrued in 2 weeks; and
- for VAT:
- for a taxable person: at least 20% of the VAT charges accrued during a period of 60 days; and
- for non-taxable persons: 100% of the VAT charges accrued within a period of 60 days.

The amount of security is calculated as follows:

- (i.e. good Swiss bonds or medium-term notes, denominated in bearer form) issued in favour of the customs administration on a toll depot established by the Swiss National Bank in Bern; or
- cash deposit (without interest) by payment to the postal account of the Federal Customs Authorities. The account will only be opened after both the membership application, and the security have arrived at the Federal Customs Authorities.

The domestic reverse charge procedure does apply in cases where the foreign supplier is not registered for VAT purposes - rightly or wrongly - and only supplies with installation connected with immovable property are concerned. It covers inter alia: excavation and earthworks, construction works, erection and dismantling of prefabricated elements, alterations, renovations, repairs, dismantling and demolition works, maintenance, servicing (painting and cleaning works) and refurbishments.

The reverse charge mechanism also applies in case the customer is a non-taxable person in Switzerland, e.g. a natural person or a legal person who does not perform economic activities. However, if the customer is not a taxable person, the VAT liability is only shifted to him, if the supplies received from the foreign supplier exceed CHF 10,000 (approximately EUR 10,500) in a calendar year (see also chapters 1.1 and 1.2).

3.3 Distance sales threshold

3.3.1 In general

As Switzerland is not within the EU, there is no distance sales threshold. Due to this fact, the goods will be taxed when imported into Switzerland. In principle, the Swiss private individual is the importer of record. However, the seller might apply for a special procedure as well as a Swiss VAT number in order to be able to act as importer of record. If that is done, then Swiss VAT must be invoiced to the Swiss private individual.

Since 1 January 2019, in case of distance sales the place of supply will be also shifted to Switzerland (Art. 7 para. 3 lit. b of the VAT Law) provided that

- goods are physically supplied from abroad to Switzerland;
- the import of the goods is VAT-exempt according to Art. 53 para. 1 lit. a. This is the case if the value of the goods imported (including transport costs) amounts to less than CHF 62 (for goods taxed at the standard rate of 8.1 %) respectively less than CHF 193 (for goods taxed at the reduced rate of 2.6 %);
- the goods are transported / dispatched by the supplier; and
- the respective turnover exceeds the threshold of CHF 100,000 (approximately EUR 105,000).

The shipment of the place of supply results in the tax liability of the (foreign) distance-selling company and Swiss VAT must be invoiced to the Swiss buyer.

3.3.2 Sales via electronic platforms

From 2025, electronic platforms will, under certain conditions, be treated, as if they themselves had supplied the goods for the sales they facilitate. Thus, if the place of supply is in Switzerland, they are liable for VAT on these sales.

If the electronic platform is registered for VAT purposes, the first (fictitious) supply between the seller and the platform is either taxable abroad or exempt from VAT (without the right to deduct the input VAT). Thus, the seller established abroad and doing business only via such platforms, will not be subject to Swiss VAT anymore.

3.4 Simplified triangulation rules

As Switzerland is not a Member State of the EU, no EU simplified triangulation applies. The basic rule for the place of supply according to Article 7 of the VAT Law must be applied, even in case of a chain supply. However, if goods are transported from the first supplier in Switzerland directly to the final recipient outside Switzerland (i.e. exported), the zero rating for export applies to all foreign or domestic suppliers in the chain supply. The same applies in case the goods are picked up by the last supplier in the chain supply, provided that the goods that are exported are not being used in Switzerland in accordance with Article 23 paragraph 3 of the VAT Law.

3.5 Acquisition threshold

As Switzerland is not within the EU, there is no threshold for the intra-Community acquisition of goods by non-taxable persons.

3.6 Effective use and enjoyment

Switzerland has not implemented any effective use and enjoyment rules.

4. Chargeable event & chargeability of VAT

4.1 Principles

As regards the tax point, the Swiss VAT legislation makes a distinction depending on the accounting method. In case the taxable person applied for the standard accounting method (i.e. reporting on the basis of agreed considerations), the VAT becomes chargeable at the time the invoice has been issued. The entitlement to input VAT deduction arises on the date of receipt of the invoice.

In case the taxable person applied for the special accounting method (i.e. reporting on the basis of collected considerations), the VAT becomes chargeable at the time the payment has been received. The entitlement to input VAT deduction arises at the time of payment of the invoice.

4.2 Advance payments

In case of advance payments, the VAT becomes chargeable at the time the payment has been received. This applies regardless of the accounting method.

4.3 Continuous supplies

In principle, the same rules are applied in case of continuous supplies. Moreover, the Swiss VAT legislation does not provide a time limit before which an invoice must be issued (cf. chapter 10.1.2).

4.4 Cash accounting

The cash accounting regime is available to microenterprises having mainly cash transactions (e.g. take-away shops, hairdressing salon, kiosk). The cash accounting regime requires that the taxable person has a cash book in which the revenue and expenditure are entered in a timely manner.

The VAT becomes chargeable when a payment has been received from the contracting party. The entitlement to input VAT deduction arises at the time of payment of the invoice.

5. Taxable amount

5.1 Bad debt relief

In case of a correction of the consideration paid or agreed by the customer of the supply, the VAT due must be adjusted at the time when the correction is booked or the corrected consideration is collected (Article 41 paragraph 1 of the VAT Law).

Until now, no code of practice has been published by the FTA in regard to the mentioned provision, especially as to how the bad debt rule is to be applied. However, in the former "Instructions 2008 regarding VAT" applicable before 2010, the FTA defined that in case of a loss the consideration can be corrected in the VAT return, only at the time when the supplier qualifies the outstanding debt as a bad debt and, therefore, cancels the outstanding debt definitively from the books (Instructions 2008 Z 252). It is not necessary for the supplier to have received an official notice of loss.

No correction can be done in case the supplier books an allowance for a bad debt (i.e. a delcredere risk) but leaves the outstanding debt in the books.

Tax bases: Special cases

5.2 Cash discounts

Assume that the supplier sends the following invoice:

Supply of goods	CHF 1000
8.1% VAT	CHF 81
Total to be paid	CHF 1081

If payment is received within the next 14 days, a 2% cash discount is granted.

Payment is indeed received within 14 days. Thus, in the supplier's VAT return CHF 20 can be deducted as payment reduction from the total sales. On the other hand, the customer is only entitled to deduct CHF 79.40 in his VAT return. It is not required that the supplier issues a credit note for the remaining amount.

5.3 Open market value

The Swiss VAT Law stipulates explicitly that in case of the supply of goods and services to closely related persons, the consideration is deemed to be the amount that would be agreed between independent third parties (Art. 24 paragraph 2 of the VAT Law). This rule applies not only if a (reduced) consideration has been agreed, but also in case of a service free of charge.

5.4 Returnable packaging

The Swiss VAT Law stipulates explicitly that deposits, namely on returnable packaging and containers, are not part of the consideration because of a lack of supply.

6. VAT rates and exemptions

6.1 Standard rate

The standard VAT rate in Switzerland is 8.1%.

6.2 Reduced rate

A special rate of 3.8% applies to the supply of accommodation services. In addition, a reduced rate of 2.6% applies to the supply of:

- food;
- water;
- agricultural products;
- medical products;
- newspapers, magazines, books;
- electronic newspapers, magazines and books with no promotional character;
- some cultural services; and
- sanitary protection products for women (as of 1 January 2025).

6.3 Zero rate

The supply of goods by a vendor via an electronic platform, provided that the person enabling the supply is deemed to be the supplier according to Art. 20a of the VAT Law and registered for VAT purposes.

7. Exemptions

7.1 Exemptions with the right of deduction

The following supplies are zero rated (VAT exempt with a right of deduction):

- export of goods;
- leasing or chartering of goods which are transported or dispatched directly abroad and are used predominantly abroad by the recipient;

The term customs debtor is broadly interpreted by the FCA. Anybody who is involved in the movement of the goods (supplier, customer, freight forwarder, customs agent etc.) can be held liable for payment of the customs debt (i.e. import VAT and customs duties) irrespective of whether or not he is mentioned on the customs declaration.

A supply of goods stored in a bonded warehouse can be zero rated, provided that it can be proven to the satisfaction of the FTA that the goods were under customs control when being supplied. The proof is normally furnished by the stock accounting.

The Swiss Customs Law provides for a number of bonded warehouses that have been drafted reflecting the provisions of the European Customs Code.

7.2.2 Bonded (customs) warehouse

There is no such arrangement available in either the VAT Law or Swiss Customs Law.

7.2.1 VAT warehouse

7.2 Warehousing

Forms no. 11.49 and no. 11.49 [A] remain valid, but they are no longer printed. Instead, the FTA has drafted a sample export document, which can be downloaded from its website.

If one or more of the mentioned conditions are not met, the supplier must tax the goods supplied.

- retail price of the goods must be at least, including VAT, CHF 300 (approximately EUR 315). The retail price excluding VAT must be indicated in the export document;
- customer may not be domiciled in Switzerland (cf. Article 3 lit. a of the VAT Law). Moreover, the nationality of the customer is irrelevant;
- goods must be intended for the personal use of the customer or as gifts;
- goods must be exported to a foreign customs territory by the customer within 30 days of receipt;
- proof of exportation can be provided either with a confirmed export document or with an unconfirmed export document together with an import assessment issued by a foreign customs authority; and
- the export document must be drawn up in the name of the customer and may contain solely goods supplied to this person. Joint declarations with goods for various customers are not permitted.

The tax exemption for goods bought by tourists is only possible if all of the following conditions are met:

Under the current VAT Law, the exporter can supply any evidence in order to prove that the goods supplied have been exported. There is no legal obligation anymore to furnish an (electronic) export declaration issued by the customs authorities. However, the export declaration is still taken as the most appropriate proof that the goods have left Switzerland.

- supply of goods which are under customs control in Switzerland (e.g. goods under a transit procedure, a bonded warehouse procedure or a temporary customs procedure);
- supply of goods which are stored in a bonded warehouse;
- transport or dispatch of goods in connection with the import of goods;
- transport or dispatch of goods in connection with the export of goods;
- rendering of transport services and ancillary logistic activities, such as loading, unloading, transshipment, clearing or temporary warehousing, abroad or in connection with goods that are under customs control;
- international flights and related services;
- services of intermediaries acting expressly in the name of and for account of others, if the brokered supply is either exempt from the tax under this article or is physically carried out exclusively abroad; and
- services rendered in their own name by travel agents and organisers of events, to the extent they draw on deliveries and services of third parties, which are carried out by them abroad;

7.3 Exemptions without right to deduction

The following supplies are VAT exempt without the right to deduct the input VAT:

- public postal services according to Article 3 of the Postal Law;
- hospital and medical treatment and closely linked activities by hospitals, medical and diagnostic centers in the field of human medicine;
- human medical care provided by doctors, dentists, psychotherapists, chiropractors, physiotherapists, naturopaths, midwives and similar medical professionals;
- nursing care services provided by nursing staff, nursing organisations and home aid (Spitex) or in homes if prescribed by a doctor;
- supply of human organs by recognised medical institutions / hospitals and of human whole blood by a licensed organisation;
- supply of transport services for sick, injured or disabled persons in vehicles specially designed for this purpose;
- supply of services and goods closely linked to the child and youth care by institutions specially designed for this purpose;
- supply of services and goods closely linked to the child and youth care by institutions specially designed for this purpose;
- provision of children's or young people's education as well as a broad range of training such as courses, examinations and organisational services with the exception of restaurant services and accommodation;
- supply of staff by religious or philosophical non-profit organisations in the field of human medical care, social assistance and security, child and youth care, education and training as well as charity;
- supply of services and goods to their members in their common interest in return for a subscription fixed in accordance with their rules by non-profit-making organisations with aims of a political, trade-union, economic, religious, patriotic, philosophical, philanthropic, ecological, sporting, cultural or civic nature;
- cultural services provided directly to the audience for which an entrance fee is due (e.g. theater, music, film, library);
- entrance fees for sporting events and fees for taking part in them;
- cultural services and delivery of works by their creators, such as authors, composers, film makers, painters, sculptors and publishers;
- insurance and reinsurance transactions, including related services performed by insurance brokers and insurance agents;
- a broad range of money and payment transactions such as granting and negotiation of credits, transactions concerning deposit and current accounts, transactions concerning currency and bank notes, transactions in shares, interests in companies etc.;
- transfer of real property rights linked to immovable property;
- leasing or letting of immovable property and parts thereof. However, the provision of accommodation, the letting of premises and sites for the parking of vehicles, the letting of permanently installed equipment and machinery and the hire of safe-deposit boxes are taxable;
- supply at face value of postage stamps valid for use for postal services in Switzerland;
- betting, lotteries and other forms of gambling as far as subject to a special tax; and
- travel services resold by travel agencies and services of travel agencies linked to such services (as of 1 January 2025).

7.4 Option for taxation

For most of the VAT exempted transactions the taxable person can opt to apply VAT; there are no specific conditions for exercising the option.

No option to tax is applicable for insurance and reinsurance transactions as nor for financial services.

The option for the transfer of rights in rem linked to immovable property and the leasing or letting of immovable property and parts thereof, is only possible if the recipient does not use the goods exclusively for residential purposes.

8. Liability

8.1 Reverse charges

The VAT Law stipulates that the reverse charge is applicable in the following five cases (Article 45 paragraph 1 of the VAT Law):

- services performed by a non-resident taxable person not registered for VAT purposes in Switzerland, provided that according to Article 8 paragraph 1 of the VAT Law the place of supply is in Switzerland. However, the reverse charge is not applicable, if the non-resident taxable person renders telecommunication services or electronic services to non-taxable persons;
- import of data storage media without market value with all the services and rights included;
- supplies of goods connected with immovable property by a non-resident taxable person not registered for VAT purposes in Switzerland, provided that the supplies are not subject to import VAT;
- supplies of electricity, natural gas or district heating by a non-resident taxable person to a taxable person established in Switzerland; and
- transfer of emission rights and the like (as of 1 January 2025).

There is no obligation for the non-resident invoicing party to mention on the invoice that the reverse charge is applicable.

8.1.1 Reverse charge mechanism – supply of services

The provision of a service does qualify as a supply of services according to Article 8 paragraph 1 (basic rule) as far as the VAT Law does not stipulate a specific rule regarding the place of supply. The services in question are deemed to be performed where the recipient has established his business or has a fixed establishment for which the services are supplied, or, in the absence of such a place of business or fixed establishment, the place where he has his permanent address or usually resides. The basic rule does not make a difference between B2B services and B2C services. Therefore, the provision of such services to a Swiss taxable person or a Swiss resident will be subject to Swiss VAT.

In case the non-resident supplier is registered for VAT purposes in Switzerland, the invoice must be issued with Swiss VAT. This applies even if the non-resident supplier is not established in Switzerland or the non-resident supplier's fixed establishment in Switzerland does not intervene in a supply.

In case the non-resident supplier is not registered for VAT purposes in Switzerland, the invoice must be issued without Swiss VAT. Consequently, the customer subject to VAT must declare the VAT in its VAT return. In general, the declared VAT can be deducted in the same VAT return (see also chapter 9).

The reverse charge mechanism also applies in case the customer is a non-taxable person in Switzerland, e.g. a natural person or legal person who does not perform economic activities. However, in those cases the customer is only liable for VAT if the services purchased amount to CHF 10,000 (approximately EUR 10,500) or more in a calendar year. The VAT liability is limited to the purchases in question. The non-taxable person is not entitled to deduct the input VAT due.

8.1.2 General reverse charge mechanism – supply of goods

Regarding the supply of goods, the reverse charge mechanism applies in case (see also chapter 3.2):

- the supplier is established or resident abroad;
- the supplier is not registered for VAT purposes in Switzerland;
- the supplies are not subject to import VAT; and
- the supplies are connected with immovable property.

With regard to the tax liability, the same rules apply as for the supply of services. The competent authorities do not have to inform the non-taxable person (e.g. a natural person without economic activities) anymore about the tax liability.

For more information regarding the supply of goods with installation, see also chapter 3.2.

8.1.3 Reverse charge mechanism - supply of natural gas, electricity and district heating

According to Article 7 paragraph 2 of the VAT Law, the place of a supply of electricity, natural gas or district heating is deemed to be the place where the customer has established his business or has a fixed establishment for which the goods are supplied, or, in the absence of such a place of business or fixed establishment, the place where the electricity, the natural gas or the district heating is effectively used respectively consumed. Regarding the place of supply, the VAT Law does not differentiate between the electricity, natural gas or district heating supplied to a taxable person or a dealer and that supply to a non-taxable person or final consumer.

In case a non-resident taxable person supplies electricity, natural gas or district heating to a customer domiciled in Switzerland, the reverse charge mechanism does apply if the customer is a taxable person. If the customer is a non-taxable person, the reverse charge mechanism does not apply. Thus, the non-resident taxable person must VAT register in Switzerland and issue an invoice with Swiss VAT (cf. chapter 1.1 and 1.2).

8.2 Joint and several liability

According to the Swiss VAT Code the following are jointly and severally liable with the taxable person:

- the partners in an ordinary partnership, general partnership or limited partnership within the scope of their liability under civil law;
- persons who carry out a voluntary auction or have one carried out;
- any person or partnership belonging to a VAT group (Art. 13), with the exception of pension funds, for all taxes owed by the group, if a person or partnership leaves the group, it is only liable for the tax claims arising from its own business activities;
- on the transfer of a company: the previous tax debtor for a period of three years from the notification or termination of the transfer for tax claims arising prior to the transfer;
- on termination of the tax liability of a dissolved legal entity, trading company or partnership without legal personality: the persons entrusted with the liquidation up to the amount of the liquidation result; and
- for the tax of a legal entity that transfers its registered office abroad: the managing bodies up to the amount of the legal entity's net assets.

9. Recovery of input VAT

In principle, the taxable person has the right to deduct any input VAT provided that the purchased goods/services are connected with his business activity. The VAT Law lists three categories of input VAT that can be deducted by the taxable person in his VAT return (Article 28 paragraph 1 of the VAT Law):

- VAT invoiced by a third party;
- VAT declared in the VAT return in connection with the reverse charge procedure; and
- import VAT paid/due as well as the declared import VAT in case the taxable person applied for the postponement procedure.

Moreover, the taxable person must prove that the input VAT has been paid (Article 28 paragraph 4 of the VAT Law). For this purpose, an invoice with all the relevant information (see also chapter 10.1.1) must be held by the taxable person. However, it is also possible to prove by other means that the input VAT has been paid.

9.1 Non-recoverable input VAT

In principle, any input VAT is recoverable, i.e. the VAT Law does not contain any restrictions for certain categories of input VAT. However, if the purchased goods/services are connected with a business activity exempt from VAT according to Article 21 of the VAT Law, the taxable person is not entitled to deduct the input VAT (see chapter 7.3). The input VAT on gifts is deductible, if the gifts are for business purposes. Provided that the value of the gifts does not exceed the amount of CHF 500 (approximately EUR 525) per capita and per annum, the VAT Law assumes that the gifts are for business purposes.

9.2 Excess input VAT

If the VAT return shows a credit position in favor of the taxable person, the FTA will remit the surplus amount to balance the VAT account. A transfer into a foreign account is possible.

The VAT Law stipulates that the credit transfer must be done within 60 days after the receipt of the VAT return. Once this period has expired, an interest for late payment is due by the FTA.

9.3 Capital goods - adjustment periods

- immovable property - 20 years following the year of first use
- movable property - 5 years following the year of first use
- services - 5 years following the year of first use

However, in the latter case no adjustment takes place, if in the meantime the services have already been consumed (e.g. advisory services that are deemed to have been consumed as soon as they have been received).

9.4 VAT refund for foreigners

Foreign taxable persons having received services subject to taxation (for example building of a booth, hotel accommodation, car rent) are eligible for a refund of the Swiss VAT under specific pre-conditions. For this purpose, a tax representative domiciled in Switzerland must be appointed.

In order to obtain a refund of the VAT, the following conditions must be met:

- the applicant is a resident / domiciled abroad;
- the applicant is not registered for VAT purposes in Switzerland or Liechtenstein (no tax liability according to Article 10 of the VAT Law);
- the applicant does not perform any taxable supplies in Switzerland;
- proof issued by the competent Tax Authorities that the applicant is VAT registered in the country where he is resident / domiciled (a certificate of the business status);
- the invoices submitted must meet the formal requirements according to Article 26 Paragraph 2 of the VAT Law and must correspond with the refund period; and
- the country where the applicant is resident / domiciled is granting an equivalent reciprocal right to Swiss entrepreneurs (see <https://tinyurl.com/ms8cd7xy> [Länderliste]).

Only one application can be submitted per year. No VAT refund will be granted for a total amount of less than CHF 500 (approximately EUR 525). The application for a VAT refund must be submitted with the official forms approved by the FTA (forms no. 1222 and 1223).

The application for a VAT refund must be submitted between 1 January and 30 June of the following calendar year. This 30 June deadline cannot be extended.

The official forms must be submitted together with the original invoices and original proof issued by the competent Tax Authorities that the applicant is VAT registered, to this mailing address:

*Eidg. Steuerverwaltung
Hauptabteilung Mehrwertsteuer
Schwarztorstrasse 50
CH - 3003 Bern
Switzerland*

There is no time limit for making a decision. However, in case the VAT refund is granted later than 180 days after the application for a refund is submitted, late interest is due from the Tax Authorities. In general, no formal decision is taken by the Tax Authorities. Thus, there is no specific time limit for an "appeal".

In regard to restrictions on recoverability of the VAT, please refer to chapter 9.1.

10. Administrative obligations

10.1 Invoicing

10.1.1 Invoice content

Under the current VAT legislation there is a legal definition for the term "invoice" in Article 3 lit. k of the VAT Law that reads as follows:

- an invoice is "any document with which settlement is made for a supply with a third party, irrespective of how the document is described in business transactions".

The invoice must clearly identify the supplier, the recipient and the nature of the supply and, as a rule, has to contain the following elements:

- the name and the location of the supplier, in the form in which it presents itself in business transactions, and the number under which it is entered in the Register of Taxable Persons;
- the name and location of the customer, in the form in which it presents itself in business transactions;
- date or period of the rendering of the supply, to the extent it differs from the invoice date;
- nature, object and scope of the supply;
- the consideration for the supply; and
- the applicable tax rate and the tax amount payable on of the consideration; if the consideration includes the tax, the quotation of the applicable tax rate suffices.

10.1.2 Time limits

The Swiss VAT rules do not provide a time limit before which an invoice must be issued. There is a legal obligation for the supplier to issue an invoice upon the request of the customer. This invoice must conform to the specifications already mentioned (see chapter 10.1.1).

10.1.3 Currency

Invoices as well as credit notes can be issued in any official currency. There is no obligation to put the VAT amount in local currency, i.e. in Swiss Francs.

10.1.4 Conversion and exchange rate

Due to the fact that the VAT return has to be submitted in Swiss Francs, the amounts invoiced in foreign currency must be converted into Swiss Francs.

For the conversion into Swiss Francs the official exchange rates must be applied, i.e. either the monthly average exchange rate of the FTA or the daily currency (sale) exchange rate. There is no obligation to mention the exchange rate applied on the invoice or credit note.

For the monthly average exchange rate see the following webpage: <https://tinyurl.com/2wyw968a>

For the daily currency (sale) exchange rate see the following webpage: <https://www.rates.bazg.admin.ch/home>

10.1.5 Self-billing

Self-billing is understood as a situation where the customer issues the invoice instead of the supplier and provides the supplier with a copy. This self-billing document is in the VAT Law treated as an "ordinary" invoice issued by the supplier. The term used in the legal provisions for such a document is a "credit note". There are no specific conditions to be met if a self-billing arrangement is set up between the supplier and the customer. In practice there is always an agreement between the parties in place.

Only in cases where the credit note shows VAT although the supplier is not entitled to charge VAT, or the VAT amount charged is too high for the supply (e.g. the standard rate is applied instead of the reduced rate), the recipient of the credit note (the supplier) must submit a written objection to the customer.

Otherwise, the VAT shown on the self-billing document is owed and must be paid to the FTA by the supplier.

10.1.6 Simplified invoice

A simplified invoice (receipt) must contain the following information:

- the name and the location of the supplier, in the form in which it presents itself in business transactions, and the number, under which it is entered in the Register of Taxable Persons;
- date or period of the rendering of the supply, to the extent it differs from the invoice date;
- nature, object and scope of the supply;
- the consideration for the supply;
- the applicable tax rate and the tax amount payable on of the consideration; and
- if the consideration includes the tax, the quotation of the applicable tax rate suffices.

It is possible to issue a simplified invoice if the amount of the invoice is not higher than CHF 400 (approximately EUR 420). However, such simplified invoices do not entitle the foreign recipient to a VAT refund (cf. chapter 9.4).

10.1.7 Storage of invoices

The taxable person must retain in a proper manner its books of account, vouchers, business documents and other records until the absolute time limitation of the tax claim (which is 10 years after the end of the tax period in which the tax claim arose (Article 42 paragraph 6 of the VAT Law). Business documents that are required in connection with the calculation of de-taxation (i.e. if the conditions for the input tax deduction arise later, the input tax can be deducted in the reporting period in which the conditions arose) and own use of immovable goods, are to be retained for 20 years (Article 31 paragraph 3 and Article 32 paragraph 2 of the VAT Law).

The storage obligation is based on Article 957 of the Swiss Civil Law. It requires that the income statement and the balance sheet must be signed and kept in paper form. Electronic storage is permitted, provided that the legibility is guaranteed at all times (see also chapter 10.1.8). It is mandatory to archive electronically the electronic import and export declarations issued by the Federal Customs Administration (FCA), as these contain an electronic signature. In a release dated 20 September 2011, the FCA declared that the printing on paper of an electronic import or export declaration has, in principle, a lower probative value than the electronically stored original.

10.1.8 Electronic invoicing

Data that are electronically transmitted and stored in a comparable manner and information that is relevant for the deduction, the tax collection or tax reference, have the same probative value as the data and information that are readable without aids, provided, the following conditions are met:

- proof of origin;
- demonstration of integrity; and
- non-repudiation of sending.

The availability of the data and information stored electronically or in a comparable manner relevant for the tax collection or tax reference, is governed by the provisions of the third section of the regulation of 24 April 2002 on account books (SR 221.431). The taxable person must ensure that this data and information can be made readable at any time during the statutory retention period. The taxable person must provide for the necessary resources.

Documents can be transmitted electronically to the FTA, if the FTA has expressly declared this form of transmission permissible (cf. Article 70 para. 4 of the VAT Law and Article 122 MWSTV).

10.2 VAT compliance

10.2.1 VAT return period

As a general rule, the VAT returns are to be filed quarterly.

In case the taxable person applied for the simplified accounting method (so-called Saldesteuersatzmethode), the VAT returns have to be filed half-yearly.

In case the taxable person is regularly in a credit position, an application can be submitted for the filing of monthly VAT returns.

As of 1 January 2025, the taxable person can apply for filing yearly VAT returns provided that the annual turnover does not exceed CHF 5,005,000 (approximately EUR 5,250,000). The authorization will not be granted or revoked, if the taxable persons cease to comply with the settlement and payment obligations.

10.2.2 Filing of a VAT return and payment

Since 2015, it is possible to submit the VAT returns electronically. The filing in paper form is only permitted in exceptional cases. For each VAT return in paper form, a new application has to be submitted. The taxable person is obliged to file the VAT return within 60 days after the end of the reporting period.

The VAT due must be remitted within the same period to the bank account of the FTA (e.g. the VAT due for the first quarter 2025 must be credited to the account of the FTA by 30 May 2025).

If the taxable person files yearly VAT returns, provisional tax payments will be assessed and invoiced by the FTA.

10.2.3 European sales listing

Because Switzerland is not a member of the EU, this requirement is not applicable.

10.2.4 National recapitulative statement

There is no national recapitulative statement required.

10.2.5 Tax assessment period

The VAT Law stipulates that the VAT is levied per tax period. In general, the tax period is the calendar year. Thus, in case of a tax audit, the tax assessment must cover one full year.

In principle, the FTA can arrange for a tax audit any time as long as the tax claim is not yet prescribed. In Switzerland, the prescription period is 5 years after the end of the tax period in which the tax claim is incurred. This means that in the year 2025, the last open year for a tax assessment is the year 2020.

10.3 Penalties

10.3.1 Default penalties for late registration

The period for filing the online questionnaire is 30 days from the time when the tax liability begins. In case of late registration, the FTA can assess a fine of up to CHF 10,000 (approximately EUR 10,500).

10.3.2 Default penalties for not filing a VAT return or a European sales listing on time

The period for filing the quarterly VAT return is 60 days. It is identical with the payment deadline. If no or only incomplete records are made available to the FTA or if the results reported obviously do not match the actual facts, the FTA is eligible to assess the tax claim due. The tax claim is established with an assessment notice. There is no such obligation with respect to filing a European sales listing, as Switzerland is not a Member State of the EU.

10.3.3 Default penalties for not paying VAT on time to the tax authorities

Within 60 days after the end of the reporting period, the taxable person must settle the tax claim that arose in the respective period. If the taxable person makes no payment or a payment that is obviously insufficient, the FTA can, after issuing a reminder, seek legal enforcement of the tax amount provisionally payable for the reporting period in question. If there is no return for the taxable person or a return that is obviously inadequate, the FTA first determines the tax amount provisionally payable (see also chapter 10.2.2).

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

For tax evasion a fine of up to CHF 400,000 (approximately EUR 420,000) is imposed on anyone who intentionally or negligently reduces the tax claim to the detriment of the state, by:

- not declaring in a tax period all receipts, declaring too high receipts from supplies exempt from the tax, not declaring all expenses subject to acquisition tax or by declaring too high expenses entitling to input tax deduction;

- by claiming an incorrect refund, or
- by claiming an unjustified tax abatement.

The amount of the fine is up to CHF 800,000 (approximately EUR 840,000), if the tax evaded in the cases mentioned above entitles the invoice recipient to input tax deduction.

A fine of up to CHF 200,000 (approximately EUR 210,000) is imposed on anyone who reduces the tax claim to the detriment of the state by declaring the tax factors relevant for establishment of the tax truthfully, but qualifies them incorrectly for tax purposes, provided that he intentionally does not apply properly clear legal provisions, ordinances of the authorities or published practice rules and does not inform the authorities, in writing, in advance. If perpetrated negligently, the fine is up to CHF 20,000 (approximately EUR 21,000).

A fine of up to CHF 800,000 (approximately EUR 840,000) is imposed on anyone who reduces the tax claim to the detriment of the state, by:

- intentionally or negligently not declaring or declaring incorrectly or concealing goods on import, or
- in response to an enquiry, intentionally giving no, false or incomplete information during an official audit or administrative procedure that has, as its object, the establishment of the tax claim or tax abatement.

If the tax benefit is obtained on the basis of an incorrect return, the tax evasion is not punishable before the period for correction of errors in the return has expired (Article 72 paragraph 1 of the VAT Law) while the error still has not been corrected.

10.4 Intrastat

There is no such obligation as Switzerland is not a Member State of the EU.

Information received from:

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Since leaving the European Union on 31 December 2020 the principal VAT legislation in the United Kingdom (UK) is the Value Added Tax Law 1994. This is supplemented by a number of Statutory Instruments, primarily the Value Added Tax Regulations 1995. VAT is referred to in the UK as "Value Added Tax" or "VAT".

Legislation as to penalties and the powers of the tax authority, HM Revenue & Customs (hereafter HMRC), is contained within separate Finance Laws.

Some further UK VAT Law sits in tertiary legislation. This is delegated legislation which sits in Public Notices published by HMRC. The most important pieces of tertiary legislation sit in the following documents:

- Public Notice 700, Chapter 19 which sets out the UK's record keeping requirements;
- Public Notices 702 & 703 which cover the scope and conditions for VAT relief on UK imports and exports respectively,
- Notice 708 includes certificates that are required before VAT relief can be applied to certain property related supplies which is a very complex area of UK VAT legislation, and
- Public Notice 742A, which sets out the requirements for applying the option to tax on land and property transactions.

Text which has the force of law tends to sit within a text box in the Public Notices headed "The following statement has the force of law".

New rules were introduced by the Northern Ireland Protocol effective from January 2021 which dealt with VAT accounting on EU transactions involving Northern Ireland (NI). At the time of going to print the UK rules affecting NI are subject to changes are being rolled out following conclusion of the Windsor Framework, which amended the original NI Protocol by introducing a new UK internal market system (aka a 'green lane'). Rules outlined in this chapter relating to supplies of goods from or to the UK should generally be read as excluding those with NI. The current position for supplies involving NI are summarised in paragraph 10.5.5.

1. Taxable persons

1.1 Registration threshold for domestic taxable persons

For UK established businesses the current UK VAT threshold is GBP 90,000 (approximately EUR 106,250) per year. The registration threshold is reviewed annually during the approval of the UK Budget (normally in March each year). There are two ways in which this threshold can be exceeded:

- Past turnover: if a UK person's taxable turnover exceeded GBP 90,000 (approximately EUR 106,250) within the prior 12 months or less e.g. if a UK taxable person's turnover exceeds the threshold in the prior 7 months, it must notify HMRC by the end of the 8th month and start charging VAT from the beginning of the 9th month.
- Future turnover: if a UK taxable person reasonably expects to exceed the threshold in the next 30 days alone. In this case, it must register for VAT immediately and start charging VAT from the day it realises that it will exceed the threshold in the next 30 days.

It is also possible for a UK established business to register for VAT without exceeding the threshold. This is known as a 'voluntary registration' and as long as a UK taxable person is making taxable supplies, or can prove that he intends to make taxable supplies, it can register for VAT voluntarily. This benefits by allowing for reclaims of VAT on costs being incurred in advance of making taxable supplies.

The registration process must now use HMRC's online registration system. Unless the application is being submitted using a UK VAT Agent's own Agency Services Access, the applicant must first register to use HMRC online services and the link is best found using the Google search term "Welcome to HMRC online services". Having registered for online services (it is important to make a note of the Government Gateway ID as it will be needed again during the process), there are then clear links to registering for UK VAT.

The registration application needs to be supported by evidence of ID for the applicant and also that trading has either already begun or will later take place. The online registration procedure is intended for use by non-VAT specialists and often seeks to gather and call for supplementary information (depending upon the nature of the supplies made or to be made) to be uploaded during the registration process. Despite this, HMRC is likely to contact an applicant for additional information, especially where registrations involve either land and property or a business which has not yet commenced trading. HMRC also frequently reject applications for non-established businesses which can be frustrating, leading to further applications needing to be made.

New registration applications can take 8 weeks or more to be processed, however much longer processing periods can arise especially where HMRC query or reject the application. It is not possible to contact HMRC to query any application until after 8 weeks has passed.

1.2 Registration threshold for foreign taxable persons

The UK VAT registration threshold for non-established taxable persons is GBP nil, i.e. no threshold applies and the non-established businesses making any supplies of taxable goods or services that are treated as being made in the UK and are not subject to the reverse charge, MUST register and account for UK VAT on the sales regardless of the level of turnover.

When registering for UK VAT, in addition to the on-line application form being fully completed the following information must also be provided:

- Form VAT 2 which is needed if the application is for a partnership;
- Form 5L which is needed if the business is involved in real estate;
- Where an agent is being used then a form 64-8 is needed to evidence the agent's authority to act on the applicant's behalf; and
- Proof of ID and home address for the person signing the application.

- Foreign taxable persons without fixed establishments in the UK can choose to either register:
 - direct with HMRC and have the registration recorded against the HMRC Non-Established Taxable Persons Unit (NETPU); Ruby House, 8 Ruby Place, Aberdeen AB10 1ZP; or
 - by appointing a UK VAT Agent who can streamline the application and help avoid postal delays.

HMRC may require Non-UK applicants to appoint a tax representative who is jointly and severally liable for any tax, interest or penalties due.

Further information on registering for VAT can be found at this link: <https://www.gov.uk/vat-registration>

1.3 VAT grouping

VAT grouping is not compulsory in the UK.

Two or more companies or limited liability partnerships - known as 'corporate bodies' and non corporate bodies with close financial, economic and organizational links may register as a single taxable person, or VAT group, if they meet the following criteria:

- each body has its principal or registered office in the UK; and
- they are under common control, e.g. one or more companies are a subsidiary of a parent company.

Non-resident companies can apply to be members of a UK VAT group provided that they meet the above conditions and have a fixed establishment in the UK.

If the turnover of a group of companies is over GBP 10,000,000 (approximately EUR 11,803,700 at July 2024) per year and the group is partly owned or managed by a third party, it can only register as a group for VAT if:

- no more than 50% of benefits generated by the business go to third parties;
- the group uses consolidated accounting; and
- no third party consolidates the group into its accounts.

A VAT group is treated in the same way as a single company registered for VAT on its own. The registration is made in the name of the 'representative member'. The representative member is responsible for completing and submitting a single VAT return and making VAT payments or receiving VAT refunds on behalf of the VAT group. A single VAT identification number is issued for the whole VAT group, but each group member has a unique identifier. No VAT is accounted for on supplies between VAT group members.

All the group companies are jointly and severally liable for any VAT debts.

In addition to completing an on-line application to register for the new VAT group, VAT forms 50 and VAT 51 also must be completed. More information as to VAT grouping, as well as access to the relevant forms can be found at the following link: <https://tinyurl.com/mtpa9pbk> Companies without economic activity can be a member of a UK VAT group. Holding companies can be members of a VAT group and are often selected as, but do not need to act as the VAT group's representative member.

1.4 Fiscal representative

A Non-Established Taxable Person (NETP) can register for VAT in the UK in one of the three ways:

- directly if they can meet the UK record and inspection requirements;
- through a standard VAT registration application using a UK VAT Agent; or
- through a standard VAT registration application using a fiscal representative, also known as a tax representative.

HMRC can direct that certain NETPs appoint a fit and proper UK tax representative, normally where HMRC believes that there is a risk to the revenue. NETPs, based in countries where certain mutual assistance arrangements exist, cannot be forced to have a tax representative. HMRC normally expect the appointment of a UK tax representative using form VAT1TR if there is any distance selling into Northern Ireland (see paragraph 10.5.5).

A foreign taxable person does not have to appoint a fiscal representative in order to qualify for certain tax schemes and simplifications (e.g. for use of the Postponed VAT Accounting for imports of goods into the UK). Any UK person, whether natural person or otherwise, that is unconnected with the business, or key persons involved in that business and considered to meet or exceed a particular level of suitability, compliance and integrity, can act as a fiscal representative provided they accept the associated joint and several liability.

2. Taxable transactions

2.1 Transfer of business

As a general rule, the sale of the assets of a business including goodwill will be subject to VAT. However a mandatory VAT relief can apply to the transfer of a business as a going concern (TOGC) so that the proceeds fall outside the scope of UK VAT such that VAT is not chargeable. It is important to be aware that the UK TOGC rules are not optional. For the relief to apply the arrangements surrounding the sale and those adopted by the parties must meet certain conditions which HMRC sees as being:

Per paragraph 3.3 new rules apply from January 2021 to import consignments by ecommerce sellers and online marketplaces (OMP) that do not exceed GBP 135. Instead of paying import VAT the seller or OMP must be VAT registered and charge VAT at the point of sale.

PVA cannot be used to postpone payment of import or other duties, which remain due at the point of import entry unless deferred as outlined below.

The benefit of PVA is that the importer does not have to make cash payments of import VAT but instead records both the import VAT due and the corresponding reclaim on the same UK VAT return covering the date of import. To make a reclaim the importer will either need:

- to obtain and retain a monthly PVA Statement from HMRC's online Customs Declaration Service (CDS); or
- where PVA is not specified on the entry declaration, the importer will be required to pay the VAT over to HMRC and any later VAT claim will need to be supported by a C79, which is a statement produced each month by HMRC for non-PVA imports declared against each importer's EORI.

PVA cannot be used to postpone payment of import or other duties, which remain due at the point of import entry unless deferred as outlined below.

The benefit of PVA is that the importer does not have to make cash payments of import VAT but instead records both the import VAT due and the corresponding reclaim on the same UK VAT return covering the date of import. To make a reclaim the importer will either need:

- to obtain and retain a monthly PVA Statement from HMRC's online Customs Declaration Service (CDS); or
- where PVA is not specified on the entry declaration, the importer will be required to pay the VAT over to HMRC and any later VAT claim will need to be supported by a C79, which is a statement produced each month by HMRC for non-PVA imports declared against each importer's EORI.

payment on the customs declaration and enter the importer's details as the consignee.

From January 2021, UK importers who are registered for UK VAT have a choice about how they handle their import VAT liabilities. This can either be via the long-standing import VAT system that requires payment of VAT to HMRC at the point of UK entry or use the new Postponed VAT Accounting (PVA) system (outlined below). In order to use PVA and handle import VAT via entries on a VAT Return, the importer must inform the person dealing with the customs entry (the import agent) in writing to select the PVA option as the method of payment on the customs declaration and enter the importer's details as the consignee.

2.3.1.1 Postponed VAT Accounting on importation

As the UK is no longer a member of the EU there cannot be any intra-Community supplies made (except to the extent that transactions involve NI - see paragraph 10.5.5). However, subject to a number of conditions, it is possible for a UK VAT registered importer to avoid a VAT charge on UK imports where the goods are to be shipped immediately either to an EU Member State or another country.

2.3.1 Importation followed by intra-Community supply

2.3 Importation

In principle where goods or services are provided free of charge HMRC consider that there has been no business activity and therefore that input tax incurred on providing the free goods or services cannot be reclaimed or, if input VAT has been reclaimed, that output VAT falls due on the free disposal as though a sale had taken place. This includes free use of business assets which leads to a deemed supply on which output VAT falls due, including use of fuel for private purposes. Business promotion schemes can also lead to deemed supplies with output VAT due despite no monetary payment being made by the recipient. However there are some exceptions including:

- where the total cost of all business gifts you make to the same person does not exceed GBP 50, excluding VAT, in any 12-month period no VAT adjustment is needed;
- HMRC also accept that providing samples of products free of charge to individuals for marketing purposes is not liable to VAT adjustment; and
- VAT also does not need to be adjusted on staff entertainment provided the employees are not acting as hosts to non-employees.

2.2 Supplies free of charge

- the assets must be sold as part of the transfer of a 'business' as a 'going concern';
- the assets are to be used by the transferee with the intention of carrying on the same kind of 'business' as the transferor (but not necessarily identical);
- where the transferor is a taxable person, the transferee must be a taxable person already or become one as the result of the transfer;
- in respect of land which would be standard rated if it were supplied, the transferee must notify HMRC that he has opted to tax the land by the relevant date, and must notify the transferor by the same date that its option has not been disapplied (NB, these rules are very complicated);
- where only part of the 'business' is sold, it must be capable of operating separately; and
- there must not be a series of immediately consecutive 'transfers of business'.

2.3.1.2 Duty Deferment ('DD')

Although negative for cash-flow when compared to PVA importers, including non-established businesses, can apply to use duty deferment, which is a system in operation prior to Brexit that can still be used if PVA is not selected on the import entry. In some cases HMRC will require that the importer provides a financial guarantee from a HMRC approved bank, insurance company or building society to provide support behind the duty deferment account. The system is used to defer payment not only of VAT, but also customs duties, excise duties, CAP levies, monetary compensatory amounts under the CAP, anti-dumping or countervailing duties imposed by the EU, compensatory interest on IPR goods diverted to free circulation, and interest charges on customs debts, excise duty, VAT, tobacco products duty and post clearance demands.

Import VAT and duties can also be deferred by using an agent's DD account. In any case all payments are deferred until the 15th day of the following month. Payment must be made to HMRC by the BACS (Bankers' Automated Clearing Services) system of direct debit upon a UK bank account in GBP. BACS is a UK scheme for the electronic processing of financial transactions.

3. Place of Supply

Pre-Brexit Simplification measures

While the UK was a member of the EU there were a number of simplification measures in operation. Since 01 January 2021 these measures have been largely removed (but see also paragraph 10.5.5 re the NI Protocol and the Windsor Framework). The new rules now operating under each of these former measures are set out in the following headings.

3.1 Consignment and call-off stock

If a non-UK supplier holds any stocks of goods in the UK, even if these are at a customer's warehouse for their call-off, the arrival of goods into the UK will have to be treated as an import. Given that ownership of the goods remains with the non-UK supplier, that same 'person' will be liable for payment of any import VAT and duty.

When ownership of the goods is transferred from the non-UK supplier to the UK customer, the place of the supply is treated as being in the UK and therefore (with nil VAT registration threshold applying), the supplier must register for UK VAT and charge UK VAT at the appropriate rate. Once UK VAT registered the non-UK supplier would become able to take advantage of the PVA Scheme – see paragraph 2.3.2.1.

There is also no simplification for consignment stocks. These are treated as a transfer of own goods for VAT that will also necessitate UK VAT registration of the supplier.

3.2 Installation supplies

There is no legal definition of 'supply with installation or assembly'. HMRC's guidance says that the "key" here is that a supplier, or an agent acting on its behalf, is required (as part of the supply) to install or assemble the goods for the customer". Importantly, HMRC sees that, for place of supply purposes, having separate contracts for the goods and for the installation or assembly should still be seen as a single supply of installed or assembled goods. In all such situations, the place of supply is where the installation or assembly is carried out which, if located in the UK, would ordinarily result in the supplier having to register for UK VAT.

However, for non-UK suppliers it may be possible to avoid having to register for UK VAT using a limited simplification for installed or assembled goods imported from a third country under which any VAT otherwise due on the supply is handled by the customer self-accounting using the reverse charge for the supplies received from its EU or non-EU suppliers.

When the overseas supplier does not have a UK establishment, it may or may not be required to register and account for VAT depending on the VAT registration status of its customer. VAT registration will always be required where the installation is in the UK and the customer is not registered for UK VAT.

The simplification only applies where the supply is a one-off supply and allows the supplier to exceptionally treat the supply as taking place outside the UK. Where this condition is met, the customer acts as the importer of the goods and the full contract price must be declared on the import entry. While saving the supplier from having to have a UK VAT registration, this approach also has the effect of increasing the value on which import duty have to be charged, over and above the value that would be used for a simple importation of the goods.

The simplification cannot be applied if an overseas supplier has a fixed establishment in the UK, in which case it will need to register and account for VAT subject to the normal registration rules.

Where the simplification is used and UK VAT is incurred on goods and services purchased in the UK, including small quantities of materials such as nuts and bolts or welding rods, this might be reclaimed via a mechanism that is similar to the 13th Directive VAT refund procedure. Details can be found in HMRC public guidance VAT Notice 723A.

A simplified procedure is available for EU businesses installing or assembling goods in Northern Ireland per paragraph 10.5.5.

3.3 Distance sales

Except for distance sales to Northern Ireland (see paragraph 10.5.5) there is no VAT registration threshold for non-UK e-commerce sellers, so they now need to register for UK VAT.

How UK VAT rules apply depends on whether the consignment value is above or below GBP 135. Where consignment value is:

- GBP 135 or below UK VAT has to be accounted on the supply at the point of sale, which means the supplier has to either register for VAT or sell through an on-line market place and have VAT handled for them; and
- above GBP 135 then import VAT will be charged when the goods enter to UK. If the supplier acts as importer of record then it will have to register for UK VAT and charge VAT on the onward sale to the UK customer.

If a UK supplier makes distance sales in an EU Member State then a VAT registration may be required depending on the value of the goods and whether the customer is prepared to act as importer.

3.4 Simplified Triangulation

Since leaving the EU, the UK is no longer eligible to use the triangulation simplification potentially leading to the middleman having to register for VAT in the country of the arrival of the goods. This would be the case for both a UK supplier having goods delivered into an EU state or an EU or non-EU supplier having goods delivered to a UK customer.

A UK business can still use an EU VAT number in a triangular transaction but only if it involves parties who belong in other EU states provided it does not involve goods moving from or to the UK. This is understood to extend to XI VAT ID numbers allocated to businesses making supplies from or to Northern Ireland (see paragraph 10.5.5).

3.5 Acquisition threshold

As the UK is no longer a member of the EU there is no threshold for intra-Community acquisition of goods by non-taxable persons.

3.6 Effective use and enjoyment

Use and enjoyment rules dictate the place of supply by looking at where the underlying services are effectively used and enjoyed rather than where the supplier or customer belongs. The use and enjoyment rules apply to telecommunications services and broadcasting services (B2B and B2C), electronically supplied services (B2B), hired goods, hired means of transport and insurance repair services (B2B). While this rule can 640 | The United Kingdom

result in a supply being treated as made outside the scope of UK VAT, it can also result in a VAT registration being required in the EU state where the supply is treated as taking place.

4. Chargeable event & Chargeability of VAT

4.1 Principles

In the case of a supply of goods taking place in the UK, in principle the VAT becomes chargeable at the time the goods are removed or made available to the person to whom they are supplied. This is known as the basic tax point. The basic tax point for services is when the performance of that service is completed. If an invoice is issued within 14 days of the basic tax point the invoice date becomes the actual tax point.

4.2 Advance payments

For supplies of both goods and services a tax point is created by the receipt of payment so that VAT can become chargeable before the time the goods are supplied or made available to the person to whom they are being supplied or the service is completed or the invoice being issued. To the extent that any payment is received in advance, an 'actual' tax point arises and VAT will fall due on the VAT return covering the date of the payment receipt.

4.3 Continuous supplies

Where there is a continuous supply of services the time of supply is the earlier of when a payment is received, or a VAT invoice is issued. Anti-avoidance rules also apply so that HMRC impose a tax point at the end of each 12-month period.

4.4 Cash accounting

A Cash Accounting Scheme allows for taxable persons to account for output VAT on sales on the basis of payments received rather than invoices issued. If this scheme is used, then input VAT incurred can only be reclaimed once the supplier has been paid. The following conditions apply:

- to join the scheme the annual value of taxable supplies must not exceed GBP 1,350,000 (approximately EUR 1,590,000);
- all prior VAT returns must have been submitted within the statutory deadlines, and any amounts of VAT due fully paid to HMRC;
- the applicant must not have been assessed to a penalty for VAT evasion involving dishonest conduct in the last year;
- or convicted of any VAT offence; and
- they must leave the scheme at the end of the tax period in which their taxable turnover exceeds GBP 1,600,000 (approximately EUR 1,900,000).

5. Taxable amount

5.1 Bad debt relief

A claim for VAT Bad Debt Relief ('BDR') can be made on a UK VAT return to the extent of the amount of VAT outstanding on sales invoices that has been paid over to HMRC, that remains wholly or partly unpaid after 6 months of the invoice due date and the obligation to pay is less than 4.5 years old. If any payment in settlement is subsequently received then the BDR claim must be reversed. Claims cannot be made if the debt has been sold or handed to a factoring company or if the supplier charged more than the normal selling price for the supplies concerned.

In addition BDR applies to purchases so that where, 6 months after receiving a supply, a customer has not paid for the supplies made to them, they must reverse all claims to input tax to the extent of the unpaid amounts.

If a taxable person wants to make a BDR claim and reclaim the VAT it has paid on unpaid sales, it must:

- Hold a copy of the VAT invoice(s) on which it is claiming BDR. If it did not issue a VAT invoice, it must keep paperwork showing the equivalent information; and
- operate a separate bad debt account showing:
 - the amount written off as a bad debt;
 - the VAT on which it has claimed bad debt relief;
 - the VAT period in which it claimed relief;
 - the total amount of VAT charged on each sale;
 - the VAT period in which it originally paid the VAT;
 - any payments received (shown separately for each invoice);
 - the name of the customer; and
 - the invoice date and number, or similar information, to which the debt relates. It needs to keep this information for 4 years after it makes the claim.

5.2 Cash discounts

Irrespective of whether a discount is offered or adopted, suppliers must account for VAT on the amount they actually receive and customers may only recover the amount of VAT that is actually paid to the supplier. When a discount is offered and payment is made within the settlement period, the VAT due is based on the discounted amount which can mean processing a credit note to evidence the VAT adjustment. To reduce VAT due from the value shown on the sales invoice issued, the supplier is required to notify its customers of the VAT discount available and the amounts the customer is due to pay. This can be done in one of two ways:

1. issue an invoice for the full net and VAT payable. If the invoice is paid within the settlement period, issue a further VAT only credit note to account for the VAT discount; or

2. issue an invoice document which states the amount of discount (net and VAT) that can be claimed if the invoice is paid within the settlement period as well as the full amount (net and VAT) due after the settlement period. If the invoice is paid within the discount period there is no need to issue an additional credit note, but accounting adjustments will need to be made.
 - HMRC recommend that the invoice includes the statement "A discount of X% of the full price applies if payment is made within Y days of the invoice date. No credit note will be issued. Following payment you must ensure you have only recovered the VAT actually paid."
 - When an invoice is paid immediately, the settlement discount is automatically taken. The VAT is already discounted on the invoice and no subsequent adjusting credit note is required.

5.3 Open market value

In certain circumstances, supplies must be valued at their 'open market value' for VAT purposes rather than in accordance with the normal valuation principles of looking only at the consideration paid. Open market value rules may apply where there are:

- supplies between certain connected persons;
- 'direct selling' arrangements;
- a 'self-supply' occurs under rules for stock in trade cars; and
- where fuel is supplied to employees / certain connected persons at below cost.

5.4 Returnable packaging

If a deposit is taken against the safe return of goods, it is not viewed as consideration for a supply so that no VAT falls due. The contract should specify that the deposit is refundable subject to the safe return of the goods, so that where the deposit is forfeited, either in total or in part, due to the fact that the customer failed to return the goods or they were damaged, the payment then retained is outside the scope of VAT by being viewed as compensation. The same VAT-free treatment can be applied, if a business adds an extra charge to a supply of goods for the container in order to ensure the safe return of the container and commits to refund the charge when returned. However, if the charge has been made to cover the hire, loan or use of the container, then the charge represents consideration for a supply of services, even if it is refundable when the container is returned, so that VAT falls due on the charge made.

6. VAT rates and exemptions

6.1 Standard rate

The standard rate in the UK is 20%.

6.2 Reduced rate

The reduced rate in the UK is 5% and applies for instance on:

- energy saving materials permanently installed in residential or charity premises (but not including institutions such as prisons, hospitals etc.);
- mobility aids for the elderly;
- smoking cessation products - nicotine patches and gum;
- gas, electricity, heating oil or solid fuel for domestic and residential use or for non-business use by a charity;
- installed:
 - air source heat pumps;
 - boilers-wood fuelled;
 - central heating controls, including repairs and maintenance;
 - draught stripping;
 - energy saving materials in residential premises;
 - insulation;
 - micro combined heat and power units;
 - solar panels;
 - water and wind turbines;
 - security goods (linked to the installation of energy-saving materials);
 - heating appliances-grant-funded;
 - ground source heat pumps; and
 - hot water system controls;
- converting premises into different living accommodation;
- renovating or altering residential property that has been empty for at least two years;
- carrycots with restraint straps;
- children's car seats, booster seats, booster cushions and children's safety seats with bare wheeled framework;
- heating equipment and connection of gas supply (grant-funded);
- closed solid fuel fire cassettes;
- electric dual immersion water heaters with factory-insulated hot water tanks;
- electric storage heaters;
- gas-fired boilers;
- gas room heaters with thermostatic controls;
- oil-fired boilers; and
- radiators;
- the installation, repair and maintenance of a boiler, radiators, pipework and controls forming a central heating system (including micro-combined heat and power systems);
- the installation, repair and maintenance of renewable source heating systems. This means space or water heating systems which use energy from:
 - renewable sources, including solar, wind and hydroelectric power; or
 - near renewable sources, including ground and air heat; and
 - connection or reconnection to the main gas supply.

6.3 Super-reduced and zero rates

The zero rate (0% VAT rate) applies for the following supplies and services:

- maternity pads and sanitary protection products;
- electronic publications;

For the supply of goods which are exported, the following applies. Since January 2021 the same conditions apply for zero rating all exports of goods from the UK. To qualify for zero-rating documentary evidence must show that the goods have left the UK. Copies of transport documents alone will not be sufficient. The export evidence must clearly identify:

7.1.2 Export supplies - Exports from the UK are strictly zero-rated but included here for ease of indexing.

Except for transactions involving Northern Ireland (see paragraph 10.5.5) since leaving the EU, the UK applies the same VAT treatment to EU transactions as it does to those with non-EU customers or suppliers.

7.1.1 Intra-Community supplies

In the UK our equivalent category to exemptions with right to deduction is our zero-rate as outlined above.

7.1 Exemptions with right to deduction

7. Exemptions

- advertising services for charities;
- certain goods sold at charitable fundraising events;
- charity shops-selling donated goods;
- construction and sale of new buildings for a relevant charitable purpose;
- building services for disabled people;
- equipment for disabled, blind or partially sighted people;
- talking books and vision aids for blind people;
- dispensing of prescriptions by a registered pharmacist;
- incontinence products;
- sewerage services supplied to domestic or industrial customers including emptying domestic cesspools, septic tanks or similar;
- water supplied to households;
- construction and sale of new domestic buildings or new buildings for communal residential or charitable purposes;
- sale of buildings converted into a dwelling or for charitable or communal residential purposes;
- sale or long lease of a new dwelling with garage or parking space;
- aircraft repair and maintenance;
- domestic leg of freight transport to or from a place outside the UK;
- freight containers - sale, lease or hire to a place outside the UK;
- international freight transport that takes place in the UK and its territorial waters;
- passenger transport in a vehicle, boat or aircraft that carries not less than ten passengers;
- airships - sale or charter;
- caravans (more than 7m long or more than 2.5m wide);
- military aeroplanes, helicopters or civil aeroplanes - sale or charter;
- houseboats - sale or let out on hire;
- ship repairs and maintenance;
- shipbuilding - 15 tons or higher gross tonnage;
- Printed matter including brochures; leaflets; pamphlets; books; children's painting and picture books; maps and charts; magazines; newspapers; printed or copied music and publication.
- baby wear; children's clothes and footwear;
- cycle helmets CE marked and motorcycle helmets that meet safety standards;
- protective boots and helmets for industrial use;
- food and drink for human consumption is, in general, zero rated but many items are standard rated, including alcoholic drinks, confectionery, crisps and savoury snacks, food for catering or hot takeaways, ice cream, soft drinks and mineral water;
- because certain food and drink is zero rated, so are certain animals and animal feeds, and plants and seeds if the animal or plant in question is normally used for human consumption; and
- goods exported outside the UK are zero rated, subject to conditions set out in Notice 703.

- the supplier;
- the consignor (where different from the supplier);
- the customer;
- the goods;
- an accurate value;
- the export destination; and
- the mode of transport and route of the export movement. There are additional evidence requirements for indirect exports as below.

The supplier must:

- obtain and show on its VAT sales invoice the customer's EU VAT identification number, including the two-letter country prefix code (necessary to show that the sale is not B2C for which different rules apply – only for supplies to EU Member States);
- state on the invoice that the customer is liable for any local VAT due on the goods;
- obtain within the time limits and then retain for 6-years valid official or commercial evidence that the goods are sent or transported out of the UK to a non-UK destination within specific time limits 'evidence of removal';
- keep supplementary evidence of the export transaction; and
- comply with the law and the conditions of HMRC's Public Notice 703.

HMRC strictly apply the export evidence rules set out in Notice 703 and if not met will collect VAT on the value of the supply by treating the supply as VAT inclusive. A combination of documents must be used to provide clear evidence that both a supply has taken place and the goods have been removed from the UK.

The official evidence is produced by the Customs systems used and will be dictated by the means of transit and route used. It might also include a Single Administrative Document (SAD) endorsed by Customs at the point of exit from the UK or confirmation of the electronic discharge on the New Computerised Transit System (NCTS) movement (read more here - <https://tinyurl.com/475fu96t>).

The commercial evidence, referred to above, describes the physical movement of the goods and may include:

- authenticated seaway bills;
- authenticated airway bills;
- international consignment notes;
- certificates of shipment containing the full details of the consignment and how it left the UK;
- master airway bills or bills of lading; and
- International Consignment Note/Lettre de Voiture International (CMR) fully completed by the consignor, the haulier and the receiving consignee, or Freight Transport Association (FTA) own account transport documents fully completed and signed by the receiving customer.

Photocopy certificates of shipment are not normally acceptable as evidence of export, nor are photocopy bills of lading, seaway bills or airway bills (unless authenticated with an original stamp and dated by an authorized official of the issuing office).

The supplementary evidence should be held by the supplier sufficient to evidence that a transaction has taken place, though it will probably not be necessary for it to hold all of the items. Such evidence includes:

- customer's order/sales contract including customer's name, VAT identification number if in the EU and delivery address for the goods;
- inter-company correspondence including a copy of export sales invoice;
- advice note consignment note;
- evidence of the receipt of the goods abroad;
- insurance and freight charges documentation;
- evidence of payment;
- packing list;

- documents relating to the sale;
 - travel tickets to demonstrate that an non-UK journey took place for the purpose of removing the goods from the UK;
 - bank statements as evidence of payment;
 - receipted copy of the consignment note as evidence of receipt of goods abroad;
 - commercial transport document(s) from the carrier responsible for removing the goods from the UK, e.g. an International Consignment Note (CMR) fully completed by the consignor, the haulier and signed by the receiving consignee; and
 - any other documents relevant to the removal of the goods in question which a supplier would normally obtain in the course of its business.
- Where the customer collects the goods, there are additional evidence requirements which must show that the goods have left the UK. Copies of transport documents alone will not be sufficient. Information held must identify the date and route of the movement of goods and the mode of transport involved. It should include:
- date of departure of goods from the supplier's premises and from the UK;
 - name and address of the haulier collecting the goods;
 - registration number of the vehicle collecting the goods and the name and signature of the driver and, where the goods are to be taken out of the UK by a different haulier or vehicle, the name and address of that haulier, that vehicle registration number and a signature for the goods;
 - route, e.g. Channel Tunnel, port of exit;
 - copy of travel tickets;
 - name of ferry or shipping company and date of sailing or airway number and airport;
 - name and address for consolidation, groupage or processing (if applicable);
 - full container number (if applicable); and
 - trailer number (if applicable).

7.2 Exemptions without right to deduction

Exemption without the right to deduct (known as "exemption" in the UK) applies to the following:

- physical education and sports activities where supplied by a qualifying body (essential condition for qualifying body is that it cannot and does not distribute profits);
- betting and gaming, including pool betting and games of chance; lottery ticket sales and online lottery games;
- bingo, including remote games played on the internet, telephone, television and radio;
- retailer commission on lottery ticket sales;
- admission charges by public authorities or eligible cultural bodies to certain cultural events such as visits to museums, art exhibitions, zoos and performances;
- antiques, works of art or similar (as assets of historic houses) sold by private treaty to public collections or used to settle a tax or estate duty debt with HMRC;
- admission charges by charities;
- sponsored charitable events, charitable fundraising events and certain goods sold at such charitable events;
- burial or cremation of dead people, or burial at sea;
- funeral plans written under contracts of insurance;
- care or medical treatment provided by a qualifying institution like a hospital, hospice or nursing home;
- health services provided by registered doctors, dentists, opticians, pharmacists and other health professionals;
- education, vocational training and other connected services provided by an eligible body like a school, college or university but effective from January 2025 excluding education provided by private fee-paying schools (a move by HMRC that is currently being challenged in the UK Courts);
- garages or parking spaces let together with dwellings (under short-term tenancy agreements) for permanent residential use;
- parking is standard-rated but would exclude a grant, or licence, to occupy land on which incidental parking takes place;

guidance at <https://tinyurl.com/2xc5mxye>

For details regarding different types of customs warehouses and conditions which apply for the placement of the goods in the different types of the customs warehouses, please refer to HMRC's Public Notice 3001 and

C, D and E are available in the UK.

Of the 6 different types of customs warehouse provided for in EU legislation, classified as A-F, only types A,

documentation.

between nominated locations may be made without duty and VAT payments and without specific customs nominated location with HMRC's control being systems-audit-based. Movement of warehoused goods

physical premises. Goods imported under type E arrangements can be stored free of duty and VAT at any A type E warehouse requires HMRC's approval of a computerised accounting system, rather than of

the goods but must be the depositor.

individual trader who is authorized as the warehouse keeper. The warehouse keeper need not necessarily own A private warehouse is for the storage of goods placed under the customs warehousing procedure by an

goods placed under the customs warehousing procedure by other traders (known as depositors). A public warehouse is authorized for the use of a warehouse keeper whose main business is the storage of

It is possible to postpone paying VAT and duties by putting goods into a customs warehouse (often called a 'bonded warehouse') which can either be a defined location such as a building (and be either public or private) or an inventory system authorised by HMRC for storing non-UK goods (a 'type E' warehouse).

7.2.1.3 Bonded (customs) warehouse

the approved warehouse.

An excise warehouse must be authorised by HMRC to receive and store goods that are liable for excise duty without having to pay the duty. The duty and VAT is suspended for the period that the goods are stored inside

7.2.1.2 Excise warehouse

customs duty purposes, can be also be used solely for VAT, if required. See below for details. There is no specific VAT warehousing regime in the UK. However, a customs warehouse, normally used for

7.2.1.1 VAT warehouse

7.2.1 Warehousing

- insurance supplied as part of a single supply with other goods or services.
- insurance supplied as a separate element but with other goods or services; and
- insurance brokers and agents acting in an intermediary capacity;
- insurance and reinsurance transactions;
- Friendly Society subscriptions for the provision of insurance;
- gold investment coins;
- principal element of the supply;
- financial service supplied as part of a single supply with other goods or services if financial service is the
- financial service supplied as a separate element but with other goods or services;
- the management of a qualifying special investment fund;
- the operation of a current, deposit or savings account;
- the provision of qualifying financial intermediary services;
- the provision of instalment credit finance for example hire-purchase;
- the management of credit by the person who has granted it;
- the granting of credit such as loans;
- or orders for the payment of money, or a security, including shares and bonds;
- financial services including the issue, transfer or receipt of, or dealing with money, securities for money
- public postal services provided by the Royal Mail under a universal service obligation;
- houseboat moorings including parking spaces or garages supplied with houseboat moorings;
- property, land and buildings - grant, or licence, to occupy land or buildings (subject to an option to tax);

Opting to tax is a 3-part process.

1. The first part is to determine whether or not the business needs the permission of HMRC to opt to tax using a form VAT1614H. Permission is only usually required where the option relates to immovable property which is already in the business's ownership, and the process is all about ensuring that the business is able to deduct only the right amount of VAT already incurred on the property (or to be incurred). Sometimes permission is automatic. On other occasions, an application must be made to HMRC for permission to elect. An election can only be effective once permission has been granted. The tests are complicated and this is an aspect where professional advice needs to be obtained.

- the land or building concerned is or will be a capital item in the hands of the supplier. There are various capital items related to immovable property but they all have one thing in common, they must have cost GBP 250,000 (approximately EUR 295,000) plus VAT or more;
 - it is intended or expected that during the adjustment period for the capital item (10 years from when it became a capital item) that the person occupying the immovable property will use it for a purpose for which input tax is not (wholly or partly) deductible; and
 - the occupier is, or will be, the grantor, the person financing the development, or any person connected with either the grantor or of the financier.
- The conditions under which the anti-avoidance measure applies are complex, but three basic conditions must apply:

- supplies of land to 'do it yourself' (DIY) house builders & o someone who is building his/her own home (i.e. not an economic activity);
 - supplies of land to housing associations where the intention is to build a dwelling or dwellings, or a building or buildings to be used solely for a relevant residential purpose. Subject to the service of form VAT1614G on the vendor; and
 - if the transaction is with a connected party which is not able to deduct all of the VAT it incurs (is partly or wholly exempt), with limited exceptions ('the anti-avoidance measure').
- In addition, the option to tax is disappplied in specific circumstances:

- a dwelling or a number of dwellings or solely for a 'relevant residential' purpose;
- converting buildings for use as dwellings or solely for a relevant residential purpose. This block is subject to the customer serving a form VAT1614D upon the supplier at the right time;
- a pitch for a residential caravan;
- a building or a part of a building intended for use solely for a 'relevant charitable' purpose, other than as an office, again subject to the vendor's being given a certificate that the building is to be used for that purpose; and
- facilities for the mooring of a residential houseboat.

7.3 Option to taxation

It is possible to opt to tax transactions involving an interest in land and also limited supplies in relation to gold (which are limited and not covered further). In relation to land and property an option to tax will be ineffective if the property is used or intended to be used for:

The release of goods from a bonded warehouse regime does not constitute an importation if the goods are subsequently placed under another customs regime.

The sale of goods while still in bond is not subject to VAT. Evidence that the sales took place in the bonded warehouse should be kept in the files (i.e. list of the transactions from the warehouse keeper, customs documents, the agreements, the invoices, etc.).

When the goods are released from the warehouse for free circulation, duties and VAT become due. A customer who declares the goods into free circulation becomes responsible for the payment of the VAT.

2. The second part is that the business decides to opt to tax (please note that if permission is required, this decision still needs to be made and the business is not bound by the permission in its application process). It will decide the effective date of the option which can only be a current or prospective date. It is wise to keep a current record of this decision. A company may do this, for example, by using the board minutes.
 3. The third part of the process is to notify the option. This would normally be on form VAT1614A (there are other forms for different circumstances). The form can be completed and submitted online, or it can be printed, completed and then submitted by surface mail, email or fax. An election can be notified by the taxable person or an agent acting for the taxable person. Where an agent is used, the agent must hold signed written authority from the taxable person stating which immovable property is subject to the election and the effective date. The written authority must be submitted with the option to tax notification. Always obtain some proof that the notification has been submitted. For example, if notified by surface mail, send it 'signed for'.
- Except where the transaction is intended to be a transfer of a going concern a notification of an option to tax must normally be submitted within 30 days of the effective date of the option. If the application is made after this time it will only be effective at the discretion of HMRC, which is strictly applied.
- HMRC acknowledges receipt of a notification are now no longer issued unless the notification is made by email in which case a standard reply is sent, which does not mean that the option to tax is effective or correct.

8. Liability

8.1 Reverse charges

In the UK there are several reverse charges as outlined below.

8.1.1 General Reverse charge – non-resident suppliers

The VAT liability of B2B supplies of the vast majority of services will be shifted to the UK customer receiving the service. Ideally the invoice should refer to the application of the reverse charge.

For place of supply of services purposes, 'B2B supplies' means not only supplies to businesses whose activities are wholly of a business nature but also supplies to entities which have both business and non-business activities such as charities and government departments.

The reverse charge can cause otherwise unregistered organisations to become liable to VAT registration. If a non UK supplier performs a service for a UK taxable person that is not registered, in principle the reverse charge applies. The UK person/organisation receiving the services should then include the value of those services when determining whether it has exceeded the UK's VAT registration threshold of GBP 90,000 (approximately EUR 108,290).

The extension to the reverse charge applies if the customer has a UK VAT ID and receives B2B supplies of the following services which are treated as supplied in the UK even where the supplier belongs outside the UK:

- services relating to land and property such as legal or design fees;
- services supplied where performed;
- passenger transport;
- services covered by the additional rules for hired goods (including hired means of transport);
- telecommunications services, radio and television broadcasting services; and
- services covered by the additional rules for electronically supplied services.

Where a non-UK organisation owns property in the UK and uses it to make supplies that are VATable, either by being zero-rated (exempt with credit - such as sales of new housing) or standard-rated (by way of new commercial buildings or under an option to tax) then a UK VAT registration would be required.

The reverse charge mechanism applies on practically all services provided by non-resident suppliers if the recipient is established in the UK and is registered or liable to be registered for UK VAT. The reverse charge can also apply, even if the non-resident supplier is registered for VAT in the UK.

There is no reverse charge mechanism for domestic supplies of goods by non-resident suppliers in the UK. Post-Brexit B2C suppliers of goods are likely to be liable to register for UK VAT. The rules for B2B supplies will depend on the place of supply and who acts as importer (see also paragraph 12.5 for NI).

Supplies of goods incorporating assembly or installation can only be subject to reverse charge, if the supplier is making a one-off supply (see paragraph 3.2).

8.1.2 Specific domestic reverse charges

8.1.2.1 Supplies of natural gas and electricity

The reverse charge applies where:

- the supply takes place in the UK;
- the supplier is located outside the UK; and
- the customer is registered for VAT in the UK.

Where this is the case, the UK customer is required to account for the VAT under the reverse charge mechanism.

8.1.2.2 Domestic Reverse Charge for construction services

A reverse charge applies where a qualifying supply of construction services and associated goods is made. VAT is only charged where the recipient is either an end user or not registered for both UK VAT and CIS.

(Construction Industry Scheme).

The reverse charge applies on the following services:

- constructing, altering, repairing, extending, demolishing or dismantling buildings or structures (whether permanent or not), including offshore installation services;
- constructing, altering, repairing, extending, demolishing or planned to form, part of the land, including (in particular) walls, roadworks, power lines, electronic communications equipment, aircraft runways, inland waterways, docks and harbours, pipelines, reservoirs, water mains, wells, sewers, industrial plant and installations for purposes of land drainage, coast protection or defence; installing heating, lighting, air-conditioning, ventilation, power supply, sanitation, water supply or fire protection systems in any building or structure;
- internal cleaning of buildings and structures, so far as carried out in the course of their construction, alteration, repair, extension or restoration;
- painting or decorating the inside or the external surfaces of any building or structure; and services which form an integral part of, or are part of the preparation or completion of the services described above - including site clearance, earth-moving, excavation, tunnelling and boring, laying of foundations, erection of scaffolding, site restoration, landscaping and the provision of roadways and other access works.

8.1.2.3 Other reverse charge provisions

On the following supplies and/or services domestic reverse charge rules apply:

- mobile telephones;
- computer chips;
- investment gold and gold products of purity higher than 23.5%; and
- emissions allowances.

A supplier should refer to the reverse charge and the amount of VAT due under the reverse charge clearly shown. Suggested wording includes "Customer to pay output tax of GBP X to HMRC" or "UK customer to pay O/T of GBP X to HMRC".

In addition to the VAT return, these domestic reverse charges must be reported on a special reverse charge sales list.

8.2 Joint and several liability

There are several situations where joint and several liability for UK VAT can arise.

- Joint and several liability notices may be issued to an individual involved with insolvent companies that have unpaid tax debts, which would lead to the individual being wholly responsible for the debt, if the company no longer exists.
- All members of a VAT group registration are jointly and severally liable for any VAT due from the group's representative member.
- Under anti-avoidance provisions, joint and several liability applies under which the customer can be held liable to pay the VAT, that should have been paid by the seller on a supply of goods and services where there is widespread fraud, that commonly involves missing trader VAT fraud.
- On-line marketplaces can be held jointly and severally liable for the VAT due on sales by an overseas business, that is not established in the UK and which sells goods in the UK via their website.

9. Recovery of input VAT

9.1 Non-recoverable input VAT

Any input VAT claim must be supported by a proper VAT invoice. Claims not made on the return covering the date of supply are treated as errors and may need to be disclosed to HMRC before being reclaimed.

Input VAT is not recoverable in case of:

- goods and services not used for a trader's business;
- goods and services obtained before VAT registration, with some exceptions;
- a car, including fitted accessories and delivery charges, except where used wholly for business purposes (e.g. a taxi) in which case proof of business only use will be required;
- business entertainment expenses, except in respect of overseas customers;
- certain articles that are installed in buildings that a developer sells or leases at the zero rate;
- purchases that fall within the tour operators' margin scheme;
- goods sold to a trader under one of the VAT second-hand schemes;
- assets of a business transferred to a trader as a going concern; and
- exempt supplies.

9.2 Excess input VAT

Where input tax exceeds output tax, it is refunded following submission of the period end VAT return normally by bank transfer to the bank account recorded on the VAT registration but if none then by a GBP payable order. If repayments of VAT are received regularly, there is a choice to improve cash-flow by submitting monthly VAT returns so the VAT can be reclaimed more quickly.

HMRC usually process VAT repayments within 30 days. If it fails to do so, for VAT periods starting on or before 31 December 2022 a 5% repayment supplement may be payable. For later periods if HMRC delay the refund you may be entitled to repayment interest which is paid at the Bank of England base rate minus 1%, with a minimum rate of 0.5%. However, the 30 day clock stops whenever HMRC commences reasonable enquiries. No repayment supplement is payable if the return has been submitted late.

9.3 Capital goods - adjustment periods

The UK adjustment periods are as follows:

- land and buildings - 10 years
- refurbishment of buildings - 10 years
- civil engineering works - 10 years
- computers and computer equipment - 5 years
- boats and aircraft - 5 years.

HMRc expect to receive an original certificate, a photocopy is not acceptable. However they will accept electronic certificates of status (e-CoS) if they're issued by the official authority in the claimant's own country, and that official authority has an online validation system that HMRc can access to verify the certificate. HMRc cannot accept e-CoS electronically so in this case a copy of the e-CoS should accompany the paper refund application. The claim - there is no limit to the maximum amount which can be claimed however the UK has set the following minimum limits:

- the name, the address and official stamp of the authorising body;
- claimant's own name and address;
- the nature of claimant's business;
- if invoices are made out in claimant's company's trading style, the certificate must also show this; and
- claimant's business registration number.

The certificate must contain:

The certificate should show that he is registered for business purposes in that country for which a VAT 66A may be used - <https://tinyurl.com/2s39c4wd>

Each claimant must also provide a certificate from the official authority in his own country which will be valid for 12 months and will cover any applications made during that year. Once the certificate has expired, claimant needs to send a new one with his next application.

The claimant can make a refund claim himself or he can use an agent. To be able to act for him and receive money on his behalf, the agent will need either a power of attorney or a letter of authority.

*HM Revenue & Customs
Compliance Centres
VAT Overseas Repayment Unit
S1250
Benton Park View
Newcastle Upon Tyne
NE98 1YX
England / UK*

It is a condition of the scheme that the claimant's own country allows similar concessions to UK traders in respect of its own turnover taxes and would not refuse to allow UK taxable persons to use it. Claims should be made on a VAT 65A <https://tinyurl.com/y5jen5re> must be submitted, along with other documents as outlined below, to:

- Non-UK businesses can reclaim VAT paid in the UK, provided that they:
- are not registered, nor liable or eligible to be registered for UK VAT in the UK; and
- have no place of business or other residence in the UK and do not make any supplies in the UK (other than transport services related to the international carriage of goods, or services, where VAT is payable by the person in the UK to whom the supply is made).

9.4 VAT refund for EU taxable persons

The UK does not have an adjustment period for services. Adjustment can, however, be required under the partial exemption regime, where initial deduction is significantly different in the next VAT year. Adjustment is also required where the intention of a taxpayer or the taxable use to which the input tax is related changes. E.g., if input tax was intended to be used solely for making taxable supplies, and is instead used for making exempt supplies or for a non-business purpose, then the input tax claim must be reversed. Similarly input VAT can be claimed at a later date, where the intended exempt use did not occur and the costs were instead put to a VATable use. The adjustment under these claw-back or pay-back provisions apply to costs incurred over the last 6-years.

- GBP 130 (approximately EUR 150) where the claim is for less than a calendar year, but not less than three calendar months; and
- GBP 16 (approximately EUR 18,50) where the claim is for a calendar year, or the remainder of a calendar year.

Deadlines

The refund must be claimed no later than 6 months after the end of the prescribed year when the VAT was charged. The prescribed year runs from 1 July to 30 June, so the claim must be made by 31 December. If the deadline is missed, it is not possible to make a claim for that year. All applications are dealt with on a 'first come, first served' basis and HMRC strictly apply the time limit.

Other details:

- If the claimant has arranged for goods to be imported into the UK, provided there is no other VAT relief available at import, the import VAT due can be reclaimed. Claims cannot be made if the import results in the claimant being liable to register for UK VAT.
- It is possible to include items missed on earlier claims so long as they relate to VAT charged in the calendar year of the claim.
- The claim cannot be for a period of:
 - more than the prescribed year; or
 - less than 3 months - unless that is all that is left of the prescribed year.
- HMRC must be sent all the original invoices for all the VAT that is reclaimed.
- HMRC will normally pay within 6 months of receiving the claim, unless the claimant needs to provide more information.

It is not possible to claim:

- amounts that relate to non-business costs but if a supply covers both business and non-business use, VAT can be reclaimed on the business element of the supply;
- any supply used or to be used to make a supply in the United Kingdom;
- amounts of VAT that have been incorrectly invoiced;
- the supply or importation of most ordinary business cars, only 50% of the VAT incurred on the hire of lease of a car for mixed business and private purposes is allowed;
- certain second-hand goods, such as cars and antiques for which no tax invoice will be issued;
- business entertainment or hospitality expenses, as an exception, VAT on entertainment for overseas customers may be reclaimed but only if it is of a very basic nature;
- export of goods, but these will be zero-rated, provided the supplier has the necessary evidence goods and services, such as hotel accommodation, you have bought for resale which are for the direct benefit of travellers; and
- any supply used or to be used to make an exempt supply outside the United Kingdom, (for this purpose an exempt supply is a supply described as exempt in Schedule 9 to the VAT Act 1994, whether or not the place of the supply is in the UK).

If HMRC refuses the application and the claimant does not agree with the decision to refuse the application, it is possible to:

- ask for the decision to be reviewed by an HMRC officer not previously involved in the matter; or
- appeal to an independent tribunal.

If the claimant opts for a review, he can still appeal to the tribunal after the review has finished. If he wants a review he should write to the address given in the decision letter within 30 days of the date of the letter, giving his reasons why he does not agree with the decision. If the dispute results in a payment to HMRC being called for, HMRC will not take any action to collect the disputed tax while the review of the decision is being carried out. If a claimant wants to appeal to the tribunal then this should be submitted within 30 days of the date of the decision letter.

There is also a VAT Retail Export Scheme which allows non-EU visitors a refund of VAT on certain goods that they buy in Northern Ireland- see guidance on the Retail Export Scheme (Northern Ireland) - office 704 at - <https://tinyurl.com/5xnf23ds>.

Full details of the VAT reclaim system can be found at - <https://tinyurl.com/45h532mc>

9.5 VAT refund for non-EU taxable persons

Since the UK left the EU in 2021 the same rules apply to both EU and non-EU taxable persons as set out in 9.4 above.

10. Administrative obligations

10.1 Invoicing

10.1.1 Invoice content

A valid VAT invoice must contain:

- a unique invoice number in a consecutive sequence;
- the invoice date (as in the date of issue);
- the supplier's name or trading name, and address;
- the supplier's VAT number;
- the customer's name or trading name and address;
- a description sufficient to identify the nature of the goods or services supplied;
- the time of supply (tax point), which can be different from the date of the invoice;
- where a VAT invoice relates in whole or part to a supply where the person supplied is liable to pay the tax, the reference "reverse charge";
- for self-billed supplies, the reference "self-billing";
- for each different type of item listed on the invoice, the following must be shown:
 - the unit price or rate, excluding VAT;
 - the rate of VAT that applies to what's being sold;
 - the rate of any cash discount;
 - total amount payable, excluding VAT;
 - the quantity of goods or the extent of the services; and
 - the total amount of VAT charged;
- if a VAT invoice includes zero rated or exempt goods or services, the following must be shown:
 - that there is no VAT payable on those goods or services; and
 - the total of those values separately;
- the information necessary to determine whether there is a new means of transport; and
- an indication of the fact that a margin scheme has been applied as well as an indication why the margin scheme is applied, e.g.:
 - margin scheme for second-hand goods;
 - margin scheme for works of art;
 - margin scheme for collector's items and antiques; or
 - tour operator margin scheme.

Please note that even where the transaction has been concluded in a different currency the invoice must show the GBP equivalent value.

It is possible to issue the invoice in any language. However, the issuer must provide an English translation of any invoice within 30 days if asked to do so by a VAT Auditor.

10.1.2 Time limits

Where a registered taxable person makes a taxable supply in the UK, to a taxable person, it is required to provide such persons with a VAT invoice within 30 days of the time when the supply is treated as taking place or within such longer period as HMRC may allow.

For supplies of services lasting more than 1 calendar year (i.e. so-called continuous services) a tax invoice must be provided by the January following the 31st December of each year when the services are provided.

10.1.3 Currency

Any currency may be used on an invoice, but where VAT is shown, the VAT amount must also be converted into GBP and shown on the face of the invoice. In addition, where VAT is not charged, the net amount of the transaction must be converted into GBP, if the supplier wishes to rely upon the invoice.

10.1.4 Conversion and exchange rate

Foreign currency must be converted into GBP using either:

- the period rate of exchange as published by HMRC;
- the UK market selling rate at the time of the supply. The rates published in national newspapers are acceptable; or
- the rate a trader uses for commercial purposes, but he/she may only do so upon successful application to HMRC. Annual rates are likely to be refused as well as any rate which varies significantly from either of the other two options.

10.1.5 Simplified Invoice

Where the consideration for a supply does not exceed GBP 250 (approximately EUR 289) the invoice need only contain the following:

- the name, address and registration number of the supplier;
- the time of the supply;
- a description sufficient to identify the goods or services;
- the total amount payable including VAT; and
- for each rate of VAT the gross amount including VAT payable and the VAT rate.

10.1.6 Self-billing

While no approval is required for self-billing the conditions below must be met. The agreement entered into between supplier and customer usually lasts for 12 months. At the end of that period, it should be reviewed so there is evidence to show that the supplier agreed to accept the invoices issued on his behalf. However, if a customer has a business contract with a supplier, the self-billing agreement should last until the end date of the contract and when the contract has expired the self-billing agreement should be reviewed.

However there are conditions that must be fulfilled in order for the self-billed invoice to be valid:

- there must be an agreement at the outset between the supplier and the customer. There must be a new agreement if the supplier transfers his business as a going concern, and both the customer and the person who bought the business wish to continue with self-billing;
- the customer must raise self-bills for all transactions with the supplier named in the agreement for up to twelve months or, if there is a contract with the supplier, for the duration of that contract;
- the self-bills must show all the details required for a full VAT invoice;
- both parties must keep copies of the agreement and produce it to HMRC on request;
- the agreement must authorize the customer to produce self-bills and show that the supplier accepts all self-bills issued during the agreement period;
- the supplier must be VAT registered throughout the agreement period and must not issue VAT invoices for supplies covered by the agreement;
- the customer must keep and maintain an updated list of the names, addresses and VAT ID numbers of suppliers, who have agreed to self-billing, and this list must be made available to HMRC upon request;
- if a supplier's VAT ID number changes or he ceases to be VAT registered, he must tell his self-billing customer immediately; and
- the words "The VAT shown is your output tax due to HM Revenue and Customs" must be on the self-billed invoices along with a reference such as "self-billing".

Importantly the dates and GBP values shown on any SBI issued by a customer must be used as the basis for the supplier's own VAT declarations.

10.3 Penalties

European sales lists for goods or services are not required.

10.2.3 European sales listing

<https://tinyurl.com/mbic9xs>

HMRC's guide to completing online VAT returns can be downloaded at the following link:

The submission and payment requirements are identical for resident companies and non-resident companies.

The return should be submitted and any net VAT due paid over to HMRC by the last working day before the 7th day after the end of the month following the reporting quarter/month^(NB) the due date is earlier if the 7th day falls over a weekend). A large payer making monthly POA has to submit and pay by the end of the month following the VAT period. If it pays by direct debit (not allowed for POA registrations) the banking system means it receives a few extra days to pay.

10.2.2 Filing of a VAT return and payment

The requirements are identical for resident companies and non-resident companies.

Once a taxable person has a UK VAT registration number, it must complete a VAT return online and comply with the UK Making Tax Digital obligations. Unless monthly VAT returns have been approved, returns are submitted quarterly (small businesses can opt to make annual returns). Return period ends do not need to coincide with calendar quarters by getting HMRC's approval to use non-standard tax periods. Although most returns are completed on a quarterly basis, a large payer (over GBP 2,300,000 (approximately EUR 2,714,350)) must make monthly payments on account ('POA'), even if it submits quarterly VAT returns.

10.2.1 VAT return period

10.2 VAT compliance

- the same details as the original invoice they refer to; and
 - enough information to link them to the original invoice.
- If a taxable person issues electronic credit notes or debit notes, they should include the same information as paper versions. They must include:
- make sure that invoice data is complete and accurate;
 - make sure invoices are sent out when they need to be;
 - prevent invoices from being corrupted and be alerted if problems do occur;
 - make sure it does not accidentally send out duplicate invoices, or that customers do not accidentally process an invoice twice; and
 - ensure that customers do not automatically process invoices and try to reclaim VAT when they should not, e.g. invoices issued under a margin scheme.

Just as with issuing paper invoices, whatever form of electronic invoicing a taxable person chooses to use, it must be able to:

It is allowed to send and receive invoices electronically instead of using paper invoices. There is no requirement to inform HMRC, but a taxable person must make sure that its systems and procedures are proper.

10.1.8 Electronic invoicing

Invoices must be retained for 6 years. Copies of invoices can also be retained electronically. A taxable person must print the document for the HMRC if a request is made.

10.1.7 Storage of invoices

10.3.1 Default penalties for late registration

A penalty is due, if the application to be VAT registered is late. The penalty is based on the net tax due between the required date and the actual late date of filing. If the authorities are notified voluntarily within 9 months, the penalty is usually 5% of the net tax due, between 9 months and 18 months late then usually 10% of the net tax due, and usually 15% of the net tax due thereafter subject to a minimum penalty of GBP 50. Any penalty can be appealed and HMRC may reduce or remove a penalty where there is a reasonable excuse for failing to register at the correct time.

10.3.2 Default penalties for not filing a VAT return

The UK VAT penalty regime was overhauled for VAT returns periods starting on or after 1 January 2023. Instead of being based purely on due dates, The new points system is based on the following framework:

Frequency of Submission	Penalty Threshold
Annual	2 Points
Quarterly	4 Points
Monthly	5 Points

(i) Every time a VAT return submission is late, HMRC will record one penalty point against the VAT registration.

(ii) Once one of the penalty thresholds as above has been breached, a GBP 200 penalty will fall due.

(iii) For every additional penalty point imposed a GBP 200 penalty will fall due

(iv) To reset the penalty point balance to zero the registration must have submitted all VAT return for the previous 24 months and had a period of timely VAT return submissions. This period of compliance is according to the return frequency so for:

- Annual submissions – the period is 24 months
 - Quarterly submissions – the period is 12 months
 - Monthly submissions – the period is 6 months
- (v) If the penalty threshold has not been breached, each point expires 24 months after issue

10.3.3 Default penalties for not paying VAT on time to the tax authorities

The new late payment penalty system is geared to the extent of the payment delay as follows:

- (i) The first penalty is levied 31 days after the due date
- (ii) If a business has a 'Time to Pay' arrangement with HMRC all penalties are temporarily suspended.
- (iii) Soft landing for first 12 months – If payment is 30 days late there is no penalty

1 st Penalty	0-15 days late	No Penalty (interest as below is still due)
	16-29 days late	2% of outstanding balance (but see soft-landing)
	30 days	2% of outstanding balance at day 15 plus 2% of outstanding balance at day 30
2 nd Penalty	>30 days	Penalty is calculated as a daily rate of 4% APR for duration of outstanding balance. (4% per annum - pro rata for amount of time outstanding from day 31)

In addition to a potential penalty interest is also due on any late payments as follows:

- (i) Interest is at the Bank of England base rate plus 2.5%
- (ii) Interest is charged from the due date until the date it is paid (calculated pro rata, i.e. 5.5% of outstanding balance divided by 365 multiplied by days outstanding)
- (iii) The 5% Repayment Supplement payable by HMRC on delayed refunds is being replaced for accounting periods starting from 1 January 2023 with Repayment Interest payable in line with the extent of any delay. This is calculated from day after the due date - variable Bank of England base rate minus 1% to a minimum 1.5%.

10.3.4 Default penalties on VAT assessments when VAT is not reported correctly

The penalty system is based on two main concepts:

- whether the taxable person has exercised 'reasonable care' within its tax accounting; and
- whether the taxable person has made an 'unprompted disclosure'.

The penalty system has two tariffs - one for unprompted disclosures and a higher one for prompted disclosures. The penalties are all based on the amount of tax involved in an error, where HMRC gets paid too little tax. The penalty is due even if HMRC does not lose out. E.g. if a business fails to charge VAT, and its customer would have been entitled to reclaim all of the VAT that should have been charged, a penalty is still due. The penalties can be mitigated by HMRC to reflect the behaviour and circumstances that led to the error. HMRC expects that every taxable person will keep records that allow the taxable person to provide a complete and accurate return. HMRC also expects the taxable person to check with its agent, or HMRC, to confirm the correct position, if there is uncertainty. However, HMRC says that 'reasonable care' is different according to each taxable person's circumstances and abilities. E.g. a corporation with an in-house tax department will find it much more difficult to justify a mistake was made after taking reasonable care, than a small business which does not have the same in-house tax management capability.

10.3.5 Unprompted disclosure tariff (if the error is disclosed voluntarily)

Reason for error		Minimum penalty	Maximum penalty
Careless (the taxable person fails to take reasonable care)	0%	30%	
Deliberate (the taxable person knowingly sends HMRC an incorrect document)	20%		70%
Deliberate and concealed (the taxable person knowingly sends HMRC an incorrect document and tries to conceal the	30%		100%
inaccuracy)			

10.3.6 Prompted Disclosure Tariff (e.g. a tax auditor has begun asking questions)

Reason for error		Minimum penalty	Maximum penalty
Careless (the taxable person fails to take reasonable care)	15%	30%	
Deliberate (the taxable person knowingly sends HMRC an incorrect document)	35%		70%
Deliberate and concealed (the taxable person knowingly sends HMRC an incorrect document and tries to conceal the	50%		100%
inaccuracy)			

10.3.7 VAT voluntary disclosures made on VAT returns

Depending on the value of the error it is possible to adjust for errors on the VAT return, whereas larger errors must be dealt with by way of voluntary disclosure. Adjustment in these cases will usually be dealt with by HMRC issuing a VAT assessment.

Even where an error is below the prescribed disclosure limit, penalties might be mitigated by choosing to make a disclosure to HMRC towards showing that reasonable care was taken when making the original declaration.

10.3.8 Suspended penalties

The penalty regime provides for penalties to be suspended, typically for periods of 1 - 2 years. Suspended penalties are intended to encourage positive behaviour in a taxable person, with a view to preventing future careless inaccuracies.

All penalties can only be avoided, if the taxable person is able to successfully argue that there was a 'reasonable excuse' for the late return or payment.

10.4 Intrastat

UK Intrastat obligations are now limited to certain transactions involving Northern Ireland. With effect from 01 January 2021 monthly Intrastat returns need only be submitted to HMRC, if in any calendar year (from 1 January to 31 December), your business either:

- receives more than GBP 500,000 (approximately EUR 590,000) worth of goods from the EU into Northern Ireland
- moves more than GBP 250,000 (approximately EUR 295,000) worth of goods to the EU from Northern Ireland

You do not need to use Intrastat for goods you move between Great Britain (England, Wales and Scotland) and the EU, or between Great Britain and Northern Ireland. These Intrastat obligations apply irrespective of where the customer or supplier's business is located. Any declarations that are required must be submitted no later than the 21st day of the month following the period end. Periods are normally calendar months but, by concession, taxable persons approved to submit VAT returns for non-standard accounting periods may also submit Intrastat returns for the same periods. Intrastat returns can now only be submitted on online or using specialist software. It is possible to perform data uploads. Amendments can also be made online.

10.5 Additional Compliance Requirements

10.5.1 Making Tax Digital

All UK VAT registrations must submit their VAT returns using software and keep their VAT records digitally, basically accounting for VAT using a fully digital accounting journey. This is often achieved by using an accounting package with an integrated VAT filer. Non-UK businesses often use a UK VAT Agent to prepare and file VAT returns via the agent's own MTD compliant system.

10.5.2 Tax assessment period

The tax assessment period in the UK is 4 years from the end of the tax period concerned. In the case of fraud, the tax assessment period is 20 years. If a business does not register on time, HMRC can take the registration date back to the start of the business provided this was after 1973 and collect back-VAT on all sales made.

10.5.3 Retention of business records

HMRC require all VAT registered business to retain all business records for a period of six-years. This includes not only VAT accounting records but also bank statements, agreements, contracts, export evidence etc.

10.5.4 Post-Brexit consequences

Post-Brexit, where UK sellers supply electronic, broadcasting or telecoms services to EU consumers, they will have register for Non-Union OSS in any EU state and thereby account for EU VAT on all B2C supplies of digital services.

EU organisations can no longer account for UK VAT via an EU MOSS return and therefore need to register for UK VAT to account for UK VAT on sales of digital services to UK based consumers.

Any non-EU organisation that previously paid EU VAT via a UK MOSS registration will have to re-register for Non-Union OSS in the EU and separately register for UK VAT.

10.5.5 Northern Ireland Protocol

Brexit has led to a two-tier system to operate around Northern Ireland ('NI'). UK VAT will be due on all supplies made to NI from England, Scotland and Wales and vice versa. This respects the fact that NI is part of the UK.

However the same pre-Brexit rules will continue to apply to EU movements of goods involving NI while at the same time NI remains part of the UK's VAT system. This table might help distinguish treatment in different scenarios:

Goods moving from/to	VAT treatment
GB to EU	Importation in the Member State & UK export
EU to GB	Export from the Member State & import into UK
GB to NI	UK sale
NI to GB	UK sale
NI to EU	Intra-Community transaction
EU to NI	Intra-Community transaction

The new 'XI' VAT and EORI numbers should now be used on invoices, statistical reporting and customs documents for:

- goods located in NI at the time of sale;
- goods supplied B2B into NI by VAT-registered EU businesses; or
- the sale or movement goods from NI to EU.

Intra-EU rules and simplifications, such as triangulation and 'call off stock', are not available for movements of goods involving Great Britain, however these simplifications continue to be available for movements of goods involving EU member states and NI or where the business involved is identified as moving goods in, from, or to, NI.

B2C NI: The distance selling rules still apply to businesses moving goods from Northern Ireland to the EU and vice versa – see <https://tinyurl.com/b3t5j5sb>. Sales of goods by overseas sellers fall under special rules which are broadly the same as those previously in place for the rest of the UK. The main difference is that responsibility for charging and declaring VAT on goods held in NI, by overseas sellers that are sold B2C via an Online Marketplace (OMP) to NI consumers will rest with the sellers.

The Windsor Framework was agreed on 27 February 2023 between the UK and EU intended to roll out a new set of arrangements to restore the smooth flow of trade within the UK internal market and also EU trade with NI. From 30 September 2024 the new UK Internal Market Scheme (UKIMS) saw the full 'green lane' taking effect for authorised traders allowing them to move goods between mainland UK and NI, without using full Customs procedures.

From 1 January 2025 new rules were introduced for medicines ensuring the same labelling, packaging, licensing etc will apply across mainland UK and NI. Suppliers will no longer need to apply for separate licences to market the same medicines across the whole UK.

Further changes under the framework are also planned for parcels and freight movements from 31 March 2025 enabling eligible goods moving from a business in mainland UK to a business in Northern Ireland that are for sale to, or final use by, end consumers located in the UK, to move without the need for a full international customs declaration and without incurring duty under the UK IMS. Current guidance can be found here:

<https://tinyurl.com/mv3z2veh>

Information received from:

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ANNEX I REGISTRATION THRESHOLDS

Member State	Threshold for domestic businesses ¹	Threshold for small and medium enterprises ² scheme for foreign taxable persons ³	Threshold for intra-Community acquisitions by non-taxable legal persons, exempt persons and flat-rate farmers ³
Austria	€ 55.000	€ 55.000	€ 11.000
Belgium	€ 25.000	€ 25.000	€ 11.200
Bulgaria	BGN 166.000	No threshold yet	BGN 20.000
Croatia	€ 60.000	€ 60.000	€ 10.000
Cyprus	€ 15.600	€ 15.600	€ 10.251
Czech Republic	CZK 2.536.500	CZK 2.536.500	CZK 326.000
Denmark	DKK 50.000	DKK 50.000	DKK 80.000
Estonia	€ 40.000	€ 40.000	€ 10.000
Finland	€ 20.000	€ 20.000	€ 10.000
France	Goods € 85.000 Spec. lawyer €50.000 Services € 37.500 Other lawyer € 35.000	No threshold yet	€ 10.000
Germany	€ 25.000	€ 25.000	€ 12.500
Greece	€ 10.000	No threshold yet	€ 10.000
Hungary	HUF 18000000	HUF 18000000	€ 10.000
Ireland	Goods €85.000 Services € 42.500	No threshold yet	€ 41.000
Italy	€ 85.000	€ 85.000	€ 10.000
Latvia	€ 50.000	€ 50.000	€ 10.000
Lithuania	€ 45.000	No threshold yet	€ 14.000
Luxembourg	€ 50.000	€ 50.000	€ 10.000
Malta	€ 35.000	€ 35.000	€ 10.000
Netherlands	€ 20.000	€ 20.000	€ 10.000
Norway	NOK 50.000	NOK 50.000	N/A
Poland	PLN 200.000	PLN 200.000	PLN 50.000
Portugal	€ 15.000	No threshold yet	€ 10.000
Romania	RON 300.000	No threshold yet	RON 34.000
Slovakia	€ 62.500	€ 62.500	€ 14.000
Slovenia	€ 60.000	€ 60.000	€ 10.000
Spain	No threshold	No threshold yet	€ 10.000
Sweden	SEK 120.000	SEK 120.000	SEK 90.000
Switzerland	CHF 100.000	CHF 100.000	N/A
United Kingdom	GBP 90.000	No threshold	N/A

¹ Please see Section 1.1 of the relevant country chapter for detailed information regarding the thresholds.
² Please see Section 1.2 of the relevant country chapter for detailed information regarding the thresholds.
³ Please see Section 3.5 of the relevant country chapter for detailed information regarding the thresholds.

ANNEX II
VAT RATES¹

Country	Standard Rate	Reduced Rate	Super-reduced Rate
Austria	20%	10%/13%	
Belgium	21%	6%/12%	0%
Bulgaria	20%	9%	
Croatia	25%	5%/13%	0%
Cyprus	19%	5%/9%	3%, 0%
Czech Republic	21%	12%	0%
Denmark	25%		
Estonia	20% (24% 1/7/25)	9%/13%	
Finland	25,5%	10%/14%	0%
France	20%	5,5%/10%	2,1%
Germany	19%	7%	
Greece	24%	13%/6%	
Hungary	27%	5%/18%	0%
Ireland	23%	9%/13,5%/5,1%	4,8%/0%
Italy	22%	10%	4%/5%
Latvia	21%	12%	5%/0%
Lithuania	21%	5%/9%	
Luxembourg	17%	8%/14%	3%
Malta	18%	5%/7%/12%	0%
Netherlands	21%	9%	0%
Norway	25%	12%/15%	
Poland	23%	5%/8%	
Portugal	23%	6%/13%	
Romania	19%	5%/9%	
Slovakia	23%	9%/5%	
Slovenia	22%	9%/5%	
Spain	21%	10%	4%
Sweden	25%	6%/12%	0%
Switzerland	8,1%	3,8%	2,6%
United Kingdom	20%	5%	0%

¹ For detailed information regarding the VAT rates please refer to the Section 8 of the relevant country chapter.

ANNEX III SIMPLIFIED TRIANGULATION¹

Country	Middleman allowed to be VAT-registered in country of:	Special conditions
	arrival	dispatch
Austria	Yes	Yes
Belgium	Yes	Yes
Bulgaria	Yes	Yes
Croatia	Yes	No
Cyprus	No	No
Czech Republic	No	Yes
Denmark	Yes	Yes
Estonia	No	Yes
Finland	Yes	Yes
France	No	Yes
Germany	Yes	Yes
		Simplification can be applied, if more than 3 parties are involved, but only to the last 3 parties
Greece	Yes	No
Hungary	Yes	No
Ireland	Yes	Yes
Italy	Yes	Yes
Latvia	No	Yes
Lithuania	No	Yes
Luxembourg	No	Yes
Malta	No	Yes
Netherlands	Yes	No
		B must not report the intra-Community acq. in its VAT return, sale must be reported in special box in VAT return and ESL.
Norway	N/A	N/A
Poland	Yes	Yes
Portugal	No	Yes
Romania	Yes	Yes
Slovakia	Yes	Yes
Slovenia	Yes	Yes
Spain	No	No
		Spanish middleman must report the transaction in EU Sales/acquisitions under code "T"
Sweden	Yes	Yes
Switzerland	N/A	N/A
United Kingdom	N/A	N/A

¹ For detailed information regarding the simplified triangulation please refer to chapter 3.2 of the relevant country

ANNEX IV OTHER SIMPLIFICATION MEASURES

Country	Transfer of business ¹	VAT warehouses ²	Custom warehouses ³
Austria	X ²		X ¹
Belgium	X	X	X
Bulgaria	X		X
Croatia	X	X	X
Cyprus	X	X	X
Czech Republic	X		X ¹
Denmark	X	X	X
Estonia	X	X	X
Finland	X	X	X
France	X	X	X
Germany	X	X	X
Greece	X	X	X
Hungary	X	X	X
Ireland	X	X ²	X ¹
Italy	X	X	X
Latvia	X		X
Lithuania	X	X	X ¹
Luxembourg	X	X	X
Malta	X		X
Netherlands	X	X	X
Norway	X		X
Poland	X		X
Portugal	X	X	X
Romania	X	X	X
Slovakia	X		X ¹
Slovenia	X	X	X
Spain	X	X	X
Sweden	X	X	X
Switzerland	X		X
United Kingdom	X		X

¹ Normally VAT is due on the supply within the customs warehouse² Only if the reorganization tax law applies³ A supply within the VAT warehouse is usually taxable

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ANNEX VII INTRASTAT THRESHOLDS¹

Member State	Arrivals	Dispatches
Austria	€ 1,100,000	€ 1,100,000
Belgium	€ 1,500,000	€ 1,000,000
Bulgaria	BGN 1,700,000	BGN 2,200,000
Croatia	€ 450,000	€ 300,000
Cyprus	€ 350,000	€ 75,000
Czech Republic	CZK 15,000,000	CZK 15,000,000
Denmark	DKK 41,000,000	DKK 11,300,000
Estonia	N/A	N/A
Finland	€ 800,000	€ 800,000
France	N/A	N/A
Germany	€ 3 000,000	€ 1,000,000
Greece	€ 200,000	€ 90,000
Hungary	HUF 400,000,000	HUF 160,000,000
Ireland	€ 750,000	€ 750,000
Italy	€ 350,000 goods, € 100,000 services	€ 0
Latvia	€ 350,000	€ 200,000
Lithuania	€ 570,000	€ 400,000
Luxembourg	€ 250,000	€ 200,000
Malta	€ 700	€ 700
Netherlands	N/A	N/A
Norway	N/A	N/A
Poland	PLN 6,000,000	PLN 2,800,000
Portugal	€ 650,000	€ 600,000
Romania	RON 1,000,000	RON 1,000,000
Slovakia	€ 1,000,000	€ 1,000,000
Slovenia	€ 240,000	€ 270,000
Spain	€ 400,000	€ 400,000
Sweden	SEK 15,000,000	SEK 12,000,000
Switzerland	N/A	N/A
United Kingdom	N/A	N/A

¹ For detailed information please refer to the Section 10.4 of the relevant country chapter.

